E.I.D. Parry (India) Ltd. (EIDPARRY)

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Dear Sir/ Madam, E.I.D. -Parry (India) Limited
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EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter ended 30th June, 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Wednesday, August 10, 2022 at 2.00 p.m. on the unaudited financial results for tlie quarter ended June 30, 2022.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Encl: As above
• murugappa

"EID Parry
Q1 FY2023 Earnings Conference Call "

August 10 , 2022

ANALYST : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS

MANAGEMENT : MR. SURESH - MANAGING DIRECTOR - EID PARRY
MR. MUTHIAH MURUGAPPAN – WHOLE TIME
DIRECTOR & CEO - EID PARRY
MR. SURE SH KANNAN – WHOLE TIME DIRECTOR –
PARRY SUGAR S REFINERY INDIA PRIVATE LIMITED
MR. A. SRIDHAR – CHIEF FINANCIAL OFFICER - EID
PARRY
MR. BISWA MOHAN RATH - COMPANY SECRETARY -

EID PARRY

 Moderator : Good day, Ladies and gentlemen, and a very warm welco me to the EID Parry Q1 FY2023 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance du ring the conference call, please signal an operator by pressing '*' followed by '0' on your touchtone phone. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Tha nk you and over to you, Nitin !

Nitin Agarwal : Thank s All. Good afternoon, everyone, and a very warm welcome to EID Parry's Q 1 FY2023 Post Results Earnings Call hosted by DAM Capital Advisors. On the call today we have representing EID Parry Management Mr. Suresh - Managing Director, Mr. Muthiah Murugappan – Who le Time Director & C EO; Mr. Suresh Kannan – Whole Time Director – Parry Sugar s Refinery India Private Limited; Mr. A. Sr idhar – Chief Financial Officer; Mr. Biswa Mohan Rath - Company Secretary . I will hand over the floor now to the EID Parry managemen t team for m aking the opening comments and we will open the floor for question and answers . Please go ahead, Sir.

S. Suresh : Thank you. Good afternoon, everyone , I am Suresh here. Thanks for joining us in this call. It gives me a pleasure to be part of thi s analyst cal l to share an upda te on the global and Indian scenario on sugar and give you some details on the Q1 performance of the company.

On the global front, with the Brazil expected t o increase the sugar production , thanks to the lower Ethanol di version, and the record Indi an and Thailand exports , the global sugar prices continue to remain under pressure. Weakening Brazilian currency, elevated crude oil p rices and inflation levels, also re nder a bearish outlook to the overall global sugar prices.

On the de mand si de, with higher prices in the U.S . domestic market, the U.S . is slated to capitalize on the lower global price s and continue to ride on the import momentum. The larger than the expected hot and dry weather in Europe affecting the beet crop , is protecting the sugar prices from a steep fall. So overall the global pric es are expected

to be under
pressure.

As far as the Indian domes tic sugar industry is concerned , the country is expected to produce a record high level of sugar of almost 36 million tons despite the record high diversion to ethanol, that is expected to be around 3.4 million tons.

The country also has seen a record highest export volumes during th e current season . The recent government announcem ent on sanct ioning additional export vo lumes would mean that the total export volume during this season would go well past the 10 million tons. This
 would naturally mean tha t the closing stocks might come down as the sugar season closes . This might augur well for the domestic prices. Of course , you must keep i n mind the industry is bracing for a record h ighest production again during the next season also.

As far as the ethanol blending program is concerned , the oil marketing companies have lifted around 446 Crores liter s of ethanol which transl ates t o almost 1 0% of blending. The sugar indus try is slated to divert almost 4.5 million tons of sugar to ethanol during the next sugar season. This would mean that the target of 20 % blending by 2024-2025 is well within reach.

Regarding Q1 performance : The operating pe rformance of the company durin g the quarte r was significantly better than the corresponding quarter of the previous year on account of better vo lumes and realization in sugar, power, and distillery. The company crushed around 2.69 lakh metric tons during Q1 as against 1.46 lakh me tric tons during the corresponding quarter of the previous year. Higher power tariff rates helped in better profitability in this segment . Distillery profitability has been lower due to higher fuel costs.

The Standa lone revenue fro m the operation s for the quarter ended June 30, 2022, was Rs.722 Crores in comparison to the corresponding quarter of pervious year of Rs.450 Crores. Profit before depreciation interest and taxes and before exceptional items for the quarter was Rs.11 Crore s compare d to the loss of Rs.4 Crores in the correspondi ng quarter of the previous year. Standalone profit after tax for the quarter was Rs. 13 Crores as against a loss of Rs.33 Crores in the corresponding quarter of p revious year.

During the qu arter th e sale of la nd and buildings at Puducherry unit and the plant and machinery at Pettaivaithalai factory was completed. Our Sankili distillery 120 KLPD project is going as per schedule and should be ready for co mmercial producti on by Q4 of this finan cial ye ar. This is in line with the plan what we have envisaged.

Now I would request our CFO Mr. Sridhar to explain you on the segment wise financial performance. Over to you Mr. Sridhar.

A. Sridhar : Thank you Suresh , and good afternoon to all. Happy to be a par t of the ana lyst call and to share key information on the operational and finan cial performance of the company. I woul d like to share with you the key operating parameters of each of the segments.

Starti ng with sugar operations : The Nellikuppa m, Sa nkili a nd H aliyal crushing were carried out until middle of April 2022 and Pugalur plant operated for about 50 days during this quarter . As far as t he crushing is concerned , we crushed around 2.69 lakh metric tons when compared to co rresponding quarte r of previous year which was at 1.46 lakh metric tons. The recovery was at 9.35% compared to the corresponding quarter of previous year

which was at 9.58%. On the sugar production, we produced around 0.24 lakh metric tons durin g this quarter against cor responding quarter of previous year which was at 0.14 lakh metric tons.

On the cane cost, the overall cane landed cost is about 3221 pe r metric ton and previo us year corresponding period was Rs.3100 per metric ton. The sugar sale s volumes for the Q1,

was at 1.44 lakh metric tons of which domestic was 99000 metric tons and exports was 45000 metric tons. In the previous year it was 96000 metric tons in total of which domestic was 60 000 metric tons and exports was 3 6000 metric tons. The average selling price of sugar was Rs.35. 18 per kilogram against the previous year Q1 which was at Rs.33.75 per kilogram . The closing stock as of June 2022 was 1.35 lakh metric tons valued at Rs. 31.50 per kilogram.

Reven ue from sugar was Rs. 529 Crores in current quarter against corresponding p eriod of previous year which was Rs. 342 Crores that is an increase of about 55 %. There are no cane dues as of today and all FRP paid on time.

As far as Cogen is concerned , we generated ar ound 869 lak h units during the quarter Vs the previ ous year which w as at 276 lakh units . We ex ported around 584 lakh units in comparison with the p revious year where we were at 150 lakh units. The average tariff rate was Rs.6. 93 per unit as aga inst the pre vious year which was at Rs.3. 34 per unit. The revenue from Cogen operations were at Rs. 64 Crores against previous year which was around Rs. 9 Crores.

On the distillery operations , we sold around 213 lak h liters and when compare d to previous year where it was 139 lakh liters. ENA was 99 lakh liters, and t he ethano l was 1 14 lakh liters . In the previous year the ENA was 79 lakh liters and ethanol was 60 lakh liters.

The price realizations were at Rs. 57.82 per liter in the current year again st the previ ous year which was at Rs. 57.70 per liter. Revenue was Rs.125 Crores from the distillery operations compared to Rs.82 Crores in the previous year.

In the Nutra segment , our turnover was Rs.13 Crores as agai nst the previous year which was 20 Crores. The reducti on was on account of drop in production at the fac tory d ue to inclement weathe r. At the consolidated level , the Nutra business turnover was at Rs.64 Crores as against corresponding previous year which was at Rs. 74 Crores.

On the refinery operations , the revenue was Rs.7 64 Crores against the previous year which was 220 Crores. PBT was a loss of Rs.6.32 Crores as against the previous year which was at 21.29 Crores. The refined sugar production was 2.25 lakh m etric to ns as agains t the

previous year which was at 1.97 lakh metric tons. The refined sugar sales were at 2.02 lakh metric tons and the previous year figures were at 0.73 lakh metric tons.

We would now like to take questions from the parti cipants .

Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session . First question is from the line of Pratiksha Daftari from Aequitas. Please go ahead.

Pratiksha Daftari : My question is r elating to distrib utor segment . If you could just explain the key reason for profitability being impacted and what was the transfer pri ces for molasses this time versus last time.

Muth iah Murugappan : Thanks for your question we are just getting you the transfer pri ce. Well, the profitability was down on account of capacity utilization. We had some maintenance related downtime across some of the distille ries. We will catch up on the volumes during the rest of the year. we ha ve completed our maintenanc e related activity and for the res t of the quarters , we should be back at full clip which will enable us to run our operations profitab le. We are just getting you the transfer price. Did you have a follow -on question ma dam.

Pratiksha Daftari : No.

Muthiah Murugappan : The team is just pul ling this data out so maybe we co uld move to the next question, and I

will clarify that through the course of this call .
Prat iksha Daftari : Sure, thank you.
Moderator : Thank you. The next question is from the line of Akshay from Nirzar Securities. Please go ahead.
Akshay : Thank you for taki ng my question

, Sir. Just a small clarification, we have one of f expense of stamp duty to the extent of 10 Crores. So, in which segment w ould we classify that expense and relating to this our other expenses have also shot up from Rs. 70 Crores to Rs. 127 Crores an d let u s take Rs. 10 Crores as one-off expense then also 70 Crores has become 127 Crores Y -o-Y. So could you explain the ma jor components of why these expenses have increased so much, and my question will be on performanc e of Cogen also because in Cogen also th e volumes and the pricings were very good as you have explain ed in the openin g remark s but the profitability is not as m uch. So, if you can explain if that will be sustainable going forward and give us some more clarity on that. Thank you so muc h.
 A.Sridhar: I woul d like to clarify your first question with reference to the increase in other expenses. The stamp duty charges of Rs. 10.50 Crs s s a part of the other expenses and this is basi cally pertaining to the merger a nd the demer ger activities which were carried out between 2011 to 2017. These stamp duty charges we re linked to the market de termined pri ce on the assets transferred . So, the court had determined the valuation in the month o f June 2022 and accordingly we have made a provision for the same to the extent of about Rs. 10.5 Crores during this quarter. The cash outf low towards the same will be in September / October 2022.
Akshay : Sir in which segment will we classify thi s 10.5 Crores.
S. Suresh : This will be unallocated income .
Akshay : There is also increase in other expenses from 70 Crores to 117 Crores.
A. Sridhar : Let m e explain the same. We are working towa rds improving our safety norms in each of our factories and there are spends on account of those . Also , you would have noticed that the sales volumes have moved substantially high between the current q uarter and last year same peri od. This increase in sales volume have a variable compon ent of expenditure such as packing and freight cost which is around Rs. 10 Crs. Another reason why the costs are higher compared to previous year is our Bagalkot factory and Hali yal factory commenced commercial production from J uly 1st 2021 , and January 1st 2022 respectively. Hence the operating cost s of the expanded capacity was a part of current Q1 cost. In addition to that , we also have power and fuel cost which has mo ved up substanti ally during this quarter . The coal prices went up much higher . So those are the reasons where the costs have been higher .
Akshay : That was quit e helpful Sir. So would we expect that these one -off expenses safety related as you have mention ed these are all over or still there is so me money which needs to be spend going forward .
A.Sridhar Safety is something we are working towards improving at all the factori es over a period of next two to three years. So, a lot of initiatives are being car ried out both on the infrastructure side and on the beha vioral aspects of the employees.
Akshay : So, can we assume 10, 15 Crores for every quarter let us say a ballpark number will be there on these all-new initiatives and the safety related measures.
A. Sridhar : No as far as safet y related is concerned it could be around Rs.1 Crore or so and not more than that .
 Akshay : So broadly this would be the range going forward 120 Crores, 115 Crores as compared to 70 Crores because there is a qu ite a shift from 70 Crores of expen se to 120 Crores. So that is what we are trying to understand.
A.Sridhar : There are one -time expenditures such as stamp d uty charges to the extent of about 10.5 Crores and the coal price . We expect the fuel prices to soften during the nex t few quarters. The quarterly costs should ran ge between Rs. 85 to 90 Crores.
Akshay :

That was very helpful, and if you can quickly comment on the Cogen segment performance and sustenance because as we have seen t hat volumes and prices were quite good in t his quarter. So , if you could just commen t on that .
S. Suresh : Cogen , the volume should grow based on the increase in the availability of cane during this crushing season. As far as the realization is concerned , it all depe nds on how the energy exchange prices provide and we have taken advantage of the be tter prices during the Q1

maybe together we have to pray that the prices continue to remain at that level for us to
perform better in Cogen . Otherwise , the normal ex change rates will apply.
Akshay : So, have we sold through exchange also or we are di rectly sold at the spot price.
S. Suresh : See there are two, three things we do . We export the energy thru exchange , GDAM, GTAM
and export to third parties
Akshay : Okay I will get back in the queue for more quest ions Tha nk you s o much.
A.Sridhar : The molasses price fo r the current year is about Rs.8750 as against the previous year same
period which was at Rs.5550. So there ha s been a substantial increase in the molasses price
because of the market dem and.
Moderat or: Thank yo u. The next question is from the line of Anup am Goswami from B&K Securities.
Please go ahead.
Anupam Goswami : Good afternoon, Sir. My first question is on the gross recovery that we have maintained in
this quarter. Now that the Puduk ottai plant is also shifte d to Haliyal , what i s the now gross
recovery and going forward what kind of margin can we expect in the sugar standalone
business because despite expectation o f a higher recovery, but on the other side e ven though
gross margin has increas ed but on the EBIT DA margin could not increase so much because
of the higher other expenses. So where do we see ourselves in the margin front going
forward .

S. Suresh : Q1 recoveries pertains to fag end of the season and as such the recoveries will n ot be a
representative in nature . So practically , there were no Karnataka operations . Andhra
operations also came to a grinding halt and the recoveries were low because of the summer
setting in very early. So Q1 may not be a representative number to be compared . The season
for Ka rnataka will start only in October. So , the benefit of the asset trans fer from Tamil
Nadu to Karnataka will start flowing in from the third quarter onwards and the mar gin
should be better.
Anupam G oswami : And where do you see the EBITDA margi ns going for ward because of some safety .
A.Sridhar We should be doing better than the last year numbe rs.
S.Suresh : You should also keep in mind the recent FRP incr ease annou nced by the government
reflects an increase in cane price from Rs.80 to Rs.100 per ton of cane . So that needs to be
kept in mind when we are looking at the EBIT DA margin for the future.
Anupam Goswami : Do we also expect any hike in ethanol prices because of the higher FRP.
S. Suresh : Yes, the government has been consistently revisiting the ethanol prices whe never there has
been an increase in the FRP s price . Such increase should come from the alcohol year
starting 1st of December and not before that . We are hoping that the governme nt will meet
the industry expectations.
Anupam Goswami : And my last q uestion is on the ref inery even though the coal prices were high this q uarter
and we have still managed to post a small profit in refinery business . So, what changed in
this quarte r and going forward what is the outlook .
Suresh Kannan : I thin k you have rightly pointed out the cost escalation that is coming in the form of coal but
as we discussed in the earlier calls also our confirmation had been basically with in terms of
higher sp reads that have been available during the periods and, we are in a positio n to
source raw sugar

from India vis-à-vis Brazil. So , this coupled with our ability to execute the
volumes as per the last quarter bridge s the gap on account of coal price inflation. So , in the
second part of your question going forwar d with o il softening t o $90 today and possible
U.S., Iran , nuclear deal we are hopeful that the energy prices will moderate, but we are
keeping a watch on the coal prices as well.
Anupam Gosw ami: Thank you. If I can squeeze in and relate it to this. Wha t is our so urcing of suga r refinery,
what kind of prices and what is the spread.

Suresh Kannan : The Indian sugar is also sold at international price basis . So, it is a question of landed cost
parity difference between Brazil and India which changes from time -to-time dependi ng on
the market condition . The spreads for the first quarter had been around $50 per ton.
Anupam Goswami : So, it has improved from earlier spreads of 40 and 45.
Suresh Kannan: Yes, in line with this, the freight cost has also to be seen.
Anupam Goswa mi: Okay thank you I will get back in the queue.
Moderato r: Thank you. The next question is from the line of Hitesh Doshi. Please go ahead .
Hitesh Doshi : Good afternoon. How is traction for Flomentum in USA and how much do we budget for
sales, marketi ng, and doctor engagement expenses on an annual basis and what was this
number before the Flomentum launch. Why is revenue performance in Nutra been subdued
and quarter only the sales in standalon e back to pre -COVID level .

Muthiah Muruga ppan : So, the Nutra performance is down because of the Standalone Nutra we had some issues regarding weather and also some administrative issues on exports . This shortfall will be made up in the Q2 on a standalone basis. S o, from a Con solidated basis , our top line for the core business Valens a is in line with our expectations . Flomentum is gaining steady traction and I think it i s too early to give you a full overview of the entire program in terms of sales and in terms of expenses. I think we are in the initial phase now and it is fund ed from the profits and the cash flows of the core Business of Valensa . There is no additional capital infusion from the parent company. But we will a t the right time update you on the workings of that program . We do h ave a steady sales traction and it i s picking up and there is a growth in sales over the previous year as described in earlier calls . It is a direct consumer business based on a medica l equity mod el so the reach out will take time . It is a disruptive new business model, and we have a new t eam to go out and implement.
Hitesh Doshi : Just one repeat question . What are factors driving l oss in distillery segment despite having Rs.125 Crores top line instead of Rs. 81 Crores why are we still losing money.
Muth iah Murugappan : I think I had answe red that to the speaker earlier . In some of our dis tiller y operations, we did take a down time b ecause of maintenance related issues and a lot of those have been resolved and we will catch up in the subsequent three quarters . We are not con cerned about the same and we will close the rest of the year in line with ou r objectives that we have taken. You will also note that there has been a substantial increase in the fuel cost and hopefully it is softening a little bit . We are internally workin g to see how the losses can be made up and are confident in making better margins.
 Hitesh Do shi: Okay, thank you so much and wish you all the best.
Moderator : Thank you. The next question is from the line of Karan Mehta an individual investor . Please go ahead.
Karan Me hta: Thank you for the opportunity. I just have one question. So , assuming the c urrent cost structure wh at is the volume needed to break even in sugar segment on quarterly basis .

A.Sridhar See the sugar segment production happens between Novem ber to March a nd until then we use a 12 month moving weighted average for costing purposes and it is difficul t to really arrive at a break even on a quarterly basis . During crushing season, the cost gets optimized, and it is only in the Q3 and Q4 where we normally make p rofits .
Karan Mehta : Okay thanks a lot .
Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.
Bharat Sheth : Hi! Good afternoon and thanks for the opportunity, I mean, see wi thout going in this quarterly number on nutraceutical business we had a very high hope to grow to reach a reven ue of around Rs. 500 Crores. So where do we expect that kind of a number and in what time frame and at that point of tim e what will our EBIT marg in be. If you can give some color on that, that will be really helpful.
Muthiah Murugappan : If you look at in this segment, they work with EBIT margins of about 15 % maybe slightl y north of 15%. I think it is our aspiration also to move the busines s in that direction. I agree it has been a slow increase in bottom line in this segmen t. We have been in this segment for a while, but it is quite different from the other business models or the businesses that we operate as a company and a s a group . So, I think t his journey ha s taken more time and we have invested in several growth initiative s. I think in individual investor meetings as well we have said that we are taking efforts to reflect on our strategy for this segmen t. It will take us a little bit more time to bring clarity to that and I think once we do that, we will bolt on to our curr ent growth initiatives and strategy as well. So , I think we respect the fact that it has taken more time tha n envisaged but that is the reality . We will have to do it the rig ht way and not do anything impulsively and end up w rong. We are playing a pati ent game on this.
Bharat Sheth : I appreciate that Muthu. But if you can give some color that what k ind of annual growth rate that in th e current, I mean, even despite taking pose do we expect, or it will stagnate for
 couple of you at this level when you ar e saying that you have taken a pose on those initiative s.
Muthiah Murugappan : See the c urrent busin ess moves are on and we will provide an update at the right juncture.
Bharat S heth : In next three year where do we see this business in your aspiration?
Muthiah Murugappan : See I think aspirations are always much higher and besides it would be wrong on my part to leave number here and I think it is not the right approach . We are more focused on building the business model .

Bharat Sheth : Now coming to this distillery business again without going in quarterly detailing . See, last year we had a revenue of around Rs. 500 Crores, but still our EBIDTA margi n is lower than the single digit . If you can give some color that whereas in our d istillery of sugar mill operating in North India , they have EB IT margin in the range of say 20 % to 40 % so why this diff erence and how do we really try to bridge that gap.
Muthiah Murugappan : There is diff erence in the internal transfer pric e for molasses betwe en sugar and distillery . If the investor community can bri ng a uniformity in that then it i s easier to track everyone . Currently everyone is accounting as per the accounting standards adopted by th em for the transfer pricing .
S. Suresh : You should also keep in mind one thing ie., the size of the distillery capacity. We have got 248 KLPD distilleries and 165 KLPD and another one is at 75 KLPD and Bagalkot alone is 125 KLPD, Sankil i is going t o be 12 0 KLPD . So we have to keep the size of the distill ery units also in mind especially with reference to fixed cost absorption and optimization etc

.
As pointed out by Muthu , our transfer price of mola sses plays a key part in the entire margin analy sis.
Bharat Sheth : But in that case sugar profit also should reflect higher because it i s a transfer price from sugar to distillery then the s ugar profit should go up higher correct.
S. Suresh : Absolutely what you are saying is right you should also keep in mind t hen once aga in take a compar ison to the north. The north can be 1% higher in recovery compared to the recovery we get from the geographies where we operate. So that means that 1% will give so much of rupees in terms of profitability and that i s what Muthu was talking about the regional differences .
Muthia h Murugappan : And I think you will have t o look at the EID Parry business as an amalgamated player between three states when you look at the EBITDA per ton with di fferent recoveries of

 sugar from Andhra, Tamil Nadu , and Karnataka . Independently these states look different from an EBITDA per ton perspective . Obviously , when they amalgamate you would arrive at a certain number it is perhaps only likely that this number would differ from a di rect apple t o apple compari son with say a state like UP where uniform ly the recoveries are much higher .
Bharat Sheth : And the last question on the sugar business. See there are a lot of initiatives and talks are happening on to improve this sugary recovery and yield from the sugar cane so a new microbiology kind of a seeds and all of that and I believe that EID is always a front fund. So, what exactly we are doing to improve the yield and recovery from the sugar cane and what kin d of initiative have we taken and when do we expect that kind of result from.
S. Sruesh : See Karnataka as we look at it is already in a high recovery belt ie., like UP and Maharashtra . The places like Andhra and Tamil Nadu we are doing a variety of improvement program where we only prom ote high suga r varietie s across. The benefit is seen in the recovery in places like Nellikuppam , Pugalur as well as in Sankili over th e last two to three years. So , this will help farmers and be encouraged to pl ant more of high recovery varieties . These varieties shou ld also be of a high yielding variety because the recoveries are on the range of 9.5 %. So, farmers will be more ben efited only when the yields are also more. So , it is a complex issue f or the compan y where the yield also must be more, recovery has to be mo re for the f ormer real has to be significantly higher because he is not going to get much in terms of recovery from the FRP. So , taking this into account and the local soil conditions a nd local other climatic conditions , we are recommending the high recovery varieties to the farmers and accordingly the recoveries in Tamil Nadu and AP has started growing over a period .
Bharat Sheth : And last question if I may squeeze with this commissioning of this two-distillery dual feed so what is the kind of ethanol that we expect t o generate in volume if we can give s ome color from next year onward .
Muthiah Murugappan : Our total capacity will be around 4 00 KLPD with a capacity to produce 12 Cr liters .
Bharat Sheth : How much sorry .
Muthiah Murugappan : In all we must be making eth anol of around 12 Crores liters.
Bharat Sheth : And one of these two refineries are dual feed which can generate for the 12 months so factoring you also this also .
Muthiah Murugappan : Can you come again Sir.

 Bharat Sheth : See this new re finery that we are inst alling which is on the dual feedstock. So how that will be the different from the other distillery .
Muthiah Murugappan : The other distilleries are molasses basis and those will run only bas ed on the molasses

availability from the respecti ve sug ar mil ls. Sa nkili is in Andhra where the gr

ains is
availab le in p lenty. In the event of shortage during the season it will run on the cane based molasses then the accumulated molasses also the pl ant will run for maybe another 2 -3 months the balance t wo to three month s of the year we will run on grain stock s o that we can extend the distillery running to the fullest season notwithstanding the challenges related to cane availability . whereas in molasses -based distilleries if the cane availability drops then the distill ery capacity utilization will drop. The multi feed is a d e-risking strategy as far as the Sankil i is concer ned.

Bharat Sheth : Okay and thank you very much and all th e best .

Moderator : Thank you. The next question is from the line of Ritwik She th from DFC. Please go ahead.

Ritwik Sheth : Thank you for the opportunity, Sir. My question is on the refinery business wh at the refinery debt is as of June 2022 .

Suresh Kannan : In terms of the refinery, we have a long-term debt of 200 Crores and a short -term debt of 138 Crores. So , totaling to Rs. 338 Crores as of quarter closing.

Ritwik Sheth : So short -term debt has reduced significantly during the quarter .

Suresh Kannan : Yes, you are right.

Ritwik Sheth : And was the refinery business EBITDA positive in t he quarter .

Suresh Kannan : Yes of course.

Ritwik Sheth : Can you quantify that please .

Suresh Kannan : EBITDA for the quarter will be around 16 Crores for the refinery .

Ritwik Sheth : And then this is expected to be in this range for the coming quarters and w hat is the o utlook on the refinery business if you can throw some color.

Suresh Kannan : In terms of the major drivers, we expect continuity refined sugar market is very tightly balanced and we expect that therefore the spreads also to con tinue to remain at these level s.

 Of course , the question is with respect to the energy cost which I think has been discusse d earlier as well. If other things remain same and we do not have any major macro events , we should be able to maintain the momentum.

Ritwik Sheth : One follow -up on the earlier in the call you mentioned th at PBT of refinery was a negati ve 6 Crores did I hear that figure right.

Suresh Kannan : Yes.

Ritwik Sheth : So, what is driving the difference between is it the entry because that debt has significant ly come down du ring the quarter, I am unable to understand .

Suresh Kannan : Sorry can you pl ease repeat we could not follow you r question.

Ritwik She th: So, EBITDA you mentioned is 16 Crores positive and PBT is 6 Crores negative, and debt has significantly red uced during the quarter so what is the gap between is there any exceptional item.

A.Sridhar : There is a mark to market on the forex cover and the loss on account of the same is notional.

Ritwik Sheth : Okay so th is would ideally be non -cash right.

A.Sridha r: Absolutel y.

Ritwik Sheth : So, this is negative 6 Crores PBT is on cash okay. Okay Sir thank you and all the best.

Moderator : Thank you. The next question is from the line of Devang Shah fro m Invest Savvy Portfolio Management. Please go ahead .

Devang Sha h: Hi! Good afternoon, Sir, I have a question regards to yo ur standalone performance we are seeing sequential basis revenue is down somewhere close to around 22 %. So I just would like to know w hat is the r eason and what i s the outlook going forward and sec ond re gards to your profitability also due to rise in the e xpenses in this particular quarter the profitability turn out to be a negative so I want to know that you know what are the main expen ses driver i t is on a raw material side or it is something powe r and fuel and the other expenses and what i s your outlook going forward also on the expenses front on a st andalone basis. Thank you.

Muthiah Murugappan : Your question is Q4 versus Q1 of this current fina ncial year Q4 of last financi

al year.

 Devang Shah : No, I am ask ing about sequential basis quarter -on-quarter . Quarter -on-quarter important standalone performance on revenue and profitability.

Muthiah Murugappan : Quarter -on-quarter there is an impact on export volumes which impacts the perfo rmance on revenu e and prof itability.

Devang Shah : And what about, what rega rds to your expenses also that is also on a higher side so what do you say about in current quarter also and going forward outlook about your expenses and which constitute of the expenses are ther e in this quarter that is putting a pressure .

A.Sridhar : Yes, the performance and expense can be compared between previous year same quarter Vs the current year same quarter as this is a seasonal industry.

Devang Shah : And last question what you see about the outlook going forward.

Muthiah Murugappan : Outlook g oing forward for…

Devang Shah : For the standalone performance of the company.

Muthiah Murugappan : The company has been improving its standalone performance over the years you must have seen that we w ill continue to do better than the previous years and, in the years, to come and there is no doubt on that.

Devang Shah : Okay thank you Sir.

Mode rator: Thank you. The next question is from the line of Anupam Goswami from B&K Securities. Please go ahead .

Anupam Goswami : Sir, we understand that the distillery segment margin will cam e a little lo wer than the low-capacity utilization but if the maintenance cost did not happen what kind of margin we could have made .

Muthiah Murugappan : I mean if the maintenance did not happ en, we could not have run the distillery . So, the maintenance activities are need ed to run the p lant in a s mooth manner . In any case, we could not have deferred it.

Anupam Goswami : Going forward there is no other reason right and we can easily put post p roject profi ts and distillery segment growth.

 Muthiah Mu rugappan : Yes, we will make up these losses in the next three quarters. So , you will see that in Q2 , Q3 and Q4 we make more consistent distillery output . In Q4 we are looking forward to have the new distillery at Sankili running as well.

Anupam Goswami : Okay, thank you.

Moderator : Thank you. As there are no further questions, I now have the conference over to the management fo r their closi ng comments .

S. Suresh : Thank you all for your qu estions and we wish you all good health and we look forward to meeting you again in the subsequent quarters with hopefully a strong set of results. Thank you and good day.

Moderator : Thank you. Ladies and ge ntlemen on behalf of DAM Capital Advisors that co ncludes this confere nce call for today. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN : L24211 TN 1975PLC006989
Website: www.eidparry.com
November 18, 2022
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter/half-year ended September 30, 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Monday, November 14, 2022 on the unaudited financial results for the quarter/half-year ended September 30, 2022.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
~ murugappa

“E.I.D Parry (India) Limited
Q2 FY 23 Earnings Conference Call”

November 14, 2022

MANAGEMENT : M R. SURESH - MANAGING DIRECTOR
MR. MUTHIAH MURUGAPPAN - WHOLE TIME
DIRECTOR AND CEO
MR. SURESH KANNAN - WHOLE TIME DIRECTOR ,
PARRY SUGARS REFINERY INDIA PRIVATE
LIMITED (SUBSIDIARY OF E.I.D.- PARRY (INDIA)
LIMITED
MR. A SRIDHAR - CHIEF FINANCIAL OFFICER
MR. BISWA MOHAN RATH - COMPANY
SECRETARY
MODERATOR : M R. NITIN AGARWAL - DAM CAPITAL ADVISORS
LIMITED RRYS
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a,;_~RYS DAM

Moderator: Ladies and gentlemen, good day and welcome to the EID Parry Q2 FY '23 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you Sir!
Nitin Agarwal: Thank you. Hi, Good afternoon everyone, and very warm welcome to EID Parry's Q2 FY '23 earnings call hosted by DAM Capital Advisors Limited. We thank the EID Parry management for giving us the opportunity to host this call. On the call today, we have representing EID Parry Management Mr. Suresh, Managing Director; Mr. Muthiah Murugappan, Whole Time Director and CEO; Mr. Suresh Kannan, Whole Time Director, Parry Sugars Refinery India Private Limited; Mr. A Sridhar, Chief Fi nancial Officer; & Mr. Biswa Mohan Rath, Company Secretary.
I will hand over the call to EID Parry management to make opening co mments and we will open the floor for Q&A session. Please go ahead sir.
Suresh: Yes, thank you. Good afternoon. I am Suresh from EID Parry. It gives me great pleasure to be part of this analyst call to share an update on the global and Indian scenario and explain the Q2 performance of the company.
On the global scenario, Higher cr op, especially in Brazil and Indi a is expected to result in a global surplus for the su gar year '22-'23. Surplus sugar and global macros in the form of strong USD which is barish for the commodities is keeping the sugar prices range bound. However, trade flows, especially in raws are tight in near time, necessitating Indian sugar to flow to global markets. The

refore, raw sugar prices have to move up in the near term to facilitate the same. Change in Brazilian fuel tax policy in medium term can increase the floor price.
Coming to Indian scenario for the sugar year '22-'23, the sugar production in India is expected to be around 36.5 million tons after diversion of 4.5 million tons to ethanol. While the FRP has been increased to INR 3,050 @ 10.25% recovery for sugar year '22-'23, there has not been any increase in the MSP. The government has recently announced the export policy for sugar year '22-'23 for 6 million tons to be exported by May 2023. It is encouraging to note that the Ethanol prices have been increased for the ethanol year '22-'23.
Coming to the standalone performance for the quarter and half year ended 30
th, September
2022. Operating performance for the company during the quarter on a standalone basis was significantly better than the corresponding quarter of the previous year, on account of better volumes and realization in sugar, power and distillery. The company crashed around 8.38 lakh metric tons in the current quarter as against the 6.6 lakh metric tons in the corresponding quarter of the previous year., Higher power tari ff rates helped in better profitability of the power segment. Distillery profitability has been lower due to higher fuel cost.
The standalone revenue from operations for the quarter ended 30th September, 2022 was INR 646 crore. Registering a growth of 47% as against INR 438 crore in the corresponding quarter of previous year. Earnings before depreciation interest and taxes,(EBITDA) for the quarter ended was INR 125 crore as against INR 115 crore in the corresponding quarter of previous year. Standalone profit after tax for the quarter was INR 85 crore as against INR 73 crore in the corresponding quarter of previous year. _,,j
 The standalone revenue from operations for the half year ended 30th September 2022 was INR 1368 crore registering a growth of 54% as against INR 888 crore in the corresponding period of the previous year. Earnings before depreciation interest and taxes EBITDA and before exceptional items for the half year ended was INR 136 crore, against INR 111 crore in the corresponding period of the previous year.
Standalone profit after tax for the half year and was INR 98 crore as against INR 40 crore in the corresponding period of the previous year.
The Sankili unit 120 KLPD multi feed distillery unit project is progressing as per schedule

and should commence production as per plan. During the quarter, the board has approved setting up of 120 KLPD distiller in Haliyal with
the capital outlay of INR 181 crore.
Now coming to the consolidated performance for the quarter and a half year ended 30th
September, the consolidated revenue from operations for the quarter ended 30th September was INR 11,328 crore.
registering an increas e of 62% as against INR 6,978 crore in the
corresponding quarter of the previous year., Earnings before depreciation interest and taxes
for the quarter ended 30
th September, 2022 was INR 978 crore, registering an increase of
27% as against INR 772 crore in the corresponding quarter of the previous year.
Consolidated profit after tax and non-controlling interest was INR 241 crore compared to
INR 244 crore in corresponding quarter of previous year.
The consolidated revenue from operations for the half year ended 30th September, 2022 was
INR 18,474 crore registering an increase of 63% against INR 11,333 crore in the
corresponding period of previous year. Earnings before depreciation, interest (EBITDA)and taxes and before exceptional items for the half year ended September was INR 1732 crore as against INR 1266 crore in the

corresponding period of the previous year. Consolidated profit
after tax and non-controlling interest was INR 518 crore compared to INR 376 crore in the
corresponding period of previous year.
The consolidated sugar operations including the refinery business reported a loss before
interest and tax of INR 155 crore for the quarter(corresponding quarter of the previous year loss of INR 28 crore). Refinery business had a setback during Q2 as there were two fatal accidents at the refinery, which resulted in the stop of the factory though the factory had an
excellent good safety record. We had to perform several audits and checks to satisfy
ourselves and government authorities on the safe operation worthiness of the refinery. This took time resulting in stoppage of production for a month. Consequently, our order execution in terms of loading refined sugar on vessels was delayed, resulting in higher demurrage d
Coming to Farm Inputs division, the consolidated farm input operations reported a profit before interest and tax of INR 1061 crore for the quarter (corresponding quarter of previous
year the profit was INR 732 crore)
Consolidated
Nutraceuticals division registered loss before interest and tax of INR 3
crore(corresponding quarter the previous year had a loss of INR 8 crore) I'm glad to announce that the board of directors meeting held on 11th November 2022, have
approved an interim dividend of INR 5.50 per equity share, (i.e 550% on face value of Rs.1 each).
Now I will request Mr. Sridha r, our CFO to explain you on the segment wise financial
performance. _,,j
 A Sridhar: Thank you, Suresh and good afternoon to all participants. It's a great pleasure to be part of
this Analyst call and to share the key information of the operational and financial
performance of the company. I would like to share with you key operational performance of
the Company sugar operations:, The crushing operations at Nellikuppam and Pugalur units
were carried out for 77 days and 89 days, respectively during this quarter. I would like to
share the quantitative details as under:
As far as the crushing is concerned, in Q2 we crushed about 8.38 lakh metric tons when
compared to the previous year, same quarter where it was at 6.60 lakhs metric tons.
On the recovery for quarter two, we were at 8.86% compared to last year, the corresponding
quarter of previous year, which was at 8.71%.
The production was around 0.65 lakh metric against corresponding quarter of previous year,
which was at 0.57 lakh metric tons.
The cane cost for the quarter 2, was at INR 3062 per metric ton and last year, same period, it
was INR 2,971 per metric ton.
In the Q2, we achieved the sales volume of around INR 1.17 lakh metric tons, (of which
domestic was 0.90 lakh metric tons and export was 0.27 lakh metric tons) and the previous year we were at 0.84 lakh metric tons (of which domestic was 0.77 lakh metric tons and export was 0.07 lakh metric tons). With referenc e to the selling price for Q2 we were at 35.99
per kg against the previous year price of Rs.34.76 per kg. The closing stock was at 0.85 lakh
metric tons as of end September 2022.
Revenue from sugar was at INR 466 crore in Q2 as against the previous year, which was at
INR 313 crore i.e an increase of 49% over the previous year. No cane dues as of today, all FRP is paid on time.
Getting into co-gen segment. The power generation during Q2 was around 716 lakh units
against previous year, which was at 570 lakh units of which we have exported around 380
lakh against previous year which was at 287 lakh units. The average rate for the quarter was

4.46 per unit as against the previous year, which was a 3.34 per unit. Revenue for the quarte

r

was INR 28 crore against previous year, which was INR 18 crore.
As far as our distillery operations are concerne d , we sold around 231 lakh liters in the second quarter as against the (corresponding previous number of INR 165 lakh liters) of which ENA, was 61 lakh liters (last year second quarter was INR 62 lakh liters) and the ethanol was 170 lakh liters, and the previous ye ar number was 103 lakh liters.
On the price realization we fetched INR 58.38 per liter as against the previous year realization of INR 54.55 per liter.
In Q2 the revenue was INR 140 crore compared to previous year, which was at INR 92 crore. On the Nutra segment for Q2, the turnover from Indian operations were at about INR 22 crore as against the previous year number of INR 21 crore. At the consolidated level, the Nutra business turnover was at INR 73 crore against the corresponding previous year, which was INR 62 crore.
With reference to refinery operations, the op eration revenue for quarter two was at INR 582 crore, and the last year we were at INR 350 crore, and the PBT for the quarter was a loss of about INR 148 crore versus a loss of INR 15.56 crore in the previous year. The refined sugar production for the Q2, was at 0.97 lakh metric tons, and the previous year number was 0.33 lakh metric tons. Refined sugar sales for qu arter two was 1.48 lakh metric tons, and the previous year number was 1.24 lakh metric tons. The long-term loan continues to be at Rs. 200 crore and as far as the short term borrowings is concerned, it is currently at 327 crore as against Q2 of last year, which was at INR 648 crore.
 I'm now leaving the floor open for any questions that the management could answer. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. We'll take the first question from the line of Devang Shah from Investsavvy. Please go ahead.
Devang Shah: Yes good afternoon gentlemen. Hello. I had a question regarding the utilization levels. Now, the presentation said that utilization for distilleries is around 90% to 95% and the capacity was given as 417 KLPD including 120 KLPD coming in December ‘22. So I wanted to know that, is the current capacity 90% to 95% of the 297 KLPD, which is currently there, or, is it 90% to 95% of 417?
Sridhar: The capacities, what we are referring to as 90% to 92% is on 297 lakh KLPD. And the project of 120 KLPD will come into operations from Q4 of this financial year.
Devang Shah: Okay. So at December ‘22. You are saying production will start by when,?
Sridhar Beginning of Q4, we should be able to commence our commercial production.
Devang Shah: Okay. And when it starts, is th ere a lead time, like as in in itially the capacity is lower and then it builds up or how?
Sridhar: Yes, we have taken around 15 to 20 days for the initial start.
Devang Shah: Okay. So in Q4 what percentage of this capacity will you be able to utilize on an average
Sridhar: We should be able to run syrup based ethanol for the entire quarter.
Devang Shah: Okay. So the full benefit should come into Q4. Great. Now the other thing is that you know, the sugar revenues have been dipping even though the sugar prices aren't down that much. The last two quarters we've seen sharp fall in the revenues in the sugar and the co-generation segment. Now, what is the reason for that?
Sridhar: I didn't understand your question. Are you saying the revenues have come down?
Devang Shah: Yes,
Suresh: the revenues are actually higher compared to what it was in the previous year.
Devang Shah: no, I'm saying quarter on quarter. We've seen it dip from 695 to around 525 or something now. Yes.
Sridhar: See, the sugar sale depends

on the DFPD release order mechanism. So, what happens in the sugar year between April to September. the inventory levels will come down and gradually keep increasing from October.. So, if you want to compare between quarter one and quarter two, there will always be a reduction in closing stock and the release quota by DFPD will also be lower.
Devang Shah: So You expect revenues to go up in this quarter?
Sridhar: Yes. When the production commences the release order quota also increases.
Devang Shah: Okay. last question, What do you see as the EBITDA for Q3? What guidance would you have for Q3 and Q4?
Muthu : So, we don't give forward guidance. I think we are encouraged by what we see on ground but we don't give forward guidance. I think our whole program of expansion of sugar cane crush, running more efficient operations , more cost effective operations is giving, encouraging _,,j
ITP'";.~RYS

 signs. Also the distillery segment coming in more strongly giving encouraging signs. We
don't give forward guidance. So I have to pass that.
Moderator: Thank you. The next qu estion is from the line of Raje sh Mujumdar from B&K Securities.
Please go ahead.
Rajesh Mujumdar: Hi, good afternoon, sir, and thanks for taking the question. So my first question is, normally quarter of the cash flow go up a lot because of the unwind, but in this case, I'm seeing the
cash flow operations fall significantly from INR 305 crore to INR 88 crore could you tell
why? Because normally 1H the cash flows go up a lot and then we build up the inventory 3Q
and 4Q and the cash flows start coming off. So that was the first question.
Sridhar: Yes. May I answer that? Yes. as far as the cash flow is concerned there are few factors which
has influenced our cash position. We have partly repaid our agri financing loans during the
quarter and that is one reason where you will find the current liabilities also come down
substantially during the, quarter..
Rajesh Mujumdar: But why have the receivables gone up so much for this quarter? Any reason for that? Why
have the receivables gone up by so much in this quarter? Is it because of higher volumes?
Sridhar: There are two reasons. One is there has been a sales volume increase in the month of
September, and also there are certain receivables which are sold against letter of credit and the payments are expected during Q3.
Rajesh Mujumdar: My second question was regarding the nutraceuticals business, the domestic neutral businesses seen a sharp jumped in the profitability and the segment is also showing INR 5
crore over INR 22 crore. Now that's a significant improvement over last year, over quarter
and quarter, where you see. Is this a sustainable trend because the margin is pretty high or is there, like, how do we read this number?
Muthu Murugappan: So thanks for your question. There are some efficiency improvement exercises and some
good demand in the US and the European market.
So we look at our H1 numbers on nutraceuticals where it's a small business,. It's only a Rs. 60
crore to Rs. 70 crore business, but we are up at PBIT levels we are about 15%. we remain
hopeful of consistent margins for the rest of the year.
One caveat though there are some changes to the European regulation which has sort of
brought about some changes to the certifying bodies in the manner of certification. So there
may be a bit of a lag based on that. We're still tryi ng to get into the detail and plan for that. So
that may slow things down a little bit in the H2. But otherwise we're quite hopeful for the
nutraceutical business from a standalone perspective.
Rajesh Mujumdar: Yes. And the follow up qu estion, Will the console number stil l be losi

ng some money, so do
you see that also improving over the next few quarters?
Muthu Murugappan: On the console we will be in a burn mode for a while because, we are funding the B2C
program which is the consumerization of the prostate health ve rticals. So we will continue to
be on a burn mode. I think what is encouraging is that the quality of the berry harvested
during this season has come out well. Our cost of berry is at good level ie., less than the
overall cogs of the berries compared to last year. So I think this should help from a margin perspective From Q4 the new stock will start coming into the cogs, which is an encouraging
sign, but we will continue to be in a burn mode as we build our B2C business. The current
rate is just north of a million dollars this year. So, it is slowly picking up and we are focused
on the ramp up there. --
Rajesh Mujumdar: Right. And what is the total amount of capi tal employed we expect in this business per
annum. _,,j

 Muthu Murugappan: The current capital employed is about INR 275 crore and I don't see a drastic increase on the
capital employed here where the funding of this B2C scale up is largely out of own earnings.
That's why we are reporting a burn largely out of revenue expenditure.
Rajesh Mujumdar: And so my last question was we have seen a very high quarter of refining margins in Q2 for
most companies and refined sugar margins ha ve gone through the roof literally from
September or even slightly earlier than that. But we have not seen any such friction in our subsidiaries results. So how do we see this? I mean even in the best quarter of the subsidiary
is still to make any money.
Suresh Kannan: You are right in your observation. that the white premiums, which is the difference between
the raw sugar and the refined sugar prices. though they all went up very close to the futures contract expiry, which I think is not a hundred percent realizable by the most operating
refiners globally. that being said, our own margins in terms of spreads improved in quarter of

the year compared to the previous year substantially, unfortunately we were set back on account of the plant operation closure t, that arise out of accident. But on the sale and the margin set, yes, we also got benefited on that account.

Rajesh Mujumdar: So that's the one time expensive reported that on the accident which is there for the quarter.

Suresh Kannan: Right.

Rajesh Mujumdar: And how are the margins now in the third quarter or on a 45 day basis over the last quarter?

Suresh Kannan: Yes. At this moment the margins have softened a little bit from the peak that what we have seen, but they still remain strong. And I know that the evolution of the developments, especially of how the Indian sugar flows out in the global market in terms of white and refined sugar that will determine the forward white premium. So yes, things have improved over the peak level that what we have seen in the second quarter period. I think it will be very difficult to expect it to come again.

Rajesh Mujumdar: And what's the utilization of the refinery right now?

Suresh Kannan: Yes, barring the outage on account of accident, the refinery has been running flat out to the extent of 90% of its capacity.

Moderator: The next question is from the line of Ritwik Sheth from One-Up Financial. Please go ahead.

Ritwik Sheth: Yes. Hi good afternoon and thank you for the opportunity, sir. So I have a few questions. So firstly, what is the landed cost of cane for us?

A Sridhar: The landed cost of cane is 3062 rupees for the quarter.

Ritwik Sheth: Okay. Okay. So that is landed cost.

A Sridhar: It'll change subsequently in the quarter three a

nd quarter four when the crushing season starts.

Ritwik Sheth: Sure. And so with current 297 KLPD, we are almost running flat out. So you know, we are at about 9 crore liter of ethanol in from that from the current capacity, what is our expectation from the next two plants? You know, one 120 KLPD and another 120 KLPD that we have just announced. Would it be higher you know, in terms of volume or, you know, if you can throw, what would be the peak ethanol say that we can do ones both these capacities are commissioned,

Muthu Murugappan: So each 120 KLPD plant should add about 3 to 3.25 crore liters of alcohol, So you'll go up close to 7 crore, 6.5 crore.

Ritwik Sheth: So we'll be close to 15 - 16 crore liter by FY ‘24 end.

Muthu Murugappan: So you will be, closer to 17 Crore liter or 18 Liter. _,,j

 Ritwik Sheth: And so with our existing, crushing capacity, is there any scope for further increasing the capacity beyond FY ‘24? I know it's a bit out, but just with our existing 40,000 tons per day capacity are we reaching near the peak with this 537 KLPD ones both these ones are commissioned, or what can be the peak distillery capacity that we can understand?

Muthu Murugappan: We have two standalone sugar mills. One is on lease model and one is our own, a sort of conventional model. We haven't determined yet as to whether we need to add capacity there.
With existing, crushing capacities and the new capacity expansion that 's announced, we will be self sufficient with own generation of Molasses. Syrup Perhaps we will determine at a future date whether anything further needs to be done. Parallel we will also look at small augmentations in existing units basis what market realities are.

Ritwik Sheth: Okay. Sure. Sure. And so my final question is on the refinery bit, , in the presentation we have mentioned that the spreads are about $45 per ton, but the conversion cost has gone up to $50 per ton plus. So, , that's a negative margin for us. So, how do we look at this, refinery business because on a consistent business, I believe we have been unable to, get some positive traction on this. So just wanted your thoughts on this.

Suresh Kannan: Yes, sure. I think what we are seeing in the refining margins is that the energy prices have gone up and has now started softening. The second one is, of course, the refinery has additional revenue streams over and above what you see in that chart because, we upsell our sugar as Parry brand sugar as a result of it, we also get some cash premium which is over and above the spread that's available on the exchange as it is. So as we speak, both the base level of spreads as well as the cash that's available over and above the spreads have improved for the refinery operation. And therefore we are in a position to cover the cost of refining. And I think the picture, what you've seen for last year is basically indication of the lag.
So just to answer the second half of the question there has been improvement as far the refinery bottom line is concerned, and in fact the last three consecutive quarters, we have been operating on a cash positive and cash positive plus ba sis. We were on the same momentum in the second quarter also, but for the, special events, we could have continued that journey.

Ritwik Sheth : Okay. there also one-time expense,

Suresh Kannan: We have a couple of other expenses. One of those is relating to the vessel waiting time which we call as demurrage. And of course there is also a mark to market element as part of that number that would be reported, which is purely based on the forex movement. And I think as the foreign exchange keeps changing, it gets reflected in our financial report.

But we are a US dollar based company and exposures is less.
Moderator: Thank you. The next question is from the line of Anushree from Alpha Invesco. Please go ahead.
Anushree: So I wanted to know your outlook on the refinery business and what are spread that we are looking at, and what spread we expect going forward. And also, so just correct me if I'm wrong, but my understanding of spread is th at it's the difference between London White and
New York raw sugar prices, which was around $135 per ton as of November ‘22. So it would
be really helpful if you could explain the difference between our reported trend and these
numbers and also what other numbers are taken into consideration for calculating these
spreads like the shipping cost, logistics, ener gy, and how much are these numbers on a basis.
So I just wanted to get an idea, how do we arrive at the said threat?
Suresh Kannan: Thank you. The numbers that, what you have quoted in terms of the difference in the raw
sugar and refined sugar prices is what we call as white premium. This is basically the based
on the exchange. These are FOB terms. There is a cost of originating the sugar that needs to be net off from sugar. And that varies depending upon the sourcing as a source from Brazil, we source from India. So these origination cost, which is in terms of rate and other expenses can be in the range of $50 to $60 depending on the market. And that's how the spread is calculated. The other one, of course, the, you know, the elevated values that you see are more
synthetic. They are not directly transferable to physical businesses because there is a _,,j
 difference between two exchanges is what we see as derivative and typicall y this flares up at
some market event,.
Anushree: Okay. what do you expect from the refinery business? Like how can it, So what are we
looking for and going in the next quarter and for the full year?
Suresh Kannan: Yes, typically we are still seeing tightness as far as the trade flow of refined sugar is
concerned. So as long as this buoyancy in demand post covid opening and the tightness in
supply continues, I think the white premiums will remain and may not reach the elevated or
higher levels than what we have seen earlier. But we will be able to see these spreads
maintaining probably at the range of $45 to $50 per ton level and beyond the quarter, it'll depend on basically, how the Indian exports pan out. So that can have a positive or a negative impact on this spreads and margins.
Anushree: And so at what spreads can we break even at what level,
Suresh Kannan: I think if all other factors are in place our break even would be in the range of a$40 to $45 of
spread
Anushree: What was the current this quarter?
Suresh Kannan: This quarter it around $50.
Moderator: Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.
Nitin Awasthi: Thank you for the opportunity. So I would like to understand what happening on the farmer
agitation front in Karnataka. So we are hearing that there is a demand for revisioning of SAP
and there's demanding a of INR 3,500 if I am not wrong, and there's also some committees
being set up for sharing of the profits or byproducts of sugar, like cetera. So could you just
some light on this?
Muthu Murugappan: Thanks for your question. yes, we have seen a lot of farmer agitations around Karnataka.
Two of our mill started on time in Ramdurg and Ba glkot. In the Haliyal mill we had a, bit of
a delayed start because there were agitations and I think agitations were seen across the state,
as the farmers were wanting a better price. We only pay FRP, so we don't deviate from that
stance and o

ur mill in Haliyal is now running, I think agitation have sort of been diffused.
Our mill is running there are these murmurs in terms of what you had said but nothing is
officially been notified to us by the government authorities. So I think, we continue to push
forward basis the existing pricing directions that we have. Thus we have not heard anything
from Karnataka government with regard to SAP. And, so we will so rt of respond these
realities once they're officially notified to the company. But that's the current situation. But
our mills are now functioning for the season and we are sort of focused on delivering our, our sort agreement in terms of numbers.
Nitin Awasthi: Got it. And you're saying there has been no communication where you have been called by
the state on the profit sharing mechanism?
Muthu Murugappan: As I said, there's been no official notification. I mean, we are hearing similar murmurs like you, so we always keep our eyes sealed and our ears to the ground. But you know, we can
only respond once there are official notifications given.
Moderator: Thank you. The next question is from the line of Gautam Dedhia from Nalanda Securitie.
Please go ahead.
Gautam Dedhia: I just wanted to know, like in these one-time expenses that we recorded in the refinery, do we
have any insurance cover, anything that we can benefit from?
Suresh Kannan: Yes, we have insurance covering a certain portion of these losses. So we are working with the
agencies in terms of survey claim process and it is an early stage for us to comment fully. _,,j

 Gautam Dedhia: Okay. And just one of your presentation slides mentioned that you want to reduce the cost of production for your cost of conversion. So what is the goal by FY '25? So it's at 50 right now?

Suresh Kannan: Yes, our goal is basically to go back to our earlier level. for us more than the absolute number, what matters is being at the lowest cost bracket offer refining, because the rest of it we expect the market to take care of in terms of large ch anges in the cost inputs. Our basic aim is to go back to the levels that what we have achieved in the past.

Gautam Dedhia: Okay. And so one last question is, in the last six months, how many refineries have shut down? Have there been any major refineries that have shut down because of these energy prices?

Suresh Kannan: Well not that we heard any shut down in this part of the world, but where there has been acute fuel shortages or fuel price increases, th ere have been some outages that we are hearing in, in Europe and some part of Mediterranean. There are also export bans that have been put on some refineries cause of the local government consideration of food security and other related development.

Moderator: Thank you. The next question is from the line of Rajakumar Vaidyanathan with an individual investor. Please go ahead.

Rajakumar Vaidyanathan: Yes, good afternoon. Thanks for the opportunity. Sir, I have three questions. So if you, me, I'll ask all the questions that you going then you can answer.

The first question is given a good range in Tamil Nadu for the current year, in the past year, just want us to know what would we expect our units in PLO to have a production that needs to come? And also, you know, to be helpful if you could give some numbers why, why in terms of how better it would be. And uh, you know, just to extending the same point, I just want, are we looking at any organic and inorganic opportunities in Tamil Nady, given that the state is coming out of a very long season from a sugar standpoint. And then the second question is there any dues from the Tamil Nadu electricity board? Because I believe ther

e

was some settlement done. So just want to know what if there is any amount and if there is any other income booked during the quantum. And lastly, the third question is with the revival in the global carbon credit market. Just want to know, would that be any meaningful impact to a bottom line in the short term?

Muthu Murugappan: So thanks for your question. I'm going to answer three of them and sort of defer one to Sridhar. In terms of TN rains, and we had good monsoons last year, the current year will be a good monsoon. There are increased cane areas in Tamil Nadu, both mill better volumes of cane crush. I think we've talked about that as an encouraging sign earlier in this call and perhaps in the previous quarter as well, wh ere company volumes of Cane Crush going up across all our areas. Karnataka, we have a new mill, which was transferred from TNto the Karnataka unit. higher volume of Cane Crush, availa bility in Karnataka of course is not an issue in TN as well. We do expect to see cane crush numbers larger cane area, which has been planted over the last two years. So that's on the TN piece. In terms of inorganic opportunities in Tamil Nadu we are not looking at inorganic opportunities in Tamil Nadu. we obviously studied our history deeply and we also studied perhaps opportunities which are available to us at this point in time on EBITDA per ton basis. We don't believe these will be accretive even thou gh they may be a distressed asset. I think ultimately what you need, is sort of good will in performing sugar and distillery business. we're already an amalgamated EBITDA per ton player because of our interest across three states where EBITDA per tons are different. So again, we're not looking at inorganic in Tamil Nadu from a carbon credit perspective. We are do ing some initial work to see what's possible. So it's too early to comment. Beyond that, I think as part of the larger ESG compliance and you know, being more ESG centric or ESG centricity as a company, I think we're sort of starting that in a more broader sense. And carbon credits also finds place in that, but it's too early to comment. I think when we have data points we can share with all of you. I will defer to Sridhar. _,,j
ITP"';.~RYS

 Rajakumar Vaidyanathan: Yes, sir, just you know, on the same point so I know that you're not looking at an organic, so how about is there a chance to expand the capacities do you think you want wait for some more time to leave?

Muthu Murugappan: I think the mills in both locations can still crushed, 17 lakh tons of cane at some point in the last 10 years and we have done that when we had good cane availability. so I think both the mills, can still perhaps do better. So we will focus on strengthening our operations in both these mills.

Rajakumar Vaidyanathan: Yes. So you think you can spread these as somewhere what you're saying?
Muthu Murugappan: Yes.
A Sridhar: with reference to your specific question on if there is any outstanding from TN electricity board, I would like to state there is no due fro m TN electricity board. Those disputes are more pertaining to PPA arrangements, which was there with many of the sugar companies with TN, electricity board, and we do not have any such PPA arrangement.
Moderator: The next question is from the line of Rajesh Mujumdar from B&K Securities. Please go ahead.
Rajesh Mujumdar: Yes, just a follow up question. So our alcohol sales was about 8.5 crore liters in FY ‘22. And as per our current expansion going on, excluding the one we've announced now we'll go up to about 14 crore liters. Is that the first question? Is that right assumption?
Muthu Murugappan: Reasonably fair, maybe slig htl

y less than that.
Rajesh Mujumdar: And the new one will add another 3.5 to 4 crore liters, Is that you
Muthu Murugappan: It will Add about 3.25.
Rajesh Mujumdar: And so my next question is to achieve this ki nd of alcohol volume, say by a FY ‘25 whatever, to maintain a sugar output at ha lf a million tons or slightly mo re than that, what are the kind of cane crush volume that we should look at?
Muthu Murugappan: We will try in all our units to work more efficiently to take up that throughput and take up the cane crush volume. So we don't foresee adding any milling capacity. increased cane crush volumes will really be brought by focusing on more efficient operations and more efficient energy management. Yes, while we lose, more sugar to ethanol we will sort of make good that loss by running our plants better so that we stay with the same levels of output in terms of sugar. Also from a sugar perspective, you have seen our investor presentation of the end of FY ‘22, substantial amount, which goes towards, institutional sugar as well as retail sugar. So the focus will largely be on that. And, if we need to lose trade volumes, then that's a balance that we will determine basis market realities.
Rajesh Mujumdar: But in Karnataka merchant cane is available, right? So can we not take the volume from say, 500 crore to 600 crore KG or is that too much of an assumption?
Muthu Murugappan: Sorry, I, I didn't get that question.
Rajesh Mujumdar: In Karnataka we do get merchant cane, right? There's no issue of adding can volumes. So whether we have cane crushing capacity, so can we not take the volume which is currently at 274 crore KGs to about 300 plus crore KG in Karnataka?
Muthu Murugappan: I think we'll determine that based on market realities, right? I think when, if like for instance, if there's a global huge surplus of sugar and sugar price comes down, then you know, you want to be selling more sugar, you'd rather be selling sugar in retail or an institution and you know, sacrificing present. And also then perhaps you'll be better off sweating your current assets better rather than actually adding more milling capacity. So that's a balance, I think, which we will determine. _,,j
 Rajesh Mujumdar: So actually my problem was to balance this al cohol volume. If I don't take a substantial increase in the cane volume, have to cut down my sugar production rate, is that what I should do?
Suresh: No, the way the distillery has been planned is in such a way that the available cane volumes matching with the current capacity should be able to feed the distillery .we have sugar and the ethanol, which one is giving us a better profitability. I don't think we need to increase the cane volumes at the current level to manage the distillery inputs.
Moderator: And one is there no further questions from the participants. I now hand the conference over to the management for closing comments.
Suresh: So thank you everyone for joining me this call we will see you in the quarter three analyst call. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

February 22, 2023
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office : Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789 Fax: 91.44.25341609 I 25340858
CIN:L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter and nine months ended December 31, 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Wednesday, February 15, 2023 on the unaudited financial results for the quarter and nine months ended December 31, 2022.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
biswamohan rath@pa rry. muruga ppa.com
Encl: As above
~
murugappa

"E.I.D.-Parry (India) Limited
Q3 FY2023 Earnings Conference Call "

February 15, 2023

ANALYST : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

MANAGEMENT : MR. S. SURESH – MANAGING DIRECTOR - E.I.D.-P ARRY (INDIA) LIMITED
MR. MUTHIAH MURUGAPP AN – WHOLE TIME DIRECTOR & CEO – E.I.D.-P ARRY (INDIA) LIMITED
MR. SURESH KANNAN – WHOLE TIME DIRECTOR – PARRY SUGAR REFINERY PRIVATE LIMITED
MR. A. SRIDHAR – CHIEF FINANCIAL OFFICER – E.I.D.-PARRY (INDIA) LIMITED

MR. BISWA MOHAN RATH – COMPANY SECRETARY –
E.I.D.-P ARRY (INDIA) LIMITED DKM
CAPITAL
 Moderator : Ladies and gentlemen , good day and a welcome to the Q3 FY2023 Earnings Conference Call of EID Parry hosted by DAM Capital Advisors Limited . As a reminder, all participant lines will be in the listen -only mode and th ere will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is bei ng recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors . Tha nk you and over to you Sir!

Nitin Agarwal : Hi very g ood afternoon to all of you. We have with us today the entire management team of EID Parry to discuss Q3 results. We have with us Mr. Suresh – who is the MD, Mr. Muthiah Murugappan – who is the Whole Time Director & CEO; Mr. Suresh Kannan – Whole Time Director – Parry Sugar s Refinery India Private Limited; Mr. A. Sr idhar – Chief Financial Officer; Mr. Biswan Moha n Rath - Company Secretary . I would like to hand over the call to EID Parry management for the opening comments and followed by which we can continue with Q&A . Over to you Sir .

S. Suresh : Thank you Mr. Nitin . Good afternoon, everyone . It gives me a great p leasure to be part of this analyst call to share and update on the global and Indian scenario and explain the Q3 performance of the company.

On the global scenario after having touched the sentimental 20 cents per pound in December , raw sugars futures reached 21 cents per pound in February inching closer towards the six year peak of 21.86 cents per pound. Pent up demand from China due to ease of COVID restrictions , expected drop in production from India (almost 7% lesser than the earlier estimates) and in Europe (due to the pesticide ban) and stronger Brazilian currency discouraging exports are auguring well for the prices in the short term. Brazil is slated to export 28.2 million metric tonnes for the season 2022 -2023 , which is al

most an 8% increase
year o n year because of the increase in cane volume. The Brazilian sugar however would touch the international market by April , May of this year post which the international prices are expected to be range bound.

On the Indian scenario , after having reached a r ecord production of 357 lakh metric tonnes after considering the diversion to ethanol during the last sugar year , latest estimates by ISMA show a drop in volume to 340 lakh metric ton nes once again after a diversion to the ethanol base on the crop conditio n. Despite the drop in sugar volumes , the diversion to ethanol is pegged at 45 lakh metric tonnes as against 35 lakh metric tonnes of the last year . While millers have already contracted their exported quantity allotted for the season which
 is to the tune of almost 60 lakh metric tonnes , because of the estimated drop in overall volume , it is unlikely that the additional export quantity shall be allotted by the government.

Coming to the Q3 performance, the company's profitability in sugar segment has been slightly reduced in Q3 of the current year as compared to the Q3 of the previous year mainly on account of increase in coal prices and reduction in distillery production partially offset by the improved export sugar volumes and the realization. The company crushed around 17.78 lakh metric ton nes in the current quarter as against 16.17 lakh metric ton nes in the corresponding quarter of the previous year.

The standalone revenue from operations for the quarter ended December 31, 2022 was Rs.727 Crores registe ring a growth of 6% as against Rs.686 Crores in the corresponding quarter of the previous year . The earnings before depreciation interest and taxes , EBITDA for the quarter were Rs.63 Crores as against 72 Crores in the correspondi ng quarter of the previous year. Standalone profit after tax for the quarter was Rs. 16 Crores as against 18 Crores in the corresponding quarter of the previous year.

The standalone revenue from operations for the nine months ended December 31, 2022, was Rs.2095 Crores registering a growth of 33% as against 1574 Crores in the corresponding period of the previous year. Earnings before depreciation interest and taxes , (EBITDA) before exceptional items for the nine month ended were Rs.199 Crores against Rs.183 Crores in the correspondin g period of the previous year. Standalone profit after tax for the nine month ended were Rs.114 Crores as against Rs.58 Crores in the corresponding period of the previous year.

During yesterday 's board meeting , our board has approved further augmentation of ethanol capacity by expanding the existing 75 KLPD distillery unit to 120 KLPD distillery unit with an incineration boiler at our N ellikuppam facility with an outlay of Rs. 87 Crores for production of ethanol from syrup and B heavy molasses . The commerc ial production from the expanded capacity is expected to commence from April 2024.

At Sankili our unit in Andhra Pradesh the 120 KLPD multi -feed distillery unit project has been completed and production commenced in January 2023 for the syrup -based distil lery. The grain -based distillery project is under progress and is expected to be completed by April 2023. Once the Haliyal distillery expansion of 120 KLPD and the N ellikuppam expansion from 75 KLPD to 120 KLPD are in place , our overall distillery capacity will be at 582 KLPD per annum . Both these expansions will involve a capital outlay of Rs.268 Crores , which will be spent in the financial year 2024.

 Now I request our CFO , Mr. Sridhar to explain you on the segment wise financial performance. Thank you.

A. Sridhar : This is Sridhar here. Thank you, Suresh and good afternoon, to all. It is a great pleasure to be a part of the analyst call and to s

hare key information on the operational and finan cial performance of the company. I woul d like to share with you the key operating parameters segment wise.

Sugar crushing operations were carried out in all our sugar mills during th is quarter. I woul d like to share the quantitative details as below . In Q3 we crushed around 17 .78 lakh metric tonnes when compared to the corresponding quarter of previous year which was at 16.17 lakh metric ton nes.This is an increase of 10% over the previous year. On a year-to-date basis we crushed around 28.85 lakh metric tonnes when compared to corresponding period of previous year whic h was at 24.23 lakh metric ton nes.

In Q3, the recovery from all our plants were at 10 .49% compared to previous year which was at 10.39%. That is an improvement of 0.10% over the previous year. On a year-to-date basis the recovery from all our plants were at 9.91% when compared to corresponding period of previous year which was at 9.89%.

In Q3 we produced around 1.70 lakh metric ton nes against corresponding quarter of previous year , which was at 1.50 lakh metric tonnes that is an increase of 0.2 lakh metri c tonnes over previous year. On a year to date basis , we produced around 2.59 lakh metric tonnes when compared to corresponding period of previous year which was at 2.2 1 lakh metric ton nes that is an increase of 0.38 lakh metric tonnes.

Cane landed cost was at Rs. 3360 per metric ton ne against corresponding quarter of previous year which was at Rs.3350 per metric ton ne. On a year-to-date basis , our cane landed cost was Rs. 3260 per metric tonne when compared to corresponding period of previous year which was at Rs.3231 per metric tonne.

For the Q 3, we achieved a sales volume of around 1.38 lakh metric ton nes of which domestic was 89000 metric ton nes and exports were 49000 metric ton nes. The previous year sales volumes were at 1.31 lakh metric tonnes of which domestic was 92000 metric tonnes and exports were at 39000 metric ton nes. On a year-to-date basis , we achieved a sales volume of around 3.99 lakh metric tonnes of which domestic was 2.79 lakh metric tonnes and exports were at 1.20 lakh metric tonnes and t he previous year sales volumes were at 3.11 lakh metric tonnes of which domestic was 2.29 lakh metric tonnes and exports were at 82000 metric tonnes.

 The average selling price of sugar for the quarter was around Rs.36.24 per kilogram compared to the previ ous year’s selling price of Rs.35.25 per kilogram. On a year-to-date basis , our sugar selling price was at Rs.35.79 compared to the previous year price of Rs.34.67 per kilogram.

The closing stock as of December 31st was at 1.25 lakh metric ton nes.

The r evenue from sugar operations in Q3 was at Rs. 539 Crores against corresponding period of previous year which was at Rs. 490 Crores ie., an increase of 10% over previous year. On a year-to-date basis the r evenue from sugar segment was Rs.1534 Crores against corresponding period of previous year which was at Rs.1145 Crores an increase of 34% over previous year. I would like to state here that there are no cane overdue as of today and all payments have been made at the FRP rates.

On the cogen operations , in Q3 w e generated a power of around 1341 lakh units against previous year which was at 1244 lakh units. On a year-to-date basis , we generated a power of around 2926 lakh units as against corresponding period of previous year which was at 2088 lakh units.

In Q3 we exported power around 675 lakh units as against previous year which was 669

lakh units. On a year-to-date basis the power exports were at 1638 lakh units as against corresponding period of previous year which was at 1106 lakh units.
The average power t ariff during the quarter was Rs.4.42 per unit as against the previous year which was at Rs.4.72 per unit. On a year-to-date ba

sis the average power tariff was
Rs.5.40 per unit as against the previous year which was at Rs.4.17 per unit.
In Q3 t he revenue f rom cogen operations was Rs.56 Crores against previous year which was at Rs. 49 Crores. On a year-to-date basis the revenue from cogen operations were Rs.149 Crores against previous year which was at Rs.77 Crores .
On the distillery front we sold around 225 lakh liters during Q3 compared to the previous year sales volume of 264 lakh liters of which ENA was 79 lakh liters and in the previous year the ENA sales were at 139 lakh liters and ethanol was 145 lakh liters during the year compared to the previous yea r which was at 121 lakh liters. On a year-to-date basis we sold around 669 lakh liters compared to the previous year sales volume of 568 lakh liters of which ENA was 239 lakh liters . The previous year numbers were 280 lakh liters and ethanol was at 430 lak h liters and the previous year numbers were at 288 lakh liters.

 On the price realization , in Q3 , the distillery operation we realized a price of Rs.61 .11 per liter as against the previous year realization of Rs.56.35 per liter. This was due to product mix and increase in ethanol prices announced by the government. On a year-to-date basis our price realization from distillery operations was at Rs.59.12 per liter against previous year realization of Rs.56.16 per liter.
The revenue from distillery operation s in Q3 was Rs.141 Crores compared to Rs.151 Crores during the previous period. On a year-to-date basis our revenue from distillery operations were Rs.407 Crores against the previous year which was at Rs. 325 Crores.
In the Nutra segment , as far as the In dian operations are concerned in Q3 , our turnover were around Rs.14 Crores as against Rs.13 Crores in the previous year . On a year-to-date basis the turnover was Rs.50 Crores against the previous year turnover of Rs. 55 Crores.
At the consolidated level , the Nutra business turnover was Rs.62 Crores against corresponding previous year , which was at Rs.68 Crores. On a year-to-date basis , the turnover was Rs.199 Crores against the previous turnover of Rs.204 Crores.
On the employee benefit expenses for Q3 , we were at Rs.41.75 Crores as against Rs. 36.24 Crores and on a year to date basis the expenses were at Rs.122.37 Crores as against Rs.101.65 Crores. The increase in costs were on account of annual salary increase, head count increase due to expansion in d istillery operations and strengthening of the team for better management of the safety related areas.
On the other expenses for Q3 , it increased by about Rs.31 Crores. We were at Rs. 138 Crores in the current year against previous year number of Rs.107 Cr ores due to increase in production of sugar, consumption of power and fuel, repairs and maintenance mostly to do with safety related expenses, increase in advertisement expenditure on higher retail sales and corresponding increase in packaging, dispatch, a nd freight cost due to higher exports and retail sales and also due to increase in selling and administration expenses.
On the finance cost , we were at Rs.8.49 Crores compared to previous year which was at Rs.11.48 Crores. The finance cost has decreased b y about Rs.3 Crores due to better cash inflows. On a year-to-date basis our finance cost has been at Rs.25.66 Crores as against the previous year cost of Rs.35.94 Crores.
The capex program continues to be kept very tight and we have spent around Rs.148 Crores. This will include the amount incurred on Sankili 120 KLPD project , with around Rs.93 Crores incurred till date. All the capex we are currently investing are towards value addition, safety, environment and productivity improvements.

 The standalone bus iness long term loans were at Rs.169 Crores . ie., an inc

rease of Rs.25
Crores over the previous quarter mainly on account of Sankili unit distillery expansion.
The short term borrowing was at Rs. 53.50 Crore and this is towards working capital requiremen ts.
With reference to our refinery business, the production volume for Q3 was 2.27 lakh metric tonnes as against the previous year production of 1.5 9 lakh metric tonnes. The year-to-date sugar production volumes was at 5.49 lakh metric tonnes as against p revious year production of 3.89 lakh metric tonnes . Refined sugar sales volume for Q3 was 2.37 lakh metric tonnes as against the previous year sales volume of 2.29 lakh metric tonnes. The

year-to-date sugar sales volume was 5.86 lakh metric tonnes as again st previous year sales of 4.26 lakh metric tonnes. The profit before tax for Q3 was a loss of Rs.53.79 Crores as against the previous year's loss of Rs.3.67 Crores. The year-to-date PBT was a loss of Rs.208.25 Crores as against the previous year loss of Rs .40.52 Crores. The business had to incur an expense of Rs.105.62 Crores as of December 31st 2022 on account of clearance of shipment consequent to accidents at PSRIPL factory. This Rs.105.62 Crores includes Rs.60.14 Crores which was incurred as of Septembe r 2022. The long term borrowings as of December 31st 2022 was Rs. 200 Crores. which was similar to the borrowings as of March 31st 2022. The short term borrowings as of December 31st 2022 was Rs.760.65 Crores. The short term borrowing as on 31st March 202 2 was at Rs.648.41 Crores.
I would now leave the floor open for taking questions and we will answer the same.
Moderator : Thank you very much Sir. We will now begin the question -and-answer session . First , the question is from the line of Falguni Dutta from Jet Age Securities P rivate Limited . Please go ahead.
Falguni Dutta : Good afternoon, Sir. I just wanted to know how the margins are in gr ain based ethanol and sugar cane juice based ethanol versus the B heavy molasses ethanol.
S. Suresh : Normally the gra in based will be around Rs.2 to 3 relatively lower than the syrup based ethanol. We are yet to commence grain production and the same is expected to happen only in the Q1 of the next financial year.
Falguni Dutta : And Sir juice based ethanol what is the ab solute profits at EBITDA level per liter?
A.Sridhar : See it varies from factory to factory. It depends on the cane price at which we procure and at EBITDA level it will be anywhere between Rs. 4 to 7.
 Falguni Dutta : And this would be how much lower than B heavy or if you can say how much will be B heavy just to get a sense.
A.Sridhar : We will be just about a rupee difference.
Falguni Dutta : Okay rupee higher.
A.Sridhar : No. It will be lower.
Falguni Dutta : The margins will be lower than the cane directly fr om Juice .
S. Suresh : Yes
Falguni Dutta : Okay Sir. Thank you. That is all from my side.
Moderator : Thank you. The next question is from the line of Alok Vohra from TRAI . Please go ahea d.
Alok Vohra : Good afternoon, Sir. I just wanted to know if there are ne ws that the monsoon this year is not going to be that good. The rain is not going to be that good. How your company is expected to perform in the coming monsoon, thank you.
Muthiah Murugappan : Alok thank you for your question. We are hearing news on El Nin o so on and so forth. I think it might be too early to say as there are number of predictions. There are also some predictions where the southern regions will be less impacted than the north so I think we will have to wait perhaps end March, April is somew hat reasonable time. If you look at most of the companies we have conversations with , everyone is kind of waiting till the end March. Around April will be a good time to know more about the same. W e will be planning various scenario s but maybe it is little early to comment on the same.
Moderator : Thank you. The next question is from the line of Kashyap from Broadview Research . Please go ahea d.
Kashyap : I missed the debt numbers . Could you share the debt at standalone levels and at refinery both across long term and short term.
A. Sridhar : Hi Kashyap. This is Sridhar here. On the standalone basis our long term loans have been at 169 Crores and this is more to do with the interest subvention loans what we have availed for the distillery expansions and on the short term loans it is 53.50 Crores. On the refinery operations the short -term borrowings have been at Rs. 761 Crores and the long-term loans are at Rs. 200 Crores which is borrowed by refinery from EID Parry.
 Kashyap : I think the repayment is suppose d to happen starting this FY2024 right.
A. Sridhar : Out of Rs. 400 Crores which was given as loan by EID Parry , refinery business has already repaid around Rs. 200 Crores, the next Rs.100 Crores each will be repaid in the subsequent two years that is in FY2024 and FY2025.
Kashyap : Just one suggestion. If you can just share the operational details on a press release then it would basically save us 15 minutes on the call and maybe we can go through it and be prepared with better questions.
A. Sridhar : Okay we will come back to you.
Kashyap : Thank you.

Moderator : Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahea d.

Rajesh Majumdar : Hi Sir so I had few questions. One was , we have been hearing rumor on the Maharashtra crop getting impacted because of the unseasonal rains but we have seen a reasonably good performance in the sugar business in the third quarter from you what is the outlook for the balance of the sugar season , is there going to be an impact in north Karnat aka which is likely from us.

Muthiah Murugappan : So, Rajesh Muthu here. Yes, that impact in Maharashtra I think almost down by close to 2 million . So what eventually happens is lot of those mills come poaching cane and they will come across the border and poach from Karnataka. Karnataka mills located on the border are seeing that happen and to that extent it will impact the cane crush of the existing mills because sugar cane is going away from their catchment area. We do have mills located on the border and we are working on options to see how best we can mitigate but there will be an impact in Q4.

Rajesh Majumdar : And Sir the other question was on the Rs.100 increase in the FRP which has been contested I believe what is the status of that , is there any leg al obligation to say that , as I understand there is none.

Muthiah Murugappan : The matter is still in court and the final verdict in not out. I presume there will not be any further discussions until there is a final verdict.

Rajesh Majumdar : Okay because UP has kept the SAP intact also like various states are reacting in various way so I was just wondering where this is leading to.

 Muthiah Murugappan : We will have to see how the courts rule and then take things further. As of now there is no action .

Raje sh Majumdar : And secondly did you mention Rs. 761 Crores short term loan in the refinery business is that correct. Did I hear that figure correctly?

A.Sridhar : You are right.

Rajesh Majumdar : So what is this on account of and where are we going in terms of this loan . Is it going to get repaid soon because I will tell you refinery we have seen the best of the refining margins in the last few months and EID Parry still does not seem to be benefiting from it so what are we really doing on this business and I keep on asking this question to you I know but it has been a drag from day one and really there is no strategic strength for us to continue with this business but we simply keep on incurring losses on this so give us some colour as to why we are taking mor e loans on account of this business and where do we see it down the line.

Suresh Kannan : Good afternoon ! This is Suresh Kannan here. Thanks for your question. As far as the refining business with respect to the short -term debt is concerned it is basically part of the working capital requirements. Plus the fact that the basic sugar prices have gone up over the last three quarters substantial ly, that is causing the increase in the short term loan and as you have seen even in the past we have repaid these loan s so the debt level c ame down to the level of around 500 to 600 Crores , so the same possibility exists going forward so far as the current financial year is concerned. You are right in the sense that the refining margins were good as far as the current year is concerned. On an operational basis we are also closer to that performance but because of the unfortunate event we had to provide for this one-off item with respect to the delay in execution of the order and that is the reason that the margin improveme nt is not flowing through. W e are continuously working on in terms of stabilizing the business without any such disruptions and number two with respect to increasing the value of the sugar that we are selling in terms of going ahead with the increase d percentage of value added sugar and value added customers and continuously working with respect to the cost because there have been substantial fuel cost escalations that have taken place. I think most of the material cost and fuel cost inflation is already dealt with and to that extent the world markets have also responded to the cost increase by the refiners so that gives us a positive ray of hope in terms of having a better operational performance going forward.

Rajesh Majumdar : Sir mentioned in the 2Q call itself also that 3Q will be better but still we are finding that same problem is persisting in refinery and refining margins can come off again from the

 levels that we have seen so in that scenario will continue to see stable margins in business of $30 to 40 which you had earlier indicated at some point of time or not.

Suresh Kannan : Let me answer this question in two parts , one is with respect to the margins , so if you look at the white premiums were depressed for the last two to two and half months basic ally

because of the overhang of the Indian export and structure of Indian exports have also changed over the last couple of years. We are moving from raw sugar exporter to more predominately white sugar and then also into refined sugar but now that wave is off and we have discussed earlier in the call also there is lot of expectation of any major Indian exports going forward so we are already seeing the signs that the white premiums are going up because that is needed for attracting the refined sugar from o ther sources so we do expect the refining margins to come back to the levels what you have quoted as far as the discussions are concerned.
Rajesh Majumdar : Okay thank you.
Moderator : Thank you. The next question is from the line of Ritwik Sheth from One Up Financial . Please go ahea d.
Ritwik Sheth : Hi good afternoon Sir and thank you for the opportunity. Sir I have a few questions firstly on the peak distillery sales , whether it could be close to 19 Crores liters once all the projects have commissioned an d running at full capacity.
Muthiah Murugappan: Yes that is right , you will get to around 18 to 19.
Ritwik Sheth : Okay thank you and you mentioned in the opening remarks that both the existing projects will be completed by FY2024 end.
Muthiah Murugappan: So Haliyal will be sort of Q4 FY2024 and N ellikuppam augmentation will be in Q1 FY2025 so you will be on this 18, 19 run rate from Q1, Q2 FY2025.
Ritwik Sheth : Sure thank

you. My next question is on the refinery. You mentioned the operating numbers. Can you please repeat it? I have missed the numbers on revenue, PBT, and PAT please.
A. Sridhar : This is Sridhar here. The refined sugar sales volume was at 2.37 lakh metric tonnes as against the previous year sales volume of 2.29 lakh metric tonnes. The year-to-date numbers were at 5.86 lakh metric tonnes as against previous year sales of 4.26 lakh metric tonnes.
Ritwik Sheth : Okay and Sir revenue PBT and PAT for nine months.
 A. Sridhar : The PBT for Q3 was a loss of about Rs. 53.79 Crores as against the previous year's loss of Rs. 3.67 Crores. The year-to-date PBT was a loss of about 208.25 Crores as against the previous year loss of Rs. 40.52 Crores.
Ritwik Sheth : Okay and is there any exceptional item for this quarter.
A. Sridhar : There is an exceptional item th is quarter to the extent of about Rs. 45 Crores.
Ritwik Sheth : Is it possible what is it regarding.
A. Sridhar : The business had to incur an expense of Rs. 105.62 Crores as of 31st December 2022 which includes Rs. 60.14 Crores as of September 2022 on accou nt of clearance of shipments consequent to the accidents at PSRIPL factory.
Ritwik Sheth : Okay Sir . So this Rs. 105 Crores is an exceptional item in nine months which you have reported a 208 Crores loss is an exception. Okay fine and Sir just on the debt figure on the refinery from here on , when we expect the debt to settle at for the short term from 750 Crores.
Suresh Kannan : Suresh Kannan here. We expect the short -term debt to be in the region of Rs. 500 to Rs. 600 Crores.
Ritwik Sheth : Okay Sir that is it from my side. Thank you and all the best.
Moderator : Thank you. The next question is from the line of Rajakumar Vaidyanathan an individual investor . Please go ahea d.
Rajakumar : Good afternoon, Sir. Thanks for the opportunity. Sir I have two questions so the first question is if I see the operati ons for sugar, cogen and distillery for the nine months , we have done negative 177 Crores and for the previous FY we have done about 150 Crores positive , so I just wanted to know given the Q4 is going to be good , so maybe we will be able to match the previous number or exceed that or it is going to be lower than what we did in the previous financial year.
Muthiah Murugappan: I think you are mostly looking at consolidated number right Sridhar.
Rajakumar : Yes I am lo oking at the consolidate number.
Muthiah Murugappan: So that includes the refinery business as well.
 Rajakumar : So that includes 700 Crores exceptional loss in the operating margin or is it sitting in the exceptional line.
A. Sridhar : As far as the standal one is concerned, we are going to do better than what we have performed in the previous year and on a consolidated basis there has been exceptional issues as far as the refinery business is concerned .
Rajakumar : I have just one more question so I think th e nutrient segment compared to the last year so whether Q4 will also see similar performance as what you have done in the first nine

months.
Muthiah Murugappan: Which segment sorry?
Rajakumar : The nutrient segment.
Muthiah Murugappan: So that is obviously I am assuming you are referring to Coromandel International the subsidiary company so I think they have done an investor call already. I think that call upload should be available online . This is not the management which looks after Coromandel . They hav e an independent management team so I think you should log into that call or you can check out the transcript of the call or the recording and I think you will get some colour on their business performance and what they are looking at for the coming quarte rs.
Rajakumar : Sure I will do that. If I look at a consol

idated basis, 95% of your bottom line is coming Coromandel business . We are not seeing any positive bottom line coming from the EID business per se.
A. Sridhar : This is Sridhar here. The performance of the sugar operations will have to be looked at on annualized basis and not for nine months period because the crushing season happens between November to March so it is not the right way to compare the sugar operations versus the Coromandel operations i n between the year.
Rajakumar : Thank you.
Moderator : Ladies and gentleman a s that was the last question for today I would now like to hand the conference over to the management for closing comments. Over to you Sir.
S. Suresh : Thank you everyone for taking your time out and attending this call. I am hoping to see you on the next call. Thank you.
 Moderator : Thank you Sir. On behalf of DAM Capital Advisors Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

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June 6, 2023
BSE Limited
pt Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.5.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel : 91.44.25306789 Fax: 91.44.25341609 I 25340858
CIN: L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors on audited Financial Results for the quarter and year ended March 31, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Wednesday, May 31, 2023 on the audited financial results for the quarter and year ended March 31, 2023.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
biswamohanrath@parry.murugappa .com
Encl: As above
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murugappa

"E.I.D.- Parry (India) Limited
Q4 FY'23 Earnings Conference Call"
May 31, 2023

MANAGEMENT : M R. S. SURESH – MANAGING DIRECTOR – E.I.D.-
PARRY (INDIA) LIMITED
M R. MUTHIAH MURUGAPPAN – WHOLE TIME
DIRECTOR AND CHIEF EXECUTIVE OFFICER – E.I.D.-
PARRY (INDIA) LIMITED
M R. SURESH KANNAN – WHOLE TIME DIRECTOR –
PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
M R. A. SRIDHAR – CHIEF FINANCIAL OFFICER –
E.I.D.- PARRY (INDIA) LIMITED
M R. BISWA MOHAN RATH – COMPANY SECRETARY –
E.I.D.- PARRY (INDIA) LIMITED

MODERATOR : M S. NEHA MEHTA – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the EID Parry Q4 FY23 Earnings Conference Call hosted by DAM Capital Adviso rs Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an o pportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star and zero on your touchtone telephone. Please note that this conference is being recorded.
I now handover the conference to Ms. Neha Mehta from DAM Capital. Thank you and over to you ma'am.
Neha Mehta: Hi, a very good afternoon to all of you. We thank the EID Parry management for giving us the opportunity to host th is call. On the call today we have with us Mr. Su resh, who is the Managing Director, Mr. Muthiah Murugappan, who is the Whole Time Director and the CEO, Mr. Suresh Kannan, Whole Time Director, Parry Sugars Refinery India Private Limited., Mr. A. Sridhar, Chief Financial Officer and Mr. Biswa Mohan Rath, Company Secretary. I would now like to hand over the call to EID Parry management for the opening comments, followed by which we will contin ue with the question-and-answer se ssion. Thank you and over to you.
S. Suresh: Good afternoon, everyone. I am Suresh. It gives me great pleasure to be part of this Analyst Call to share and update the global and Indian scenario on sugar and explain the quarter 4 performance of the company as well as the full year. On the global scenario, the supply and demand has been virtually balanced as per the latest estimates released in April 2023 amidst supply concerns in both India and Brazil.
Global sugar production for the current sugar year is slated to be lower than earlier estimates by 3 million metric ton at 177.4 million metric tons, of course due to the concerns in Brazil and India. Whereas the global demand is slated to increase by 0.23 million metric tons, reaching 176.51 million metric tons. At Brazil, while crop condition is expected to be good, increase in gasoline taxes is incentivizing more diversion to ethanol and hence the sugar production is slated to be lower.
Risk of El -nino during Q3 of 2023 impacting monsoons in Asian countries would result in huge variability in 2023-2024 sugar balance projections. Having breached the decade high of 27 cents per pound in April 2023, the raw sugar futures are currently trading around 24 to 26 cents per pound. In India, because of the lower yield in key producing areas, that is Maharashtra, the total production for the curr ent year is slated to be lower than the previous year by almost 9%.
With erratic weather affecting yields in Maharashtra, ISMA has revised the estimates of sugar production during SY22-23 to 328 lakh metric ton, down from previous estimates of 340 lakh metric ton. While international price is favorable for sugar exports, the government is unlikely to allot additional export quota given the supply restrictions in the domestic market. Sugar diversion to ethanol in the current sugar year is slated to be 4 million metric tons, down from the earlier estimates of 4.5 million metric tons.

It is encouraging to note that Tamil Nadu government has unveiled ethanol blending policy 2023 covering grain-based and molasses-based distilleries. New feedstock including invert sugar syrup has been included in the policy. The new policy is slated to attract investment up to around INR 5,000 crores to the state. Regarding Q4 performance, the standalone revenue for the quarter ended 31st March 2023 was INR 807 crores in comparison to the corresponding quarter of the previous year of INR 921 crores. Earnings before depreciation, interest, taxes and exceptional items (EBITDA) for the quarter ended was at INR 327 crore in comparison to the corresponding quarter of th

e previous year of INR 309 crores.
Standalone profit after tax for the quarter is INR 83 crores as against the corresponding quarter of the previous year of INR 225 crores. The profit after tax for the quarter ended 31st March 2023 includes loss of INR 155 crores, representi ng provision for impairment of investment in subsidiaries and joint ventures. The standalo ne revenue from operations for the year ended 31st March 2023 was INR 2,895 crores agai nst previous year of INR 2,489 crores.
Earnings before depreci ation interest, taxes an d exceptional items EBITDA for the year ended was INR 527 crores against the previous year of INR 492 crores. Standalone profit after tax was INR 197 crores as against INR 284 crores in the previous year. The profit after tax for the year ended 31st March 2023 includes loss of INR 155 crores representing provision for impairment of investment in subsidiaries and joint ventures. The performance of the

standalone sugar division was better than the previous year on account of better sales realization and increased domestic sale volume.
There was cost pressure on account of higher energy prices which was partly offset by increased realization from power export. Overa ll cane crush marginally increased during the year to 51.8 lakh metric ton from the earlie r year number of 50.2 lakh metric ton in the previous year. Overall sugar sales also increased from 4.95 lakh metric to n to 5.19 lakh metric ton. The company continues to deliver on its focus areas of sweating assets and expansion in core areas.
The company had completed the sale process of Pettavaithalai plant and commenced 120 KLPD ethanol facility in Sankili from sugar syrup. Also, 165 KLPD expansion in Haliyal and Nellikuppam are in progress, the steady state bene fits of all these expansions will flow from next financial year. Despite increase in interest rates, our efficient cash management and cash generated from operations resulted in reduced fina nce cost of INR 36 crores from the previous year number of INR 46 crores.
Standalone Nutraceuticals Division registered a marginal increase in profitability though there was a 13% reduction in revenue on account of better realisation and reduced input costs. I would now request our CFO Mr. Sridhar to explain to you on the segment wise financial performance. Over to you Mr. Sridhar.
A. Sridhar: Thank you Suresh and good afternoon to all. For the benefit of the investors, we have already uploaded the presentation to the website portal. I would like to take you through the operational and financial performance of the company. To start with, on the sugar segment, the crushing operations were carried out in all sugar mills during this quarter. I would like to share

the quantitative details. In quarter 4, we crushed around 22.95 lakh metric tons when compared to the corresponding quarter of previous year which was at 25.98 lakh metric tons.
On a year-to-date basis we crushed around 51.81 lakh metric tons as compared to the corresponding period of previous year which was at 50.21 lakh metric tons. The early closure of Karnataka crushing season resulted in a drop in Q4 cane volumes. On the recovery front in quarter 4, the recovery from all our plants was at 11.51% compared to the previous year which was at 11.32%. On a year-to-date basis the r ecovery from all our plants was at 10.62% as compared to corresponding period of previous year, which was at 10.63%.
On the production in quarter 4, we produced around 2.35 lakh metric tons of sugar against corresponding quarter of previous year which was at 2.68 lakh metric tons. On a year-to-date basis, we produced around 4.92 lakh metric tons when compared to the corresponding period of previous year, which was at 4.83 lakh metric tons. Cane landed cost was INR 3,278 per metric ton against corresponding quarter of previous year, which was INR 3,276 per metric ton.
On a year-to-date basis our cane landed cost was INR 3,268 per metric ton when compared to corresponding period of previous year, which was at INR 3,255 per metric ton. So far as sugar volumes for quarter 4 is concerned, we achieved a sales volume of around 1.20 lakh metric tons of which domestic was 88,000 metric tons and exports were at 32,000 metric tons. The previous year sales volume was at 1.83 lakh metric tons of which domestic was 96,000 metric tons and exports were at 87,000 metric tons.
On a year-to-date basis, we achieved a sales volume of around 5.19 lakh metric tons of which domestic was 3.67 lakh metric tons and exports were at 1.52 lakh metric tons. The previous year sales volumes were at 4.95 lakh metric tons of which domestic was 3.26 lakh metric tons and exports were at 1.69 lakh metric tons. The average selling price of sugar for the quarter was about INR 36.52 per kg compared to the previous year's sellin g price of INR 34.06.
On a year-to-date basis, our selling price was INR 35.98 per kg compared to the previous year price of INR 34.48. The closing stock as of March 2023 was at 2.45 lakh metric tons asat the end of March 2023 which is valued at around INR 33 per kg. As for the revenue from sugar operations in quarter 4 the revenue from sugar segment was INR 498 crores against corresponding period of previous year which was at INR 693 crores. This drop was mainly on account of lower export sales volume as during the current year, the exports were based on a quota released by the government.
On a year-to-date basis, the revenue from sugar segment was INR 2,025 crores against corresponding period of previous year, which was at INR 1,833 crores, an increase of 10.47% over previous year. I would like to place on reco rd that there are no dues as far as the cane is concerned, all FRP paid on time.
On the Cogen operations in quarter 4, we generated a power of around 2,034 lakh units against previous year which was at 2,022 lakh units. On a year-to-date basis we generated a power of around 4,960 lakh units as against the corresponding period of previous year, which was at

4,110 lakh units. In quarter 4, we exported power around 1,060 lakh units as against the previous year, which was 1,032 lakh units.
On a year-to-date basis the power exports were at 2,700 lakh units as against the corresponding period of the previous year, which was at 2,141 lakh units. The average power tariff for quarter 4 was INR 5.11 per unit as against the previous year which was INR 4.56 per unit. On a year-to-date basis, the average power tariff was INR 5.26 per unit as against the previous year which was at INR 4.35 per unit.
The revenue from Cogen operations in quarter 4 was INR 104 crores against previous year which was INR 86 crores. On a year-to-date basis, the revenue from Cogen operations were INR 253 crores against the previous year, which was at INR 163 crores. On the distillery segment we sold around 376 lakh liters during quarter 4 compared to the previous year sales volume of 278 lakh liters of which ENA was 156 lakh liters an d the previous year numbers were 91 lakh liters. Ethanol was 220 lakh liters and the previous numbers were 187 lakh liters.
On a year-to-date basis we sold around 1,044 lakh liters compared to the previous year sales volume of 847 lakh liters of which ENA was 399 lakh liters. The previous year ENA sales were at 376 lakh liters and ethanol was 646 lakh liters against previous year which was at 471 lakh liters. On the price realizations from distille ry operations, we realized INR 62.56 per liter as against the previous year realization of INR 58.96 per liter. This is more to do with the mix of products and also the price increase that we got during the year as announced by the government.
On a year-to-date basis our price realizations from distillery operations were INR 60.39 per liter agains

t the previous year's realization of INR 57.10. The revenue from distillery operations was INR 238 crores compared to INR 167 crores during the previous period. On a year-to-date basis our revenue from distillery operations was INR 644 crores against the previous year which was at INR 491 crores.
I am now moving into the Nutra segment. In quarter 4, the turnover from Indian operations were around INR 5 crores as against INR 9 crores in the previous year. On a year-to-date basis the turnover was INR 55 crores against the previous year's turnover of INR 64 crores. The division registered a marginal increase in profitability though there was a 13% reduction in revenue on account of better realization and reduced input cost.
The Nutra segment on a consolidated level in quarter 4 had a turnover of INR 59 crores against the corresponding previous year which was INR 73 crores. On a year-to-date basis, the turnover was INR 259 crores against the previous year of INR 277 crores. I would like to talk about the employee-related expenses. The employee benefit expenses for quarter 4 were at INR 35.56 crores as against INR 33.17 crores and on a year-to-date basis the expenses were at INR 157.93 crores as against INR 134.82 crores.
The increase in cost was on account of annual salary increases, headcount increase due to the expansions what we have been carrying out in the distillery operations and strengthening of the team to better manage the safety related area s. On the other expenses for quarter 4, it

increased by about INR 16 crores i.e. INR 148 crores in the current year versus the previous year which was at INR 132 crores.
The incremental cost is on account of the increase in production, consumption of power and fuel, repairs, and maintenance, increase in advertisement expenditure on retail sales and corresponding increase in packaging, dispatching and freight cost, increase due to higher exports and retail sales, increase in selling and administration expenses.
Our finance cost was INR 10.37 crores compared to the previous year, for the same period which was at INR 10.15 crores. On a year-to-date basis, our finance costs were INR 36.03 crores as against the previous year's cost of INR 46.09 crores. This reduction in finance cost was possible despite the increase in interest rates during the financial year because of the better working capital management.
The capex program continues to be kept very tight and on a year-to-date basis we have spent around INR 189 crores. This includes the spending at Sankili 120 KLPD project cost where we incurred around INR 104 crores. All the capex we are currently investing is towards value addition, safety, environment, and productivity improvement. The standalone loan was at INR 155 crores, INR 14 crores decrease over previous quarter and short-term borrowings were at INR 353 crores, INR 300 crores increase over pr evious quarter. This increase in short-term borrowings is on account of working capital requirements.

I am now moving into the refinery business. As far as the refinery suga r production for quarter 4, w e wer e at 2.29 lakh metr ic t ons as agains t previous year production of 2.22 lakh metric tons. The year-to-date sugar production volumes were at 7.78 lakh metric tons as against previous year production of 6.11 lakh metric tons. Refined sugar sales volume for quarter 4 was 1.31 lakh metric tons as against the previous year sales volume of 1.98 lakh metric tons. The year-to-date sugar sales volume was 7.18 la kh metric tons as against the previous year's sale of 6.23 lakh metric tons. PBT for quarter 4 was a loss of INR 45.32 crores as against the previous year, quarter 4, which was profit of INR 27.41 crores. The year-to-date PBT was a loss of INR 253 crores as against the previous year's loss of INR 13.27 crores. As far as the loans position in refinery business is concerne d, t

he long-term borrowings of March 31, 2023, were at INR 200 crores and last year same period, this was also at the same level. The short-term borrowings as of March 2023 were at INR 620.04 crores. The borrowing as of March 31, 2022, was at INR 648.41 crores. We are now open to taking questions. Thank you.

Moderator: Thank you very much sir. We take the first question from the line of Mr. Karan Mehta from Nirzar Securities. Please go ahead.

Karan Mehta: Sir. Thank you for the opportunity. So, my first question is, we have booked an expense due to loss on impairment of investments in subsidiary and JV to the tune of INR 155 crores in Q4. So, I just wanted to know for which subsidiaries and JVs does this expense pertains to and the breakup of expense for each subsidiary and JV? Is there a possibility of these expenses to get reversed?

A.Sridhar: Yes, the impairment is in specific reference to three companies. One is the Parry Sugars Refinery India Private Limited. We have taken an impairment to the extent of about INR 106 crores. This is based on the future projections of cash flow, where an independent valuer has carried out the valuation and based on the valuation analysis, there was an impairment that was required to be carried out. Number two is wi th reference to the joint venture between EID Parry and Synthite which is Algavi sta. On this joint venture, we have taken an impairment to the extent of INR 23 crores. Number three is , with reference to the investment made in Alimtec, a Chilean company, where we have taken an impairment to the extent of about INR 26 crores as it was not economical for us to run this operations.

All these three put together is an impairment to the extent of INR 155 crores.

You asked about the question of whether there will be a reversal to the impairment. We have considered various assumptions in our financia ls based on the current estimates. At this moment, we would not be in a position to say whether there will be a reversal to the impairment. We will work towards to see how this impairment coul d be reversed at least in the case of the refinery business and Algavista.

Karan Mehta: Okay sir, my second question is, we have mentioned, in your notes, that, the parent company is willing to finance activities for subsidiary, Parry International, DMCC. So how much more capital are we planning to in fuse in this and in any other subsidiaries or JVs?

Suresh Kanan: Good afternoon. This is rega rding Parry International, DMCC. Parry International, DMCC is basically a trading company that is located in Dubai to serve the Middle Eastern and the nearby markets. So, this does not require much of a capital infusion because it does trade on a back-to-back basis.

A. Sridhar: As far as the other subsidiaries are concerned, there is no capital infusion that has been projected as of now.

Karan Mehta: Okay. And sir, my last question pertains to our business segment. So, the performance of our refinery subsidiary has worsened in this quarter. Also, we have seen an operating loss on the Nutra segment and in the distillery segment. We have seen a good top-line growth, but the margins have been declining very sharply. So, what are the reasons for these and what is the outlook for all these segments in FY '24?

Suresh Kannan: As far as the refinery is concerned, your question is pertaining to the fourth quarter operation. With respect to the fourth quarter, our sale s volumes were lower compared to our normal levels of the previous year's fourth quarter. That was one of the contributors and we expect this to be made up in the current year in terms of the sales volume is concerned.

Second is we had to take some mark-to-market entries as well as some forex losses on account of variation of the Indian Rupee versus US dollar . We do not expect this situation to continue because these are related to the movement betw

een the two currencies during the previous financial year.

The outlook of the refinery bu siness is basically based on three main pillars. One is with respect to availability of adequa te spreads in the market. Second is with respect to the cost of refining which is largely driven by the fuel cost. And third is with respect to cost of money which is the finance cost that what we incur. In the external sense, the white premiums are strengthening. We can look forward to an improved spread atmosphere because of the tightness in supply and a possible monsoon impact on the Indian sugar production, thereby curtailing the export of Indian sugar in the current year.
Energy prices are coming down and we are seeing the effect of that flowing through in the coming financial year. Yes, interest rates have pe aked at this point of time in our opinion. So going forward we should be able to also control our finance and interest costs to a larger extent. So that is the prognosis as far as the refinery business segment is concerned.
A. Sridhar: On the distillery segment, while the top line has grown, there has been a pressure on the bottom line. There are two factors which are infl uencing the distillery pr ofitability. One is the fuel prices that has moved up substantially during the year compared to the previous year. Coal prices have gone up. Number two is, we actually do a transfer of molasses based on the market price from sugar segment to the distillery segment and there has been an increase in the molasses transfer price and because of which we will see the profits being better in sugar segment and is lower in the distil lery segment. This is again to do with the market price of molasses which is what we adopt for the transfer pricing between the sugar segment and the distillery segment. I hope I have answered your question.
Karan Mehta: Okay, so moving forward we expect better margins in the distillery segment?
A. Sridhar: The fuel prices are getting normalized, and we see there is good margins to pick up in the subsequent periods and a lot of efficiency improvements are also being worked out. So, we will definitely see a good progress as far as the distillery bottom line is concerned. I will request Mr. Muthu Murugappan to respond with reference to the nut raceutical segment.
Muthiah Murugappan: Yes, thanks Sridhar. From the Nutra perspective, we had two reasons for the consolidated loss. The expenses on the Flomentum wh ich is the B2C business at Vale nsa, that is still on a burn mode. There is obviously a large expense worked over there. We also had some product loss on account of a fire accident in a warehouse which is a third-party warehouse in Florida. There is an insurance claim, which we are expecting to receive but then that has been expensed as a loss in this quarter. We are optimistic of receiving that insurance claim in the subsequent quarter.
Karan Mehta: Okay, okay. Thank you, sir, for all the clarifications. That was very helpful. Thank you.
Moderator: Thank you, sir. We take the next question from the line of Mr. Ritwik Sheth, One-Up Financial. Please go-ahead sir.
Ritwik Sheth: Hi, good afternoon, Sir. Sir, just a couple of questions. Firstly, on the refinery, you know in the presentation we have mentioned that the refinery spread is about $43, $44 per ton and our conversion cost has spiked up because of higher fuel prices. So, with this reducing fuel prices, can we expect this negative spread to be at least break-even in FY ‘24?

Suresh Kannan: Thank you for the question. There are a couple of areas of betterment that we will see in the coming years. As you rightly mentioned, the fuel prices are coming down and that should flow through the operating cost of the refinery going forward.
Second is with respect to the spread which we are also seeing a

t a higher level than what had been there in previous years. This is primarily due to tightening up of demand supply in the sugar market and it is expected to remain tighter as per the projections as what our MD also explained in his opening note. As a result of which we should be in a better situation going forward.
Ritwik Sheth: So, we can at least be break-even in FY ‘24, at least we can assume that.
Suresh Kannan: Yes, that is what we are working towards.
Ritwik Sheth: And sir, on this refinery, you mentioned in your opening remarks that we have taken a INR 106 crore impairment charge for PSRIPL. So, anyt hing else which can come in the future, or this is more or less done with any of these im pairments? And specifically , what is this related to, if you can throw some light on that also, please?
Suresh Kannan: Yes. As far as the impairment with respect to the refinery investment is concerned, we have taken a look at the forward possib ilities of the refinery and this has been factored in terms of the workings that have been made to arrive at the current impairment value.

Ritwik Sheth: Okay. And sir, the total debt including the loan given from EID Parry to th e refinery subsidiary would be close to INR 800 crores. Is that assumption, right?
A. Sridhar: You are asking about the loan position?
Ritwik Sheth: Right, in the refinery.
A. Sridhar: In the refinery business, the loan position fro m long-term borrowings is about INR 200 crores and on the short-term borrowings it is INR 620 crores.
Ritwik Sheth: Okay. Sure. And, sir, one final question from my end. We have exceptionally turned around the standalone EID Parry business in the last three years to four years and we are generating cash flow from the standalone excluding the other income, the dividend income that we receive from Coromandel. What are our thoughts in terms of dividend payout from EID Parry, especially after FY '24 since most of the capex in the distillery side would be completed? So, if you can give us some color on that, it would be very helpful.
Muthiah Murugappan: So, I am, Muthu here, let me answer that question. So, I think the intent is to, as you said, run a very robust business on the core business which is a standalone business and ensure that that business is cash generating which will then enable us to better imagine the future and better implement and execute on our future plans usin g the power and strength of the standalone business. I think that is the intent with which we are taking things forward.
So, I would like to comment on the dividend. I think the aspiration of course will be to pass the dividend through, but I think I would like to stay with the standalone business and reiterate the

focus on strengthening the standalone business and then growing it further using the sort of power of the standalone P&L and balance sheet.
Ritwik Sheth: Okay. Sure, Sir. Thank you and all the best.
Moderator: Thank you, Sir. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.
S. Suresh: Yes, thank you everyone for taking the time out for this investor call. And I hope to see you in the next call. Thank you.
A. Sridhar: Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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Dear Sir/ Madam, CIN: L24211TN1975PLC006989
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National Stock Exchange of India Limited
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EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors on unaudited Financial Results for the quarter ended June 30, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript of the Analyst/ Investor Conference Call held on Thursday, August 10, 2023, on the unaudited financial results for the quarter ended June 30, 2023.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
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Encl: As above
• murugappa

"E.I.D.- Parry (India) L imited
Q1 FY'2 4 Earnings Conference Call "
August 10, 2023

MANAGEMENT : M R. S. SURESH – MANAGING DIRECTOR – E.I.D.-
PARRY (INDIA) LIMITED
MR. MUTHIAH MURUGAPPAN – WHOLE TIME
DIRECTOR AND CHIEF EXECUTIVE OFFICER – E.I.D.-
PARRY (INDIA) LIMITED
MR. SURESH KANNAN – WHOLE TIME DIRECTOR –
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MR. A. SRIDHAR – CHIEF FINANCIAL OFFICER –
E.I.D.- PARRY (INDIA) LIMITED
MR. BISWA MOHAN RATH – COMPANY SECRETARY –
E.I.D.- PARRY (INDIA) LIMITED

MODERATOR : M S. NEHA MEHTA – DAM CAPITAL

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CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the EID Parry (India) Limited's Q1 FY24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Ms. Neha Mehta from DAM Capital Advisors. Th ank you and over to you, ma'am.
Neha Mehta: Hi, a very good afternoon to all. We thank the EID Parry management for giving us the opportunity to host this call. On the call today, we have with us Mr. Suresh, who is the Managing Director, Mr. Muthiah Murugappan, who is the Whole -Time Director and CEO . Mr. Suresh Kannan, Whole -Time Director, Parry Sugars Refinery India Private Limited. Mr. A. Sridhar, CFO and Mr. Biswa Mohan Rath, Company Secretary. I would now like to hand over the call to EID Parry Management for the opening comments, followed by which we will continue with the question -and-answer session. Thank you and over to you, sir.
S.Suresh : Thank you. Good afternoon to all. I am Suresh here. It gives me pleasure to be part of this analyst call to share and update on the global as well as Indian s cenario and explain the Q 1 performance of the company. On the global scenario, global sugar balance for 2022- 23 is at a surplus of 3,77,000 MT against the previously estimated deficit of 2 MMT , majorly due to increase of estimated production from Brazil. B uoyed by lower estimates from India, the raw sugar futures touched the decadal high of 27 cents per pound in the month of April.
Amidst ample supply from Brazil, the raw sugar futures are now trading at around 24 cents per pound as of last week of July. As far as the year 23- 24 is concerned, as per the latest estimates, the global surplu

s is predicted to be around 4.8 million metric tons. The supply concerns due to uneven rains in Thailand and India is partially offset by an increased estimate from central South Brazil. Nevertheless, given a potential El Nino condition, the weather continues to be a very important factor to be monitored in the following months.
On the Indian scenario, with the late onset of monsoon and deficit of rainfall in key growing states, especially Karnataka and Maharashtra, ISMA has released the latest production estimates to 328 lakh metric tons for the year 22-23. This is after considering 40 lakh metric tons diversion to ethanol, which means the total production for the year shall be at around 368 to 370 lakh metric tons. So far as the ethanol blending program is concerned, the government is targeting an average of 14% blending by November 23.
Though there are challenges in off take of ethanol in some OMC depots and in allotment of FCI rice for grain distilleries, these are short -term phenomena and we are positive that this should be fixed for good very shortly. As may be known to you all, there is an upward revision of FRP announced recently. The FRP for a base recovery of 10.25% is fixed at INR 3,150 per metric ton against the INR 3,050 per metric ton of last year. We are hopeful that the government would consider an upward revision of ethanol price in commensurat e with the increase in the FRP.
On Q1 performance, the standalone revenue from operations for the quarter ended 30 June ' 23 was INR 698 crores in comparison to the corresponding quarter of previous year of INR 719

crores. Loss before depreciation interest and taxes, the retur n for the quarter was INR 15 crores compared to a profit of INR 11 crores in the corresponding quarter of the previous year before exceptional items.
Standalone loss after tax for the quarter was INR 46 crores against a profit of INR 13 crores in correspondin g quarter of previous year. The profitability of sugar and cogeneration segments are lower in Q1, 23 -24 as compared to corresponding quarter of previous year on account of reduction in export volumes due to restrictions imposed by the government and reduce d power realization as well. However, the company has managed to crush higher cane volumes of around 4 lakh metric ton in the current quarter as compared to the 2.7 lakh metric ton in the correspondin g quarter of the previous year.
The distillery segment has performed better owing to higher realization and increased volumes attributable to the new 120 KLPD dual feed distillery facility in Sankili. Further, the company has commenced the grain based operations also in Sankili distillery during the quarter. The standalone Nutraceutical segment has registered a loss during the current quarter on account of reduced sales due to the existing certificati on issues in Europe. I would now request our CFO

Mr. Sridhar to explain you the segment based financial performance. Over to you Mr. Sridhar.
Thank you.
Sridhar: Thank you Suresh and good afternoon to you all. I would like to share with you the key operat ing parameters for the quarter 1. The crushing operations were carried out in all our Tamil Nadu and Andhra Pradesh sugar mills during the quarter and would like to share the quantitative details. We crushed around 4.01 lakh metric tons when compared to the corresponding quarter of previous year which was at 2.69 lakh metric ton. The recovery for the first quarter has been at 9.05% compared to the previous year which was at 9.35%.

We produced around 33,000 metric tons of sugar as against the corresponding period of previous year which was at 24,000 metric tons. The cane landed cost was Rs. 3,267 per metric ton against corresponding quarter of previous year which was at Rs. 3,221 per metric ton. For the quarter 1, we achieved a sales volume of around 1.21 lak

h metric tons of which the domestic volumes were at 1.14 lakh metric tons and exports were at 7,000 metric tons and the previous year sales volumes were at 1.44 lakh metric tons of which the domestic was 99,000 metric tons and expo rts were at 45,000 metric tons.

Selling price of sugar for the quarter was around INR 36.30 per kg compared to the previous year selling price of INR35.18 per kg. The closing stock at the end of June was at 1.57 lakh metric tons as against the previous year same period which was at around 1.30 lakh metric tons. The revenue from sugar operations in quarter 1 was INR 473 crores against the corresponding period of previous year which was at Rs. 526 crores. The drop was mainly on account of lower export sales volume.

All FRP 's were paid on time. With reference to our cogen operations in quarter 1, we generated a power of around 522 lakh units as against the previous year which was at 869 lakh units. In quarter 1 , we exported power around 243 lakh units as against previous year which was 584 lakh

units. The average power tariff was INR 4.05 per unit as against the previous year which was at INR6.93 per unit.

The revenue from cogen operations were INR 19 crores against previous year which was at INR64 crores. In the distillery segment , we so ld around 343 lakh litres during quarter 1 compared to the previous year sales volume of 213 lakh litres of which ENA was 121 lakh litres and the previous year ENA volumes were at 99 lakh litres. The ethanol volumes were at 222 lakh litres and the previous year ethanol volumes were at 114 lakh litres. Our price realizations from distillery operations was INR61.08 per litre against previous year realization of INR 57.82 per litre.

The revenue from distillery operations was INR 209 crores compared to INR 125 crores during the previous year. As far as the Nutra business is concerned , in Q1 the turnover from Indian operations was around INR 5 crores as against INR 13 crores in the previous year. At the consolidated level , the Q1 Nutra business turnover was at INR 44 crores as against corresponding previous year which was at INR 64 crores.

The employee benefit expenses for Q1 were at INR 49.81 crores as against INR 42.12 crores. Increase in cost is on account of annual salary increase, head count increase due to expansions in distillery operations and strengthening of the team to better manage the safety related areas.

Our other expenses for Q1 increased by INR 3 crores that is INR 130 crores in current year from INR127 crores. This increment al cost is on account of increased production and consumption of higher power and f uel and repairs & maintenance.

On the finance cost for Q1, we were at INR 12 crores compared to the previous year which was at INR 8 crores. This increase in finance cost w as on account of long term loan pertaining to the ethanol project expansion and increase in working capital interest rates and higher borrowings in current year. The capex spends in Q1 was around INR 47 crores. This increase in spends incurred at Hal iyal 12 0 KLPD was INR 26 crores. All the capex investing currently are towards capacity expansions, value additions, safety environment and productivity improvements.

The standalone long term loan position as of June 2023 was at INR 186 crores t he increase in loan position was by about INR 30 crores over the previous quarter . The short term borrowings were at INR 243 crores the decrease of INR 109 crores over the previous quarter . The increase in long term loans is on acco unt of the capacity expansions.

On the refinery business , the production volumes for Q1 was at 1.36 lakh metric tons as against the previous year production of 2.25 lakh metric tons. The refinery's sugar sales volume was low in qu arter one of 2023 for 1.33 lakh metric tons compared to 2.02 lakh metric tons in Q1 of

last
year. This was due to issues at the destination market s. Hence, we utilized this opportunity to

pre-pone the annual plant maintenance by shutting down in quarter one. Further , the mark to market loss was on the higher side compared to previous year.
The Loss before tax for quarter one was of INR 96.52 crores as against the previous year same period loss of INR 6.32 crores. On the loan position of refinery business, the long term

borrowings continue to remain at INR 200 crores. The short term borrowings as of June 2023 was at INR 596 crores. The borrowings as of March 31, 2023 was at INR 620 crores.
At the consolidated level as of June 2023 , the loan position excluding the loan which has been given by E ID Par ry to refinery business was at INR 1026 crores as against INR 1028 crores as of March 2023. We would like to keep the floor open for any questions to be answered from our end.
Moderator: Thank you very much. The first question is from the line of Akshay Ajmera from Nirza r Securities. Please go ahead.
Akshay Ajmera: Thanks for giving me the opportunity, S ir. My question is regarding the branded sugar which we intend to sell. Are we selling our branded sugar at some discount as compared to our competitors and how much is the margin or impact on margins? Are we planning to reduce those discounts? That's number one.
And second, S ir, this quarter, as in the opening remarks, it was mentioned that cane crushing was higher by almost 50% Y -o-Y. But we still have made losses on account of reduced power realizations. So could you please help us understand why there is substantial rise in cane crusing. Whereas there is a decrease in power earnings? These are my two questions.
Management: Can you repeat the last question?
Akshay Ajmera: So cane crushing this quarter was almost 50% higher than the previous quarter in the same years. However, the realizations from power was weak. So could you help us understand why the substantial rise in the cane crushing could not compensate for decrease in the power earnings? And also if you can share the outlook on the power prices going forward? Thank you.
Muthiah Murugappan : So Akshay, hi. Good afternoon. From the branded sugar perspective, we don't sell at a discount as compared to our competitors. I n fact, we're a well -known, more premium brand. So we do get premiums from prevailing trade prices at INR 2 to INR 3 per kg at the entry level. At the entry level, there are value added products which do fetch us higher price realisations . So that's our effort. So we do not at a discount. This business is profitable. But the focus on this business is to really grow distribution and then improve the depth and then subsequently the breadth of our products and product placement.
In terms of y our second question, yes, cane crushing was higher.. We started Tamil Nadu season s earlier. And we did have the season in AP which extended a little longer than what we had estimated.
In terms of the losses on power generation, the number of units of powe r generation itself was much less ,and that was because of couple of reasons. We had a shorter season in Karnataka, last year ie., in the Q4 of FY '23. To that extent, you won't have as much bagasse available, which is a by -product , which is fired in the b oiler for cogeneration. Also, for some of the bagasse which is available, we had good realization through bagasse sale. So this is why we chose to sell the bagasse in the open market because we got good realization.

So both of these combined together resul ted in lower power generation. Hence, the revenue from the power segment is also lower as compared to the same quarter last year. In terms of the outlook for power prices, I mean, at present they are obviously tradin

g lower than what pricing we had last year. Last year was quite encouraging for power prices. So we will have to see how these trends will probably be . I don't want to comment or speculate too much on how the prices would trade in the future.
Akshay Ajmera: Just a quick follow -up, sir. So you sa id that the profits were not in the power sector because of diversion of bagasse. So could you explain a little bit more on that?
Muthiah Murugappan : When you crush sugarcane, your bagasse is the by- product. This bagasse gets fired in the boiler, which helps to generate power. When you have lower sugarcane crushing, you generate less bagasse. So you really don't have bagasse to fire in the boiler. So th en you can't generate power. You end up just picking up power from the grid.
Also, when you have that bagasse lying around, and the open market offers you a good realization as opposed to firing in your own boiler, you will realize that in the open market.

That's what we did. Hence, power generation units fell.
Akshay Ajmera: I got it, sir. So where is that profit, the selling of the bagasse profit, it will sit under which division then?
Muthiah Murugappan: Under the sugar segment.
Akshay Ajmera: Sugar segm ent. Okay. But sugar segment numbers are also very poor. So that is why I'm trying to understand.
Muthiah Murugappan : So the sugar segment, if you look at Q1 last year, we exported 45,000 tons of sugar . We had a good export program. Of course, the export program is not there now. We had some spill -over volumes of contracted exports, which we did about 6,000 tons to 7,000 tons. To that extent, when you export, your export s are at a substantially higher realization than the prevailing domestic prices. So your revenue will grow. Your revenue will be much higher compared to what you would get when you're selling in domestic. So that's the delta that we see on the sugar segment.
And if you're selling at a higher realization, you realize more profit as well, r ight? So that's the reality.
Akshay Ajmera: All right, sir. I'll join back the queue. Thank you so much.
Moderator: Thank you. The next question is from the line of Ajit, an individual investor. Please go ahead.
Ajit: Hi, sir. Thanks for the opportunity, sir. So my first question is, can you please quantify the loss in the sugar business on account of reduction in export volumes? And the second question is, sir, we are planning a strategic expansion in the FMCG, which usually require high advertisement an d promotional expenses to create the brand. So how the expansion into FMCG

business will be funded and whether the new brand will be home -grown or are we planning to acquire other brands?
And third and the last question is, can you also please talk more about on the nutraceutical business , which is making losses? And when can we expect this to be turnaround? And what are our strategies with respect to that?
Muthiah Murugappan: So, let me just cover your second two questions, your data points on the first question is on the sugar export related. So on the FMCG expansion, this is obviously being done in-house at this point in time. So I think at the right time, we will give the right structure to the business. And the business with the ethanol blending program , I think we should have some good EBITDA generation and internal accruals in the business going forward.
And I think once we structure the FMCG vertical appropriately, we will also look at financial partnerships to help us grow this business, but all of this is in the right time. We will be open to growing this business organically as well as inorganically. The current sweetener line runs under the Parry brand. From a branding perspective, again, we will be open to organically looking at new brands. And, of course, if we take inorganic routes in the future, I'm sure we'

ll be able to buy in. It will anyway entail new brands coming into our port.
You had a question on the nutraceutical business. The nutraceutical business registered a much lower turnover and also losses in this quarter. And that is because of some certification issues in Europe. The certifying body was banned. The body which certifies all our nutraceutical exports to Europe was banned by the European Union Authorities. So we are being recerti fied by another certifying body, and we are expected to get back on track in H2. So that's from a stand -alone perspective.
From a consol perspective, we have the US business Valensa. There we have been in the red because we've been running a B2C business c alled Flomentum, which we launched about three or four years ago. That business has taken time to scale up. We have actually ever since chosen to scale back on Flomentum in order to put the business on a better path. We had some outside in views on the bus iness, and I think the focus now will be in improving the margins and profitability of the business. You will see this traction play out in H2.
From a broader nutraceutical perspective, I think we have sort of commented publicly that we are strategically r eviewing the business. That review does continue, and we have outcomes from that. We will aspire to put the business on a better strategic path.
In terms of the Delta on the exports front, because we didn't have exports this year, that's a INR12 crores impact on the bottom line because we had 45,000 tons of exports last year at a higher realization, significantly higher realization to prevailing domestic prices, and that's the INR12 crores difference. It really benefited us in Q1 of FY ‘23.
Ajit: Okay. So, can I just take one follow -up? What is the current turnover and margin in FMCG business, sir?

Muthiah Murugappan: So, as I said, we run this business within the offices of the company. W e do have internal data points. It's a profitable business, but I think it will only be responsible on my part to talk about margins once the business is structured independently and appropriately. So, I wouldn't like to comment on this at this point in time.
Ajit: Okay, sir. Thank you so much. I'll join back in the queue.
Moderator: Thank you. The next question is from the line of Gautam Dedhia from Nalanda Securities. Please go ahead.
Gautam Dedhia: On your website, you've launched some rice and millet products. Just want to understand , what's the gross margin in that category?
Muthiah Murugappan: So, Gautam, the launch of rice and millets, the whole pulses, dals, that 's a test and a trial launch. It's a pilot only in Chennai, and we figured it 's better to learn about these categories in a lower cost and a more incisive manner by actually doing a pilot. We have a good team in-house, so we've been able to execute this in quick time. So, at the pilot phase, I think we 're really learning and gaining insights and data points from the market to sharpen our proposition and then do a much more larger scale launch. So, I think with the pilot, it 's not really prudent to discuss margins. Of course, the industry has certain margins, which obviously we will as pire towards matching in steady state and even beating.
Gautam Dedhia: Okay, so just a broader question. So, in the annual report, you mentioned you want to get into the food category. So, just how are you going to think about what category you want to get into? So, is it based on market size, competition level, penetration level in those categories in terms of organized share or minimum margins of the categories? You could just throw some light on your thought process.
Muthiah Murugappan : So, Gautam, from a broader perspective, we did some understanding of India per se. I mean, there are certain categories which are going to or certain segments which are goin

g to drive GDP
growth and big contributors to GDP growth over the next sort of five to ten years. C onsumer, e-commerce lifestyle is a big element in that sort of puzzle. So, given that we are from the sweetness perspective in the consumer market, we decided to look at this segment and see how we could go deeper.
The average kitchen bill in India is abou t INR8,000 -odd, give or take. Of course, bills will be higher and lower, but that 's the average. You know, sweetener is a small share of that. With the saliency of the brand, how can we get a larger share of the kitchen bill? Because that obviously synergizes with distribution, synergizes with our consumer base, and will bring synergies with the marketing mix. That 's one way we thought about it.
We thought about categories which are not fully branded. You know, if you look at salt, there are some large players there, and they 're branded almost 90%, 95%- odd. But there are categories which are not, where the branding levels are sub 30%. In fact, in the sweetener category, the branding saliency is only 8%. So, we looked at where there is a good headroom, where there are tailwinds to grow, and that 's why we looked at piloting and learning about categories such as millet, dal, pulses, rice. So, that's how we 've been thinking about it.

In all of these categories, sweetener and sweet products included, I think ther e will be a base level of product which will come at a certain gross margin, but will give you volume and scale. As you take the journey further, there will be a sort of value -addition product, and we have that already with jaggery and with Amrit Brown Sugar, wherein you grow substantially upon the gross margin. And I think you'll need that combination to have a successful product range.
Gautam Dedhia: Okay. There 's one last question. So, on the refinery, this has been a very challenging division for us. So , can you just highlight what is the thinking going forward, and when do we have a stop loss, to say?
Suresh Kannan: Yeah. On the operating part of the refinery, I would like to add the following comments. One is the first quarter had been weak for the ref inery, principally on account of the war in Sudan. So, we had contracted sales volume. The trade basically deferred this volume into the second quarter, and therefore, we had to downsize our operations during the first quarter of the year.
Going forward, we are looking at, you know, a scenario in which the white premiums are holding strong. There is a possibility that there will not be any exports from India in the coming season. And on the cost side, we are seeing softening of energy prices and m aterial prices. So, we are looking at the possibility of recovery in the second, third, and fourth quarter of the year. That 's on the operating part of the refinery.
S.Suresh: Yeah. Just to add, to Suresh comments, we are also evaluating other augmentation of capabilities

for the refinery business in terms of we have from the international trade side, then there is international sourcing and the premium optimization opportunities. Those are the areas we are evaluating for augmentation of capabilities through proper collaboration with any of the international trade houses.

That exercise is on. Operationally we are one of the most cost efficient refiners in the world. So there are other areas where we are planning to augment our capabilities. As Mr. Suresh Kann an was mentioning, hopefully we should be able to see the light very soon.

Gautam Dedhia: Okay and what is the M TM loss you booked this quarter?

Sridhar : The MTM net impact for the first quarter has been around $ 3.6 million.

Gautam Dedhia: 10.6 million?

Sridhar : $ 3.6 million.

Gautam Dedhia: $3.6 million. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ritvik Sheth from One Up Financial.

Please go ahead.

Ritvik Sheth: So, in the annual report, we have spoken extensive ly about transforming into a food company over the long term. So, you mentioned a few things already in the call. So, can you give us some insights into where we plan to take it forward, to what segment, what kind of capacity we are envisaging, and what is our strategy to scale up?

You mentioned that we are doing a pilot program in Chennai by launching Dal, Pulses, and a couple of other products. So, how far are we from starting this journey or we have already started the journey? If you can give us some more colour on this.

Muthiah Murugappan : Yeah. So, I think, Ritvik. I covered the segments and the pilot in my answer to a previous question. So, in terms of scale-up strategy, I think with sweeteners, we are already on the way. I mean, the retail, if you look at our investor presentation from a couple of months ago, the retail segment contributes close to 30%, and then I think 27% to be precise, of our overall sweetener volume. That will quite substantially cross 30% as we conclude this financial year.

So, with sweetener in the consum er segment, we are already on our way. We are in about a lakh and a half outlet and we will inch closer to 2 lakh this year. So, it is not a large distribution. That distribution, I think, really has to grow substantially higher. And I think as that distri bution grows, we will start looking at categories and start pouring into categories wherein we see opportunity.

And I talked about some of that in the answer to the previous question. So, I think we will use that retail way. So, that is why we are looking at millets, looking at pulses, looking at dals, looking at other sweet ner products wherein products also synergize and synchronize with the distribution that we are already building. I mean, B 2C, for example, is one thing which we will not look at because we do not have distribution or we do not have that muscle which has already been built. So, the scale-up will really happen to get more share of the kitchen shelf and to leverage the synergies that the current marketing mix already provides. And in categor ies wherein there is a headroom for growth and there is a headroom for branding. Branding the unbranded is something to focus, which we have understood well with the sweetener category. I think prior to us, there was no one really branding this category.

It is largely an FMCG experience team which leads this initiative. And that is obviously a muscle which we built very well in terms of branding an unbranded segment. And I think those are areas wherein we will jump in and grow.

Ritvik Sheth: Okay. and any thoughts that you plan to do, whether this will be an asset light model?

Muthiah Murugappan : Largely an asset light model. I mean, with Millets and the Pulses, for example, we have no factories, no machines. W e only control the source, the supply chain and the quality control, and of course the branding and distribution. All of that expertise is with us and that is largely a people and a system -oriented approach. So, it will be an asset light business.

Ritvik Sheth: Okay. So, just taking a step back, you know, if I look at our business, our sugar business is there including ethanol business. Then we have the refinery which is an adjacency of being a converter and selling it. Then we have Nutraceutical s which we have been trying to scale up and now this is a fourth engine for us to, you know, get into more of a food, food commerc e.

Where is our, you know, core strategy to expand in Nutraceutical s, it is not scaled up. So, refinery also we are trying to turn it around. So, you know, how should one look at our business out of the four, where will be our focus in terms of putting in more effort, time effort at the top management. If you can throw some light on that

please.

Muthiah Murugappan: So, Ritvik, from the asset allocation perspectiveyou have seen a substantial amount of asset allocation going into the bioethanol business over the last three years and I won't spend more time d iscussing that. I think the next wave of substantial asset allocation will go into the consumer side as we gear up the business, you know, functioning it independently and then subsequently grow and scale.
That is where asset allocation will be channeled i nto. Of course, the core ethanol business and the core operations will, you know, see this sort of incremental capexes from a more, you know, run of the mill maintenance kind of area. From the refinery and the Nutra prespective, as I said, I think, as Sure sh spoke about to the refinery business, you know, we are working through partnerships and I think we are working to bring these partnerships to ensure that the business is on the right strategic path.
Similarly, from a Nutra perspective, you know, we have got some outside in views in terms of helping the business to do better and that is why you know, we discontinued the Flomentum operations, in the U.S. so that the business can focus on its core, impro ve its margins and then I think ultimately all of this will really enable us to put the business on a better strategic path. So I think that is what we are sort of focused on. But as for allocation, th is far it has been an bioethanol. This may be some incr emental asset allocation just to keep things going and, you know, improve efficiencies, make incremental progress, but I think the next wave will ideally be consumer.
Ritvik Sheth: Okay. And, sorry , just to probe this further, you know, on the refinery bit , if you look at our working capital employed and the loans that we have put in, it is about INR800 crores as of date. So, if you are in that process, if we are able to scale down this business, focus our capabilities and financial capital to wards transformation into food business ....
Moderator: Mr. Seth, I am so sorry to interrupt, but there is a lot of disturbance s coming from your audio . Requesting you to please use the handset mode while speaking.
Ritvik Sheth: So, is there a thought process of, winding down the refinery business or divesting the refinery business so that we can have more financial capital and top management time to focus on transforming into the current FMCG food business over the medium to long term?
Muthiah Murugapp an: So, you know, with the nature of operations, it is hard to close down some of these businesses overnight. I think we all, I guess, understand that. Perhaps I will just sort of only say, this business needs partnership. You know, if you go back in history, this was set up along with the Cargill Group who brought in that global commodity and global trade expertise.
And, you know, they moved on and we have ever since running this business independently. We haven't had success. I think let's face it. But I do believe and the team also believes that we do need to bring in partnerships as we talked about. And I think that's the focus. And perhaps, I think once we're there, then the path becomes clearer after that. So, I'll say only this much. I think we have t o do th is sort of right things for the business in order to put on a better strategic path.

Moderator: Thank you. The next question is from the line of Rajakumar Vaidyanathan, an individual investor. Please go ahead.
Rajakumar Vaidyanathan: So, I have a co uple of questions. So, within the states that we operate, Tamil Nadu and Karnataka, I just want to know, given the deficit monsoon in Karnataka and Tamil Nadu, would there be any risk in terms of the volume of crushing that we expect in the upcoming years?
S.Suresh: Yeah. As things stand,

the rains have been delayed in Karnataka. July has been better. August is we are just keeping our fingers crossed how it is going to pan out. As things stand, the estimates will be similar to what ISMA has been doing for the next season. There could be a drop of yield in Karnataka to the extent of three to four tons per acre. That's what we are anticipating.
Tamil Nadu, as such, there is standing cane available. The weather conditions are not so favorable in terms of the recoveries. What we used to crush in Tamil Nadu, the recoveries have dropped some 30, 40 basis points compared to the previous year. So, this is all up to the nature. We have to wait and see. Maybe next call we'll have a better idea.
Rajakumar Vaidyanathan: Okay. And, Sir, do you have any ethanol plants in Tamil Nadu? Are there any plans to do because I saw there is a new policy the government has issued?
S.Suresh: Yeah ,the upcoming distillery at Nellikuppam is going to produce ethanol out of syrup and supply. We are the first ones who will be taking advantage of the ethanol blending policy of the government and will be executing that.
Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Anushri: Hi, Anushri this side. So, around the refinery business, our peer Renuka is making money for the last five to six years in the same business. While we as investors consider Murugappa Group to be very astute and prompt. So, what is causing continuous losses in this business is what is the first question , I want to understand? And as shareholders, we want to also understand that where are we at a disadvantage compared to our competitors. So, we have lost around INR400 crores in this business in the last four years. So, when spreads have been high for last one year or two years, but we were not able to make money.
At the same time, when spreads were low also, we were taking a hit on our bottom line. So, just want to understand where are we at. So, what are we looking at in this business?
Suresh Kannan: Yeah. I would like to answer it this way. With due respect to the competition you referred, I think it is also not a fair statement that Renuka has made money as far as the refining business is concerned over the last five years. That apart, I think I understand the spirit of your question is more from a competitive landscape of advantage and disadvantage.
The principal difference between Renuka and us is basically with respect to the geography because we are located on the East Coast, which is more served by the break -bulk vessels rather than container vessels. The container vessels typically reach to non -aggregated customer base, which typically has a higher margin realization for the sugar that we sell compared to break bulk,

which is typically moved in large vessels and therefore with bulk buying and distribution by larger trade houses.
Second one, of course, is the differential freights between the East Coast and West Coast of the country, which is quite well established as a result of which sugar being a traded commodity is sold on a landed cost parity basis. So, if you look at from an operating cost perspective, both the refineries are quite competitive with respect to the operating cost because we are one of the most efficient cost effective refineries on the global circuit as far as re-export is concerned.
That's why we are in a position to operate even when the white premiums fall down in comparison to our high cost competitors who are there in the rest of the region. With respect to the other point that you mentioned, the losses that what you identified are more related to one off incidents that occurred . One was related to the couple of safety incidents that occurred and the other one was with respect to the discrepancy on the stock that we had to take a write off.

So, they are more of one off in nature and not on a continuing operating basis of the business. I hope I have addressed your conce rns as far as our position vis -a-vis the rest of the industry.
Anushri: Just a follow up, sir. If we have a locational disadvantage, any plans in the future to shift the refinery plan t to any other location on the West Coast?
S.Suresh: A set of such mammoth size relocation itself is a two year timeframe. Not running the business for a year will double the loss es what we are having today. That thought is completely ruled out. So, we ha ve to see how do we explore the opportunities having known the disadvantages of being in the East Coast. That's where the collaboration with the trade houses which need sugar from the East Coast is also being thought through.
So, those are the ones which will help us in trying to augment our capabilities and build a better value for the business.
Anushri: Okay. So basically how do you think these partnerships are going to help us in refineries only on the trade side or any strategic benefit also we are go ing to get?
S.Suresh: Can you please repeat on that?
Anushri: So I just wanted to understand how the se partnership are going to benefit us in the future. So, why do we think that we can recover the earlier losses and then turnaround this business with the partnerships that you are seeing?
S.Suresh: Before that we should also understand this refinery has got a history. The majority 70% to 75% of the losses accumulated is on account of the fact that the refinery could not operate after it was commissioned for want of gas. After the fifth or sixth month of operation the gas became dry.
So, the business did not operate for four to five years. It restarted in 2014 with a costly proposition of coal. So, that is how it is being operated today. So, those are the disadvantages inherent in the business.

Now even today gas is not available. If at all it is made available, it is also not cost competitive as compared to the coal. So, we have to see despite these disadvantages in the operation part of the refinery, we are one of the lowest cost refiners in the world. So, that is where the strategic advantage lies for anybody who wants to source sugar from this side of this country. Coupled with this is there are, as I

mentioned in the starting, there are opportunities t o see how do we
leverage the sourcing from Brazil and also selling it to various institutions across the world in container mode by making containers available at Kakinada.
These are certain strategies which are being evaluated and try to see how do we br ing in our
expertise as well as the expertise of the international trade houses and then try to create value for the business and turn it around.
Anushri: Just one last follow -up, sir. W hat would be the white premium spread in this quarter and also
what would be our conversion cost per ton?
Suresh Kannan: For the first quarter is that what is your question?
Anushri: Yes, for this first quarter compared to last year?
Suresh Kannan: First quarter our spreads were in the region of USD 55 and first quarter operating cost is high
basically on account of the fact that we had a shutdown for close to 40 days. So, the operating
cost on a per ton basis would be close to around USD 53, USD 54 durin g this period, which is
not representative because of the fact that it was during a shutdown period.
Anushri: Okay. So if we remove the shutdown period on a normalized basis, how much would that be?
Suresh Kannan: The current basis is around USD 45 to USD 50, should be the range of operating cost.
Anushri: Okay. Yes, thanks. That's it from my side. Thank you.
Suresh Kannan: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand
the conference back to the managem

ent for their closing comments. Thank you and over to you
all.
S.Suresh: Thank you all for the participation and your insight ful questions. We'll see you in the next
investor call. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, we conclude today's conference.
Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

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1st Floor, New Trading Ring,
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Dear Sir/ Madam, E.I.D. -Parry (India) Limited
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November 17, 2023
National Stock Exchange of India Limited
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EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter/half-year ended September 30, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Thursday, November 9, 2023, on the unaudited financial results for the quarter/half-year ended September 30, 2023.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.1.0.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
• murugappa

“E.I.D. - Parry (India) Limited
Q2 FY2024 Earnings Conference Call ”

November 09 , 2023

ANALYST : M S. SANJAY MANYAL – DAM CAPITAL
M
ANAGEMENT : MR. S. SURESH - MANAGING DIRECTOR – E.I.D.- PARRY (INDIA) LIMITED
MR. Y. VENKATESHWARLU – CHIEF FINANCIAL OFFICER - E.I.D.- PARRY (INDIA) LIMITED
MR. BISWA MOHAN RATH - COMPANY SECRETARY - E.I.D.- PARRY (INDIA) LIMITED
MR. SRIKANT HAN - BUSINESS HEAD, NUTRACEUTICAL DIVISION - E.I.D.- PARRY (INDIA) LIMITED
DAM
CAPITAL
E.I.D.- Parry (India) Limited
November 09, 2023

 Moderator : Ladies and gentlemen, good day and welcome to EID Parry (India) Limited Q2 FY2024 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing “*” then “0” on your touch-tone phone.

Please note that this conference is being recorded. I now hand over the conference to Mr . Sanjay Manyal from DAM C apital Advisors Limited . Thank you and over to you, Sir.

Sanjay Manyal : Hello everyone, a very good afternoon to all. We thank the EID Parry's management for giving us the opportunity to host this call. On the call today, we have with us Mr. Suresh, Managing Director, Mr. Y. Venkateshwarlu , CFO, Mr. Biswa Mohan Rath, Company Secretary and Mr. Srikant han, Head, Nutraceutical Division. I hand over the call to EID Parry's Management for the opening comments, followed by question-and -answer session. Thank you a nd over to you, sir.

S. Suresh : Thank you Mr. Sanjay and good afternoon everyone. It gives me great pleasure to be part of this analyst call to share and update on the global and Indian scenario and explain the Q2 performance of the company.

Global sugar balance for 2022 -23 is at a surplus of 1 million metric ton of raw value against previously estimated surplus of 0. 78 million metric ton majorly due to the increased production esti mates from Central South Brazil, Turkey, Ukraine, and to some extent from Kenya. For 2023- 24 as well significant increase in production is expected from Brazil and Turkey. Raw sugar f eatures are trading around the historical highs of 27 cents per pound having reached 12 year high of 27.6 cents per pound. Currently I think even touche d at 28 cents per pound as well.

Rising crude prices incentivizing more diversion to ethanol and shipment delays due to heavy rains in Brazil coupled with the expected shortfall in production from India are rendering a bullish outlo ok for the prices in the medium -term. Rega

rding Indian scenario,
the drop in yi eld is due to t he El Nino conditions in the key serving states of Ka rnataka and Maharashtra. Our latest estimated production for the sugar year 2023 -2024 is expect ed at 337 lakh metric tons including diversion to ethanol , while the consumption remains flat. It may be noted that the total production for sugar year 2022- 2023 including diversion to ethanol was 368 lakh metric tons.

With this expected drop in production, we do not expect permission fo r sugar exports during this season 2023- 24 from the government. As far as ethano l blending program is concerned, the country has reached an estimated 11.5% of blending during the sugar year

2022 -23 which is equ ivalent to a diversion of 4.1 million metric tons of sugar to ethanol. As may be known to you, all the OMC s are yet to announc e the ethanol price revision for the year 2023 -24 in line with the FRP increase. We are hopeful that the government would favorably consider an upward revision of ethanol price to partly compensate for the F RP increase which has already happened.

Grain based distilleries are yet to get clarity on the rice supply from FCI though there is some solace in the form of price range from OMC's for ethanol made out of broken rice.

Now coming to performance: The standalone revenue from operations for the quarter ended 30th September 2023 was Rs. 726 crores registering a growth of 13% as against Rs. 644 Crores in the corresponding quarter of previous year. Earnings before depreciation inter est and taxes for the quarter ended was Rs.131 Crores as against Rs. 125 Crores in the corresponding quarter of previous year. Standalone profit after tax for the quarter was Rs. 86 Crores as against Rs.85 Crores in the corresponding quarter of the previous year. The standalone revenue from operations for half -year ended 30th September 2023 was Rs. 1424 Crores registering a growth of 4% as against 1363 Crores in the corresponding period of previous year. Earnings before depreciation interest and taxes and before exceptional items for the half year ended was Rs.116 Crores against Rs.136 Crores in the corresponding period of the previous year. Standalone profit after tax for the half year ended was 40 Crores against Rs. 98 Crores in the corresponding period of the previous year. The profit after tax for the half year ended includes on an exceptional gain of NIL, actually there is no exceptional gain in the current year as against the Rs. 44 Crores in the previous year on account of sale of properties relating to Pud ucherry and Pettavathalai factories in the corresponding period of previous year.

Sugar segment performance for the current quarter has been lower as compared to the corresponding quarter of the previous year mainly due to the export release order restric tions imposed by the government, however on the positive side this has been offset
by increase in domestic volume s by around 0.37 lakh metric ton in Q2 2023 -24 as against corresponding quarter of the previous year coupled wi th better domestic realizations.

Distillery segment has performed significantly better owning to increase volume from expansions and better realizations.

Base FRP for sugar season 2023-24 has been increased to 3150 per metric ton for a base recovery of 10.25%.

The standalone nutraceutical segment has registered a loss during the current quarter on

account of the continuing certification issues in Europe.
 Now I would request our CFO Mr. Venkateshwarlu to take you through the data points.
Over to you Mr. Venkateshwarlu .
Y. Venkateshwa rlu: Thank you Mr. Suresh and good afternoon to all participant s. It is a great pleasure to be part of the analyst call and share the key information of the operational

and financial
performance of the compan y. I would like to share with you the key opera ting parameters of the segments.
Sugar operations: The crushing operations at Nellikuppam and Pugalur units have carried out for 80 days and 91 days r espectively during this quarter. I would like to share the quantitative details as under. Crushing : Crushed about 8.54 lakh metric tons compared to the corresponding quarter of the previous year of 8.38 lakh metric tons. The recovery was 8.22% compared to the corresponding quarter of previous year 8.86%. We produced around 70,000 metric tons during this quarter against corresponding quarter of previous year 65,000 metric tons.
Cane cost: Overall can e landed cost is Rs. 3155 per metric ton and last year corresponding previous period was Rs.3062 per metric ton. This is mainly on account FR P increase impact from Rs. 2900 to Rs. 3050.
Segment wise performance: Sugar segments : sales volume for the quarter two we did a sales volume of around 1.27 lakhs metric tons and the previous year w as 1.17 lakhs metric tons. Selling price: Average selling price was about Rs. 37.57 per kg against previous year quarter of about Rs.36 per kg . We carried about 91000 metric tons of sugar closing stock.
Revenue from sugar: Quarter two r evenue was Rs. 507 Crores in current quarter against corresponding period of previous year of Rs. 464 Crores registering a growth of 9% as a result of better sales realization and increase in domestic sales volume compared to last year. All FRPs paid on time and no cane overd ue.
Cogen opera tions: As far as the cogen operations is concerned, we generated around 730 lakhs units in the current quart er against previous year quart er of 716 lakh units. We exported power about 362 lakhs units against previous year of 380 la khs units. Average realization of power was Rs.4. 59 per unit against previous year , which was Rs.4.46 per unit. Revenue for the quarter is 32 Crores against previous year quarter of 28 Crores. As far as the distillery operations is concerned, we sold 30 4 lakhs unit liters in the current quarter against previous year quarter of 231 lakhs. Out of 304 lakhs current quarter 14 4 lakhs liters ENA, 160 lakhs liters ethanol. As far as the price relation is concerned, for the curre nt quarter we realized about Rs.60.61 per liter against previous year quarter realization of
 Rs.58.38. In quarter two, the dist illery revenues was 190 Crores compared to the previous year quarter of 141 Crores.
As far as the Nutra business is concerned, the turnover from Indian operations were about 8.81 Crores against 22.17 Crores in the previous year q uarter. At the consolidate level , the Nutra business turnover was 57.7 7 Crores against corresponding previous year , which was 73.21 Crores. :
As far as the refinery business is concerned, o perational revenue for the current quarter is 1296 Crores against previous year quarter of Rs.582 Crores. Profit before tax for the current quarter is Rs. 13.59 Crores against previous year quarter loss of Rs.1 48 Crores. Refined sugar production for current quarter 2.44 lakh metric tons against previous year quarter 97000 metric tons. Refined sugar sales : For the current quarter 2.66 lakh metric tons against previous year quarters 1.48 lakhs metric tons. As far as Long term Loan is concerned , the current quarter outstanding is Rs. 200 Crores the same as the previous year quarter . As far as the short -term loans is concerned , current quarter outstanding is around Rs.34 Crores against previous year quarter of Rs. 327 Crores.
Thanks for listening to us. Now I leave the floor open for questions.
Moderator : Thank you sir. We will now begin the question-and -answer session. Anyone who wishes to ask a question may press '*' and '1' o their touchtone phone. If you wish to remove yourse

lf from the question queue, you may press'*' and '2'. Participants are requested to use handset while asking question. Ladies & gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mr . Sanjay Shah from KSA Shares & Securities Private Limited. Please go ahead, sir.
Sanjay Shah: Good afternoon gentlemen. Sir, I appreciate this quarter's performance as far as sugar is

concerned where we have grown by 69% compared to last quarter. In Co gen we have not done well, Distillery we have degrown, nutra ceutical EBITDA has shown a very good profitability, but top line has not grown. So it will be helpful to us if you clarify, how we are doing in the subsequent quarters, how we will do this year, and what about n utraceutical where the profit is so high and revenue has not grown. So what we are doing on that side.
Srikant han: Morning Mr. Sanjay Shah, I am Srikanthan here. This is regarding Nutra - First let me answer your question on top line. The degrowth as compared to last year Q2 was mainly due to Euro pe certification where we were billing to Europe last year . Due to delisting of certify ing body this year , we were not able to bill this quarter. We expect that to resume from Q4 as we are working with the new certifying bodies for that addition. On profitability , where you commented that profitability is better as compared to topline , part
 of the profitability was due to the reimbursement of insurance claim in Valensa, that i s why the profitability is looking better, and in terms of future as I was sharing with you because of accreditation with the EU and rev ival of the US market we expect t o do H2 much better than last year. Thank you.
Sanjay Shah: Helpful sir. Sir can you comment on distillery side, sugar refinery side. How we are do ing now, how do you see that panning ahead.
S. Suresh : If you have any specific questions and that would be better.
Sanjay Shah: Yes, the specific question was regarding refinery that how do you see future ahead for refinery because we have been incurring huge losses on refiner y side, nutraceu tical not growing since last so many years. So what is the plan of the company, is there any timeline where we would like to continue this or may held up or may even shutdown, a ny probability on that side sir.
S. Suresh : Actually if you look at the refinery I think against the previous year period of quarter 2, current quarter our operating performance is good. We expect this operating performance t o continue in Q3 and Q4 as well. This is an ongoing concern and we also mentioned in the earlier analyst calls , we are evaluating how do we a ugment the business in terms of certain capabilities , we already intimated to the investors also in the previous analyst calls. Operational performance has been an all time good and that should continue . Regarding strategic partnerships we have been communicating that will take some time. We have to find the right set of people which will add value to the business. So we would not be able to comment on the timeline at this moment . If it fructifies , obviously we will communicate.
Sanjay Shah: Okay sir. Thank you very much.
S. Suresh : Welcome.
Moderator : Thank you. The next question is from the line of Mr. Gautam Dedhia from Nalanda Securities Private Limited. Please go ahead, sir.
Gautam Dedhia : Hi, firs tly just because of the monsoon what do you expect crushing to be this year compared to last year ?
S. Suresh : I think the overall crushing is expected to be almost in line with the previous year , that is what we are looking at . Maybe there could be a marginal increas e in states like Tamil Nadu as compared to other places where the monsoon related challenges have been there. The
 acreages are intact , as we also see as we harvest , it is all about the yield happening in the field.
Gautam Dedhia : Okay, and on your branded business what would be the sugar sold in volume terms for the first half of this year and what would it have been last year first half ?
S. Suresh : I will just give you the exact details. You want the retail volumes , isn't it?
Gautam Dedhia : Yes, the branded FMCG whatever volumes.
S. Suresh : We must have almost close to 73% on the branded side . So we were around 47000 tons of YTD of last year and we are around 6 6000, 67000 tons this year. On a quarter -on-quarter basis , from 23000 tons we are at now 33000 tons.
Gautam Dedhia : For this FMCG operations , we would have hired few people to build a FMCG team. So just to get a sense on a quarterly basis what would be the expenses we would be recording under empl oyee expenses or other expenses , like a ballpark picture ?
S. Suresh : See I think this is not a ne w one for FMCG, the retail sug ar when you are selling that itself is on FMC G. Sugar is nothing but fa st moving consumer good only. I t is a daily consuming commodity that has been there for quite a while, nothing has coming new into the system.
Gautam Dedhia : Okay, and sir just one clarification , you said in the Nutra business we got some insurance claim. Can you quantify that amount.
Y. Venkateshwarlu: About 20 Crores we received, Gautam.

Gautam Dedhia : So, if I stripped that out our profit would have been 4 Crores and that kind of margin wou ld be sustainable going forward.
Y. Venkateshwarlu: This 20 Crores not from the Indian operations , this is from US operation s.
Gautam Dedhia : Okay, and just one more clarifications on the refinery business , the way you see things , right now you are very confident that in the second half we should be profitable.
S. Suresh : Yeah yeah , definitely.
Gautam Dedhia : Will it be better than the second half of last year like if we strip out the onetime expenses ?
S. Suresh : It should be definitel y.
 Gautam Dedhia : Okay , thank you sir.
Moderator : Thank you. The next question is from the line of Mr. Vismay Bhatt from Shree Securities. Please go ahead, sir.
Vismay Bhatt : Can you hear me?
Moderator : Yes, Sir
Vismay Bhatt : My first question is , does the company have any plans to expand Northwest , I mean north wards so as to div ersify our plant locations. Will we enter s tates like UP which has higher recovery rate?
S. Suresh : No, we do not have any plans beyond the south in terms of new factories.
Vismay Bhatt : How is the company enhancing distribution n etwork and what are its projection , how many retail outlets will we be in say two years ?
S. Suresh : Currently we are in roughly around a lakh o utlets both direct and indirect put together . Definitely they should be growing at the rate of minimum of 30% year -on-year basis.
Vismay Bhatt : What is the revenue in Cro res accruing out of the sale of value added sweeten ers, how much is it poise to grow by , what is the SK U wise breakage. Can you tell like white label how much revenue, Am rit jaggery powder, sweet care, how much revenue does each SKU give and what is our revenue in Crores which is coming out of the value added sweetener.
S. Suresh : We can give you a total value added sweetener s revenue SK U wise and all would be too much of a task . Just a s the other calls come in , we wi ll just collate the data and sh are it with you.
Vismay Bhatt : Sir can you help us to understand what is the impact of the exports ban on the company , how much will it affect our topline and bottom line ?
S. Suresh : If we have to take it as a last year eq uivalent volumes what we have exported , we did not have an y opportu

nity to export now. So that is the exact quantum and value , nothing else because these all about an opportunity export and not a regular item . It was an opportunity last year, but opportunity is not there this year.
Vismay Bhatt : So what is our company's advertising expenditure in Crores and how much will it increase by and what are the projections for that ?
 S. Suresh : See actually as we go forward and enter into more and more of fast moving consumer good items b eyond sugar, advertisement expen ses will go up. Currently it will be somewhere around 15- 16 Crores. These are all predominantly used for brand building, you must be seeing lot of ads in the South related to the products. New products getting into, this what you have asked about the value added sweet eners for that to be taken into the market , the ads have been t here and lot of resources are being pumped into build the brand Parry, which is going to be the foundation for the growth of the FMCG segment and these expenses will go up in the future as more and more products join in the FMCG channel .
Vismay Bhatt : Sir, my last question is , we were thinking about entering the millets in Chennai right. W e did the pilot survey, what was the result of that and are we going to venture into those millets ?
S. Suresh : I think those things have given us the confidence that we c an venture it into a commercial scale. We are evaluating the scale and the market in which we need to launch and the timeline of the launch , Maybe in another two to three months we should be having a fair idea about launch into the market.
Vismay Bhatt : Just I want to try to understand the salt m arket is mostly branded, but the sugar m arket is not so branded, is there any specific reason for that and how is the company going to capitalize on this opp ortunity of massive head growth?
S. Suresh : In fact that was the premise in which we did a b randed sugar some time back . Four to five years back and even now , the branded sugar is hardly 8% to 10% in the overall sugar market. The reason, salt has been branded because the Tata’s and other peoples or the Annapoorna’s of the world have worked on it for the last two to three decades to build that brand into such a category. So that is what we have attempted in sugar and we have been

really successful . The story of selling 600 tons per month in the retail c hannel five, six years back , today we are selling close to 12000 tons per month , that is the demonstration of the thing that the b randed category is there to grow , that is a huge opportunity probably we have enough sugar to sel l in the retail.

Vismay Bhatt : Sir how much does our company spend on slotting fees in supermarkets and to get it on the shelves ?

S. Suresh : Sorry, can you please repeat ?

Vismay Bhatt : Slotting fees means to put on the shel ves and everything we pay the retail store some money.

 S. Suresh : It varie s from shop-to -shop like depe nding on the chain of stores, depending on what sort of visibility we want in the particular o utlet. he terms of trade will vary from o utlet-to -outlet and chain -to-chain .

Moderator : Thank you so much, sir. The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC. Please go ahead , sir.

Naushad Chaudhary : Thanks for the opportunity. I hope my audio is fine. Firstly wanted to understand on our journey of branded sugar, just wanted you to explain us in terms of in next couple of years if this percentage of branded sugar business keeps improving. how this will change the overall economics of our business ?

S. Suresh : Thanks for the question. If you look at the Indian sugar m arket , the average per capita consumption is somewhere around Rs. 18 per ki lo. The consumption pat

tern are totally different, that is one is at the home and another is at the on the go consumptions at hotels and restaurants, eating out and all those things. Predominantly , 65% of the sugar is getting sold in the institutional segments where the institutions prefer a quality is supplied by leading brands in the country which is sold in bulk, the balance 35% is the retail sugar, out of that universe of retail sugar , only around 8% to 10% is the branded category which are even lower in the earlier stages. Now the consumerism growing and consumers are becoming conscious about the hygiene , conscious about the quality of the sugar which is being supplied to them . There is more and more need for a branded sugar which is coming in, that is where the company has decided to launch brand Parry and then drive the retail consumer pack of the sugar. We have started with the base sugar and then we have sugar at every price point. For example, if you go to a s upermarket there are unbranded sugar being sold in poly covers , we have got an equivalent price point level sugar also available , branded , trustworthy Parry sugar available for the customer and then go up in terms of the ladder we have got different price points, different quality of sugar for the respective consumer segments is available going up to brown sugar , Jaggery and then even for the health conscious people there is a Low GI sugar . So that is the way the brand is being built and from Par ry, we are offering the Par ry stands for the trust, Parry stands for quality, hygiene, reliability and that is what the customer is looking for and sugar being a daily consuming item and as Par ry is able to give that one , that is a huge opport unity for this categor y to grow. We only hope and wish that enough sugar is being made available for being sold into the market.

Naushad Chaudhary : Interesting, actually I was trying to understand from a profitability point of view. So today if I calculate roughly on our EBIT, we get around Rs. 2.5 to Rs.3 on our sugar business and as your branded business keeps growing, is there a potential to double your EB IT per kg or

 more than that because you have a high price range here and your raw material cost would not inch up much.

S. Suresh : Actually I will put it this way it will be too early to count the results on FMCG business, the branded product selling is a slow burn. It is going to give you very good returns in the long run, what we are building now is a brand Parry , the brand e quity is getting built and consumers are getting into this the more and more in value added products proposition. Saliency in the sales goes up which is going to give increased realizations coming in . Maybe by next year , by this time we should be in a better position to talk about the EBIT and other things for the FMCG as a segment because by that time, if you see the Jag gery what we have launched is doing well , the brown sugar is there then there is a L ow GI sugar all would have come to some different level. So it will be too early to talk about the profitability because this is the phase in which we are building the brand and establishing that in the minds of the consumers.

Naushad Chaudhary : Do not quantify it sir, but qualitatively do you think the pote ntial is huge here once your expansion, cost in control is there , is there a huge potential to grow your EBITDA per kg

here.
S. Suresh : Yes, definitely it is there , see compared to the unbranded sugar being sold in the market , there is at least a Re.1 net premium available to the branded sugar . So as you go up in the value chain in terms of brown sugar, Jag gery and then Low GI. The value propositions are higher because they are all targeted towards the health conscious customers and the customer base grows obviously the proportion of this val

ue added category also grows and hence the profitability of this FMCG will automatically increase. There is a huge opportunity and Parry's geared up to cash on the opportunities. .
Naushad Chaudhary : One last then , I will come back in queue. Can you roughly quantify how much do we spend, are we spending annually on our distribution a nd brand?
S. Suresh : I said that we are on the sale value , we ar e spending around 3%.
Naushad Chaudhary : Okay that includes your expansion, y our ad everything right ?
S. Suresh : Yes.
Naushad Chaudhary : Okay I will come back in queue. Thank you so much.
Moderator : Thank you. The next question is from the line of Mr . Rajesh Majumdar from B& K Securities India Private Limited. Please go ahead, sir.
 Rajesh Majumdar : Good afternoon sir and thanks for the opportunity. Sir I had a specific question on our sulfur free sugar, what is the capacity of sulfur less sugar we have in Haliyal and what it is operating at and at what realizations you are getting in the sulfur less sugar category ?
S. Suresh : Sulfur free sugar is roughly around 1.5 lakh tons per annum equivalent is available .
Rajesh Majumdar : 1.5 lakh tons per annum ?
S. Suresh : Yeah.
Rajesh Majumdar : And what is the capacity there and how much can it go to there ?
S. Suresh : If it runs to the full capacity that is what we can do. Depending on the consumer demand we have , we will produce.
Rajesh Majumdar : That i s the capacity and what are we doing ri ght now in terms of the volumes ?
S. Suresh : The plant is fully loaded and we are selling it to t he retail as well as institutional customers.
Rajesh Majumdar : And what is the realization that we are getting versus the other products ?
S. Suresh : Sorry, what is th e question
Rajesh Majumdar : The realization in the sulfur free sugar.
S. Suresh : That is you talking about r etail realization or what is it?
Rajesh Majumdar : I was asking , whether the sulfur free sugar is selling at a higher price than the normal branded sugar price.
S. Suresh : All the sugar are sulfur free . There are set of customers who prefer only sulfur free. So that is becoming the norm now a days.
Rajesh Majumdar : So my second question is on Kakinada what steps have we taken to ensure that the profitability is maintained and that the past are not repeated ?
S. Suresh : See but for the unfortunate things which happened , the factory has been running very efficiently . In fact , off late we have even achieved world class efficiencies in terms of process as well and we have taken some measures , what are the areas which are directly under our influence we have worked upon. So we are very good in terms of our cost and also trying to lock our white premiums at the right times in the market that i s what has
 given us the benefit of better profitability and that we will continue to do so in the quarters to come.
Rajesh Majumdar : So we are fairly certain that the kind of things you ha ve seen in the past are not repeated or continue, is that a fair assumption to make?
S. Suresh : We should be abl e to maintain the profitability.
Rajesh Majumdar : Thank you so much.
Moderator : Thank you. The next question is from the line of Mr. Ritwik Seth from Oneup Financial Consultants Private Limited. Please go ahead, sir.
Ritwik Seth : Hi, good afternoon sir. Couple of questions. Firstly I understand our business is seasonal in nature, but if I look at the first half , our EBITDA has deteriorated because of increase in FRP and lower yield as well. So what do you expect for second half because generally it is the half where we cover up as crushing goes on. So what is the expectation for second half because exports will not be there as it lo

oks like currently. So would we be able to cover up in second half or it will be softer th an the last year , that is what I am trying to understand.
S. Suresh : As far as I see, there are only two things compared to the last year . exports are not there to that extent that opportunit y is not available for the mill. We lost almost 70000 tons the

export s in the H1 of last year. That is one, second is the FRP increased to that extent there is a hit for all the sugar m ills but for that in terms of volumes you should be slightly better than the last year and accordingly the performance also in terms of operating parameters , you should be in line with the last year .

Ritwik Seth : So all the expenses should be flat and exports will not be there.

S. Suresh : No, I am saying the overall perform ance should be in line , that i s what I am saying.

Ritwik Seth : Sir, my second question is on the FMCG , couple of participants have also asked. So would it be possible to share some update because in the annual report we have mentioned about getting into nutrition food. So if you can throw some light , how is it progressing, what kind of investments are we making, and if you can throw some color on that, that would be helpful.

S. Suresh : Thanks for the question. See this FMCG model on sugar has been rolled out five, six years back and it is doing well . As I have explained to you earlier , we hav e also gone up the pyramid in terms starting from the base sugar up to a lot of value added sweet eners have

 been launched in the market and they are already present in more than lakh outlets and this has given us the confidence and that the Parry brand is totally under leveraged and it has got a huge potential and as I have explained earlier it stands for a lot of things from a consumer point of view and we have taken some m arket t rials, pilot trials in the other staples and other categories in terms of foo ds. So that is what we will be e valuating and then going int o the market in the future. So maybe in the next quarter we wi ll have some good idea about that and definitely we are also bullish about that opportunity before us and we wi ll be doing our homework and then getting into the market based on our homework.

Ritwik Seth : And just a clarification in the opening remarks , you mentioned refinery debt is 235 Crores right which includes 200 Crores long-term and 35 Crores short -term.

S. Suresh : Yes.

Ritwik Set h: Okay great. Thank you sir, bes t wishes for the festive season. Happy Diwali to you all the best.

Moderator : Thank you. The next question is from the line of Ms. Falgu ni D utta from Mansarova r Financial Services Private Limited. Please go ahead, madam.

Falguni Dutta : Good afternoon sir. I just had one question, what will be the cost of sugar for F Y2024 ?

Y. Venkateshwarlu: Our cost of production as of now it will be around Rs. 32000/mt to Rs.33000/mt.

Falguni Dutta : And this will be a before interest ?

Y. Ven kateshwarlu: Yes, when you say cost production it will be excluding interest.

Falguni Dutta : And including depreciation right ?

Y. Venkateshwarlu: Yes.

Falguni Dutta : Along with it I just wanted to know given that the sugar prices have increased quite a bit now in the last , let us say a month or so, So do not we see a significant improvement in profitability of the sugar di vision as compared to last year ?

S. Suresh : The sugar prices have gone up I think the FRPs have gone up prior to that already. So I think you ma y have to accordingly calculate.

Falguni Dutta : So you mean to say the increase is not just offsetting the F RP, is it?

 S. Suresh : Normally when the sugar price increases , if you see historically a s and when the FRP increases the market does not f actor -

in the increase in terms of the sugar prices . There is a lag of 12 to 14 months and the entire price increase is not passed on to the trade . That is why government steps in, in the form of giving better prices for the ethanol , which is being produced. In fact I have said in the opening rem arks that we only hope that government will be favorably consider the increase in the ethanol prices. So that is the policy in the entire thing that the sugar prices are not going up in line with the increase in the cost of the input material.

Falguni Dutta : Thank you sir, that is all from my side.

Moderator : Thank you ma dam. The next question is from the line of Mr . Kashyap from Broadview Research Private Limited. Please go ahead, sir.

Kashyap : Hi, thanks for my question. Just I could n ot hear a couple of things, just to re -clarify if I recollect the borrowing in the la st quarter , when we spoke during the last earnings call was 600 Crores short -term in the refinery and 200 Crores long-term. So it was infact the refiner y debt was 800 Crores, so at this point in time the refiner y long-term debt stands at 200 Crores and the short -term debt which was 600 Cror es is now down to 35 Crores , is that the understanding?

S. Suresh : Yes, you are right.

Kashyap : You also mentioned that we expect the Q2 -Q3 to be sustainable. So I am just trying to understand the profit that we made in this quarter , 38-39 Crores basically that is a function of, I mean, is that repeatable in the next couple of q uarters?
S. Suresh : See, there is a reversal of MTM , beyond that also operations will be profitable.
Kashyap : I am sorry, please come again.
S. Suresh : See the quarter 2 also includes some reversal from the MTM line item , that means the business has done well in terms of the trade desk as well. So going forward the operational but for the onetime reversal s which have happened, business will continue to be profitable.
Kashyap : In this year if I recollect , the refinery has to pay the long-term debts to the parent EID, so if we are p rofitable in the second quarter, third quarter will be as well. Should we expect the 200 Crores which is a loan given from EID to the refinery, whether refinery will pay to that EID start getting the money. So will the refinery be paying 100 Crores this year or later? I mean how should one think about it ?
 S. Suresh : I think, two more years are there. S o 200 Crores is payable by 2025. Of course we will be continuously evaluating. Because now the sugar prices are going up in the market , we have to see the requirements of the business for buying the same amount of sugar which was 20 cents ear lier, now sugar is 28 cents , then you need that much of extra . This one we have to see how the cash will be deployed first to ensure profitability of the business , then the surplus cash will be used for paying off the debts . We have time up to 2025 , we will ta ke a judicious call after this.
Kashyap : Understood. a nd just the debt that has gone down, basically it is, how one should think about it, it is basically a function about payables or it is just inventory, I mean, how should one think about it ?
Y. Ven kateshwarlu: It is a combination of couple of things, one is if you recollect in the June or somewhere our trade desk margin money got r eleased that is the first thing. Second thing is also last quarter we had a good sales about 2.4 lakhs metric tons which we have sold it. So that is also got come cash into the system. Yes, what you said is correct because there is some payable also would have been there , all these got contributed to reduce the de bt of external debt.
Kashyap : Should one think about that thi s because this is pretty dynamic so will this kind of a picture sustain or will the debt go

up, I mean, how should one kind of just think about this business in terms of incremental borrowing ?
S. Suresh : See the working capital requirements will be a function of the q uantum of inventory we can maintain or we need to maintain. So depending on this, if there is going to be an opportunity in terms of lower raws available on a landed cost basis , business will go in for some higher level of working capital loan and then secure that one because ultimately the performance of the business is the first . One if working capital is going to help us in getting better spreads by locking the raws at a lower p rice we will go ahead and do so. Otherwise we'll remain lean on the inventory.
Kashyap : And lastly on this N utra thing , you said 20 Crores was the reimbursement which came in which is one time in nature and if I look at difference between s tandalone PBIT and console PBIT, it is a 25 -26 Crores profit which basically is for Valen sa. So is this 5 -6 Crores number which is net of f this 20 Crores one time sustainable on a going forward basis at Valen sa?
Srikant han: Yes, Mr. Kashyap , incremental 5 -6 Crores came from operational improvements in Valen sa and we were able to buy some of the raw materials at a comp etitive rate. So it should be sustainable.
 Kashyap : It should be sustainable great, and finally if I may just slip in one last question, which is about the branded sugar. Could you just maybe pull out what is the contribut ion, if we sold 127,000 tons of sugar , how much is the total branded sugar sales within this in terms of percentage of sales volume an d how should one think about it, what was it maybe a year or two years back and how should one think about this progressi vely maybe 2 -3 years out in your view ?
S. Suresh : See the branded sugar , I will give you the statistics in terms of what is the percentage and what is it going to be going forward. If I can say roughly out of the 3.5 or 3.6 lak h tons of sugar what we are going to sell , close to around 1.4 lakh tons will be on the branded sugar and if I have to equate it five years back we were selling 10000 tons on a base of around 4 lakh tons.
Kashyap : So almost 40% would be branded sugar.
S. Suresh : Correct.
Kashyap : And that incrementally over the next 5 years or next 3 years can this be expected to be

significantly high like 2 /3rd or more, I mean, where do you think we can take this up to in your view ?
S. Suresh : See the opportunity exists , we have to see how much of s ugar will be available to sell. W e have to look at other ways and means of securing the sugar that is how the b randed retail will grow of course still we have an untapped opportunity. W hat we are selling into trade is an opportunity for us to get converted into branded sales. First we will exhaust that then we will look at that.
Kashyap : And this 1.4 Lakh tonnes, which you sell for instance whatever that if 35 %- 40% increase this quarter what should be the salience, which is 37.5, is a blended NSR , how much higher would be the NSR of this branded sugar , would it be 39, would it be 40 , would it be 38. 5, what is the delta and how meaningfully can the d elta go up over the next few years.
S. Suresh : Yes, see it depends , like this for example, if it is a base sugar, the realization will be somewhere around Rs.40 -Rs.45 and for the other sugars it will be somewhere around Rs.60 or so for the refined sugars and the super refined sugars that will be somewhere around 65 that is the realization what the company will be getting in. Of course for the high value added products , there are associated cost as well, but definitely the gr oss margins of these value added sweeteners are definitely better than the base sugar that i s what is currently .
 Kashyap : Currently that spread is n ot visible in the profitability. So I am just presuming that the delta right now is very minimal. So just wanted to understand what is that d elta right now is it Re.1 higher , Rs.2 h igher at the total.
S. Suresh : That is somewhere around Re.1 to Rs.2 because most of the things is coming to the base sugar.
Kashyap : And how do you think about this d elta in terms of expansion of this delta over the next few years.
S. Suresh : The delta will improve based on the value added s weetener s saliency in the overall portfolio, that i s where the new sugars like your brown sugar , Amrit , then you have the Jagger y or low GI , those are the ones which are going to improve the delta, because consumers are looking for that type of health products in sugar . They want to use sugar, but they want to use healthy sugars as well, better sugars as well, consumers who use normal sugar and there are consumers who are willing to pay that extra prem ium for using the better sugars. So we have got a portfolio of produc ts in the b etter sugar category in the form of Amrit, brown sugar, then Jaggery, then low G I, etc., and super fine sugar and these are the ones which are going to grow as we grow in terms of the number of outlets . Expansion of these o utlets will help us to take these value added products into those new outlets as well, thereby contributing to the growth in top line as well as profitability.
Kashyap : Understood, okay sir, thank you so much and wish the team best of luck.
S. Suresh : Thankyou, Mr Kashyap - Thankyou
Moderator : Thank you. The next question is from the line of Mr . Gautam from Nalanda Securities Private Limited. Please go ahead, sir.
Gautam : Thanks for the follow -up. Just a long- term picture question. So based on our current crushing and if we assume we produce b- heavy molasses and we just consume captive molasses what is the potential capacity we can further add post our expansion plans that will be completed in F Y2025 ?
S. Suresh : So overall ENA and ethanol put together somewhere around 21 crores liters will be the thing , which will be done in 2024-2025.
Gautam : No, but beyond that based on our crushing capacity, if you were just to consume captive molasses what would be the potential? So this 21 can go to how much like based on our crushing?
 S. Suresh : No, captive molasses if you look at , Karnataka expansion what we have done in Haliy al has taken into account based upon the captive molasses generation . Accordingly t he capacities have been defined. So there is no further surplus available there. A s far as Tamil Nadu is concerned , there is expansion in Nellikuppam and other places . This is only helping us to reduce the (bought out) molasses by 50%. There will not be any additional molasses available to improve the capacity.
Gautam : Thank you si r.
Moderator: : Thank you. The next question is from the line of Mr. K aran Mehta, an individual investor. Please go ahead, sir.
Karan Mehta : Thank you sir for the opportunity. I just have a couple of questions, firstly on the refinery business though we are the most efficient in this business, but still we are not making much

money there and so what are our weaknesses or shortcomings in this business and how can we overcome these. T hough the investor says this, it is not right when you read it as a sentence to have better profitability.
S. Suresh : See as I was explaining in the startup, the biggest driver of this business profitability is the white premiums or the spreads which are available for the business. While the raw sugar and white sugar prices are increased also the freight rates and other things also have increased. Hence the net spread available to the business for making disproportionate profits is very much

limited . The efficiencies and operational improvements have helped this business to stay offload even when the spreads were the lowest . We have never shut down our refinery for want of spreads , that means our cost which was used to be almost close to $70-$80 has come down significantly in order to help us to operate even during lower spreads. So the time when the spread is going to improve in the international market , that is going to add to the profitability. So what we are working on currently and we have built the efficiency is in terms of whatever u nder our influence we work . That i s how we ha ve become the world class refiner y in terms of our operating cost. We are now hoping that the markets will improve, the spreads will improve, so that we make better margins and better profits.
Karan Mehta : And secondly when we compare our sugar , Cogen and Distillery business ex of refinery with our competitors we find t hat our margins are a bit lower, so what are the reasons for the same and what steps are we taking to have better margins going ahead?
S. Suresh : Which are the competitors you have compared I do not know.
 Karan Mehta : So specifically it is Bannari Amman Sugar but even some other competitors have slightly have got better margins than us.
S. Suresh : No, actually see we continuously focus on our cost because there is recover y which is going to make the difference in any sugar factory. A factory in the coastal has got a less than 9% recovery compared to a factory which is in the interior which is having 11% recovery in the same state of Tamil Nadu. So there is a crushing capacity, there is a can e availability , then there is going to be the recovery . All these factors will de cide the conversion cost or the total cost of sugar for any particular sugar mill. I think it is important to look at it from that perspective given the fact that we have certain command area and certain location and the recoveries we will try to optimize and bring down the cost and operate at the most efficient manner possible.
Karan Mehta : So H2 seems to be better for all these three divisio ns. So that it would be in line with like last year.
S. Suresh : Yes, it should be and you have to d iscount the exports a nd related thing which are there last year an d which is not in the current year.
Karan Mehta : And sir just following up on refinery like you have brought in several cost efficiency measures and that is very great, but do we expect spreads to go even further down and what would be our profitability in that scenario ?
S.Suresh: The spreads in my assessment have already touched the bottom some maybe few months back itself or las t year or so. I do not expect it to go down to that level . Once spreads narrow down to a level in which you cannot even be break even at the variable cost level , then all the refi neries will shut down , which itself will take up the white premium to the next level and the spreads should bounce back. That i s how it will operate. So that others operating at the variable cost level automatically will supply refined sugar, the refined sugar market in the world maybe around some 20 -25 million tons compared to the total fig ure of 180 million tons. So if you have the all the refiners decide to shut down, automatically all premiums will go up . So that is how the demand supply will work.
Karan Mehta: : Fine, thank you sir for all the clarification.
Moderator : Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC. Please go ahead, sir.
 Naushad Chaudhary : Thanks for the opportunity again. On the branded business , are there any entry barriers and
if you can explain what all chal lenges we have faced in last five years

to build this business ,
it will help us to understand t he criticality of this business.
S. Suresh : I think I explained this also earlier . The important thing in any branded business is about first your product need s, you should have a good brand, which we have already, excellent brand Parry, you need to build the brand and make it visible and in the minds of the

consumers that is the important thing as we have been doing. To support that , we need to have a range of pr oducts, which the brand has got a portfolio to offer to the consumers . We have done that as well and once the products are available we should go and reach the consumers . That means we need to increase the number of outlets in which we are present. So we were around some 6 000-7000 outlets five years back. Now we are close to around one lakh plus outlets. So we need to sustain this, we need to continue to build the brand, continue to offer the quality products to the consumers, and increase the reach in the future timeframe in terms of increasing the number of outlets in which we are present . That should help us to grow the business further , that i s how it i s. The opportunity is the branded sugar segment category which is relatively low compared to other FMCG products , Hence there is an opportunity for the business.

Naushad Chaudhary : Understood. From an operating leverage point of view , what do you think at what scale the branded business should start contributing meaningfully to your EBITDA.

S. Suresh : Once the value added sweet eners should touch almost 25%-30 % of the overall sale , automatically the business will go to the different things.

Naushad Chaudhary : And what is that number today ?

S. Suresh : Today it is around 5% value added sweeteners.

Naushad Chaudhary : And what is your CapEx plan for 2024 and after that ?

S. Suresh : Except for the replacement CapEx we do not envisage any major CapEx plan for th e base business.

Y. Venkateshwarlu: Except the expansion which is underway. So there is no other major Cap Ex plan for the future years except we will have the maintenance CapEx which will be there year -on-year basis.

Naushad Chaudhary : And I hope there is no cap so if at all you want you can shift your entire sugar to a branded business or is there any cap that you have to sell it to XYZ channel.

 S. Suresh : No currently we are present in the trade channel, institutional channel and retail channel. So as I explained earlier , the first shift will be to reduce the trade and then convert them as retail channel af ter that the next level will be, if the retail is going to be that much profitable , the relatively lower profitable institutional customers will be and we may have to log off and then we may have to start building the retail system.

Naushad Chaudhary : Understood. Thank you so much, and all the best for the future sir.

Moderator : Thank you. The next question is from the line of Mr. Aman Shah from Jeetay Investments Private Limited. Please go ahead, sir.

Aman Shah: Hi, thank you for taking my question . Just I had one question on our sugar business. When we see our profitability for H1 compared to our competitor Bannari Amman mainly which is in Karnataka, Tamil Nadu. In H1 we see a widely different profitability . Can you help us understand what are the drivers for this ?

S. Suresh : I think we have already answered this. We are present ly in three states . On these three states our recover y range anywhere from 8.5% to 12.5 %. It is a spectrum of recovery across our plants so the commentarial effect of this will have an impact on the profitability. So it will not be appropriate to compare one particular mill with one set of six /seven mills combined together with the range of recovery.

Aman Shah: The only reason was like for full year of last year F Y2023 , recovery

was higher than
Bannari Amman. So we just thought like can there be any other thing on this ?

S. Suresh : I am not able to get your question. Can you please repeat ?

Aman Shah: So recovery for last year for us was somewhere around 10.6% compared to what Ban nari Amman was having is 9.5%.

S. Suresh : We have got so many establishments' , integrated distilleries and recover y is one component of that. I do not know how many distilleries Bannari has got along with the sugar plant. So there is going to be a product of the recovered sugar getting converted as molasses , then we have storages formula so we have got investment from distilleries produce alcohol there is operating cost for that there is a fixed cost for that there are so many things . Recovery may be taking as one single factor in comparison may not be appropriate in our view point.

Aman Shah: Sir, then another is on the retail part , you have given a lot of clarifications on the work that we are doing just on this the investment that right now are going into building the value added product . Is it safe to say like right now we will be in a slow burn mode on EBIT basis

 for the retail segment like some losses would be happening right now or breakeven is happening if you can guide on the profitability.

S. Suresh : When I said, the slow burn happening , means if it takes time for it to build, that is what I said as slow burn. Whatever we spend on the advertisements , these are all for building the brand. T hey should be treated as investments n ot as expenditures and losses . That is what I call as a slow burn. W e have to build the brand, we have to increase the number of outlets, we have to increase our reach, establish a port folio of products. This takes time, we need patience for building that. For selling that 144000 tons in trade we do n ot need that type of setup. I can just sell it as it is, but for the business to be sustained over a longer period into decades , the bes t thing is to build it properly, build it in a slow steady model, and then scale it up, that is what we are doing.

Aman Shah: So we should start seeing a good contribution to profitability from four to six quarter s you feel in this segment ?

S. Suresh : Definitely.

Aman Shah: And on refinery just we think the outlook will be better from now , the Q2 profitability will be maintained, but what were the white premiums and for how much period would we have locked these premiums ?

S. Suresh : See as of now for running the refinery for this financial year we already l ocked our premiums that i s why I have been saying that we should be running better in the H2. For the next financial year we are waiting for the right opportunities in the market to lock our premium s.

Aman Shah: Okay, great sir, thank you so much.

Moderator : Thank you. In the interest of time that would be the last question. I would now like to hand the conference over to the management for the closing comments.

S. Suresh : Thank you and I would like to thank all the participants for having taken the ir time out and joining us for this call . Hoping to meet you in the next call in the 3 months from now.

Thank you, all the very best to you, and Happy Di wali wishes to everyone.

Moderator : Thank you sir. On behalf of DAM Capital Advisers Limited that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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February 14, 2024
BSE Limited
pt Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India .
Tel: 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN: L24211 TNl 975PLC006989
Website: www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter/nine months ended December 31, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript for the con-call held on Wednesday, February 7, 2024, on the unaudited financial results for the quarter/nine months ended December 31, 2023.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
~
murugappa

"E.I.D.-Parry (India) Limited
Q3 FY'24 Earnings Conference Call"
February 07, 2024

MANAGEMENT : M R. S. SURESH – MANAGING DIRECTOR – E.I.D.-PARRY (INDIA) LIMITED
M R. MUTHIAH MURUGAPPAN -- WHOLE TIME DIRECTOR – E.I.D.-P ARRY (INDIA) LIMITED
M R. SURESH KANNAN – WHOLE TIME DIRECTOR – PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
M R. Y. VENKATESHWARLU – CHIEF FINANCIAL OFFICER – E.I.D.-P ARRY (INDIA) LIMITED
M R. BISWA MOHAN RATH – COMPANY SECRETARY – E.I.D.-P ARRY (INDIA) LIMITED

MODERATOR : M R. SANJAY MANYAL – DAM CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the EID Parry India Q3 FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assist ance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors Limited.
Thank you and over to you, sir.
Sanjay Manyal: Hello everyone, a very good morning to all. We thank the EID Parry's management for giving us the opportunity to host this call. On the call today, we have with us Mr. Suresh, Managing Director, Mr. Muthiah Murugappan, Whole Time Director, Mr. Suresh Kannan, Whole Time Director, Parry Sugars Refinery India Limited, Mr. Y. Venkateshwarlu, CFO, Mr. Biswa Mohan Rath, Company Secretary. I hand over the call to EID Parry's management for the opening comments, followed by question and answer session. Thank you and over to you, sir.
Suresh: Yes, good morning. Good morning all. It gives me pleasure to be part of this analyst call to share and update on the global and Indian scenario and explain the Q3 performance of the company.
On the global scenario, the global sugar surplus projection for the sugar year 2023-24 is pegged at 6.32 million metric tons of raw value, which is 16% lesser than the previously estimated surplus. The drop in availability is attributable to production cuts in Thailand, Mexico, Guatemala, Australia and the EU, partly offset by the increase in production at Brazil. Raw sugar futures have tumbled to 20 cents per pound during the last week of December, having reached historical heights of 28 cents per pound a month earlier.
This is attributable to record high exports from Brazil, thanks to better crops and reduced congestion at the Brazilian ports. Latest reports from the Bra

z ilian industry, UNICA, revealed a 23.5 percentage increase in sugar output in the first eight months of the current marketing year, in comparison with the same period of last year. The increase in premium of sugar prices over ethanol at Brazil, incentivizing more crystallization, is rendering a bearish outlook to the global prices in the medium term.
On the Indian scenario, with the drop in diversion of sugar to ethanol as per the latest estimates from ISMA, the sugar production for the sugar year '23-'24 is pegged at 315 lakh metric tons. With consumption being plateaued at 275 lakh metric tons to 280 lakh metric tons, the closing stock for the sugar year '23-'24 would be 75 lakh metric tons, which is 52% higher than the previous year closing stock. As may be known to you all, the government has put an embargo on using sugarcane juice syrup for producing ethanol for the ethanol sugar year '23-'24. While the oil marketing companies have increased the procurement price of ethanol from C molasses, it is still not commensurate with the total production cost.
Regarding the Q3 performance, the stand-alone revenue from operations for the quarter ended 31st December 2023 was INR668 crores, registering a decline of 8% as against INR725 crores in the corresponding quarter of previous year. ~ ~ ...

Earnings before depreciation, interest and taxes (EBITDA) for the quarter ended was INR24 crores as against INR63 crores in the corresponding quarter of previous year. Stand-alone loss after tax for the quarter was INR14 crores as against profit of INR16 crores for the corresponding quarter of the previous year.
The stand-alone revenue from operations for the 9 months ended 31st December 2023 was INR2,092 crores as against INR2,088 crores in the corresponding quarter of previous year.
Earnings before depreciation, interest and taxes (EBITDA) and before exceptional items for the 9 months ended was INR140 crores as against INR199 crores in the corresponding period of the previous year. Stand-alone profit after tax for the 9 months ended was INR27 crores as against INR114 crores in the corresponding quarter of previous year. The profit after tax for the 9 months ended includes an exceptional gain of INR Nil as against INR44 crores on account of sale of properties relating to Puducherry and Pettavaithalai factories in the corresponding period of previous year.
The operating performance of the sugar segment for the current Q3 has been lower as compared to the Q3 of the previous year on account of the reduction in export volume due to the restrictions imposed by the government, partially offset by the increase in domestic volume and realization. Cane crushed for the quarter has been

slightly lower than the corresponding quarter of the
previous year and the sugar recovery has marginally reduced due to the prevailing climatic conditions. Distillery profitability in the current quarter has been better on account of the volume benefits flowing from expansion and better realization.
However, the full benefits of expansion have not flown in the quarter due to the change in government policy on syrup, ethanol as well as B Heavy ethanol. While the total blending in sugar year 2022-23 was around 12%, the policy decision of restricting the use of sugarcane juice or syrup is expected to adversely impact the EBP targets and consequently the performance of the distilleries and also their capacity utilization. The standalone nutraceutical segment has registered a loss during the current quarter on account of the continuing certification issues in Europe.
With this, I would like to hand it over to Mr . Venkateshwarlu, our CFO, for the other details.
Y. Venkateshwarlu: Thank you, Suresh and Muthu and good morning to all participants. It is a great pleasure to be part of the Analyst call and to share the key information of the operational an

d financial
performance of the company. I would like to share with you the key operating parameters of each segment.
As far as the sugar operations is concerned, we have started the crushing operations in all the three states, Karnataka, Tamil Nadu and Andhra Pradesh. In Tamil Nadu, we crushed about around 40 to 45 days during the quarter. And Sankli in AP and Karnataka, we crushed about around 60 to 65 days on average.
So, I would like to share the quantitative details. So as far as the crushing is concerned for the current quarter, 17.76 lakhs metric ton we have crushed. So, against the corresponding quarter ~ ~ ...

of the previous year was 17.78 lakhs, very marginal decline. As far as the recovery is concerned, 10.14% for the current quarter compared to the previous corresponding quarter, it was 10.49%.
The recovery has dr opped due to the climate conditions prev ailing in South Tamil Nadu and rain impact in Karnataka state. As far as production is concerned, we produced around 1.5 lakhs metric ton during the quarter, against the corresponding quarter of the previous year, it was 1.7 lakhs metric ton.
Cane cost. Overall, cane landed cost is INR 3,543 per metric ton and last year corresponding period was INR 3,360 per metric ton. The increase is only on account of FRP increase of the last year. Sales volume for the quarter three, we did sales of around 1.1 lakhs metric ton. These are purely from the domestic. And the previous year it was 1.38 lakhs metric ton.
The composition of 1.38 lakhs metric ton, 90 thousand was domestic and 49 thousand was from exports. Average selling price was about INR38.71/kg for the current quarter, whereas the same was INR36.19/kg in the corresponding previous quarter. We carry about 1.42 lakhs metric tons of sugar as of December 23 valued at around INR33/kg.
Revenue from sugar, was INR449 crores in the current quarter against the corresponding period, the previous year it was INR536 crores. We registered a decline of 16% on account of export restrictions imposed by the government, partly offset by increase in domestic sales and prices. All FRPs paid on time. No cane overdues as of today.
As far as the cogen operation is concerned, we generated around 1,366 lakhs units against previous year of 1,341 lakhs units. We exported about 677 lakhs units against previous year which was 675 lakhs units. The average tariff is increased at INR4.91 per unit against previous year INR4.42 per unit. Revenue from cogen segment is INR60.74 crores in the current quarter
against previous year which was INR56 crores.
As far as the distillery operations is concerned, we sold in the current quarter around 2.73 crores liters against the previous period 2.25 crores liters. The composition of total alcohol of 2.73 crores consists of ENA 1.22 crores and etha nol 1.51 crores. Current quarter average price realization is INR 62.82 per litre. Previous period it was INR 61.11 per litre.
As far as the revenue is concerned, current quarter INR177 crores compared to previous period INR141 crores. As far as the Nutra is concerned, the turnover from Indian operations was about INR8 crores against INR14 crores in the previous year. At the consolidated level, the Nutra business turnover is INR47 crores against corresponding previous year, which was INR62
crores.
As far as the refinery operations is concerned, operational revenue for the quarter is INR 1,597 crores against Q3 of 2022-'23, INR 945 crores.
Profit before tax for the current quarter is INR 7 crores against loss of INR54 crores in Q3 '22-'23. Refined sugar production for the current quarter is INR1.96 lakhs metric tons. In Q3 '22-'23, it was 2.27 lakhs metric tons. ~ ~ ...

As far as the refined sugar sales is concerned, for the current quarter it was 2.76 lakh metric to

ns,
against December '22, it was around 2.37 lakh metric tons. So as far as the long-term loans is concerned, it is INR 200 crores as against Q3 ’22-’23 which was INR 200 crores., it is due to
E.I.D.-Parry (India) Limited which is outstandin g. The short-term loans for the current quarter is INR9.35 crores. Previous year, it was INR761 crores.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gautam Dedhia from Nalanda Securities. Please go ahead.

Gautam Dedhia: Can you give me the data for your branded sugar volume and average realisation for the quarter?

Muthiah Murugappan: Good morning. The retail sale is about 34,000 tons. This is up from 25,000 tons last year's same quarter. That is a good growth. Also, in terms of the overall sales of 1.1, this is about 31-odd-percent. Last year's trends were about 27%. This year, it is about 31-odd-percent. In terms of the premiums over the trade price, our realisations are about INR2.30 higher than what you are getting on trade price.

Gautam Dedhia: Just another question on the refineries. Two quarters back, we were looking at some strategic partnerships. Any update on that?

Muthiah Murugappan: Gautam, there are no further updates to be shared at this point in time.

Gautam Dedhia: Similarly, on the Nutra part, we were looking at some restructuring. Is there any update on that as well?

Muthiah Murugappan: Same response. No further update at this point in time to be shared.

Moderator: The next question is from Vikram Kotak from ACE Landsdown Investments. Please go ahead.

Vikram Kotak: Thank you, EID management. I have a question on the new staple range which you launched in Tamil Nadu. I just want to understand how is the initial re sponse? That is question one. Second, are you planning to launch in more Southern states ? If there, then by when? Third, a little bit of your long-term vision about moving towards the food and bioenergy segment. If you can just throw some broad lights around those lines. Thank you so much.

Muthiah Murugappan: Vikram, thanks for your question. Initial response to the staples range has been good. The market launch only started after Sankra nti. So, I think it is too early to make a reduction. Question number two, I think the intent is to leverage the brand across other categories. Of course, sweetener is one category which we are present and well entrenched in.
I think the natural extension was to get more share of the grocery basket and leverage the brand equity and which is why the staples launch. I think broadly over time, we are certainly with conviction aspiring to build this business out further. From the bioenergy side, I think we have invested significantly in the last three years on the biofuel segment.
Of course, there have been some policy changes in recent times. But even if you notice this morning's newspape r, the Hindu Business Line, it talks of the global biofuel alliance and I think ~ ~ ...

the PM has quoted the ethanol blending program. So, we do believe that there is a good opportunity in this se gment moving forward.
Of course, given these policy changes, I think we are also internally have regrouped and we will look at how we can be more flexible around feedstocks and product mix. Those are largely operational considerations. But I think we are qui te positive that this is an opportunity which will continue.

Vikram Kotak: And can you launch a program over the other southern part of Tamil Nadu?

Muthiah Murugappan: Yes. The intent is to launch. I think the distribution currently is in the southern state. The distribution which was built with the sweetener business that is growing – it's a growing number and it is intended that over time, in fact, over this year, the staples launch will start extending into other states.

Vikram Kotak: Right. Super

b. Thank you. All the best to you.

Moderator: Thank you. Next question is from Somnath Saha from B&K Securities. Please go ahead.

Somnath Saha: Thank you, sir, for the opportunity. Sir, I want to ask you regarding the refinery part that after making losses in many quarters, a bit from the business are not positive for the second consecutive quarter. But if we adjust our interest, we are making losses from the refinery, even when the top line is all the time higher, around INR600 crores.
So, sir, are you looking into it? How are you looking into it? Is there any possible restructuring or we can see closure of the refinery? Because when you talk to people, mostly the future investors, everyone is concerned about the refinery. Because at present, the company is not valued only on its boom well, but on the retail ratios. So, how to look at it? Is there any possible restructuring or how you are planning on that side? That's my question.

Suresh Kannan: Thank you. Thank you very much for your question. As far as the refinery is concerned, we can answer this in two parts. One on operational basis, you can see that refinery has been turning around. The last two quarters have been profitable performance, basically on account of three levers that what we have discussed earlier as part of our calls as well.
One is in terms of the sales volume, the spreads going up in the international market because of the demand supply situation and our ab ility to upsell, which is more in the form of selling to end customers, institutions and higher traction on account of container av ailability an d container shipments out of our ports and our continuous measures to fine-tune our cost structures. So, that has given us results over the last couple of quarters and we have to remain profitable and we expect to continue this journey going forward.
On the medium to long-term front, I think we had also shared in the last discussions that there is a possibility of a strategic pa rtnership, which can add further value into the refinery in order to make this operation far more robust in terms of different market cycles and product cycles that come through in this industry. So, that is where the efforts are on and we hope that with the ~ ~ ...

right strategic partner, we should be in a position to return value on the investment of the refinery.
Somnath Saha: Thank you, sir. Another question from the branded sugar. As this is an entirely different business, are you planning to hire any key persons specifically for the branded sugar?
Muthiah Murugappan: So, thank you for your question. Yes, this is a different business. It is largely an FMCG business. The team which leads this business and operates this business is a team which has the relevant experience from the FMCG sector. So, right from the leadership to the field force, it is a different team.
Somnath Saha: Okay, thank you, sir.
Moderator: Thank you. Next question is from Chetan Phalke from Alpha Invesco. Please go ahead.
Chetan Phalke: Yes, hi. Good morning, sir, and thank you for the opportunity. Sir, my question is with respect to our foray into rice varieties. So, bigger play ers like, let us say, KRBL, LT Foods, they are already present in basmati segment. And now, even this Fortune and Patanjali, they are also getting in, they are also upping their game. So, it is a hotly contested market. And these players are now getting into regional rice varieties as well. They are moving away from Basmati and getting into, let us say, sona masoori, etcetera. So, how are we planning to position ourselves against these incumbents who already have scales, sourcing? I mean, just trying to understand what is our thought process in taking on these players?
Muthiah Murugappan: So, thank you for your question. I think we have actually made a start more with regional varieties. We have ponni boiled rice

and ponni raw rice, which is obviously relevant to the Tamil Nadu market wherein we have launched. And obviously, as we expand our base, we will work on more regional varieties as well. Basmati is also certainly on the cards. There are certainly large players in this segment.
I think I already covered that we will leverage the trust and qualit y of the brand with the leverage the brand equity with the consumers and bring them good quality products going forward. The segment is, it is under 30% branded. So, there is a heavily unbranded segment in, say, and you specifically asked about rice. Rice is only about 25%, 30% branded. So, 70% of the segment is unbranded. So, I think one expertise which we have gained over the last half a decade in sweetener is branding the unbranded.
The sweetener segment is only about 8%, 9% branded. And I think we are significant in helping the consumer make that switch. So, one expertise which we have got is branding the unbranded.
And I think we aspire to bring that expertise to bear. And it goes to various elements of the marketing mix in this category to start tapping into that 70% unbranded segment and convert them to branded. So, I think that is really where there is a headroom for growth.
There are, of course, large players, no doubt. And I think it will be a mix of branding the unbranded and taking on some of these players in certain pockets. So, I think that is how we will see this business progress. ~ ~ ...

Chetan Phalke: Okay. So, sir, our positioning will be, I mean, our quality will be better than others. Is quality the positioning or our pricing will be at a premium to them? I mean, how are we, if you can just elaborate a little on the positioning of this par ticular foray in regional rice varieties or basmati rice, per se?
Muthiah Murugappan: I think the Parry brand is always stood for quality and trust. And I think that is what we will always

aspire to deliver to the consumer. I think we will have to be widely distributed. I think we will also have to be comparatively priced because I think in the Indianmarket price is a very,
very important consideration. I think as we have may be value-added varieties or premium
varieties at points in time in the future, we can look at premium pricing. But I think we will have
to be strong on quality and competitive on pricing. I think all of that is really where our brand
equity lies.
Chetan Phalke: Okay. So, are we looking at organic rice, etcetera, as well, going forward?
Muthiah Murugappan: I think those are probably fairly small segments. I thin k we will stick to the basics, focus on distribution, focus on the largely consumed variants and build our presence. I think value-added
and organic, I think, you need to set a base and a platform. The foundation is always important for any business. And I think that's what we aspire to do in the staple segment as well.
Chetan Phalke: Okay. And sir, my last question is on the supply chain with respect to this regional rice in
Basmati. So, what kind of physical infrastruct ure will we need? Because as I understand, rice
needs -- Basmati needs 12 months to 18 months of aging. So, do these regional varieties also need aging? So, how do we -- I mean, we need a physical infrastructure for inventory, for
inventory management or processing facilities, polishing facilities, etcetera ? Are we planning to
put them up as of now or we were outsourcing it as of now?
Muthiah Murugappan: So, obviously, we're I think it's an excellent question. We're making a start in this segment. So, we are working with good partners. And I think we will rely on the knowledge and infrastructure
of these partners to cover a lot of the ground that you are talking about. But in this segment, I
think margin accretion can really come with scale. And it can also come with smart sourcing and building good partnerships on t

he supply chain front.
So, I think as we learn this business and build scale, I think we will be going deeper on the
supply chain to build these partnerships. And I think when scale warrants it, start, bringing in
some of this infrastructure into the mix, captively. So, I think by just getting started. So, this will
have to evolve.
Chetan Phalke: Okay. And is there any difference between the aging timeline for the regional rice versus the Basmati rice? I mean, is there anything like that?
Muthiah Murugappan: I'll have to get back to you on that . I don't have that answer off hand.
Chetan Phalke: Okay. And just one last question, sir. I mean, since we have other group companies who are
engaged with farmers in some of the other capacity, do we -- can we benefit from our group
linkage or direct connect with the farmers from th at network with respect to procurement of rice?
Because other players like KRBL, they are distributing seeds to their network and then they ~ ~ ...

procure that rice back. So, are we -- looking at something like that? Can we benefit from our
existing infrastructure of our sister concerns or parent company or group companies?
Muthiah Murugappan: I think we'll certainly leverage th e intergroup networks. I think in the case of rice, of course, the rice millers are an important element in the su pply chain as well. But I think we'll certainly
leverage the groups networks.
Chetan Phalke: Okay. Okay. And at what scale we would put our own infrastructure at, let's say, ballpark at 10,000 tons, 20,000 tons, once we cross those kind of volumes, what are we looking at or
anything on that front?
Muthiah Murugappan: In terms of putting up our own infrastructure, I think we haven't. Suresh, do you want to comment?
S. Suresh: Yes. See, I think the right infrastructure is more critical than deciding on own versus outsourced.
That depends on the economics. We'll be focusing on the right type of quality infrastructure for
the supply chain.
Chetan Phalke: Okay. That's it from my end, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Falguni Dutta from Mansarovar Financial. Please go ahead.
Falguni Dutta: I have a question on sugar. So, what would be the cost of sugar production for this season ending September for us?
Y. Venkateshwarlu: It will be around 34,000.
Falguni Dutta: Okay. And, sir, another question is on Kakinada Refinery. So, if you can share the profit for the
quarter for our refinery operation?
Y. Venkateshwarlu: As far as the PBT is concerned, it's about INR7 crores.
Falguni Dutta: INR7 crores for the quarter?
Y. Venkateshwarlu: Yes.
Falguni Dutta: And the nine-month number?
Muthiah Murugappan: INR76 negative.
Falguni Dutta: INR76 crores, you mean?
Y. Venkateshwarlu: INR76 crores. PBT is the loss.
Falguni Dutta: For nine months?

Y. Venkateshwarlu: Yes. ~ ~ ...

Falguni Dutta: And this quarter is INR7 crores positive?
Y. Venkateshwarlu: Yes
Falguni Dutta: And, sir, what is our total -- it's the final question. What is our total invest ment in this?
Muthiah Murugappan: 583 crore.
Y. Venkateshwarlu: As far as the EID investment is concerned, about INR583 crores, of which INR100 crores we have taken impairment. As far as the EID exposure is concerned, around INR480 crores will be there.
Falguni Dutta: Okay. Thank you, sir. That's all from my side.
Moderator: Thank you. The next question is from the line of Karan Mehta, who is an individual investor. Please go ahead.
Karan Mehta: Thank you, sir, for the opportunity. So, I just have three questions. Firstly, what is the impact of change in ethanol procurement policy by the government on our financials?
Muthiah Murugappan: Yes. This quarter --December quarter, INR6 crores impact. INR6 crores negative impact.
Karan Mehta

: Okay. And what will it be for Q4?
Muthiah Murugappan: I think we don't give guidance fr om a quarter-on-quarter perspective, but there will be a negative impact because there is a change in product mix and there is a change in feedstock permissibility.
So, to that extent, product mix changes, capacity utilization levels also change. To that extent, there will be an impact. We do n't talk about guidance. So, yo u will see a negative impact.
Karan Mehta: Okay. So, secondly, what is the expected amount of ethanol production from all our sources in FY'24 and FY'25? And what is the pricing of C - Heavy ethanol?
Y. Venkateshwarlu: As far as this, we will not do the C-Heavy ethanol and we will not supply to OMC because that is not profitable. As far as the ethanol and ENA combination is concerned, we will be producing around 3 crores to 3.5 crores litres in Q4.
Karan Mehta: Okay. And within ethanol, can you give breakup of syrup-based and B-heavy production?
Y. Venkateshwarlu: Syrup will not be there because that already gove rnment has restricted and we stopped the syrup production. So, as far as the other balance is concerned, about 2 crores litres will be the combination between the grain and B-heavy.
Karan Mehta: Okay. And lastly, in the last 1 to 2 years, how much has the overall sugar, branded sugar market grown? And how much has our premium sugar brand grown in the same time frame?
Muthiah Murugappan: Our branded sugar volumes have been growing year-on-year about 30 odd percent. And at a YTD level, we have seen the same growth this year. And in terms of the branded sugar market growing, it is perhaps probably about 9% of the overall. Maybe a year ago, we haven’t taken the ~ ~ ...

official, we haven’t taken our data out yet. That is more industry-level data. Probably, the overall branded sugar market, the percentage branded is about 9% now.
Karan Mehta: Okay. Okay, sir. Thanks a lot for all th e clarifications. I wish you all the best.
Moderator: Thank you. The next question is from the line of Ritwik Sheth from One Up Financial. Please go ahead.
Ritwik Sheth: Hi. Good morning, sir. Sir, a couple of questions from my end. Firstly, on the sugar business, this season, we have been impacted by lower sales, primarily due to exports, and then impact on distillery volumes as well, coupled with increa se in FRP prices. Assuming next year that the crop is close to normal, I know it's too early to take a call on next year's crop, but assuming that the crop reverts back to normal, can this lead to this year's pain to next year's normalcy for us in the sugar business?
Muthiah Murugappan: So, Ritwik good question. The sugarcane crop is a 10 to 12-month crop. So, planting is done, of course, harvesting is done almost close to a year later. So, when you have a deficient monsoon, it impacts the year in which you have a deficient monsoon, it impacts yield at that point in time.
And I think you are seeing that play out in Maharashtra and Karnataka. What it also does is it impacts planting because sugarcane is a water-intensive crop.
It also impacts planting from a subsequent, planting for the next year's harvest. So, to that extent, I think the industry will face some elements of that challenge. We are starting to hear and read about news of a normal monsoon later this year, calendar year '24. And I think if there is a more normal monsoon with less disparate rainfall, that augurs well for crops ge tting planted later this year. So, I think I have answered your question in a bit of detail and this is the reality.
Ritwik Sheth: And on the sugarcane cost, you mentioned that current year it was close to INR 3,540 versus last year INR 3,360. So, that is a significant increase and with no increase in MSP for sugar, do you think there is a case for increase in

MSP for th e industry because the ec onomics currently for us
and most pla

yers is on the lower end compared to last few years. So, wanted to hear your thoughts on FRP and MSP as well the mismatch in the last couple of years.
S. Suresh: The case for MSP increase has always been there. Only thing is it is not being heard at the right forums. So, it is very, very important for the business, sugar industry at large, to have a price of
the sugar in line with the increase in the prices of the FRP. FRP price increases have been there
for quite some time and sugar increase, price increase is not happening.
And somehow or other it gets, the price gets mitigated, increase gets mitigated in terms of release
quota or some other mechanisms. So, unless you get a fair link of the increase in price of sugar
with respect to the increase in FRP, it is going to be a challenging time for the sugar industry as
well.
Ritwik Sheth: So, to compensate this increase in FRP, we have seen, would a INR2 be good for the increase in
FRP or we would need higher than INR2 per kg? ~ ~ ...

Muthiah Murugappan: No, see, Ritwik, I think, as Suresh said, there has been really no official increase from the MSP side. But I think where th e policy makers come in is permissibility around exports, obviously
regulating diversion to the biofuel program. And thereby ensuring volumes and ensuring a
certain level of pricing and food security for the domestic market. So, I guess it is largely playing
on market forces.
Now, I mean, we have -- there is so much production, so much consumption. So, you know how
relevant MSP is. I mean, if we all had to sell at MSP, we would be selling at much lower than
what we are selling at right now. So, I think there is some element of market forces at play here.
And that's where current pricing lands. And there is a balance maintained every year in terms of
a closing stock.
Now, perhaps, the industry would always believe that maybe the changes to the ethanol policy
could have been thought through a little differentl y, because you are still going to end up with a
reasonably healthy closing stock by the looks of it, a higher stock, in fact, than last year. Again,
I guess these are the elements where the policy makers come in and exercise their levels of
control.
So, I think that's the -- rather th an MSP, I think the conversation is on how better to regulate the
market dynamics, if you understand what I am saying because MSP and where the market
pricing is right now is completely irrelevant. I think the elements and levers are different and
they need to be understood.
Ritwik Sheth: Okay, got it. And sir, one last question. Last quarter, couple of quarters ago, you mentioned
about the strategic partnership and someone asked earlier in the call as well. So, any timeline
you would like to give us on the strategic partnership for refinery and Nutra? Any timeline that
we have internally decided th at we would like to share?
Muthiah Murugappan: None, I have no specific updates, Ritwik, at th is point in time. I think the strategic review
continues at our end and I think at the appropri ate time, when we have information, we will
convey it. Okay.
Ritwik Sheth: Thank you, sir, and all the best. That's it for me. Thank you.
Moderator: Thank you. The next question is from Falguni Dutta from Mansarovar Financial. Please go
ahead.
Falguni Dutta: Yes, sir. How are the curre nt sugar prices for us?
Y. Venkateshwarlu: The average realization for the quarter will be around INR39.
Falguni Dutta: For the quarter, you mean to say for Q4?
Y. Venkateshwarlu: Q3. We are at Q3.
Falguni Dutta: I meant that how are the realizations now as we speak?
Y. Venkateshwarlu: That is what the current quarter, it's INR39 is the average realization. ~ ~ ...

Falguni Dutta: Yes, but in mid-February now, currentl y, how are these, what I was asking?

Y. Venkateshwarlu: That is the future outlook that we will…
Falguni Dutta: No, no, not that outlook. Let's say for yesterday, day before, how were the prices, is what I am
asking?
Muthiah Murugappan: Yes, so slightly lower than that. Your crushing is going on. Typically, when the crushing season is
ongoing, your pricing is a little bit lower. Yo u will expect pricing to rise once the crushing

season closes.
Falguni Dutta: Okay. Okay. Thank you, sir. That is all from my end.
Moderator: Thank you. Well, that was the last question. Since there no further question, I would like to hand the conference back to the management team for closing comments.
Muthiah Murugappan: Thank you all for being on this call today. I know these are challenging times for the industry, but I think we have, with conviction, are working towards how best we can progress our different segments of business. We look forward to connecting with all of you at the end of the financial year in the next quarter. Thank you and have a good day.
Moderator: Thank you very much.
Muthiah Murugappan: Thank you.
Moderator: On behalf of DAM Capital Advisors Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen, you may now disconnect your lines. ~ ~ ...
IIPARRYS

Call: Jun 2024

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June 3, 2024
BSE Limited
pt Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel : 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN: L24211TN1975PLC006989
Website : www.eidparry .com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for audited Financial Results for the quarter/year ended March 31, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript for the con-call held on Monday, May 27, 2024, on the audited financial results for the quarter/year ended March 31, 2024.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.1.O.-PARRY (INDIA) LIMITED
Bi a Moma. i:1.1Rath
Company Secretary
Encl: As above
~
murugappa


"E.I.D.-Parry (India) Limited
Q4 FY'24 Earnings Conference Call"
May 27, 2024

MANAGEMENT : M R. SURESH – MANAGING DIRECTOR – E.I.D.-P ARRY (INDIA ) LIMITED
M R. MUTHIAH MURUGAPPAN – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – E.I.D.-PARRY (INDIA ) LIMITED
M R. SURESH KANNAN - WHOLE -TIME DIRECTOR , PARRY SUGARS REFINERY INDIA LIMITED – E.I.D.-PARRY (INDIA ) LIMITED
M R. Y. VENKATESHWARLU - CHIEF FINANCIAL OFFICER – E.I.D.-P ARRY (INDIA ) LIMITED
M R. BISWA MOHAN RATH – COMPANY SECRETARY – E.I.D.-P ARRY (INDIA ) LIMITED

MODERATOR : M R. SANJAY MANYAL – DAM CAPITAL ADVISORS
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Moderator: Ladies and gentlemen, good day and welcome to the EID Parry Q4 FY '24 Earnings Conference Call hosted by DAM Ca pital Advisors Limite d. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors. Thank you and over to you, sir.
Sanjay Manyal: Hello everyone. We thank EID Parry's management for giving us the opportunity to host this call. On the call today, we have with us Mr. Suresh, Managing Director, Mr. Muthiah Murugappan, Whole-Time Director and CEO, Mr. Suresh Kannan, Whole-Time Director, Parry Refinery, Mr. Y. Venkateshwarlu, CFO and Mr. Biswa Mohan Rath, Company Secretary.
I hand over the call to the management for the opening comments followed by question and answer session. Thank you and over to you, sir.
S Suresh: Good afternoon to all participants. It gives me gr eat pleasure to be part of this Analyst Call to share and update on the global as well as Indian scenario and explain the Q4 performance of the company.
On the global trend, the global sugar supply surplus projected for 2023-24 has decreased by 421,000 metric tons compared to the March '24 estimate to 5.58 million metric tons. This reduction was mainly pushed by upward reversion in global sugar consumption, primarily on account of Brazil and Turk ey. Annual growth of global sugar consumpt ion for 2023-24 season is now estimated at 1.2% compared with earlier estimate of 0.9%. For 2024-25 season, the sugar supply and demand balance has been revised downwards from an initial estimate of small surplus of 27,000 metric tons to 278,000 metric tons of deficits. Just like the 2023-24 season, the change in scenario is expected to be on account of higher sugar consumpt

ion estimates aided by a consumption growth in China and EU. And on the Indian front, as of end of April 2024, sugar production has reached approximately 314 LMT, wi th a few mills still operational around the country. An additional volume of 5 to 6 LMT is expected from TN and Karnataka, with TN scheduled to crush during the special season in the months of June '24 and July '24.
Hence, the final net sugar production is estimated to be 323 LMT for sugar season '23-'24.
Taking into account an opening stock of approximately 56 LMT, as on 1st October 2023, and a forecasted domestic consumption of 285 LMT, the closing stock is estimated to be approximately 90 LMT by September '24. Government considers that a closing stock equivalent to 2.5 months of consumption would be adequate.
However, given the current scenario, we would be ending up with a higher closing stock. This would mean additional costs for the millers on account of the idle inventory and carrying cost. For the sugar season 2024-25, the announced increase in FRP, approximately INR25 per quintal and forecasted above normal monsoon, augurs well for sugar production.

On the Q4 performance, the standalone revenue from operations for the quarter ended 31st March 2024 was INR717 crores, registering a decline of 11% as against INR807 crores in the corresponding quarter of previous year.
Earnings before depreciation, interest and taxes (EBITDA) for the quarter ended was INR166 crores as against INR327 crores in the corresponding quarter of previous year. Standalone profit after tax for the quarter was INR80 crores as against a profit of INR83 crores in the corresponding quarter of previous year.
The standalone revenue from operations for th e year ended 31st March 2024 was INR2,809 crores as against INR2,895 crores in the corresponding period of the previous year. Earnings before depreciation, interest and taxes (EBITD A) and before exceptional items for the year ended was INR307 crores as against INR527 crores in the corresponding period of the previous year. Standalone profit after tax for the year ended was INR107 crores as against INR197 crores in the corresponding period of the previous year.
The profit after tax for the previous year ended includes an exceptional item of INR Nil as against Net exceptional loss of INR111 crores on account of impairment of investment in Parrys Sugar Refinery India Pvt. Ltd., Algavista Greentech Pvt. Ltd. and Alimtec (SA) including an impairment loss of INR155 crores and a gain of INR44 crores on sale of properties relating to

Puducherry and Pettavaithalai factories.
The operating performance of the standalone sugar division was lower during the year as compared to the previous year on account of lower recoveries, higher cane costs and no exports and change in product mix in distillery on account of government policy. Overall cane crush has marginally reduced during the year from 51.81 LMT to 50.09 LMT and overall sugar sales has reduced from 5.2 LMT to 4.64 LMT. During the year, expansion in distillery of 165 KLPD in Haliyal and Nellikuppam had reached greater degree of completion and will operate in full stream by Q1 of FY25.
Further, the company has forayed into the staples space during Q4 of FY24. The standalone Nutraceuticals Division had registered loss during the year on account of certification issues in Europe. However, such certification issues are expected to be resolved in the near future.
Refinery business volume has grown by 16% and the spread also has improved about $10 PMT and cost reduced by $3 PMT and this has resulted in the refinery posting a cash profit of INR12 crores.
Now I hand over the call to Mr. Venkateshwarlu our CFO for further details. Thank you.
Y. Venkateshwarlu: Thank you Suresh. Good afternoon to all participants. It is a great pleasure to be part of the analyst call and share key information on t

he operational and financial performance of the company. I would like to share with you th e key operating parameters of each segment.
First I will take up the sugar operation. So as fa r as the sugar operation is concerned, in Q4 all three phases we operated. The crushing operations at Nellikuppam, Tamil Nadu were carried out for 86 days, at Pugalur, Tamil Nadu for 81 days and at Sankili, Andhra Pradesh for 77 days.

The crushing operations at Haliyal, Bagalkot and Ramdurg in Karnataka were carried out at an average of 55 to 65 days average. The quantitative details of the sugar operations, as far as the crushing is concerned, we crushed about 19.79 LMT compared to the corresponding quarter of the previous year which is about 22.95 LMT. Recovery is at 10.69% compared to the corresponding quarter of the previous year which was around 11.51%.
The recoveries dropped due to climatic conditio ns prevailing in South Tamil Nadu and Andhra Pradesh. So as far as the production is concerned, we produced about 2.04 LMT during the quarter against 2.34 LMT of the corresponding quarter of the previous year . Overall cane landed cost is INR3,504 per MT as against last year's corresponding period of INR3,278 per MT.
Sugar sales for the Q4, was at 1.05 LMT (Domestic 1.05 LMT and Export 0.00 LMT) and in the previous year for the same period, it was around 1.2 lakhs metric tons (Domestic 0.88 LMT and Export 0.32 LMT). As far as the sugar selling price for the Q4 is concerned, it was INR38.16 per kg against previous year Q4 of INR36.52 per kg.
We carried a sugar closing stock of about 2.40 LMT at the end of March 2024 valued at about INR33.80 per kg. The revenue from sugar Q4 was INR436 crores in current quarter against the corresponding period of previous year of INR498 crores, registering a decline of 12.5% on account of export restrictions imposed by the Government and partly offset by increase in domestic volume and prices.
All FRP paid on time. As far as the cogen is concerned, we generated power in Q4 of about INR1741 lakhs units against the previous year of INR2,034 lakhs units. As far as the power exports is concerned, we did around INR903 lakhs units against the previous year, which was INR1,060 lakhs units. Average power tariff has come at INR4.84 paisa per unit as against the previous year of INR5.11 paisa per unit.
So as far as cogen revenue in Q4 is concerned, it was INR77.75 crores as against Q4 of previous year, which was around INR104 crores. As far as the distillery is concerned, we did about 3.31 crore litres against the previous period of 3.76 crore litres of which. 1.33 crore litres was ENA and INR1.98 crore litres was ethanol. As far as price realization is concerned, the price realization in Q4 is INR64.49 per litre against pr evious year realization of INR62.56 per litre.
So as far as the revenue is concerned, Q4 revenue was around INR224 crores compared to the INR238 crores during the previous period.
So as far as the Nutra operations is concerned, turnover from Indian operations were about INR10 crores against INR5 crores in the previous year. At the consolidated level, the Nutra business turnover was INR70 crores against the previous year which was INR60 crores.
As far as the refinery operation is concerned, the operational revenue for the Q4 2023-24 was INR899 crores against the previous corresponding period 2022-23 which was about INR579 crores. PBT for the Q4 of 2023-24 is a loss of INR8.56 crores against the loss of the corresponding period INR45.31 crores. Sugar production, in Q4 was around 2.49 LMT. In Q4 for the same corresponding period, it was around 2.29 LMT. As far as the sales of refined sugar is concerned, for Q4 2023-24 it was 1.5 LMT fo r the current quarter. Corresponding previous

quarter, it is 1.32 LMT. So we have a long-ter

m loan as of Q4 ’23-’24 for about INR200 crores
against corresponding previous year period which was INR200 crores as well.
As far as the short-term loan in the Q4 ending as on 31st March 2024 is concerned, it was about
INR94.78 crores against the 31st March 2023, which was around INR620.04 crores. As far as the operational performance of the refinery is concerned, the sales was 1.51 lakhs metric tons
for the current quarter as against the corresponding previous quarter, which was 1.32 lakhs metric tons.
Revenue from operations was INR899.35 crores for the current quarter as against INR578.87
crores for the corresponding previous year quar ter. Positive EBITDA for the current quarter
which was about INR56.21 crores. It was a loss in the corresponding previous quarter, which was about INR9.11 crores.
PBT before exceptional item, positive INR36.84 crores against the previous corresponding
period loss of around INR45.31 crores. As far as external borrowing is concerned, which is in short-term nature, it was
INR94.78 crores as on 31st March 2024 and the same as on 31st March
2023, was INR620.04 crores. Over to you, sir.
Moderator: Gentlemen, this is the operator. Should we proceed with the question-and-answer session.
S Suresh: Yes, please.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first
question is from the line of Karan Mehta, an individual investor. Please go ahead.
Karan Mehta: Thank you, sir, for the opportunity and congratulations for a great set of numbers. I just have a
couple of questions . So my first question is how are ou r operating parameters in the distillery
segment as compared to our peers and what is our outlook for the distillery segment for FY'25?
Muthiah Murugappan: So in terms of the distillery segment, obviously towards the end of Q3, th ere was a policy change
and ethanol diversion was restricted. So this im pacted our overall distil lery EBITDA margin on
a full year basis, probably at around 12%. Wh ile this has improved from FY'23 of 9%, if there
was perhaps no change in the policy framework, the EBITDA margins would have been closer
to 16% and perhaps on track to move closer to 20%, which is something we would have been quite happy with. Of course, we'll really have to see how policy unfolds in the coming months.
In terms of comparisons to peers, we're just waiting for all of the results to come through. We
have to make those comparisons and see how we stack up.
Karan Mehta: Okay. And secondly, we have been doing quite well in some of our other segments, like refinery
has done better in this quarter. But the cogen performance has been slightly poor these last few
quarters. So what is the reason for the same? And when do we expect this to improve?
Muthiah Murugappan: Venkat, you can come in here, but we've had lower cane crush.
Y. Venkateshwarlu: Can I take this call, Muthu?
Muthiah Murugappan: Yes, go ahead.

Y. Venkateshwarlu: Karan, as far as the cogen is concerned, you have to look at the cogen and sugar together.
Because basically this major dependency of cogen will be on the sugar division. If you look at the cogen and sugar together, marginally, yes, th e profitability has reduced, mainly because of
the recoveries and the cane cost. All these things have factored in the lower profitability in sugar
segment.
S Suresh: Overall volume reduction in cane has resulted in lesser quantum of power available for export.
So that is another reason why the cogen profitability is also low. Once the cane volume improves,
obviously the surplus will go for exports and thereby result in an improvement in the cogen
profitability as well.
Karan Mehta: Okay. Sir, if I can just ask one more question.
Muthiah Murugappan: Yes, please.
Karan Mehta: Yes. Sir, what's your outlook for sugar production in FY'25?
Muthiah Murugappan: It's too early to say. I thi

nk it will take a couple of months. You mean overall India production?
Karan Mehta: No, our company production.
Muthiah Murugappan: Okay. So from our perspective, planting has dipped in Tamil Nadu because of last year's
monsoons. So there will be a challenge on this front. In Karn ataka, while monsoo ns were a little
deficient, we're starting to see early summer rain, which is good. I think in Karnataka, we should
be okay. In AP there maybe a marginal dip. We don't sort of give guidance on any of our volumes or revenues, but this is the broader picture for you.
Karan Mehta: Okay. This was very helpful. Thanks a lot, sir, and wish you all the best.
Moderator: Thank you. The next question is from the line of Pinaki Banerjee from AUM Capital Private
Limited. Please go ahead.
Pinaki Banerjee: Good afternoon, sir, and thanks for the opportunity . Sir, my first question is, like the government
is planning for the 20% ethanol blending target by 2025. So we're considering the flip-flops with the government that did in the

last December and how confident do you see in the government
that we will be able to meet th e 20% blending target? Because as we know that this E20 petrol
is now mostly available in Southern India and the rest of India is now, it takes time to catch up.
So what is your opinion on that?
Muthiah Murugappan: So, thank you for your question. I think from what we hear, the po licy makers are still committed
to the blending target. It's obviously a very well put together policy framework. Of course, on
certain compulsions, they made some edits to the policy framework and revised it for the reduced
diversion on account of food security and food price security as a priority. But you know, with
the improving climate and food situation, we're hopeful that, you know, policy makers will view this positively. It just remains to be seen when these policy decisions are taken.
However, that said, while we remain hopeful, I think the grain ethanol has certainly, in the last
couple of months, been given some impetus and been given some encouragement. We do foresee

that to also stay on. So the originally envisaged split between grain and sugarcane based ethanol
in terms of meeting the entire blending target might see a change as things unfold. So you can expect that the ratio of grain to the ratio of sugarcane may differ with grain moving sort of
slightly higher than orig inally estimated when we get to steady state.
Pinaki Banerjee: Okay, sir. Comparing if the inflation is under control and if we have, as IMD has predicted, a
good monsoon, do you foresee that the government will remove the restriction on exports?
Muthiah Murugappan: So, we remain hopeful. Obviously, official es timates from the industry are putting opening stock
for the next sugar year at almost around 9 milli on or perhaps a little more. This is encouraging
and it's certainly significantly above the two a nd a half, three-month stock, which is usually
required or meant to be held comfortably.
Pinaki Banerjee: Okay.
Muthiah Murugappan: So with this in mind, we're hopeful for a couple of things. We're hopeful that they will revert to
the original policy framework around ethanol bl ending. We're hopeful that exports will be
considered, although I will caveat by saying that global sugar prices are ruling much lower than
what they did six months ago.
Six to nine months ago, they were probably closer to [£0.27 cents per pound]. I think they're
well into the late teens right now on account of surpluses in the global sugar balance. So, I think
we must take note of that.
But more importantly, at least it's our view, that the sugar MSP could be certainly relooked at.
The MSP has stayed at INR31 a kilo, while the FRP has moved up on a year-on-year basis for a number of years. So, I think it would be really po sitive for all stakeholders if the MSP is relooked
at,

because this is very importan t from the industry perspective.
Pinaki Banerjee: Okay. Sir, just one last question, sir. Actually, wh at is the reason for increase of your debt level
from almost INR500 crores to INR1000 crores in a standalone basis?
Venkateshwarlu: I'll take this question. Because if you look at the composition of the debt, out of INR1000 crores,
INR300 crores is long-term in nature, which is for the projects which are underway and is getting
commercialized in a quarter. So, as far as the shor t-term is concerned, it is about INR750 crores
or so, and this majorly is on account of inventory increase, compared to the 31st March 2023.
So, the debt is stretched around INR1000 crores, but gradually it will come down by September
or so.
Pinaki Banerjee: Okay, fine, sir. That's all from my end, si r. Thanks and all the best for the future.
Moderator: Thank you. The next question co mes from the line of Gautam Dedhia from Nala nda Securities
Private Limited. Please go ahead.
Gautam Dedhia: Yes, hi. Congratulations on crossing INR500 crores in branded sugar. So, my first question is,
on your slide 19, you mentioned Amrit and Jaggery is about 5700 tons that we sold in FY '24.
So, that's about 4% of our total branded sales. So, I just wanted to get a sense, like 2-3 years

down the line, what is like a realistic number we can consider as a percentage of our branded
sales? Like, can this move up from 4%?
Muthiah Murugappan: So, Gautam, thanks for your question. So, this is specific to the brown segment. So, if you look
at that slide, you know, around the entire value-added piece of that portfolio, we put a little checkbox. That's obviously a part of the product portfolio we're giving a lot of importance to
because realizations are better, as you can see on that slide. And we will aspire to grow the value-added portion of retail.
While, you know, retail overall this year was about 28% of our sale in
terms of volume, the value-added portion of that, we will aspire to grow aggressively because
it's a sterilization of retail over the coming year.
Gautam Dedhia: So, just to get a sense, when you look at your White Label is at INR60, your Amrit is at INR100,

INR110 is jaggery. So, on that incremental INR50, how much is captured in the bottom line like just a brief sense?
Muthiah Murugappan: So all of these will, at a COP level, differ. They also have A&P expenses which are ascribed to them. So at steady state, and I think we're some years away from that if you look at this business as a P&L, we need to be in the late single-digit EBITDA on an ideal basis.
Gautam Dedhia: Okay. And just one last question regarding the COO we've hired recently. So, is it for the branded business?
Muthiah Murugappan: No, it's not. It's actually for the non-branded bu siness. It's for the bulk in the institutional business and the operations of the company.
Gautam Dedhia: Okay. Thank you.
Moderator: Thank you. The next question comes from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Yes good afternoon sir and thanks for the opportunity. Sir, my first question was actually asked by the earlier participant, but I was not able to get a clear answer. The retail realization is just a tad above the wholesale number of 38 odd. So, de spite selling products between 45, 50, and even higher why is the difference in the retail realization just one rupee or even lower than that with the wholesale number?
Muthiah Murugappan: So, Rajesh I think partly the answer was conv eyed to Gautam. I think we need to really aggressively look at growing the value-added piece because that's when your realization will really improve. Of course a good proportion of sales on the retail segment are the entry-level products.
While that will continue I think in the future we will see more growth of the value-added se

gment which will then start adding to that delta on real ization. Sorry, I don't know which realization you're referring to.
Rajesh Majumdar: Say slide 17.

S Suresh: I think as you see the various products, those MRPs are also high. The cost of production and the equivalent packaging and the related processes which need to be followed to make those products are also higher. Hence, it's not that the difference in the MRPs will flow in as a bottom line.
And second thing is the saliency of these high-value-add products have to go up to get a significant addition to the bottom line. That's what the CEO was referring to increasing the salience of rounds on the premiu m products over a period of time as it will improve the overall realization from the current level of around 39.
Rajesh Majumdar: And sir out of this INR522 crores of total sales in retail, how much is the sweetener part and how much is the non-sweetener part?
Muthiah Murugappan: Non-sweetener is negligible Rajesh because it only launched last year. It's all sweetener.
Rajesh Majumdar: Okay. Fine sir. And lastly on the same subject, would you care to enlighten us as to who are the key hires etc or the kind of people who are going to lead this business and where do you have this kind of visibility of growth coming fro m, any other strategy which you would like to highlight on the same?
Muthiah Murugappan: So, Rajesh I think the gentleman who has come on board is the Chief Operating Officer. He will be responsible for the sugar and the biofuel, that we see as the sugar and the alcohol operation at the front as well as the backend. And this is to bring focus to the business and also to address succession planning.
We already have a leader on the consumer product group segment who has led this initiative since it got started in 2017-18 and this individual continues to lead the consumer product group going forward. So, these are I would say the biofue ls piece which is around the distillery segment and the consumer product group.The biofuels piece will really be the profitability and the cash driver for the business. And the retail segment, of course, is the future growth segment. And I think these are the two areas of growth the company is seeing going forward.
Rajesh Majumdar: Right. If I could speak in a last question we have seen the last three quarters of refinery profits. So, is it like now all the problems are behind us and we will be able to see continuous profitability here or are we still going to see fluctuations in the earnings of the refinery business?
Suresh Kannan: As far as the refinery business is concerned, as you said in the last three quarters, we have definitely moved forward. Since we don't have a recurrence of this one-off event we expect to build on this momentum. So, we hope we should be in a position to continue this performance on the refinery in the coming years.
Rajesh Majumdar: And there is no decision yet on the nutraceutical refinery business long-te rm solutions or is it going to be continuing like that what it is right now - last question?
Muthiah Murugappan: So, Rajesh, are you referring to nutra and refi nery or are you just referring to one of them?
Rajesh Majumdar: Both nutra and refinery.

Muthiah Murugappan: As I said, nutra is under strategic review and we're always going to be open to looking at alliances which are going to create value for the business. So, I think that's kind of where we are right now.
Rajesh Majumdar: Thank you so much.
Moderator: Thank you. The next question is from the line of Anushree from Alpha Invesco. Please go ahead.
Anushree: Congratulations sir for a good set of results. So actually I have some questions on the refinery part. So, earlier we mentioned something about bringing a strategic partner in the business. So, wha

t's the status on that?
Muthiah Murugappan: So, Anushree I think the same answer as I gave to Rajesh. I think we are always open to alliances for value creation and if we have any news at all we'll make appropriate intimations, but there's no news to discuss at this point in time.
Anushree: Okay. And I have two bookkeeping questions actually. So on slide number 41 of the presentation in the refinery performance, there you have mentioned about some impairment provision. So, can you explain a bit about it? What exactly is that?
Y. Venkateshwarlu: Yes. Anushree, this is an impairment provision in one of the overseas subsidiaries, the PIDMCC, which is in Dubai. So, this is a major trading concern. In the last couple of years, this entity is doing the trading business. We created a provision for the investment on a conservative basis because last year and the year before last, there have been nominal losses that we have incurred. So, on a prudent basis, we have created the provision.
Anushree: Okay. So, that subsid iary is fully provided for currently or it's partly provided?
Y. Venkateshwarlu: Investment is fully provided and the loan is also partly provided.
Anushree: Okay. And where exactly does this impairment fit in the consolidated results? Because I couldn't find any exceptional line item in the consolidated results.
Y. Venkateshwarlu: Consolidated, this will get eliminated, right?
Anushree: Okay.
Y. Venkateshwarlu: It's in a 100% subsidiary. So, it will get eliminated.
Anushree: Okay. Fine. And just another question. Our segmental refinery profits on Slide 44 is INR3 crores, PBIT, EBIT on Slide 41 is INR3.97 crores. So, I guess they don't match. So, what is the difference between these two numbers, if you could ex plain a bit? Or is it just a conversion issue or something?
Y. Venkateshwarlu: Anushree, when you look at the consolidation, there is a net of console adjustments, because there will be the sales between the subsidiaries, that is, between the PIDMCC and PSRIPL, which we have just now spoken about. And also, the PSRIPL refi nery will also make the sales

to the EID parent. So, all these console adjustments will be netted up in the results. Therefore, you can't do the comparison equivalent to the numbers.
Anushree: Okay. So, there are no one-offs per se, other than this impairment in subsidiary, right?
Y. Venkateshwarlu: Other than this, nothing else. That we can see in the standalone.
Anushree: Okay. Thank you. That's it from my side. Thanks.
Moderator: Thank you. The next question is on the line of Nitin Awasthi from InCred Equities. Please go ahead.
Nitin Awasthi: Hello, sir. Just one question regarding the consumer product division, which is mentioned in your presentation Slide 23, that you'll be entering the millets and the pulses and rice segment. Just a way forward for this, because this would require major investments, and that has not been disclosed in the presentation. So, if you could just highlight those things.
Muthiah Murugappan: So, thank you for your question. We are obviously seeing this from the perspective that we have built a certain position in the sweetener space, and we've got a strong brand. We want to leverage the equity of the brand and leverage the distribution infrastructure that we've created across more product lines. And we've chosen these categories as they are natural extensions into other parts of one's kitchen shelf.
All of these categories alsohave a huge headroom in terms of branding. A lot of these categories and segments are sub-30%, sub-25% branded. Sweetener, for example, is only sub-10% branded. So, we do see a headroom for growth. You're right. They will need investments in partnerships and alliances. They will need investments in advertising and promotions. And that's not something we've talked about in our presentation.
Our presentation largely reviews the FY’2

4 performance. So, I think in the coming quarters, and when we actually upload our next presentation, FY’25, we'll obviously have more information

about the non-sweetener part of the consumer product goods.
Nitin Awasthi: Understood, sir. Thank you.
Moderator: Thank you. The next question is from the line of Sreenivas, an Individual Investor. Please go ahead.
Sreenivas: Sir, this is regarding biofuel-sustainable aviation fuel. So, the ethanol has to be produced in a different channel. Is our company going in that direction or can you throw some colour on it?
Muthiah Murugappan: Actually, Sreenivas, there's no clarity from a policy perspective yet on sustainable aviation fuel. So, there are still a lot of conversations and there's a lot of discovery around the whole segment. So, we don't have any clarity as of yet. We don't have a clear strategy unless a clear policy emanates.

Sreenivas: So, the next question is regarding the brand building of EID Parry. So, you are a well-known brand in Tamil Nadu and Karnatak a. So, to get familiar with othe r southern states like AP and Telangana, are you going to take up any TV ads or commercials like that?
Muthiah Murugappan: So, we do have television commercials for a number of our product lines, which we have aired in the multiple southern states. As and when required, we will do media bursts on various segments. It obviously also has to correlate with distribution. It's prudent to have a media burst when your distribution has reached a certain critical mark so that you get the best bang for the buck from the media burst. So, we'll keep these parameters in mind when we choose to go on media.
Sreenivas: But I don't see much TV ads in AP and Telangana and a few others.
Muthiah Murugappan: So, that's just making my point again. I think we have to build our distribution up in these states and then subsequent to which we will evaluate media bursts in these states.
Sreenivas: Okay. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Majid Ahamad from Smartsync Investment. Please go ahead.
Majid Ahamad: Okay. So, my question is what about your FMCG business? I'm seeing a lot of retail products. What's the medium to long-term planning for FMCG business?
Muthiah Murugappan: Yes, thanks for your question. So, we aspire to build this business as a new growth vertical for the company. We certainly want to scale this bu siness up. There is, as I mentioned earlier, our logic for deepening in this segment. Moreover, we're in an accelerating country wherein we looked at various segments which are going to contribute to the GDP growth of India going up to 2030 and consumer lifestyle, etc is right up there.
So, I think we really believe in the opportunity that the segment pr esents itself. So, we will aspire to grow the segment more aggressively and obviously do so profitably. At least towards the end of the decade, we want to have a business with the late single digit EBITA and a business which is substantially larger than what it is today.
Majid Ahamad: Okay. So, what's the current financial updates?
Muthiah Murugappan: We'll refrain from giving guidance. I think we've given you a broad direction in the comments earlier.
Majid Ahamad: Thank you.
Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.
Chetan Phalke: Thank you for the opportunity, sir. So, sir, our sugar distribution-the sweetener distribution has moved from almost 20,000 outlets to 1.1 lakh outlets as of FY '24 and I assume most of it will be in Tamil Nadu. So, how do we see our distribution expanding from current 1.1 lakh outlets.

What number are we targeting or envisaging in the next two to three years? And what kind of distribution overlap is there between your sweeten er bu

siness versus the staples and sugars or the FMCG business? If you can just help us understand that part, sir.
Muthiah Murugappan: Yes. Suresh, do you want to comment and I can come in or do you want me to?
S Suresh: No, you can come in and then I'll…
Muthiah Murugappan: So, perhaps 40% is Tamil Nadu. I would say the rest is in other southern states. So, this has grown well in the last three or four years. Howe ver, we do feel the ne ed for it to grow more aggressively. I think in a couple of years' time, really getting closer to half a million would be the near to medium-term objectives which we have. You know, in terms of an overlap, and it's a very good question, as we launch into staples, we are realizing that there's obviously an overlap and there's no disputing that.
But we're also realizing some incremental possibilities where even products like rice are

enabling us to drive distribution. So we always thought that entry-level sweetener products would be driving distribution for us, but rice is also in some states, especially in Karnataka and AP, Telangana helping us drive some distribution in upcountry regions. So, I think there is a positive synergy which we're seeing.

S Suresh: Yes, adding to that is the value-added products which are also in the sweetener's platform like your jaggery or Amrit , Amrit gold etc., all these products are also helping us to penetrate into more outlets as we go beyond Ta mil Nadu. So, those are the ones, which are going to help on the sweetener side. Like what Muthu explained on the non-sweeteners and the staples side, the launch of the branded staples is going to help us to break out into more and more outlets and expand the distribution.

Chetan Phalke: Okay. So, we can assume there's almost 80% to 100% kind of an overlap between these categories?

Muthiah Murugappan: I mean, look, it's early days for us in the non-sweetener segment. So, I could perhaps make a better hypothesis of our sweetener distribution than our non-sweetener. So, if I can put it that way, I would certainly be able to make stronger hypothesis perhaps when we come back after FY '25 results and onward. So, we're being candid.

Chetan Phalke: Okay. And so, for our staple launches in your presentation, it is mentioned that now our commercial launch in Tamil Nadu is done. In January 24, it was completed. And in April, we have just launched in Andhra, Telangana and Karnataka as well. And there are a few more products which will be launched in this year, ready-to-cook products and other dosa batters and more. So, if you can just help us understand the current status, I mean, what kind of response you're seeing, any new innovations or products that are in the pipeline or new launches that we can expect this year?

Muthiah Murugappan: So, regarding the launch, we'v e got good initial feedback. I woul d say placements are still going on. We still need to cover some more ground in terms of placements. So, from that respect, placements are still going on for some more time. We are seeing good feedback coming. I think

the strength of the brand and the trust in the brand is very strong and I think this is driving off-takes.

In terms of new products, we will see new products and the sweet ener stable in Q1. And as the distribution of the staples, the bare bone rice, dal, millet is placed across the spectrum, we will start seeing value-added products in that realm also coming in on the lines of dosa mixes, roti mixes, adais, upmas, and so on and so forth, just to give you a little flav our of that. Those, of course, are already under development within our own development centre and in partnerships.

Chetan Phalke: Okay. So, just to follow up on this, sir, what kind of gross margins we can expect on this FMCG business as the product mix evolves in the next two, three years? I mean, just a broad range or is there like a crite

ria that we have decided that we will operate only above a certain gross margin while looking at new products and new categories?

I understand because of the dynamic corporate overheads or other expenses, we won't be able to talk about EBITDA margins per se. But can you just help us understand the gross margin profile of this business over a period of time? And what is our current brand ex penditure and how it will evolve in what direction it will go over the next 3 years, 2 years?

Muthiah Murugappan: So, let me start with the broader picture. And I commented on that earlier, aspiration over the next 5 or so years, build a solid FMCG business with a solid individual EBITDA margin. So, that's kind of where we are working towards. And we're obviously aspiring to be quite prudent in terms of how we go about this. In terms of gross margins, let me st art with the value-added products you talked about. So, there you will aspire for gross margins north of 35% because that would be important.

On the bare bones, on the straight, which is your dal, rice, etcetera, you would have substantially lesser gross margins because these are more scale products. But we exercise a lot of prudence in terms of how we go about our working capital management, our sourcing, and so on and so forth, so that we keep to certain contribution targets. The Millet category, as we build, will sort of come and fall in between the value-added and the straight in terms of where it lands on margin.

So, I think this is how we're seeing it. From a sweeteners perspective, the value-added sweeteners are the ones, again, which are margin-accretive, whereas the entry-level ones will really drive more top-line and drive distribution. Obviously, we had a positive contribution. So, sum of all parts and amalgamating everything, the aspiration is still to delive r a single-digit EBITDA over a substantially larger business over the next 5 years.

Chetan Phalke: Okay. And the brand expenditure? So, what is the current brand expenditure and where do we see it in the next 2-3 years?

Muthiah Murugappan: So, obviously, this is a very important component-the AMP spend. So, to give you perspective, it sits within the mother business right now. And brand expenditure, if you look at FY '24, is about INR35-INR40 CR in total.

Chetan Phalke: And on what trajectory are we looking at over the 3-5 years?

Muthiah Murugappan: Look, as the categories grow, this will have to move forward. And this is where I think the value-added products and the products with higher gross margin start coming in. But only on the back of strong distribution when we start putting them into the market, can they quickly move in. And
the margin that they bring in, clearly will start because you have to incur that AMP expenditure
as well.
Chetan Phalke: Okay. Just a last question on the sourcing strategy for our rice and pulses. I mean, is it a direct procurement we are doing via a farmer network because we have, as Murugappa group, we have
an advantage of farmer reach. So, is that coming into play somewhere for direct procurements
or we are procuring via agents? I just want to understand how we are planning to scale up our
sourcing strategy for these new staples?
S Suresh: Shall I take it, Muthu?
Muthiah Murugappan: Yes, go for it.
S Suresh: Yes, we are in the initial stages in terms of this staples launc h. Initially, it is going to be
disordered sourcing and we have to identify the right sources in the market and get the right
product as per the specifications, living up to the brand standards. And what you talk about as a farmer network leveraging will happen over a period of time, say maybe the next 4-6 years. It is
not something that can be done immediately becaus e the markets, the product, the brand, all has
to stabilize in the market.
Then it has to gain some volume traction. Post that, we will be ab

le to get that sourcing done
through our farmers. But that is a bit far away. It is not going to be in the immediate future.
Chetan Phalke: Okay. But broadly, the group is thinking in that direction. Eventually, that is a possibility?
S Suresh: Yes. There is always a poss ibility in that direction.
Chetan Phalke: Okay. Thank you very much, sir. That is it from my end.
Moderator: Thank you. Ladies and gentlemen, you may press star and 1 if you wish to ask a question. The
next question is from the line of Naysar Parikh from Native Capital. Please go ahead.
Naysar Parikh: Yes, thank you. So, my question is with regard to our sugar business margins and profitability.
Given the kind of growth we have seen on the consumer side, reaching INR500 crores plus, I
just want to understand, one, wh at is the typical gross margin, EBITDA margin on the consumer
front? And secondly, despite that growth in consumer, why is our sugar business so much under pressure? While I understand the points that you mentioned, but I would have also assumed that
the growth in consumer should have benefited us?
Muthiah Murugappan: Hi. So, Suresh, I can start off. So, thanks for your question. So, we were talking about the AMP spend, and that fits within the mother business now. And I think it's a conscious investment of sorts, which we are making for the future to build the brand equity and build distribution.
So, that is an expense that we have to incur. Of course, our realizations on the consumer business
are much higher, but there is also an AMP spend which has to be incurred, keeping the broader

future plans of the business in mind. In terms of the sugar business being under pressure, last
year, the challenges were actually many fold. And that's why you've seen a very challenging performance in the sugar industry segment. If I was to outline the challe nges, the challenges on
climate, we had deficient rainfall, this impacted yield and subsequently impacted the recovery
when sugarcane feedstock flowed through as well. And largely in Tamil Nadu recoveries
dropped substantially and to a very small extent in Andhra as well. But yields were impacted all
across.
We also had a change in policy framework, which we talked about earlier on this call, and that
has impacted the EBITDAs of the distillery segment. We were on course to deliver, say, 16%-
17% EBITDAs, but we ended up only doing close to 12% on the distillery segment. So, this was,
again, another challenge.
We had some operating and project delays in one of our plants on account of environmental
challenges and, delay of the new ethanol discovery projects. And we lost out on some volume and throughput there. I would say, in terms of looking ahead, these operational delays should be
behind us. I think we've made amends. From a climate perspective, it is looking to be a better
climate year.
So, that is encouraging. From a policy framework, we talked about it and it’s speeding up nicely.
We hope the policy makers will look at these opportunities positively and revert to the old policy
framework on ethanol. So, and if some of these kick through, we should have stronger operating
metrics going forward.
Naysar Parikh: And could you mention what is the gross EBITDA margin for the consumer business, roughly,
given now it's 500 cross scale? Any sense you can give on that?

Muthiah Murugappan: So, as I said, look, regarding the consumer business, it's within the sugar business right now. We do aspire to obviously make it a separate business unit. And I think work is going on internally on that front. It might take us a bit more time to get th ere. And perhaps at the time, we will start. We're encouraged, of course. We see all the data inte rnally. I think we're encouraged by where the consumer business stands. But perhaps once we've been able to move forward to make it an official reporting business unit,

I think we will then sort of lay the operating metrics out.
Naysar Parikh: And what percentage of AMP did you mention?
Muthiah Murugappan: So, it's not INR35 crores last year. I think that was the AMP. Venkat, is that correct, right? 35?
Y. Venkateshwarlu: Yes. Between, 35 to 38.
Muthiah Murugappan: Yes.
Naysar Parikh: And lastly, in terms of the distillery margins between you using sugar and say, grain-based or something like that, when this policy persists, we can't divert sugar. What is typically for you the margin difference?

Muthiah Murugappan: So, Q4 is a good example. So, that's where we would have landed up. We would have finished F24 at 16%, 17%. So, we finished up F24 at 12%. So, that's a 5% delta EBITDA margin.
Naysar Parikh: Thank you so much.
Moderator: Thank you. The next question is from the line of Majid Ahamad from Smartsync Investment. Please go ahead.
Majid Ahamad: Sir, I just need your update on your division.
Moderator: Sir, sorry to interrupt, but the line is muffled for you.
Majid Ahamad: Sir, any updates on dividend and buybacks for this year?
S Suresh: As such, nothing, sir.
Majid Ahamad: So, as of now, obviously, nothing.
Moderator: Majid, do you have any further questions?
Majid Ahamad: No.
Moderator: As we have no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, Sirs.
S Suresh: Thank you, everyone, for taking the time and attending this call. See you in the next one. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

August 23, 2024
BSE Limited
pt Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN: L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors on unaudited Financial Results for the quarter ended June 30, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript of the Analyst / Investor Conference Call held on Friday, August 16, 2024, on the unaudited financial results for the quarter ended June 30, 2024.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
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Encl: As above
-murugappa

"E.I.D.- Parry (India) Limited Q1 FY25 Earnings
Conference Call "

August 16, 2024

MANAGEMENT : M R. MUTHIAH MURUGAPPAN – WHOLE -TIME
DIRECTOR & CEO, E.I.D.- PARRY (INDIA) LIMITED
MR. SURESH KANNAN – WHOLE -TIME DIRECTOR ,
PARRY SUGARS REFINERY INDIA LIMITED
MR. Y. VENKATESHWARLU - CFO, E.I.D.- PARRY
(INDIA) LIMITED
MR. BISWA MOHAN RATH – COMPANY SECRETARY ,
E.I.D. PARRY INDIA LIMITED
MODERATOR : M R. SANJAY MANYAL – DAM CAPITAL ADVISORS
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#1;,';_~RYS
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IIP';_~RYS DAM

Moderator: Ladies and gentlemen, good day and welcome to the EID Parry India Q1 FY25 Earning C all Conference hosted by D AM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors. Thank you and over to you , sir.
Sanjay Manyal : Hello everyone, we thank EID P arry's Management for giving us this opportunity to host this call.
On the call today, we have with us Mr. Muth iah Murugappan – W hole-Time Director and CEO ; Mr. Suresh Kannan – W hole-Time Director , Parry Sugars Refinery India Private Limited ; Mr. Y. Venkateshwarlu - CFO and Mr. Biswa Mohan Rath - Company Secretary .
I hand over the call to the management for the opening remarks followed by question -and-answer session. Thank you and over to you, sir.
Muthiah Murugappan: Hi, very good afternoon. Thank you, Sanjay. Thank you all for logging in to EID Par ry's First Quarter F Y25 Earning Conference Call.
I will start with a brief overview of the global scenario, then move on to the Indian scenario and our Q1 performance. We also hope that you have been able to review the Investor Presentation , which we have uploaded after our board meeting.
I will start with the global scenario. So, as of 1st August, the Sugar Year (SY) '24-25 balance sheet, which initially appeared to be in deficit in the early part of the season is now beginning to show a surplus. And this is mainly on the back of a better mix in Brazil and higher production estimates in India. The EU on the other hand , is also estimated to produce a higher output of close to 17 million metric tons (MMT) of white s. As per Czarnikow , the total global sugar production is now estimated at 184 MMT , while consumption is expected to be 180.8 MMT . Further, a

ny dryness and impact of La Nina weather patterns can limit Brazilian output.
However, in spite of this, Brazil is on the way to produce historically second largest output of 40.5 MMT .
Production estimates for other Asian countries like Thailand are still evolving with good monsoons expected and this is also expected to positively impact the output. Raw sugar prices have softened as funds are selling on a developing surplus story. White prem iums have been .,,,.

robust until October '24 showing pe aks in December '24 and March ' 25 due to expected higher exports from the EU, Thailand and India.
Coming to India, the sugar production for the SY 2023 -24 is estimated to be 34 MMT as a few mills are still operational as the special season is in progress in Tamil Nadu. With diversion to ethanol is expected to be just over 2 MMT , the net sugar production will be close to 32 MMT .
Considering an opening stock last year of about 5.5 MMT and forecasted domestic consumption of 28.5 MMT , the closing stock by September '24 is expected to be a healthy 9 MMT . And this is significantly above the 2 .5 month s consump tion number which the government would ideally like to maintain. This increased closing stock of course aug urs with a significant additional cost for the millers on account of idle inventory and carrying cost. The FRP increase which has already been announced for SY 2024- 25 by Rs. 25 a quintal will also attract more farmers to plant sugarcane which aug urs well for the industry. The monsoon has also thus far been favorable, a little delayed in some parts of peninsular India, but right now moving at 6% more than normal at all India level. This will further bring relief to sugarcane farmers and the industry at large.
Preliminary estimates from ISMA are p egging production for SY '24-25 at 33.3 MMT . We still don't have any policy clarity with regard to the rollback of ethanol diversion and revision of MSPs despite number of representations from the industry . We will have to wait and watch how the policy makers respond.
From our perspective, at Q1, the standalone revenue from operations for the quarter ended 30th June 2024 at Rs. 751 crores registered an increase of 7.58% as against Rs. 698 crore in the corresponding quarter of the previous year. The EBITDA for the quarter ended was loss of Rs. 28.59 crores as against the loss of Rs. 14.63 crore in the corresponding quarter of the previous

year.
The standalone loss after tax for the quarter was Rs. 78.59 crore as against a loss of Rs. 45.77 crore in the corresponding quarter of the previous year.
The operating performance of the standalone sugar division was higher during the year as compared to the previous year on account of marginally higher alcohol sales and the launch of the consumer products staples business. The overall cane crush for Q1 period has reduced from
4.01 lakh metric tons (LMT) to 1.93 LMT and overall sugar sales has reduced from 1.21 LMT to 1.05 LMT on account of lower release quotas. During the quarter, the Hal iyal 120 K LPD distillery started its operations and the Nellik uppam 45 KLPD distillery for ethanol has also completed initial trials. Alcohol sales went up from 3.4 crore litr es to 3.9 crore litr es when compared to the same quarter last year.
I will now hand over to our CFO - Y. Venkateshwarlu to take you through the operating parameters and the financials. .,,,.

Y. Venkateshwarlu : Thank you, Muthu, and good afternoon to all the participants. It i s a gr eat pleasure to be part of the Earnings C all and to share the key information of the operation and financial performance of the company. I would like to share the key operating parameters of each s egment.
So, the first we will take about the sugar operation

s. So, crushing operations was about 65 days
in Tamil Nadu . And I would like to share the quantitative details as under . So, we crushed about 1.93 LMT compared to the corresponding quarter of the previous year of 4.01 LMT . As far as the recovery is concerned, it was 8.6 0% compared to t he corresponding quarter of the previous year of 9.05%. A s far as sugar production is concerned, we produced about 16,000 metric tons (MT) during this quarter against the corresponding quarter of previous year of 33,000 MT. So, overall cane cost is about Rs. 3,491 per MT and last corresponding year was Rs. 3,267 per MT .
As far as the sugar volume is concerned, we sold about 1,05,000 MT. The entire volume is for domestic sales , we d id not have any exports. The c orresponding volume of sales for the previous year was 1,21,000 MT. As far as the sugar selling price is concerned, average realization is Rs. 38.60 paisa /kg, against the Rs. 36.40 paisa /kg of the previous year quarter. So, we carried about 1,59,000 MT of sugar , at average price of around Rs. 35/kg.
As far as the revenue from sugar is concerned, revenue is about Rs. 251 crores in the current quarter against the corresponding period in the previous year of Rs. 336 crores , register ing a decline of 25.3%. This is on account of lower release and no release order for export. All F RPs were paid on time. The consumer product group has achieved a turnover of Rs. 216 crores for this quarter against the corresponding period in the previous year of Rs. 129 crores, register ing a growth of 67% , which included branded staples around about Rs. 51 crores. As far as the cogen is concerned, power generated for the current quarter is 307 lakh units against previous of 522 lakh units.
As far as p ower exports is concerned , it was 170 lakhs unit against previous year of 243 lakh units. Average power tariff is 4.23 per unit as against previous year 4.05 per unit. Revenue for power division is around Rs. 11.95 crores against previous year which was around Rs. 19.24 crores. As far as the dis tillery operation is concerned, we sold about Rs. 3 .9 crores liters of 1.73 crores of ENA and 2.17 crore litres of ethanol. Previous year the same was the 3.43 crore litres, out of which 1.2 crore litres was ENA and 2.23 crores litres of ethanol. As far as the price realization is concerned, the average price realization is Rs. 64.31 paisa per lit re again st the previous year's realization is Rs. 61.8 paisa per litre .
The revenue from this segment is Rs. 263.23 crores compared to Rs. 208.64 crores during the previous year.
As far as the N utra is concerned, we achieved a turnover of about Rs. 8.41 crores against the Rs. 4.70 crores in the previous year. At the consolidated level , Nutra business turnover is Rs. 65.71 crores against the corresponding previous year which was Rs. 54.98 crores. .,,,.

As far as the refinery operations is concerned, operational revenue for the quarter is Rs. 1,213 crores, as against the corresponding previous year quarter of Rs. 60 8 crores. registering a significant increase. As far as the PBT is concerned, for the quarter, loss is about Rs. 6.79 crores against the previous year's corresponding quarter of Rs. 96.51 crores. Loss has significantly reduced, so improving the performance of the refinery business.
As far as the refined sugar production is concerned, 1.6 LMT was produced in the current quarter

as against the corresponding previous year's quarter, of 1.3 LMT . With respect to the r efined sugar sales, we were able to achieve just 2.23 LMT for the current quarter. Previous year corresponding quarter was around 1.33 lakhs metric tons. So far as long-term loan of the refinery is concerned , including EID Loan is Rs. 200 crores. The same was Rs. 200 crores in the last year. As far as the short -term loan is co nce

rned it was about Rs. 220 crores for the current quarter
as against the previous year's corresponding quarter of Rs. 596 crores.
If you look at the summary of the operational performance of the refinery, sales stood at 2.23 LMT versus 1.33 LMT in the previous year. Revenue was Rs. 1,213 crores in the current quarter , as against t he corresponding previous quarter of Rs. 608 crores. EBITDA is Rs. 13.24 crores, as against the previous year it was a loss of Rs. 54.5 crores. The external borrowing is Rs. 220 crores against Rs. 596 crores in the previous year .
Over to you, Sanjay.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of G autham from Nalanda Securities Private Limited. Please go ahead.
Gautham : Sir, just one thing, so we have launched this new Amrit product in brown sugar, which is priced at Rs. 80 and your existing product price is Rs. 100. So, what is the thought process behind that if I see your slide 15 ? Are you trying to create the brown sugar category?
Balaji Prakash : Gautham, this is Ba laji here. So, we are looking at pricing the new brown sugar which is nothing but your crystal brown sugar under the ‘Par ry Gold’ brand name and this is priced lower more as a penetrative pricing into the market in order to generate more trials from consumers.
Gautham : And so this 1800 tons that you have sold of Jaggery plus Amrit , so what would be the exit run rate for June specifically for that month?
Balaji Prakash : For the month of June, we have sold about 400 tons , only in June.
Gautham : And similarly on the pulses, I think you mentioned Rs. 50 crores of revenue for the quarter , how is the month -on-month growth? Is there like a monthly run rate , exit run rate that we can work with? .,,,.

Balaji Prakash : Yes, so we started with Rs. 10 crores in April and June were Rs. 25.2 crores.
Gautham : And in general, how has the traction been for our product s and how many distribution points are we at now?
Balaji Prakash : So, overall, we are at about 1.5 lakh outlets in the south of India and the traction has been pretty good in the first quarter.
Gautham : And just one last question was in the annual report, we have mentioned G reen Grow product, which is, I think, some nutrient- based product made out of bagasse , so can you just highlight what is the opportunity over there and i s it like a very long -term play?
Muthiah Murugappan: Gaut ham, the G reen Grow Media is from bagasse, the residual bagasse. It is a soil -less growing medium, which you would find in greenhouses, got a lot of potential in the export market and in India. Product development and customer development is ongoing. We don't want to discuss too much right now because we are not yet ready and ideally we woul d like to have an edge in the market as well. The opportunity is large in the sense, soilless medium is also moving towards greener formulations and that is where bagasse comes in, incumbent formulation s do have environmental issues and that is what we are trying to sort.
Gautham : And just s orry, one last question was for our N utra division , have you got certification from Europe?
Muthiah Murugappan: So, yes, we do have some good news that is coming through in the next couple of weeks. So, I think we should be able to start billing to Europe towards the end of sort of Q3.
Gautham : Q3 you said?
Muthiah Murugappan: I think we should be billing from Q3 onwards.
Moderator : Thank you. The next question is from the line of Chirag Jain from Yogya Capital. Please go ahead.
Chirag Jain : So, I was trying to understand the company, so I had few ques tions regarding the capacity of distilleries that we have. So, can you provide a break-up regarding the split between sugarcane, rice and maize capacity?

Muthiah Murugappan: So, our total distillery capacity is about 58 2 kiloliters per day (KLPD) . All of these are sugarcane-based feedstock. There i s one distillery which is 120 KLPD which is in Andhra. That is dual feedstock. So, we can do either sugarcane-based feedstock on it or grain. So, we have actually been running it with grain for the last couple of quarters. A 120 KLPD distillery would be able to give you about just over 3 crore liters of alcohol every year , so just to put it in …. .,,,.

Chirag Jain : Does the 58 2 figure include 120 or it is other than that?
Y. Venkateshwarlu : Yes, this includes 120 KLPD.
Chirag Jain : So, it would be around 460 for the sugarcane ?
Y. Venkateshwarlu : We can't say it is like that because whenever there is a feedstock available for the grain, we can do 58 2 as well as the molasses base kind of thing.
Chirag Jain : So, sir, I was trying to understand that the sugarcane availability for ethanol has been kind of reduced and government is trying to push for the rice and the maize , dominantly for the maize, so do we have plans to convert the sugarcane part into the grain- based part?
Ashiq J A H : We will wait for Mut hu to join . This is Ashiq . I head the S ugar and Biofuel business. That is an opportunity that we are continuously evaluating. Directionally , grains is an opportu nity. We would want to have a repeat product distillery where we can use different feedstock. We keep evaluating that on a continuous basis.
Chirag Jain : So, just for example, if you want to convert a 100 KLPD sugarcane distillery into a multi -grain base, s o how much the conversion cost would be for us?
Y. Venkateshwarlu : That is what Ashiq is mentioning, it is a process of evaluation . At the right time, we will evaluate what is the CAPEX involved versus the return on the additional benefits from the grain, basically.
Chirag Jain : Sir, also the rice, pulse, and millet size that we have launched , so will it be significant in terms of revenue going forward?
Balaji Prakash : I was just answering. We have exited June at about Rs. 25 crores, and the numbers are going upwards as we go forward. We are looking at building it into a larger value.
Chirag Jain : So, how do we see it going forward, s o would we be reducing kind of sugarcane and focusing more on the bringing more growth from these three brands, these three products?
Management : Basically , if you look at it this branded staple is not from the sugarcane now. This is more we are going with the asset light model kind of thing. There is no linkage between the sugarcane related operations versus the branded staples.
Chirag Jain : So, just to clarify , what I was trying to ask was that f or example, i f you want to grow from here Rs. 1,200 crores to Rs. 1,400 crores. So, would the majorly growth be from the rice and pulse or would it be from the sugar? I was trying to understand that point ? .,,,.
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Balaji Prakash : See, it is a little too early to put a number down on the Staples business because this business has just been launched and we are trying to build it. So, I think as of now, while we have a forward-looking outlook on this, we won't be able to put a number on this.
Chirag Jain : So, is it on the breakeven side currently?
Management : Yes.
Moderator : Thank you. The next question is on the line of Bharat S heth from Quest Investment . Please go ahead.
Bharat Sheth : Taking forward from previous participants' question, this Rs. 25 crores from retail, what we are talking is a sweetener or non -sweetener , both put together?
Balaji Prakash : It is non -sweetener, Rs. 25 crores.
Bharat Sheth : And sweetener is how much?
Y. Venkateshwarlu : The sweetener will be around Rs. 60 crores.
Bharat Sheth :

Rs. 60 crores for only June month?
Balaji Prakash : Yes, correct.
Bharat Sheth : So, total work put together is Rs. 85 crores, correct?
Y. Venkateshwarlu : The results are there in the segmental results, Bharat. Because if you look at it, for the quarter, the CP G segment for revenue operations is Rs. 216 crores. Out of that, Rs. 51 crores is from the non-sweetener. The balance is from the sweetener business for the quarter.
Bharat Sheth: So, now going ahead, our strategy we will be focusing geographically only in southern India market because sweetener I believe is mostly B2C kind of a business, whereas in non-sweetener it is B2B , is that fair understanding through distribution model?
Balaji Prakash : So, I will just explain. Non -sweetener is completely B2C and it is going through the distribution model into the retail outlets and we are currently planning to be only in the south of India. The sweetener business comprises of B2C and B2B segment as well. So, that should clarify your question.
Bharat Sheth : And I understand that the kind of photographs that we have put in our presentation , it is a large packing , non -sweetener its small packing is also available? .,,,.

Balaji Prakash : Yes, so non-sweetener is both large packs and small packs, both are available. According to the requirement of the category, the packs are being sold.
Bharat Sheth : And how do we want to expand our SKU also in this, if you can give color. And now currently, since you say that we have around 1.5 lakh distributors reach , so where do we see kind of our strategy to take it forward to what kind of level of distributor as well as new SKU?
Balaji Prakash : So, I think the SKU will be expanded based on the relevance to the consumer and the consumer buying habit. We will keep expanding the portfolio. Similarly, distribution, we will be looking at growing the distribution as we go forward.
Bharat Sheth : Any number you would like to put after 2 years or something?
Balaji Prakash : It is a very progressive point, and so we won't be able to put a number on that now.
Bharat Sheth : Muthu, coming back to this Nu traceu tical with this European certification available , so how do we see this business for next two years? Because in the past, we have seen several ups and downs. So, overall, how do you would like to give some colo ur in two years? Where do you see this business in the topline as well as the main contribution to the profit?
Muthiah Murugappan: Nutra segment, as mentioned in past call, is still under strategic review. We are deeply reviewing various strategies to see how the business can be taken forward. There are two key pieces. One is the Nutr a India operations, and secondly, the Valen sa operations in the US. So, that clarity, I think once it emerges, we will be able to articulate a better strategy for the Nutr a segment. Up until then, we will obviously continue to run the existing business efficiently and any critical inves tments around science or product development which are required for the progress of the business , we will continue to do. We have not frozen on any major CAPEX.
Bharat Sheth : Muthu, is there any new product development in pipeline within this N utraceutical segment or will we stick c urrently to whatever product line we have?
Muthiah Murugappan: We will largely stick to the current product line s. There is some clinical work which we are doing in the US on the Saw Palmetto products. Currently it is used for prostate health. We are seeing initial scientific discovery on the opportunities with that product on the skin health and dermatological side. So, we are doing some clinical work on that front. So, that is perhaps the only area we a re focused on from Saw Palmetto . In India, continuing with S pirulina and Chlorella, w e have in fact done quite a bit of work to br

ing our cost position down at both locations and some science work on Ch lorella we were doing, but again, no drastic changes , no large CAPEX's and no new launches. We want to keep the existing business running well until we have a clear strategic approach towards the business. .,,,.

Bharat Sheth : How do we look at the sugar, cogen and distillery business? This year also looks relatively better and the sugarcane crop in your initial remarks you stated is likely to imp rove. So, how do we, any kind of ballpark, when do we expect on annual basis to turnaround that business?
Muthiah Murugappan : So, let me give you a general overview on the sector, I guess, the sugar and the alcohol sector. Yes, monsoons have been better, but the deficient monsoon last year still ha s reeling impact. We go through data from past years, El Nino impact can almost take close to 24 months to really normalize. The deficient rainfalls of last year have certainly had an impact on Tamil Nadu. We are already seeing that, Venkat talked about the lower recover ies that we are experiencing, and it is only now that once the monsoons have picked up, we are starting to see some plant coming in. Tamil Nadu will remain challenging. Of course, the fact that the monsoons and summer showers have been good is good for the main season crop s, that is the winter season crushing. With regard to Karnataka, with good summer rains and good southwest monsoon it augurs well. There is a slight drop in area under cane in Karnataka, but I think the yield should be strong and I think that definitely augur s well for the segment. Now , coming to policy, I think policy is very critical . If you look at FRP they have significantly gone up this year by 8% w hile it might help with some planting, I think it will put a lot of pressure on the mills. There is also a healthy clo sing stock of 9 MMT . So, we are really awaiting the policy makers approach t owards firstly ethanol blending and also exports, but I would say most importantly towards M SP which has not moved up for many years. So, I think the policy angle is something which we now have to very closely watch, and I think this will determine how the sector performs in the fiscal that we are in and the years after that.
Bharat Sheth : And last question, Muthu, so what is the gap in the spread between sugarcane vis -a-vis multi-fed stock that other grain stock that we consume?

Muthiah Murugappan: So, maybe I will let Venkat give you the exact data , but it i s a great question. I will say though on sugarcane, we haven't seen any increases on ethanol procurement prices for the last two years, so we are still actually workin g with old prices. There wasn't, while there was an FRP increase and there is a significant FRP increase coming up, again policy will hopefully address this from a sugarcane feedstock perspective. From a maize feedstock perspective, they did give us some respite b y hiking the maize ethanol purchase price and this has helped. But from the sugar cane feedstock perspective, it is an area of concern. When I talked about our dis tillery segment margins, we would have been very happy with 20 %-21% EBITDA business . That is what we were really building towards in the old policy framework. But I think once there was a reconsideration of this and the fact that prices were not taken up, these margins have fallen substantially and gone in sort of closer to single digit . So, this is a concern. Venkat, would you have the exact spread s?

Y. Venkateshwarlu : No, Muthu, because as of now, unless we start the new season and the FRP increase or something, maybe the next call we can come with the exact spread kind of thing. .,,,.

Moderator : Thank you. The next question is from the line of Sanjay Manyal from DAM Capital A dvisors. Please go ahead.

Sanjay Manyal : Sir, just few questions on the sugarcane availability , you mentioned that probably this season the rains are better , but the impact of last year rains will be there as far as current sugarcane availability is concerned. Is it possible for you to give a ballpark number, what kind of crushing numbers we would see in next season?

Muthiah Murugappan: In the fiscal that we are currently in, we would aspire to almost match last year's number; however, there could be some challenges in Tamil Nadu on that, but we are working towards trying to match last year's number .

Sanjay Manyal : Sir, just want to understand one more thing about the recovery rate, the way North India or say UP or some of the other states have seen some of the varieties, sugarcane varieties which have given them a very high recovery rate, close to a gross recovery r ate of 12% , is there any long term plan or long term measures which Tamil Nadu or the southern states are taking where recovery rates structurally can improve to a level of maybe 100 -200 basis points higher than the current recovery rates ?

Muthiah Murugappan: So, there is constant work which has been done at the R&D level like the sugarcane breeding institute , as companies would do organic work as well. We are not seeing too much improvement. There is also a lot of work on yield improvement which is not of more directly in our control and I think we will see some of that this year, there was a lot of focus on t hat area. In Karnataka, of course, we have some strong vari eties with higher recovery, but we are not seeing too much yet on that front. We will have to continue our work to see how this can pan out. The UP varieties are really going to perform well in southern states, so it is hard to replicate those . EID is really in a unique way, an amalgamation of three states, so we have to average our recovery around A ndhra Pradesh , Tamil Nadu as well as Karnataka .

Sanjay Manyal : Sir, one question about the refinery business because we have seen last few years where the global prices were quite high, the spread between the raw and the refinery was also pretty high, but somehow we have not been able to get major benefit out of it , so what exactly a long -term plan as far as refinery business is concerned?

Muthiah Murugappan: There are two parts to your question. I will answer t he second one and Mr. Suresh Kannan, my colleague who runs the business wing to cover the first part. From a long -term plans perspective, we are trying to see how best we could work in partnerships to improve the operating parameters and the metrics of the business. So, I think that endeavor continues and as and when we have concrete information around how we take that forward , we will come out with updates. But Suresh, would you want to cover the first part of the question? .,,,.

Suresh Kannan: As far as the refinery plant is concerned, basically it is on two prongs. One is to upsell our sugar. So, initially, we had started off with selling the sugar in the international trade market and subsequently, we are now moving into niche segments, such as beverage manufacturers, food manufacturers, etc. , as a result of which we are making some tailor -made products, which gives us a higher premium over the normal trade sugar that has been there. So, over the years, this percentage has moved up as a result of which it will start giving us an additional premium over the spread, whatever the market is able to give us. Our objective is to take this value -added product to a higher percentage of our overall sales. So, that will give us in good stead as far as, even if the spreads have to drop a little bit, we will get compensated by this mix of scale that we have. A large enabler for this is the ability to ship, in cont

ainer loads instead of break well. And over a period of time, we are finding more solutions in terms of reaching the global market using
containers, using multiple ports in the Eastern coast. So, we expect this to scale up and give us a benefit over the medium to long term. The second strategy, of course, being a commodity product is to improve our cost position. Our cost situation currently is quite competitive as far as standalone refiners are concerned. We continue to wor k on further improvements in terms of the bottlenecking, energy optimization, etc ., wherein we stand ahead of the race. That is the second prong of the strategy to keep the cost improving continuously in order to keep up with the market.

Moderator : Thank you. The next question is from the line of Sanjay Shah from KSA Securities Private Limited. Please go ahead.

Sanjay Shah: Sir, my question was on non -sweetener staples. Since we have strengthened our sourcing tie -up and even streamlined our process, can you elaborate how well we can go in this because we are catering towards, a very large market size? So, what could be we can see scenario ahead in next
1-2 years or maybe 3 years on the new variety, new geography and so on?

Balaji Prakash : So, I think, see the market, as you rightly said, the market is very large and we are laying the foundations now in terms of distribution buildup and reaching to new outlets and within the south of India. And as I explained earlier for one of the questions, we will be looking at
expanding the portfolio and the opportunity we will be growing as we get the opportunity in the future.

Sanjay Shah: You identified any new varieties like we are now into ri ce of different varieties, pulses, millet. So, have we listed out any new products on that side?

Balaji Prakash : It is whatever we are doing , as per the market and as the market opens up and expands , we will be getting into the products as and when it is required.

Sanjay Shah: How about our sourcing t ie-ups and all. Are we satisfied with that? .,,,.

Balaji Prakash : There is always scope to improve the sourcing t ie-ups. Right now , our volumes are smaller. A s the volumes grow, I am sure our efficiency of sourcing also will improve many folds . So, as we go along, we will get better at the sourcing efficiency.

Muthiah Murugappan: So, just to overlay a little bit, in terms of as Balaji said, I think the focus in the immediate term is on the products entering different outlets, building that distribution and laying a strong foundation. I think over time, we would like to see this business build on its gross margin level . Once we had this base of distribution and foundation set, higher gross margin products can overlay and bolt on the existing portfolio. Noting to that extent or on the back for this would be dosa mixes, roti mixes, upma mixes so on and so forth which would come in. And I think on the sweetener front as well, there will be more value -added sweet products. We are exploring across categories. There are number of other categories on the food FMCG side which are part of the kitchen shelf, part of the dining table, part of the store cupboard of the consumer. I think they are all under development and work in progress and I think we wil l come back once we have more concrete plans . But once the foundation is built, bolting on with more products and especially building the gross margin profile of the business will be a key area of focus .

Moderator : Thank you. The next question is from the line of Bharat S heth from Quest Investment . Please go ahead.

Bharat Sheth : On this retail business, non-sweetener, so what I understand that gross margin is always a challenge, but what is our sourcing strategy because what we understand that getting right product at right price and sustaining the quality parameters is a cha

llenge since we are attaching
our brand name with that. So, regularly the same quality kind of a st uff availability should be ensured . Since this is a non -controlled seller or farmer , so how do we also using our Coromandel connect with the sourcing product ?

Muthiah Murugappan: Bh arat bhai , we will now need to explore further, we are just building out this business in terms of the Coromandel connect, I think we will certainly explore how we leverage this in terms of building the business further. But Balaji, do you want to cover a little bit of the sourcing side?

Balaji Prakash : Yes, so I think right now we are sourcing the products from the different millers in different geographies, which are known for certain products, and we are sourcing it from those geographies. We are also ensuring that the quality is kept under check because we have our large quality control team in place, which actually checks every lot which is getting dispatched from
the mi ller point and only after that it is getting packed . So, we are keeping a track on that as well. And we are moving with the market pricing at this point in time. But as Mut hu was also saying

that as we go forward, there will be a stronger dimension to the sourcing in terms of i dentifying
whether Coromandel will play a role in helping us or we will identify other avenues for sourcing,
but that will come up as the future plan. .,,,.

Muthiah Murugappan: Bharat bhai, we are very hyperlocal in our approach in terms of sourcing, processing, and packaging which is why you see different varieties of rice because even in bunch of districts there is a certain variety of rice which is popular and then there had been changes once, we move in out into another cluster of districts. So, that is something we realize, and I think some of that hyperlocal approach apart from other elements have been quite instrumental in getting us a good start.

Bharat Sheth : So, Muthu , to put it this question, what I understand that sourcing is more important for the success of the business , is that fair understanding?

Muthiah Murugappan: Yes, this state is very critical. As I said, we are very early in this game. I think the team is also building its muscle and building its powers. We will need to work on how we integrate best into this supply chain . There i s a very reasonable element of the profit pool which sits on the sourcing side. So, as this business grows, I think it is a key muscle and an expertise which we will be building going forward. So, these are very early days. This is only the fourth month of the busines s. I think the business has made a reasonable start , but I think I have a lot to learn in this segment and I think we are focused on learning that very quickly and implementing.

Moderator : Thank you. The next question is from the line of Divesh Vora who is an I ndividual Investor. Please go ahead.

Divesh Vora : Your short -term loan has gone up hence and can you elaborate on why it has gone up?

Y. Venkateshwarlu : S hort term loan is basically the working capital. Since our networking capital has gone up, thereby , your short -term loans also have gone up. Because even if you look at inventory also, inventories has gone up around Rs. 300 crores , in line with the short -term loans also increase.

Divesh Vora : So, inventory, you are saying it is Rs. 300 crores , right now, b ut last year also the turnover was around Rs. 698 cores for Q1 June 23 is that the inventory reason behind it?

Y. Venkateshwarlu : Dive sh, when you look at the short -term borrowings, you look at it year-on-year , it has gone up. When you compared to the March to June, it has come down. I am not sure which number you are looking at. If you are looking at the March number, yes, because when you look at March 23 versus March 24, the inventor ies have g

one up.

Divesh Vora : So, as far as distillery is concerned, you have mentioned that it is 225 KLPD will come . So, now, do we expect in September the entire facility to be on board, 482?

Y. Venkateshwarlu : We have talked about the 582 KLPD Divesh , because as on 30th June, yes, because except the 45 KLPD, everything was onboarded. As on today, if you look at it, the 58 2 KLPD is in operation. .,,,.

Moderator : Thank you. The next question is the follow up question from the line of G autham from Nalanda Securities Private Limited. Please go ahead.

Gautham : Just follow up on the refinery part. So, I just want to understand what kind of premiums do we get when we sell to institutions that are above the white premium like percentage wise or absolute numbers?

Suresh Kannan: It is a range of premiums we get on top of the white premium tha t is available from the market. It depends on the type of the product and the institution, but it is generally in the region of $10 to $25 per ton.

Gautham : And how much percentage of our volume would be in the institutions right now and say, 1- 2 years down the line, how much can we take it to?

Suresh Kannan: The moment we are between 10% and 15% on the institutions, depending on the time period, our aim is to take this number at least to one third plus.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Muthiah Murugappan: Thank you Sanjay and thank you to all the participants. We look forward to connecting again in the next quarter. Thank you.

Moderator : On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. .,,,.

Call: Nov 2024

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November 19,2024
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dal a I Street, Fort,
Mumbai-400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Comer, Chennai 600 001, India.
Tel: 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN : L2421 l TN l 975PLC006989
Website: www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Band ra (E),
Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter/half -year ended September 30, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on November 14, 2024, on the unaudited financial results for the quarter/half-year ended September 30, 2024.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
~
murugappa

"E.I.D. -Parry (India) Ltd. Q2 FY25 Earnings
Conference Call "

November 14, 2024

M
ANAGEMENT : M R. MUTHIAH MURUGAPPAN - WHOLE -TIME
DIRECTOR & CEO, E.I.D.-P ARRY (INDIA) LTD.
MR. SURESH KANNAN - WHOLE -TIME DIRECTOR ,
PARRY SUGAR S REFINERY INDIA PRIVATE LIMITED
MR. Y. VENKATESHWARLU - CHIEF FINANCIAL
OFFICER , E.I.D.-P ARRY (INDIA) LTD.
MR. BISWA MOHAN RATH - COMPANY SECRETARY ,
E.I.D.-P ARRY (INDIA) LTD.
MODERATOR : M R. HARSH SHETH - DAM CAPITAL ADVISORS
LIMITED .,,,.
1/1;,";_~RYS DAM
CAPITAL

 Moderator : Ladies and gentlemen , good day and welcome to E.I.D. Parry Q2 FY25 E arnings Conference Call hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harsh S heth. Thank you and over to you, sir.
Harsh Sheth: Thanks , Palak. Good afternoon, everyone, and warm welcome on behalf of DAM Capital to the Q2 F Y25 earnings call of EID Parry India Limited.
We thank EID Parry's Management for giving us the opportunity to host this call. On the call today, we have with us Mr. Mut hiah Murugappan – Whole -Time Director & CEO; Mr. Suresh Kannan – Whole -Time D irector, Parry Sugar s Refinery India Private Limited ; Mr. Y. Venkatesh warlu – Chief Financial Officer and Mr. Biswa Mohan R ath – Company Secretary.
I will now hand over the call to the Management Team for "Initial Remarks " post which we'll open the floor for Q&A. Thank you and over to you, sir.
Muthiah Murugappan: Thank you, Harsh, and good afternoon to everyone. It's nice to connect again. I hope you also all had an opportunity to view our Investor Presentation , which we put up online just after the conclusion of our Board meeting and the publishing of our results. I will start with a brief overview of the global sugar scenario. The global sugar balance for sugar year 2023 -24 ended with a surplus of about 4 million tons. 2024 -25 is forecasted to end more balanced in terms of supply and demand, but now projected at just over 3 million tons due to continued higher production forecasts in India , EU as well as Thailand. Brazil has witnessed downward revisions in sugar output from 41.1 million tons to 39.6 million tons from mid Q2 due to instances of dryness, low sugar mix, and fire incidence. It will have an impact on cane quality and pro

duction
prospects in s ugar year 2025-26 crop as well.
The lower Brazilian output this season is causing short -term tightness in raw sugar availability, and there is price volatility. Production estimates for India is about 33 million tons gross and Thailand is still e volving with good monsoon expected to positively impact the output prospects.
Refined sugar is oversupplied due to the EU, Ukraine, and Pakistan higher exports and exchange delivery. Hence, the demand is muted and expected to recover post December 24. Whit e premiums have also significantly dropped to $75 to $80 per metric ton, as against $110 to $ 130 dollars metric ton in September 24.
A little bit about the Indian scenario. Gross production forecasted by ISMA for the upcoming season is about 33 million tons. As again st, sugar year 202 3-2024 production of about 34 million tons. After accounting for the expected sugar diversion to ethanol of about 4 million tons, the .,,,.

 net production is expected to be 29 million tons. Whereas UP is expected to remain stable this year, slight drops are expected in Maharashtra and Karnataka, and also in TN. India's sugar inventory is at about 8.5 million tons at the start of the sugar year, and hence combined with the post-net diversion production of 29 million tons, the total supply is expected to be 37.5 million
tons, which will be more than adequate to meet domestic forecasted consumption of 29 million tons. The estimated closing inventory at the end of sugar year 2024 -25 will be about 8.5 million tons. And this will be quite a mple for policy makers to have some leeway to relook at some of the policy decisions. Ethanol blending has been at about 15% in ethanol sugar year 2023- 24 and bids received for ethanol sugar year 2024- 2025 are at about 18% blending. The target for ethanol sugar year 2025-26 is about 20% of blending. So I think we're on the path to getting there.
Starting November 1, the government has lifted all restrictions of sugar diversion for ethanol production, post the brief policy hiatus last year. We remain hopeful that there will be announcements around MSPs , and the ethanol offtake prices, and perhaps exports, given a healthy closing stock this year, as well as next year. And also, FRP increases this year of about 8% and the prior year of about 3%.
At EID Parry , it has been a challenging quarter. We've been challenged on recoveries in Tamil Nadu. This was an account of poor monsoon last year, which had a crop impact this year as well. On account of the substantially lower recoveries that we faced, there was also increases on
molasses price a nd this also impacted the business. While we had good volumes on our distillery business, the margins have been diluted for the same reasons. The consumer product group made good progress with the scale up of the safe to launch, expansion of distribution at large, and launch of new products. The refinery has also had a fair quarter, but as commented earlier, white premiums are, we are starting to see the pressure in the subsequent quarters. And we'll talk more

about that in this call.
I now hand over to my colleague Mr. Y. Venkates hwarlu, our C FO, to take you through the financial parameters.
Y. Venkateshwarlu: Thank you, Muthu, and good afternoon to all participants. It's a great pleasure to be part of the earnings call and to share the key information of the operations and the financial performance of the company. I would like to share with you the key operating parameters of this segment. So, sugar operations. The crushing operations in Tamil Nadu at Nellikuppam , we operated for 81 days and at Pugalur for 67 days. Overall Tamil Nadu, we crushed about 71 days. So I would like to share the quantitative details as under. W e crushed about 5.61 lakh metric tons against the 8.54 lakh metric tons of the corresponding qua

rter of the previous year. As far as the recovery is concerned, the current quarter is 7.6 % against the 8.22% of the corresponding quarter of the previous year. We produced about 42,000 metric tons during the current quarter as against 70,000 metric tons of the corresponding quarter of the previous year. So as far as the cane landed cost is concerned, it's Rs. 3,301 per metric ton, as against 3,155 metric ton of the corresponding previous year . .,,,.

As far as the s ugar volumes is concerned, we sold about 94,000 MT including in the CPG segment. And the previous year, the same period, it was 1.27 LMT. This reduction largely has come due to the reduction in release quota. As far as the selling price is concerned, slightly we have increased. We have closed at a Rs. 39 .39 per kg as against Rs. 37.57 of the corresponding previous quarter. So we carried about 1.19 lakh metric tons of sugar, which is carrying about Rs. 36.50.
So revenue from sugar , biofuel, revenue in quarter two was Rs. 216 crores, excluding intersegment transfer in current quarter, again the corresponding previous year was Rs. 361 crores, registering a decline of 40% on account of the lower release quota. All FRPs were paid as per the timelines . As far as the CP G, consumer product group is concerned, the consumer product group has achieved a turnover of Rs. 236 crores, including the turnov er of Rs. 82 crores from the branded staples during the quarter as against the Rs. 134 crores for the corresponding period of the previous year, registering a growth of 76%.
As far as Cogen operations is concerned, we generated about 505 lakhs units as ag ainst 730 lakhs units in the corresponding period of the previous year. We have exported about 233 lakhs units as against 374 lakhs units in the corresponding period of the previous year. Power tariffs are slightly over than the corresponding previous year quarter. The current quarter we are at 3.94 per unit against the 4.59 per unit in the corresponding period of the previous year. As far as the revenue is concerned , current quarter we are at Rs. 15 crores as against Rs. 32 crores in the corresponding period of the previous year.
As far as the Distillery is concerned, we have a very strong performance in the current quarter. We sold about 419 lakh liters against previous year of 304 lakh liters, where ENA we sold about 159 lakh liters and ethanol around 260 lakh liters. So , average price realization in quarter two, is Rs. 64.20 as against previous year realization of Rs. 60.61. A s far as the revenue is concerned, for the current quarter it's Rs. 281 crores against Rs. 190 crores during the corresponding period of the previous year.
As far as the Nutraceutical segment is concerned, Nutra turnover from the Indian operations was about Rs. 7 crores for the quarter against the Rs. 9 crores in the previous year. At the consolidated level, the Nutra business turnover is Rs. 37 crores against the corresponding previous period which was about Rs. 58 crores.
As far as the PSRIPL refinery operations is concerned, operational revenue for the current quarter is Rs. 1,116 crores , as against the previous quarter for the same period of Rs. 1,296 crores.
PBT for the current quarter is about Rs. 5 crores, Q2 of the same previous year was Rs. 14 crores. So the refined sugar production for the current quarter is 2.65 lakh metric tons against the previous quarter of 2.44 lakh metric tons. .,,,.

As far as the short term loan is concerned, we stood at Rs. 278 crores against the previous quarter of the Rs. 34 crores.
As far as EBITDA is concerned, for the current quarter, we are at Rs. 29 crores , as against the previous quarter of Rs. 47 crores.
Now the floor is open for the questions.
Moderator: Thank

you. We will now begin the question -and-answer session. First question is from the line of Gautam from Nalanda Securities. Please go ahead.
Gautam: Can you just give more insight on the refinery operations for the second half because you said the white premiums are going to decrease? So are we going to still make a profit?
Suresh Kannan: This is Suresh here. As far as the second half of the year is co ncerned, of course, the spot white premiums have come off since the last couple of months. We have a forward book which is having a hedge against this. And of course, the white premiums are unlikely to stay at the current levels because at these levels no refinery can operate covering even its variable cost of production. So we are expecting the white premiums to recover, and the recovery will coincide with the improved demand that will come up from the month of December, as was explained in the opening rem arks as well. So with that, we will not be in a position to repeat the levels of white premium that are there in H1, but we are hopeful that recovery in white premium will be able to make ends meet for the second half.
Gautam: And what percentage are we hedged for the second half or for Q3?
Suresh Kannan: F airly hedged for the second half.
Gautam: And just one classification, so on the sugar division in the trade segment, what would be the volume that we would have sold for the quarter?
Y. Venketeshwarlu: L ooking at the release quota is drastically reduced. We have done a balancing between the industry and the retail. So trade will not give much realization. We are more concentrated on the institution sales and the retail sales.
Moderator: Thank you. T he next question is from the line of Gautam from Nirzar. Please go ahead.
Gautam: Could you talk a little bit about the sales growth that we are looking at in S taples and in Sweetener? I think the retail Sweetener sales growth has reduced a little. If we can talk about that? And what geographic expansion plans are we planning in these two areas ?
Balaji Prakash : I think first I will take your question on geographical expansion. On geographical expansion, we are looking at being present in the south here for the staples business. And for the sweetener, .,,,.

 also it is largely south. There is a little bit of presence that we have in Mumbai and east on modern trade, but otherwise it's largely in the south. With regard to sweetener sales dropping down, o ne reason is that as the CFO said, the release quota itself had come down in absolute numbers. Within the release quota, we prioritized retail and institution, but the absolute number of release quota itself was very less and so we had to manage with a little bit of growth on the sweetener business. On the non-sweetener business, we are at about, as shown in the slide, we are at about Rs. 29 crores approximately per month is the sale value. And we are expecting to grow on this as per the business plan in the next second hal f.
Gautam: We were also looking at getting into tolling arrangement with other factories, for the sweetener side of the business. So can we not manage our constraint of production by that?
Balaji Pr akash : I think there is there are some discussions and thought process happening around that in terms of how are we going to manage the future growth opportunities on account of the release quota. I think as and when it gets finalized, we will let you know.
Gauta m: Can we also talk a little bit about the advertising and promotion expenditure for this consumer product business? How is it currently and what we are looking at? And share of modern trade and e -commerce players and quick delivery players in our total mi x?
Balaji Prakash: So the share of e -commerce, quick commerce and modern trade put together will be about 25 % to 30% of the total business. A&SP as a

percentage to total sale as of now stays at around between 10 % to 12% and it is expected to be at that level for some more time.
Gautam: And within our staples, which category of products is growing better?
Balaji Prakash: Both are growing equally. Rice and dal are both contributi ng. Saliency is about 52% and 48% to the total sale. So both are growing equally.
Moderator: Thank you. The next question is from the line of Gautam . Please go ahead.
Gautam: Could we also talk about the outlook for the sugar business, given that yields have also come down a little. So how do we see progress after the monsoons, maybe outlook for the other seasons?
Ashiq : Overall, between the geographies we are operating, TN will be challenge for some time to come because that's structurally because of the way the state is. We see very robust outputs coming from Karnataka. So I think that will balance the TN challenges a bit. But we will see that resolving over a period of about six months to one year as the new crops come in. Last year if you need to know, we have had challenges in terms of a late monsoon and also a lot of pest related issues in TN. The pest related issues are beyond us and currently whatever we are seeing in terms of monsoons, it's been good. We are catching up on monsoons in TN. So both augur .,,,.

Page 7 of 9 well for the way forward. But the recovery challenges might be there for some time because that's related to soil fertility etc. across organizations that are working on that. We should see some benefits for a couple of years on the recovery.

Gautam : And any update on the ethanol side and pharma ethanol, what kind of realization and production are we looking there in the normal ethanol and pharma ethanol business?

Y. Venketeshwarlu: Gautam, as far as the pharma ethanol market is concerned, it is a very limited market. We have clarified in the last call als o because we have specified customers and we dedicated one particular plant, whatever the volume which comes from the pharma, we will cater from that. So it is not like a big ethanol growing business kind of thing.

Moderator: Thank you, sir. The next question is from the line of Manoj Jethwa from KSA Securities. Please go ahead.

Manoj Jethwa: My first question is pertaining to the staple business of EID P arry. Currently, we are there into rice and dal only. Are we going to take this business i n the other varieties of staples and apart from the south market are you going to go pan India also and maybe say globally ?

Balaji Prakash: I think we are looking at consolidating ourselves largely in the south of India. And with regard to the product portfolio, there will be a constant up gradation and addition on products. As and when we see an opportunity in the market and we think there is a fitment with the brand, we will be launching those products and increasing our portfolio. So we will have the dal, rice and millet and other dals we are evaluating them and we are looking at where there is opportunity we will definitely be operating in that.

Manoj Jethwa : Continuing with the staple business also, Government of India is also promoting the millets business especially in US, Europe and other markets, and do you see the good opportunity for the export purpose also, rather than restricting ourselves to Indian markets only?

Balaji Prakash: There is a good opportunity definitely. So we are building the domestic business, we are building our supply chain, and once the supply chain is built , robust enough, we will be looking at export opportunities.

Manoj Jethwa : My third question is, a couple of our businesses are, there are a lot man y challenges , we are facing in the co -gen business, distillery business and all that. Do you see a turnaround in those businesses over a period of time, maybe say 1 or 2 years down the line?

Ashiq : The di

stillery b usiness is a robust business which is why we are focused around that. We see substantial margins in the business by operating efficiently and also given the support of the government for the ethanol blending program. Obviously , you will be hearing the news that there is a lot that the government is doing in terms of policy and all. We have a positive outlook on .,,,.

Page 8 of 9 the kind of focus the government is having on this sector. I think that the kind of capacity we have established , we are positioned well to leverage and benefit from this focus. Ethanol blending targets the Indian government would keep taking up and they seem to be fairly focused on this program. So, we see distillery operations as an opportunity to strengthen our business foundations. In terms of co-gen, yes it's a challenge but it's also s tate specific. We have green shoots in Karnataka where there is some amount of support from the government. But I think overall the way the industries would start looking at this is to keep costs low and leverage the benefits of both sugar, premium ization of sugar and leverage the ethanol blending program to get a good margin in the distillery business.

Manoj Jethwa : My last question would be to the management. So what would be the honest endeavors on the part of the management where one could see if we could focus those areas which could really help in improving the margins in terms of EBITDA and PAT level at the console and the standalone business level? W hat are the areas which one has to focus on it? So it could be a win-win situation for the investor co mmunity as a whole sir.

Muthiah Murugappan: Manoj, thanks for the question. I think we're just coming off a CAPEX phase . Last 4 - 4.5 years where we've added substantial distillation capacity because of the ethanol blending program. Now about a year ago, we were well poised to move towards a 20% EBITDA margin given the way the program was structured. Obviously, that is a challenge now. It's a challenge because of climate. It's also a challenge because of policy. So we're nowhere near those, in fact, I think we'd be a single digit EBITDA margin. So I think we're really hopeful, I think we're seeing better signs on climate and we're also hopeful that there will be a more robust and more sustainable policy framework which comes in and this would help us keep back up towards that 20% EBITDA margin on the distillery segment. So this is an element around policy and an element around climate. Both of which are largely not controllable by industry . Of course, we would, at least from a policy perspective, have a voice in our viewpoint. Beyond that, I think beyond the CAPEX phase and the capacity that we've created, I think we're quite comfortable that we have balanced our milling as well as our distillation lines and you can actually see that in our capacity utilizatio n. I think going forward, the next three years phase will really be about ruthless focus

on execution and implementation and driving efficiencies around the entire manufacturing process of sugarcane milling and distillation. And I think in this sort of process optimization,
cost control and driving better throughputs, we would be able to see more marginalization, but
of course it has to be supported by practical and robust policy framework, and we need to be
lucky around climate. And I think we, where ther e is amalgamation of three states , we will
always see different yields, different recoveries across three states, Karnataka being the best. Now, on an amalgamated basis, if some of these things sort of fall in place, then we will ideally
move into EBITDA per tons of about 650 odd, which I feel for a company like us will be a good level to get to as a good metric of profitability. Now, that is a core focus area This is also the
cash generator, which will help us to fund our gr

owth business. And our growth business, of
course, is the consumer product group business. There, I think, we are in invest mode. As you can see, the business is expanding, and the focus is really around building distribution, which is .,,,.
 very sort of the first platform and canvas that we n eed to build over the next couple of years to
get to a certain critical mass. We will obviously continue to overlay with new products and build
our brand equity in this segment. But I think once we reach that critical mass, you know, we'll
start to see a p rofitable flywheel of a business model being developed. That said, with this
business, while we are in invest mode, you will not see very heavy cash burn. I think you will
see a very prudent approach. We will burn cash, but it will be quite measured and prudent so
that we don't burn a big hole . We realize that there are constraints around the core business, and
we continue to build and strengthen that platform, which will then enable further growth and
break out. So I think these would really be the two priorities. I hope that sort of kind of answers
your question.
Manoj Jethwa : Yes. And there's a small suggestion, which if you would allow me, I would like to give to the
EID Parry m anagement , sir?
Muthiah Murugappan: Sure.
Manoj Jethwa : Sir, in the EID P arry, one may operate on the different businesses as a separate CEO, CFOs,
marketing organization, if that would be a good lean and meaner organization for EID as a whole,
which could catapult it as a linear and meaner organization over a period of time?
Suresh Kannan: I didn't quite get the question. Maybe you want to repeat it?
Manoj Jethwa : Maybe I may take the question separately, sir. Privately, I may take it, sir. Thank you. That's all
from me.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to
management for closing comments.
Muthiah Murugappan: Thank you and look forward to connecting with all of you at the next quarter. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines. .,,,.

Call: Feb 2025

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February 18, 2025
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
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Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
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Tel : 91.44 25306789
CIN: L24211TN1975PLC006989
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National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
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Mumbai -400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for unaudited Financial Results for the quarter/nine months ended December 31, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript for the con-call held on Wednesday, February 12, 2025, on the unaudited financial results for the quarter/nine months ended December 31, 2024.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
~
murugappa

"E.I.D.- Parry (India) Limited
Q3 FY'25 Earnings Conference Call"
February 12, 2025

MANAGEMENT : MR. MUTHIAH MURUGAPPAN -- WHOLE TIME DIRECTOR – E.I.D.- PARRY (INDIA) LIMITED
MR. SURESH KANNAN – WHOLE TIME DIRECTOR -- PARRY REFINERY – E.I.D.- PARRY (INDIA) LIMITED
MR. ABDUL HAKEEM ASHIQ - CHIEF OPERATING OFFICER, SUGAR AND BIOFUEL – E.I.D.- PARRY (INDIA) LIMITED
MR. BALAJI PRAKASH – CHIEF OPERATING OFFICER , CONSUMER PRODUCTS GROUP – E.I.D.- PARRY (INDIA) LIMITED
MR. Y. VENKATESHWARLU – CHIEF FINANCIAL OFFICER – E.I.D.- PARRY (INDIA) LIMITED
MR. BISWA MOHAN RATH – COMPANY SECRETARY – E.I.D.- PARRY (INDIA) LIMITED

MODERATOR : MR. SANJAY MANYAL – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of E.I.D.- Parry (India) Limited hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors. Thank you, and over to you, sir.

Sanjay Manyal: Hello, everyone, and a warm welcome on behalf of DAM Capital to the Q3 FY '25 earnings call of E.I.D.- Parry (India) Limited. We thank EID Parry's management for giving us this opportunity to host this call. On the call today, we have with us Mr. Muthiah Murugappan, Whole-Time Director; and other senior management team of EID Parry.

I hand over the call to the management for the opening remarks, followed by the question-and-answer session. Thank you, and over to you, sir.

Muthiah Murugappan: Thank you, Sanjay, and good morning, everyone. It gives me great immense pleasure to be part of the Q3 FY 25 earnings call. I'll start with an update business and then hand over to my colleague, Venkat, who will take you through the operating and financial performance. You will also note that our quarterly investor presentation has been uploaded online as of yesterday.

In terms of the global scenario, the global sugar supply and demand deficit for 24-25 season has widened to about 2 million metric tons (MMT), primarily driven by production cuts in Asia and Mexico, which contributed approximately 1.4 MMT to the shortfall. As of December, Mexico sugar production for 24-25 season has reached its lowest recorded level, largely due to delayed harvesting caused by wet weather in November.

In Brazil, sugar p

roduction stood at about 39.78 MMT, as of mid-December, reflecting a 4.75% decline compared to the previous year. Russia also reported lower production with total output now estimated at 6.17 MMT due to reduced yield. Meanwhile, Guatemala's production for 24-25 season is estimated at 2.7 MMT, representing a 2% decline from initial projection, primarily due to a delayed harvest start and excessive rainfall.

Global trade flow surplus for 24-25 season has increased to 1.5 MMT while the projected deficit for 25-26 season has expanded to 1.55 MMT. In the first quarter of 2025, the raw sugar market remains balanced, whereas growing surplus in white sugar may exert downward pressure on prices. For the 25-26 season, trade flow deficit has widened, as lower exports from Pakistan have offset production gains in Brazil and Ukraine, coupled with reduced imports from Iran.

The white sugar premium closed at $92.91 per metric ton in January 2025 marking it at the highest level since August 2024 ahead of the March contract expiry. The Indian scenario. ISMA, Indian Sugar Mills Association has revised its sugar production estimate for the 24-25season to 30.25 MMT, a decline from 34 MMT in the previous season. A further reduction in sugar production is anticipated due to lower sugarcane yields in key sugarcane growing states such as

UP, Maharashtra and Karnataka, attributing to factors such as red dot infestation, varietal changes and early flowering.

The estimated diversion for ethanol remains at 3.75 MMT. Domestic consumption is projected at 28 million tons, while exports are expected to reach about 1 million tons, as per the recent export permissions given by the government. With closing stocks are now being expected at about or estimated at about 6.4 million metric tons, as of January 31st , sugar production stood at 16.5 million metric tons compared to 18.72 million metric tons during the same period in the previous year. Despite the lower production, government has given us 1 million metric tons of export.

Under the Ethanol Blended Programme (EBP), ethanol blending has increased to over 670 crores litres in ethanol supply year 23-24, achieving an approximate blending percentage of 14.6%. Additionally, there has been a marginal increase in ethanol prices derived from C molasses. We don't have any clarity or visibility on increase in ethanol prices from any other feedstocks.

I'll now hand over to Venkat to take you through the operating and financial parameters of the business for the last quarter.

Y. Venkateshwarlu: Thank you, Muthu, and good morning to all participants. It's a great pleasure to be part of the

earnings call and I will share the key information of the operational and financial performance of the company. I'd like to start with the operating parameters of each of the segments.
As far as the sugar is concerned...
Moderator: Sorry to interrupt, sir, there seems to be a lot of background noise. If you could come a little closer to the microphone, that would help.
Y. Venkateshwarlu: Yes. Is it fine Sanjay?
Moderator: Yes, it's perfect.
Y. Venkateshwarlu: Yes. Okay. So as far as the sugar operation is concerned, the crushing operations in Karnataka is in full fledge, as per the plan -- as per the permission given by the government and AP also as per the plan, which we have crushed and about 50 to 55 days, we operated in Karnataka and AP together. So as far as the crushing is concerned, we crushed about 12.7 lakh metric tons during the quarter against the 17.8 lakhs metric tons in corresponding quarter of the previous year. These cane operations -- Tamil Nadu operations have been shifted from Q3 to the Q4. So as far as the recovery is concerned, the recovery is 10.78 for the current quarter against the 10.14 of the corresponding quarter of the previous year.
As far as the sugar production is concerned, we produ

ced about 1.08 lakh metric tons during the
quarter, against the 1.5 lakh metric tons of the corresponding quarter of the previous year. The overall cane landed cost is at INR 3,899 per metric ton, as against the INR 3,543 per metric ton of the corresponding previous quarter of the previous year. The main increase is only the due to FRP impact. It is from 3,152 to 3,400 for the current sugar season.

As far as the sale volume is concerned, we sold about 1,11,000 metric tons during the current quarter. Corresponding previous quarter as well, almost like we sold about 1,10,000 lakh metric tons.
As far as the average selling realization is concerned, for the current quarter, it is INR 38.31 per kg, as against INR 38.70 per kg of the corresponding quarter of the previous year. We have carried about 1.3 lakh metric tons of the closing stock. They are valued at INR 37.
Revenue from sugar is about INR 392 crores, as against the previous period of INR 435 crores. The reduction is mainly on account of release quota and main focus on the retail segment. All FRPs were paid, as per the timeline.
As far as the consumer product group or CPG division is concerned, we have achieved about INR236 crores turnover. This includes INR87 crores of the staple -- branded staple business during the quarter, as against INR137 crores of the corresponding quarter of the previous year, registering a growth of over 70+% overall -- overall growth in the CPG segment.
As far as the cogen is concerned, we generated about 954 lakhs units, as against 1,366 lakh units in the corresponding period of the previous year. We have exported about 503 lakh units, as against 677 lakh units in the corresponding period of the previous year.
As far as the power tariff is concerned, the current quarter is at INR3.98 per unit as against INR4.91 per unit in the corresponding period of the previous year. As far as the revenue is concerned, the current quarter is about INR41 crores, as against INR61 crores in the corresponding period of the previous year.
As far as the distillery segment is concerned, we sold about 422 lakh litres, as against the previous period of 273 lakhs litres, of which ENA we sold about 118 lakh liters, against 114 lakh litres in the corresponding period. As far as ethanol is concerned, we sold 304 lakh litres. Previous year -- for the same period, it was 159 lakh litres.
Price realization is good because in the current quarter the average price realization is at INR 65.83 per litre, as against previous year realization INR 62.82. As far as the revenue is concerned, current quarter we sold about INR 290 crores, as against INR 177 crores during the corresponding period of the previous year.
As far as the Nutra division is concerned, Indian operations have achieved about INR 12 crores turnover, as against INR 8 crores in the previous year. At the consolidated level, the Nutra business was INR 43 crores against corresponding previous period, which was about INR 47 crores.
As far as the refinery operation is concerned, operational revenue for the current Q3 was INR 915 crores. The same previous corresponding period was about INR 1,597 crores.
The loss for the quarter is about INR18 crores. The same Q3 23-24 is profit was about INR17 crores.

Refined sugar production for the current quarter is at 2.05 lakh metric tons, as against the previous period of 1.96 lakh metric tons. Refined sugar sales quantity is about 1.87 lakh metric tons, as against Q3 of 2.7 lakh metric tons in the previous period. ICD from EID remains at the same level of previous year. Our external borrowing is at INR532 crores, as against INR9 crores. As far as the operational performance is concerned, the quarter-on-quarter sales is 1.87 lakh metric tons as against 2.76 lakh metric tons, revenue INR915 cr

ores, as against INR1,597 crores.
EBITDA we are at INR6 crores positive, as against INR37 crores. As far as the EBIT is concerned, INR5 crores negative, as against INR26 crores positive. PBT INR18 crores is a negative, as against INR17 crores.
These are the financial performance and operating performance for EID Parry. The floor is open for the questions.
Moderator: Thank you, sir. The first question comes from the line of Manish Beria, an Individual Investor.
Manish Beria: So I wanted to ask about the capital allocation policy of EID Parry. So Coromandel stake provides the most economic value for the EID Parry. So in that sense, if I look at your last 10 years, so whatever dividend we have received from the Coromandel stake, that has not been fully passed on. I mean, I understand that some money was needed to support the sugar business? So my question is like to see -- from when do you think that the sugar business will become independent enough that it can fund its own need and become cash flow positive and things like that? And can we reach a point in sometime in the medium-term, where we can be able to pass-on fully whatever dividend we received from the Coromandel stake? So just on the capital allocation policy here. Thank you.
Muthiah Murugappan: Manish, this is Muthu here. Thank you for your question. You're right, there's been perhaps very little pass-through of the dividend in over the last 10 years. We have obviously passed on in recent years, as we've reported better profits in the recent past. We have passed on some of those tranches of dividend. I guess when the standalone business is loss making, it was difficult to pass-on that dividend.
The aspiration, of course, remains to strengthen the standalone business and pass the dividends on. The current phase is a tough phase, as you've seen from the results. Our presence in three states in the standalone business is bit of a drag, especially from AP and TN, wherein we've seen challenges on feedstock availability.
If you look at the broader capital allocation policy, I'll take you back 5 or 6 years when we started restructuring in TN, we sort of came down from – the number of units - we closed three units down, moved some of that capacity to Karnataka, wherein the crush could take place on higher recovery and better cost position of cane.
We also allocated capital towards the ethanol blending program by adding distillation capacity, which we have seen now materialize, and we also continue to invest in the Consumer Product Group's business, and we are working on how we can position the refinery business better. So these are really the focus areas going forward.

We were hopeful of a better and a more sustainable policy framework, framework especially around the linkage of cane prices to sugar prices, as well as ethanol blending program in terms of offtake prices of ethanol and we sort of modeled our capital allocation in Karnataka in terms of adding milling capacity and in terms of expanding distillation capacity on this basis, that hasn't completely played out. The margins have dipped in the distillery segment.
So we again, remain hopeful that policymakers will take a view, which is more long-term and sustainable from a policy framework. And I think that should help steady things on the standalone business. And I think once we see those days, obviously, in terms of the dividend, which you were alluding to, we would be in a position to start passing through again.
Manish Beria: So the second one, just to add-on there. I mean, so last time, I mean, you had like 59% stake. So I mean also not only the dividend, but you have sold some stake to bring it down to 56%. But does this stay here like there is no chance like will not go down more, let's say I understand it will be always 51%, but let's say there is no chance to cut down more that we believe somet

hing
in the sugar business.
Muthiah Murugappan: So in the past that stake was sold down you know, to address some of the issues at the refinery. That was a group level call, which was taken. In terms of the future, I can't really comment. These are broader discussions, and we don't have anything to comment on at this point in time.
Moderator: The next question comes from the line of Sanjay Manyal from DAM Capital Advisors.
Sanjay Manyal: Sir, have just few questions on the recovery side. It seems that the current season recovery is slightly better. Just want to understand from the structural point of view, is there any possibility that Tamil Nadu and your catchment area, where the possibility of structurally the gross recoveries can improve to a level the way UP has seen in the past.

Muthiah Murugappan: Ashiq, do you want to take that?
Abdul Hakeem Ashiq: Thank you for your question. The recovery is a factor of few things starting from variety to the climate and the agricultural practices. What we have been consistently working is on the agricultural practices over the past few years. We are also focusing on things like getting the right time, the harvesting in place, which is one of the reasons, we have done in Tamil Nadu because if you harvest the cane at the mature age, your recovery will improve.
The varietal program within EID is a very robust program. We have about couple of decades of experience in developing new varieties. There are about two varieties hitting the bulk planting, as we speak now. And in the next few years, we will probably have about 4 to 5 varieties that will come. All these will aid in improving the yield and recovery in Tamil Nadu basically.
Will it move-up to the levels of UP, et cetera? I think that's something, which will take some time because the northern parts of the country have had benefits of a particular variety, which paid. Now it's -- it's going to life. The south part of the country will continue to be less in terms of recovery, as compared to the northern parts, especially in the coastal belts, et cetera. But we are fairly confident that we will see improved recovery from the recent trends in the coming couple of years. I hope I answered your question.

Sanjay Manyal: Sir, and my second question is on your view about the current ethanol scenario. We haven't really got the price hike in B heavy, and juice and industry have sort of moved to significantly B-heavy molasses based ethanol and sugar can juice-based ethanol. So what is your view on that? How you see the profitability will be impacted in the ethanol part of the business?
Also, if you can also sort of give your view on the sugar prices. We have seen off-late sugar price have been in an upward move at least in last one month. What is your view over the next 2, 3 quarters, how the sugar prices you think would be behaving?
Abdul Hakeem Ashiq: On the ethanol blending program, I think both the industry through its representative bodies like ISMA is fully seized of the matter and we continue to make very active representation to the government. We also believe I think the government understands the sector well and is very responsive. But as a very responsible government, they take their time to take the decision and I'm sure they'll do it right for the industry.
In the last two quarters -- at least in the last quarter, I think both the pricing on C heavy and the export quota from the government are positive indicators that the government is seized of the challenges that the industry faces. We are really positive, as we speak that the government will be responsive on pricing on B-heavy and syrup also and we hope for that, as we go forward. And as an industry participant, we will continue to work with the government on improving the sector profitability.
In terms of sugar pricing, I think the export quota has been a welco

me development. It's really taken quite a bit of effort from both sides for the government to come up with that. As you can see, there is a shortfall in production in India, and I think the government has been responsive in terms of stepping in to help the industry. This export quota in a sense will help us pay our farmers on-time.
EID Parry is continuing to be in the forefront of that. I think as an industry, this will help in that and that's good for the economy. Sugar pricing per se would be robust for some time, but I think you will have to wait for the crushing season to end to get a good indication of the sugar available in the country. Broadly, I do have a positive view for the coming few quarters, if not longer.
Sanjay Manyal: Sir, my last question on the branded business. So what kind of non-sugar branded business would be the part of the sales? And how you see this business say next 3 years, 4 years from the margin perspective and the size of the business. From the margin perspective, what kind of EBITDA margin you can generate in this business?
Balaji Prakash: Thanks, Sanjay. This is Balaji here. I head the Consumer Business. So as of now for quarter 3, the non-sweetener sale is about 37% of the total branded sales and it is expected to be at around that level, as we go forward. This is the first year of operation. We've just been in operation for about 9 months. There are several aspects of margins and contribution value-creation that still need to be done. I think as of now, the margins are in the single-digit number, very close to the double-digit numbers. I think as we go forward, we'll unearth more value chain opportunities and grow the margins.
Moderator: The next question comes from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So I think part of my question was answered. But could you give us the 9 month kind of profitability of the FMCG business, as against last year 9 month period? Is that figure available?

Y. Venkateshwarlu: Rajesh, the segmental results are already available in our results. So from there, you can find it.
Rajesh Majumdar: I wanted for FMCG separately from the sugar alcohol actually.
Y. Venkateshwarlu: No, that is there. In the segmental results, if you look at it, there is a separate line item called as a CPG business. There you can see the profitability.
Rajesh Majumdar: My next question was that sir, we have been contemplating some kind of reallocation of capital on refinery / nutraceuticals for some time as has been announced in the earlier calls as well. So is there any development on that front?
Muthiah Murugappan: Rajesh bhai, Muthu here. Nice to hear from you again. So I think we've done those strategic reviews. I think on Nutra, you know, we perhaps realize that we'll have to do some more work to discover the right value, and I think we are focused on doing that right now. So that's the -- that's the sort of strategy on the Nutra front. We did do some work on that over the last 2 quarters, and we realize that we have to do a bit more to discover better value.
On the refinery front, yes, we do realize that we need to strengthen the business model perhaps by way of partnerships. It is complex, the business model is complex and the financials, of course, of the refinery are also complex. So hence these conversations are certainly on, but they are taking a fair amount of time.
That's all I can report at this point in time, but it's obviously top of mind for us to put this on a better track and position the refinery business appropriately. So as and when we have something to report on refinery, we'll come back to you. Nutra will be business as usual because of the fact that we need to do a bit more to discover the right value.
Rajesh Majumdar: Also, this quarter the refinery loss is reflective of the spreads, right? No extraordinary event is there

in terms of the refinery loss that we see this quarter, it's just a reflection of the global spreads, is it?
Suresh Kannan: Yes, principally -- Suresh Kannan here. Yes, as far as the current quarter is concerned, we also had a little bit of deferment of volumes of shipments from the month of December to January.
And of course, spreads are lower than what they were last year. But despite that, we were able to post INR5 crores loss on INR915 crores turnover. On YTD basis, we remain a bit positive.
Of course, the spreads and the external environment remain challenging, but I believe the other refineries also are moderating their operating rates. So going forward, we look at the spreads recovering over a period of time.
Rajesh Majumdar: And if I could add, will we use the export quota for refined sugar this time? Is that possible?
Suresh Kannan: The export quota has just been announced, so we are looking at all options. Currently because of the increase in domestic prices, the mills are more interested in selling the sugar externally.
So we are actively looking into that.

Rajesh Majumdar: And sir, if I could sneak in one more question. You have mentioned the sale of 6 lakh-odd shares of Indian Potash Limited. Now that is an unlisted company. So what is the approximate value of this transaction?
Y. Venkateshwarlu: This transaction value will be around INR 180 crores and something, Rajesh. But as of now, we are in the process of selling it, but major stake is not sold.
Moderator: The next question comes from the line of Ajit Darda from Nirzar Enterprises.
Ajit Darda: Sir, I have 2, 3 questions. The first one is on our branded sugar and branded staple business. Sir, when do we expect this business to be EBIT positive? And what is our growth strategy going forward for this particular business? And one more question relating to this is in which states are we present in both of these businesses, and what is our market share there? And what is our plan to expand in those states, as well as new states?
Balaji Prakash: Okay. Ajit, I'll answer your questions in the reverse order. I'll start with the third question. We are present in the 4 Southern states in the non-sweetener business and the sweetener business.
We have some presence in West and e-commerce and modern trade and in East as well for modern trade alone, we are present. We intend to stay in the South and consolidate our position for some time before we decide to move into the rest of the country.
With regard to your second question, the growth plans for this business will be based on our distribution expansion plans. We are aggressively looking at increasing our presence in the number of outlets across the South of India. And as we increase the outlets, the business also will grow in a corresponding manner and that is our strategy for growth.
On your first question, the branded business, currently, the profitability is being something that we are working on, and we will be, as we unlock the value opportunities along the value chain at different levels. And as we build the brand and move into more premium packs, I think this profitability will be in sight, as we go along.
Ajit Darda: And sir, my next question is on ethanol. After a recent price hike in ethanol by the government, so what can be the impact on ethanol business margins?
Y. Venkateshwarlu: Ajit, the price increase, which has happened is on the C-heavy ethanol, okay. Basically, if you

look at it, most of the distilleries are not supplying the C-heavy ethanol. So the benefit, whatever the government has given, may not have much impact on the profitability.
Ajit Darda: And your outlook on refinery margins, sir?
Suresh Kannan: Yes.. Refining will be challenging as far as the 4th quarter of the financial year is concerned. We are seeing some light at the end of the tunnel going into the subsequent quarters.

Ajit Darda: Sorry, I missed your line, sir, sorry.
Suresh Kannan: So I'll repeat. The 4th quarter margins will remain challenging because of the external situation. But subsequent to that, we are seeing recovery in the premiums globally. So going forward, things should get normalized in subsequent quarters in the next financial year.

Moderator: The next question comes from the line of Rajkumar Vaidyanathan from RK Investments.
Rajkumar Vaidyanathan: Sir, the first question, in recovery, in a few months, we have started reporting better recovery from Jan onwards. So do you see similar trends in Tamil Nadu and Karnataka?
Abdul Hakeem Ashiq: This is Ashiq here. Karnataka is looking robust, and we believe we are getting benefits there and that will continue. Crushing will continue for some more time. I think that will come through this year. TN early indications are - we will be better than last year, but we are still in the early stages of crushing. So I will reserve a comment to observe and then come back on that.
Rajkumar Vaidyanathan: And sir, for the outlook on Tamil Nadu, given that it had a good range and the reservoir is full. So I just want to know, can we expect a better sugar yield and performance for TN mills in the upcoming year?
Abdul Hakeem Ashiq: Tamil Nadu, as we did mention, I think on the last call, was affected last year by pest and adverse weather. There has been a turnaround of both the scenarios, as we speak in the current year. But as you know, cane is a 1 year crop, so the playout will happen in the coming year. We would be positive about a yield improvement anywhere between 1.5 tons to 2 tons on an average in Tamil Nadu.
Recovery is something we'll have to see and make a comment on. One concern obviously is that planting acreage in Tamil Nadu, which is on a downward trend for all players because of competitive crop scenario. So that would continue to be a concern in Tamil Nadu.
Rajkumar Vaidyanathan: So the next question is on the export front, given that many mills in UP are looking at selling the quotas, so will you be looking at consolidating that and looking at any export opportunity?
Muthiah Murugappan: Yes. So just wanted to come in here. I think this question came up earlier, we have done this in Q1, we have exported. So maybe, Venkat, we can cover the export captive to the refinery. So we have actually received certain quota of 15,000 tons. We have exported and closed this and we've done it captively to the refinery, which is a SEZ. So we've taken up on the export quota and executed.
Rajkumar Vaidyanathan: Sir, and lastly given that there is an uptrend in sugar prices, so can we expect a better performance in the current quarter.
Muthiah Murugappan: Okay. So Mr. Vaidyanathan, this is Muthu here. Let me just address. I think Ashiq had covered quite comprehensively to your question on TN and I will say that the TN has been challenging in recent quarters, and we are seeing planting dip and this is a challenge because of competitive crop. I think we are obviously doing a lot of work to improve yields and improve recovery, but I think the planting and vegetation dip, it is a challenge. And I think this is a challenge, which we will have to be face in the coming quarters as well.
In terms of pricing, I think you were asking, yes, we are seeing an uptick in pricing, just given demand-supply dynamics and we hope that this will hold, and this will certainly help the sector at large.

Moderator: The next question comes from the line of Ritwik Sheth from One Up Financial Consultants Private Limited.
Ritwik Sheth: Sir, a couple of questions from my end. Firstly, sir, you mentioned that crushing will be higher than last season. That was for Tamil Nadu for the entire crushing area for us or at a consolidated level.
Abdul Hakee

n Ashiq: I did not mention the crushing will be higher; recovery will be higher.
Ritwik Sheth: Recovery will be higher. And sir, what kind of crushing are we expecting then this season?
Abdul Hakeem Ashiq: Yes, Muthu, please.
Muthiah Murugappan: So we don't give guidance, but crushing will be lower than last year and this is on account of challenges in AP and TN largely. I think as Ashiq said, while we've reported better recoveries in Karnataka, it is likely that the mills will close a tad bit earlier than last year and this would be

crushed. So we will crush lower. And I think these lower crushes are perhaps in line with the lower deltas that industry at large is seeing in all of the states.

Ritwik Sheth: And sir, what is the key reason for the lower crushing? Is it the crop or is there any specific reason because there seems to be a significant drop for the entire industry, not only for us, but just trying to understand that.

Abdul Hakeem Ashiq: I think North has been essentially affected by pests this year and that's come as a surprise for the industry. South, as we already discussed that the states of TN and AP has had competitive pressure from other crops and weather and pest related issues. In general, the El Nino effect and other conditions probably has pulled down the yield compared to what the industry should have expected across the country. I think that's having a significant impact on the crush numbers.

Ritwik Sheth: And sir, earlier in the call you also mentioned that looking at some repricing for ethanol for B-heavy and syrup and green base as well. So would it be a fair understanding that it would happen only before the start of the next ethanol season that would be end of November '25.

Abdul Hakeem Ashiq: As this is a government policy, I think it may not be right to guess the timeline. What we would want to state is that we continue to make representations to the government, and we really cannot comment on them. They will take the decision, if at all they want to take the decision. So I think it's a question of wait and watch for the industry with all good intention.

Moderator: The next question comes from the line of Akshay Ajmera from Nirzar Securities LLP.

Akshay Ajmera: Sir, first of all, I would like to thank you for a detailed presentation. It explained the various key metrics very well to us. So I hope that it will continue in the future as well. And you have also explained, sir, on this Consumer Product Group business that our broad strategy, how we want to grow in southern states, as well as expand in rest of the states. Any broad timeline or a roadmap for the profitability, what is the internal thinking around it? If you could just guide us on it? That would be very helpful.

Muthiah Murugappan: This is Muthu here. And I think we've given commentary in the past that we aspire to exit this decade with a much larger business than where we are today with a high digit percentage EBITDA, given it's a food F&B business. So I think that aspiration and objective is, and I think all the work that we are doing is in that business.

Akshay Ajmera: Okay, okay. Sir, secondly, as a company, we have multiple businesses now. We have an aspiration to grow and expand this business as well and we have sugar business, which is seasonal in nature, cogen distillery, then we have nutraceuticals. We are a holding company of Coromandel as well.

So is there any strategy or a thought process to unlock value in these businesses to increase shareholders' value as well as to increase focus on respective businesses because refinery is one of them. And we have seen in the past that we were very good in taking calls when you know, stop capital allocation to certain areas, which were not very profitable. So your views and your thoughts on it.

Muthiah Murugappan: That's excellent question and I think that there's some co

mmentary on this earlier in this call as well. In terms of the standalone business and I think that's really what we are primarily discussing today, I think our focus remains. We've done capex on the ethanol side, and our focus remains in running the mills and the distilleries very efficiently.

So the scale-up of the consumer business has been discussed. From a Nutra perspective, I think we have to do a bit more to discover the right value. And again, on the refinery, position it appropriately in terms of what's best for the business. I think this is where the focus is largely.

From a capital allocation perspective, I think unless we really see a sustainable policy framework, it would be hard to get the capital allocation back into the distillery segment. I think the aspiration from a capital allocation perspective would be more towards the consumer side going forward. And I think really efficiently run the mills and distillery segment, so that we get back into profitability. Of course, I think climate and regulation will also have to support us in this regard.

I think doing 4, 5 of these things on the standalone EID side are critical, so that the Group, as you know has always addressed strategic issues at the right time in place. And I think a sound set of standalone businesses will enable us to progress things on these lines. So I think that's where things will stand right now.

Akshay Ajmera: Very happy to know that. Sir, lastly, can you also share with us the share of sales value in terms, the value-added products in the sugar business, if you could just help us there?

Abdul Hakeem Ashiq: Broadly our business today is around 55% in institutional sales and almost all of that is a value-added product. So that's the split that will be there in the sugar sales.

Muthiah Murugappan: No, no. I think he was referring to the FMCG side, right? So I don't know, we missed putting it on the presentation. It was there last year. Again, it was there in last quarter. Is it 15%.

Balaji Prakash: Yes. It's about 15% as of now.

Y. Venkateshwarlu: Yes.
Akshay Ajmera: 15%.
Moderator: The next question comes from the line of Rajkumar Vaidyanathan from RK Investments.
Rajkumar Vaidyanathan: Sir, thanks for the follow-up. So two questions. So first one is on MSP increase, which we are requesting the government. So anything third...
Muthiah Murugappan: Mr. Vaidyanathan, can you repeat the question?
Rajkumar Vaidyanathan: Question is on the MSP increase for sugar which the industry is requesting the government -
Moderator: Mr. Vaidyanathan, you're not quite audible. Can you come a little closer to the mic?
Rajkumar Vaidyanathan: Yes. Can you hear me now?
Moderator: Yes, please go ahead.
Rajkumar Vaidyanathan: Yes. So the question is on the MSP increase for the sugar, which the industry has been requesting for many years. So I just want to know, is there any update? Do you hear anything coming up in the near annual?
Abdul Hakeem Ashiq: MSP is something that we continue to make representation to the government because as you can see, one of the stress the industry faces is a year-on-year increase in FRP, but that's not commensurate with the MSP increase. I'm sure the government is seized of the matter, and they are working on the various industry representations on how we would want to process that. In terms of timeline, as I said, this in the realm of the government's decision-making. I think we should hope for the best run rate.
Rajkumar Vaidyanathan: And sir, in terms of the ethanol part, I am not sure whether you have already covered it and I apologise if it was done earlier. So the question is, so given that there is no price increase other than the C-heavy ethanol. So are we looking at diverting any of the ethanol to sugar given the remunerative prices?
And then extending the same question, are we also looking at producing any

ethanol through
other grain mode like maize or rice.
Abdul Hakeem Ashiq: In terms of feedstock between B, C and ethanol, we continuously keep evaluating on a very live basis as a system, and we choose to produce what would be margin accretive to the business.
In terms of diversion to sugar, that's part of the matrix. If sugar is profitable, yes, we would look at it. But we do have commitments to the OMCs, which are locked in terms of our supplies. And I think that's a good, assured business that we have on the ethanol side. I hope I have answered your question.
Rajkumar Vaidyanathan: Sir, and how about producing ethanol through the grain mode? Are we looking at...?

Abdul Hakeem Ashiq: Out of the units we have, our Sankili unit has a grain capacity. Grain, as we have outlined in the past, our intent is to make our distillery business multi-feed, multi-product. So we would be looking at grind-based option in one of our other facilities also. So we'll be flexible in terms of our approach.
Moderator: The next question comes from the line of Somnath Saha from B&K Securities India Private Limited.
Somnath Saha: Sir, you have just mentioned about the multi-feed. Can you give the numbers out of the total capacity you have for distillery? What portion is multi-feed?
Y. Venkateshwarlu: Somnath, today if you look at it, as on 2nd quarter we are having a total 582 KLPD, the total alcohol capacity.
Somnath Saha: Sir, I can't hear you, sir.
Y. Venkateshwarlu: The total ethanol capacity is 582 KLPD. Out of that 120 KLPD is basically the multi-feed. 120 KLPD, can be produced from either grain. Grain means like either rice or maize. When it comes to the ethanol, either it is B-heavy molasses or syrup.
Somnath Saha: Any further plan for expansion or conversion of the existing juice base or even sugar feedstock-based plant to multi-feed?
Y. Venkateshwarlu: We have plans, Somnath. Maybe at the right time, we will disclose it. We have a plan because looking at the challenges in the molasses availability in TN and Karnataka, we may be looking at the conversion of the existing plant into multi-feed grain.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.
Muthiah Murugappan: Thank you, Sanjay, and thanks to everyone for logging into our quarter 3 call. These are challenging times for us as well.
Moderator: Sorry to interrupt, sir. You're not quite audible.
Muthiah Murugappan: Yes. Thanks all for logging into the call. These are, of course, challenging times perhaps for the

industry as well as for us. I think we continue to work toward various strategies, which we have given commentary on, and we look forward to connecting with you in the next quarter. Thank you and have a good day.

Y. Venkateshwarlu: Thank you.

Abdul Hakeem Ashiq: Thank you all.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors that concludes this conference. You may now disconnect your lines.

Call: Jun 2025

June 4, 2025
BSE Limited
pt Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.1.0. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789 Fax: 91.44.25341609 / 25340858
CIN: L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Sandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
EIDPARRV
Subject: Transcript of Conference Call for Analysts and Investors for Audited Financial Results for the quarter/year ended March 31, 2025
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript for the con-call held on Wednesday, May 28, 2025, on the audited financial results for the quarter/year ended March 31, 2025.
We request you to kindly take the above information on record.
Thanking you
Yours faithfully
For E.1.0.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
• murugappa

"E.I.D.-Parry (India) Limited
Q4 FY'25 Earnings Conference Call"
May 28, 2025

MANAGEMENT : MR. MUTHIAH MURUGAPPAN -- WHOLE TIME DIRECTOR – E.I.D.-P ARRY (INDIA) LIMITED
MR. SURESH KANNAN – WHOLE TIME DIRECTOR -- PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
MR. Y. VENKATESHWARLU – CHIEF FINANCIAL OFFICER – E.I.D.-P ARRY (INDIA) LIMITED
MR. ABDUL HAKEEM ASHIQ - CHIEF OPERATING OFFICER – SUGAR & BIO FUEL – E.I.D.-P ARRY (INDIA) LIMITED
MR. BALAJI PRAKASH -- CHIEF OPERATING OFFICER & BUSINESS HEAD - CONSUMER PRODUCTS GROUP – E.I.D.-P ARRY (INDIA) LIMITED
MR. BISWA MOHAN RATH – COMPANY SECRETARY -- E.I.D.-P ARRY (INDIA) LIMITED

MODERATOR : MR. SANJAY MANYAL – DAM CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the EID Parry (India) Limited Q4 and FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Sanjay Manyal: Hello, everyone, and a warm welcome on behalf of DAM Capital to the Q4 FY '25 Earnings Call of EID Parry (India) Limited. We thank EID Parry's management for giving us this opportunity to host this call. On the call today, we have with us Mr. Muthiah Murugappan, Whole-Time Director; and other senior management team of EID Parry.

I hand over the call to the management for opening remarks, followed by a question-and-answer session. Thank you, and over to you, sir.

Muthiah Murugappan: Good morning Sanjay, and thank you. Good morning, everyone. It gives me great pleasure to be a part of this call to share with you and update all of you on the global as well as the Indian sugar scenario and also talk about the Q4 performance of the company.

I'll start with the global scenario. The '24-'25 global sugar deficit widened by 1.5 million tons to 3.9 million tons due to production cuts in India, Pakistan and Thailand, while the '25-'26 deficit projection increased to 1.5 million metric tons, signaling continued tightness. The '24/'25 raw sugar trade flow surplus rose by 726,000 metric tons to 2.92 million metric tons, with most of this concentrated within Q3 of 2025. The projected trade flows for white sugar in '24/'25 indicate a reduced surplus of 642,000 metric tons, down by 215,000 met

ric tons amid a shift to a deficit starting in 2026.

The benchmark New York #11 May contract oscillated between $0.18 to $0.20 per pound, finishing the month 44 points higher. The weather forecast shows above average rains in center -South Brazil. In the short term, this could disrupt harvesting and reduce industrial yields. But in the long term, it could be beneficial for cane development.

The U.S. dollar index fell significantly by mid-March amid tariff concerns, which could influence agricultural commodities, sugar included to the bullish side. The speculators' net stock position was reduced to the lowest level since mid-December 2024, mostly on fresh pine. New York # 11 price forecast has been lowered from March '24 with the base case at $0.185 per pound to attract demand amid a significant surplus estimated in raw sugar trade flows.

White premiums remained volatile, ending April 4% lower with expectations to trade between $105 to $120 per metric ton, reflecting the tightening white sugar surplus. While structural deficits provide long-term price support, near-term market dynamics remain balanced between Brazil's harvest progress, white and raw arbitrage opportunities and evolving weather patterns

that could impact production. The market continues to navigate these competing forces with traders closely monitoring Brazilian crushing rates and potential policy shifts that may affect global trade flows in coming months.

I'll now move to the Indian scenario. As of April 30, India’s sugar production stood at 25.7 million metric tons with 19 mills still crushing, predominantly in UP, Maharashtra and Tamil Nadu. While early season yields were impacted by weather conditions, improved recoveries on the second half of the main season have supported production.

ISMA, the Indian Sugar Mills and Bio-energy Association has maintained its full season estimate of 30.3 million metric tons, contingent on an additional 4.5 million to 5 million metric tons from the May operations and the special season, which goes from June to September. Domestic consumption is projected at 28 million metric tons with 1 million metric tons being allocated for exports. While 3.8 million metric tons has been diverted to ethanol production. On the back of this, closing stocks estimated at 5.5 million metric tons for the sugar year '24-'25.

Looking ahead, with planting numbers looking good in the 3 key states and a normal monsoon, which has already started early as expected, this will augur well for the upcoming main season crush. TN and AP, however, still will remain challenged because of lower planting. So given this there will be a positive delta in crush. There is expected to be more sugar in the upcoming

2 year.
On this backdrop, some of the key factors to be monitored from a policy and a regulatory perspective include, firstly, sugar pricing as the new season starts and as to whether exports will be considered given a larger crop and crush.
On the ethanol side, we also need to monitor whether on molasses-based ethanol, there will be any pricing revisions at all as they have not been moved up in over 3 years despite consistent FRP increases. There's also an indication of more saliency and emphasis on grain ethanol. And lastly, on ethanol, whether there would be curbs or not on the import of U.S. ethanol will also need to be monitored. Whether the curbs will be lifted would need to be monitored as part of the ongoing trade discussions between the 2 countries.
I now hand over to Venkat, our CFO, to take you through the operating parameters and performance of the company in Q4 and FY '25.
Y. Venkateshwarlu: Thank you, Muthu, and good morning to all participants. It's a great pleasure to be part of the analyst call and to share the key information of the operational and financial performance of the company.
I would like to share with you the key o

perating parameters of each segment. The sugar operations, the crushing operations in Karnataka, Tamil Nadu and Andhra Pradesh, we have successfully completed for the quarter. We have run about 122 days overall in Q4 against the 156 days of last year.

We crushed about 17.4 lakh metric tons of cane against the 19.79 lakh metric tons for the corresponding previous quarter. The gross recoveries have improved. We are at 10.8% for the quarter against 10.69% of the corresponding quarter of the previous year. We produced about 155,000 metric tons against the 204,000 metric tons of the corresponding previous quarter. So overall cane cost is about INR3,768 per metric ton against INR3,504 per metric ton of the corresponding quarter of the previous year. The increase is mainly on account of the FRP increase from INR3,150 to INR3,400.
As far as the sugar volumes is concerned, we sold about 103,000 metric tons, including our consumer pack division against the 105,000 metric tons of the corresponding previous year. Average selling price was about INR39.37 excluding the consumer pack against the INR37.50 for the previous period. We carry closing stock of about 1.9 lakh metric tons valued at INR37.50 to INR38.
So as far as the revenue is concerned, from sugar operations, we've done about INR408 crores against the INR415 crores of the corresponding previous quarter, registering a degrowth of about 2%. This was mainly on account of reduced release quota.
As far as consumer pack is concerned, we achieved about INR195 crores of revenue. This is including the non-sweetener portion of about INR65 crores and the sugar of INR130 crores against INR135 crores of the corresponding previous period. As far as the Co-gen is concerned, we generated about 1,456 lakh units against 1,746 lakh units in the corresponding period of the previous year.
As far as export of power is concerned, about 732 lakh units was exported as against 903 lakh units in the corresponding period of the previous year. The average power tariff for the current quarter is about INR4.3 per unit against INR4.84 per unit in the corresponding period of the previous quarter. As far as revenue is concerned, it was INR57 crores for the power for the current quarter against the INR77 crores of the corresponding period of the previous year.
It's a good story on the distillery because we sold about INR3.89 crores liters of alcohol against INR3.31 crores liters of the corresponding previous quarter, of which about INR1.31 crores was ENA, about INR2.57 crores was ethanol.
The realizations are good. The current quarter realization is about INR66.98 / INR67, against the previous year's realization of about INR64.49.So though there is no increase in ethanol prices, the average sales prices have increased. So, mainly the contribution has come from the price increase in ethanol in Tamil Nadu and Karnataka. As far as the revenue is concerned, it was INR268 crores as against INR224 crores of the corresponding previous year quarter.
So as far as the Nutra segment is concerned, pertaining to Indian operations, the current quarter turnover was about INR9 crores against INR10 crores in the corresponding period of the previous year. At consolidated level, the turnover is about INR60 crores against INR70 crores in the corresponding period of the previous year.

As far as the refinery business is concerned, the total revenue is about INR 1,019 crores against

INR 899 crores of the previous period. So as far as the loss is concerned, it is about INR 99 crores against INR 9 crores in the corresponding previous period.
Refined sugar production is about 1.17 lakh metric tons against previous period, of 2.49 lakh metric tons. Refined sugar sales is about 2.05 lakh metric tons against the previous period of 1.5 lakh metric tons. Intercorporate de

posit, given by EID Parry of INR200 crores, remains the same. As far as external borrowing is concerned, it was INR 590 crores against the previous period of INR 95 crores.
So as far as EBITDA is concerned, for the current quarter, it's a negative before exceptional item of about INR38.12 crores, against the corresponding previous period of INR56.21 crores profit.
PBIT, before exception will be about INR49.3 crores current quarter compared to the previous period, it is INR45.53 crores of profit. PBT is about INR99 crores negative against the INR9 crores of the corresponding previous year loss.
So that's it from my side. So the floor is open for questions.
Moderator: Thank you very much. The first question is from the line of Rushabh from RBSA Investment Managers. Please go ahead.
Rushabh: I just have a question on the CPG division on the non-sweetener side. Strategy-wise, are you looking to enter organic or chemical-free category seriously over the next 2 to 3 years? What is the thought process given that we have good access to farmland from our group companies?
Balaji Prakash: So this is Balaji. I head the Consumer Products business. As of now, we are present in the conventional staples business, and we don't have any plans right now to enter the organic or chemical-free staples at this point in time. Maybe in at some future situation, we'll consider it.
We haven't yet optimized the supply chain to the extent of going up to the farmers. As of now, there are no plans for that right now.
Rushabh: And secondly, I'm just looking at one of your slides in the sweetener category. The distribution reach has increased by 10x over the last 4 years, while the revenue has gone up only 3x. So I believe there's a lot of potential to increase the revenue per distribution reach. So what steps are we taking to increase that? And what are the new products that we're adding in the non-sweetener category in this coming year?
Balaji Prakash: So I think the outlet increase is always higher than the revenue increase because the incremental new outlets don't contribute to revenue in the same proportion as the existing outlets, which is a normal understanding. So that is the reason why you see that discrepancy. And in terms of new products, we are still working on our new product plans, and we will come back to you as and when they are ready.
Moderator: We take the next question from the line of Sanjay Manyal from DAM Capital.
Sanjay Manyal: Just want to understand about the availability of sugarcane for the next season, given the fact that the rains have been good and water levels have been pretty decent. So it seems that

production could be a bit higher. So what could be the crushing number for us, and how would that translate into the ethanol volumes for the next year?
Abdul Hakeem Ashiq: This is Ashiq here. I'm heading the Sugar and Biofuel business. Current timely monsoons in Karnataka and Tamil Nadu is giving us a lot of comfort. We are still in the stage of planting.
Probably by the end of next quarter, we'll have a good view of any upsides that could be there.
Currently, we are holding a neutral outlook with a positive base.
Sanjay Manyal: Okay. And sir, just also want to understand if you can give a bit about the ethanol volume and how much now could be the proportion of grain ethanol or maize ethanol? And how are the economics in maize ethanol, or for that matter, grain ethanol in South India?
Y. Venkateshwarlu: Sanjay, if you look at it, our distillery capacity is about 582 KLPD. So that will give you about 18 crores liters or so, okay? As far as the composition of ethanol and ENA is concerned, we'll be dynamically deciding it, which is more lucrative, okay? As far as the ethanol is concerned, to the extent of the OMC commitment, we'll be honoring it. So, balance, we will be diverting into the ENA.
As far as the grain is concerned,

you are aware of it because we have only 1 facility in AP, where about 3.5 to 4 crores liters we can produce. That also depends on whether it is a syrup or the grain, or something. It's a multifed distillery. We can't comment on '25- '26, what could be the grain ethanol exactly depends on the availability of the cane and the government outlook on the price increase in case of grain ethanol and the B-heavy ethanol.
Muthiah Murugappan: So, Sanjay, Muthu here. To your question, in terms of the economics of grain ethanol in South India, I think it's helpful when you actually have an integrated facility because your sugarcane ecosystem gives you a benefit on fuel. And ideally, we've had lower-than-expected cane feedstock in AP. But as that situation improves, then that would certainly benefit the operations.

In terms of how stand-alone ethanol distilleries are faring in the South, there isn't too much public data available on that. So it's hard to comment. In a broader sense, we are hearing more saliency and emphasis on grain ethanol. This is a change from when the ethanol blending program was conceptualized. In the last 2- 2.5 years, there's been more of a saliency towards grain, which is what we are seeing right now.
But that said, we are moving into a period of abundance on the sugarcane side after 2 years. So given all of these are agri feedstocks, we will have to wait and watch whether this increased saliency towards an emphasis on grain ethanol will remain or there will be a shift towards sugarcane. Again, given these are agri-based feedstock, these tend to usually be dynamic situations.
Sanjay Manyal: Right, sir. Just one more thing on the ethanol part, this is almost like a second year where we haven't really received any hike in ethanol prices. I'm sure your discussions must be happening with the government about the policy, because till the time the 20% blending was not met, I think the government was pretty keen to increase the prices. Do you think it's a halt from that perspective that there is no increase in prices? So probably - this 20% blending will stay here and will not move forward?

Muthiah Murugappan: So Sanjay, I think you're asking a couple of questions. I think the last time and Venkat, correct me if I'm wrong, we saw an increase on ethanol offtake prices in late 2022. So we're almost going to be 3 years without any increase in molasses-based ethanol prices, barring some marginal increases on the C-heavy price. It is not very material.
So that is a challenge, given FRPs goes up consistently every year. And last year, they actually went up by 8%. So this is what has challenged the industry and also brought EBITDA margins down significantly on the back of recently concluded capex programs.
I think this has been well represented by the industry body to the policymakers. I think they have also been receptive in their listening and I think they do understand. It really remains to be seen in terms of what kind of policy calls are taken around this. I can say that we remain hopeful given that there is an abundance of cane coming up and so on.
In terms of the blend, I think we're up to about 18% right now. And the auto industry also is seemingly prepared for up to a 20% blend. So whether this blend will move up beyond 20%, again, that's something which is on a concrete basis yet to be determined.
We are also concerned, I will say, by the fact that there are conversations as part of a broader U.S.-India trade discussions that the lifting of curbs on import of U.S. ethanol is being considered. We don't know the outcome yet, but I think the industry body has officially also expressed their concern on this matter to policymakers across the board. I think such a move will certainly be negatively impactful to the industry at this point in time.
Sanjay Manyal: Right sir, in the same context, if I can just understand

the economics means, what if the import of ethanol happens to India, what would be the landed price? And will it be so much difference? I mean, is there a significant difference that those imports are attractive?
Muthiah Murugappan: I think if you look at the U.S. -- current export prices of U.S. ethanol, I think it equates to about, I would say, the early 40s. I did check this earlier this week. So of course, ethanol is subsidized in India. And I think U.S. prices are currently much lower. So that obviously impacts the economics.
Moderator: We take the next question from the line of Yash Visharia from Mavira Asset Management.
Yash Visharia: Sir, just wanted to get your sense on the consumer products business. So, how are we seeing this business grow over the next 2 to 3 years? What is the road map that the company is envisaging on this business?
Balaji Prakash: So the consumer product business -- our focus on the consumer product business will continue with sustained aggression on distribution growth and volume growth. Branded packaged food business in India is growing at about 12% annually. We will be trying to beat that estimate in terms of our growth rates, and we will continue to keep focused on building the brand and driving the distribution.
Yash Visharia: Sure, sir. So are we focusing on any specific geographies, like only South India or we want to grow pan-India? How are we seeing the growth there?

Balaji Prakash: So right now, we are present in the South of India. And as the market demand picks up, we will be expanding across to other geographies. Right now, we are present in the South of India.
Yash Visharia: Okay. And sir, are we planning to tie up with any of the giants like, say, D-Mart or any other quick commerce for pickup in the volumes?

Balaji Prakash: So these are channels, and we don't do tie-ups with them, but we are present in all these channels in e-commerce and D-Mart, our products are being sold. Like a conventional channel, we will be managing them.
Yash Visharia: Understood, Sir. So sir, basically, apart from sugar and distillery, can we say that maybe 3 or 5 years down the line, the consumer products business will be one of the important core segments for the company in the growth?
Balaji Prakash: Yes, definitely.
Moderator: We take the next question from the line of Ritwik Sheth from One Up Finance.
Ritwik Sheth: Sir, just a couple of questions. Sir, firstly, on the debt front, sugar business and refinery, would it be possible to give the split for long-term and short-term debt?
Y. Venkateshwarlu: Ritwik, as far as the sugar business is concerned, we have about INR850 crores as a short-term debt, about INR205 crores is the long-term debt. So as far as the refinery business is concerned, about INR590 crores is the short-term debt, and the INR200 crores will be the long-term debt. So long-term debt is basically from the ICD, which is given by EID Parry.
Ritwik Sheth: So external debt is only INR590 crores, which is completely short-term?
Y. Venkateshwarlu: Yes.
Ritwik Sheth: And sir, what is the outlook on the refinery debt and refinery business as well for FY '26, if you could give us some flavor on that?
Suresh Kannan: Ritwik, Suresh Kannan here. See refinery business went through challenging times in the second half of FY '25, basically on account of the drastic fall in the white premium, that happened because of increased supply came out of European Union, Ukraine, and to some extent out of Pakistan as well. But going forward, in FY '26, there is a spillover effect of that as we start the financial year.
However, as Muthu explained in his commentary, there is a tightening of the supply that's happening as far as refined sugar is concerned. Most refineries took break because of the low white premium situation. So there is a correction as far as the supply side is concerned. So we are seeing

the white premiums going back, may not be up to the levels that what we witnessed in FY '24, but definitely much better than the FY '25 level. So that will increase the run rate of the refining operation. That will also help us to service the short term debt effectively.
Ritwik Sheth: Got it. And on the crushing, I'm not sure whether you mentioned in the opening remarks, but what is the crushing that we expect for FY '26 for EID Parry?

Y. Venkateshwarlu: Ritwik normally, we will not tell about the future, but as was Ashiq mentioning that this time, the monsoon is good. But we can come back to you may be in the September or something, what should be the probable crushing.
Moderator: Next question is from the line of Manoj Shah from Lax Gov Investments.
Manoj Shah: Just wanted to check on what will be the capacity utilization for ethanol because recently new capacities have come, and what you expect in FY '26 capacity utilization?
Abdul Hakeem Ashiq: As Venkat pointed out, we have 582 KLPD Distillery Capacity. We are currently running at about 90% plus capacity utilization. We expect that to continue, and our endeavor is to move the needle substantially up because the benefit is there in utilizing our assets efficiently, and we have an opportunity unlike the sugar business. So 90% to 95% is the kind of capacity utilization we are looking at.
Manoj Shah: Regarding the sugar refinery, there is some impairment taken up in this year. Can you comment a little bit on that? Why an impairment has been taken? And also, there is some news that government will have some control over raw sugar also, there are some news, if you can comment on that.
Muthiah Murugappan: So I'll take the first one. There's been an infusion, which has been made, and that is for debt reduction and improving the net worth. At the same time, the impairment has also been taken because of the challenged financial performance of the business. You would have seen the spreads, I think Suresh Kannan spoke about it, have drastically come down. This has led to, as Venkat described, a very weak financial performance. So we were required to take this impairment.
Manoj Shah: So basically, we have assessed the future cash flows to be lower than the book value. So you have taken impairment based on that?
Muthiah Murugappan: Yes, it's usual cash flow-based formula which has been used, yes.
Manoj Shah: And second part on this raw sugar, there was some news that the government would have some control over on that as well. There is some news, if you can comment on that?
Muthiah Murugappan: Suresh, you might want to comment. I don't think so.
Suresh Kannan: In the Sugar (Control) Order, they have brought in some amount of control in declaring the raw sugar with manufacturers. And also they have brought units larger than, I think, 500 TCD for Jaggery crushing, kandasari into the ambit. We believe both are welcome to make the sugar

balance numbers, and create a level playing field amongst various players. And as an organized player, we are open to the direction in which they are moving.
Muthiah Murugappan: I'm not sure there's much of an implication on the refinery. I don't know, Suresh Kannan, if you want to clarify.
Manoj Shah: Yes, basically I wanted to know that.

Suresh Kannan: The Sugar (Control) Order is basically for governing the domestic production, as refinery is entirely on export. So either the imports is through an advanced license or through special economic zone, these do not come under the Control Order. So we are not affected..
Moderator: We take the next question from the line of Manaswi from ICICI Bank.
Manaswi: I would like to know from the sugar segment, you can highlight on what has been the key reasons because of which there has been the negative income, and how exactly EID Parry is planning on m

itigating the upcoming financial year?
Muthiah Murugappan: Can you stop the background noise which is coming. We are not able to hear you properly.
Manaswi: Is it better now?
Muthiah Murugappan: Yes. Can you please ask your question again?
Manaswi: I would like to know if we go for the Sugar segment, like if you can highlight what are the key reasons because of which there has been negative income for the FY '25? And how is EID Parry planning to mitigate the same in the upcoming financial year for the sugar segment?
Suresh Kannan: I'll try to take the question. Fundamentally, the challenge has been on sugar realization because the government has been holding the MSP, while the FRPs have been going up year-on-year.
As already pointed out, we continue to shift our portfolio towards refined sugar and institutional sales, coupled with our foray into consumer products. The shore up the realization to help us manage the pressures on cost line.
The other challenge we continue to face is on the release quota. The government has a particular methodology and they have been refining it over years, in terms of giving us a quota of sugar that we can sell. We continue to work with the policymakers in terms of helping the industry in giving higher release quota, which will automatically take care of the business pressures.
The last one is obviously from the supply side. As already pointed out by a gentleman earlier, we have a positive bias towards cane availability, and increased crush base will also leverage the cost in the P&L and will give better results. Broadly, at a large view, these are the 3 ways in which we are looking at approaching in terms of resolving the pressure.
Moderator: Next question is from the line of Yash Visharia from Mavira Asset Management.
Yash Visharia: Sir, just sorry if that's a repeat question, but with respect to this subsidiary, Parry Sugar Refinery India Private Limited. So, we have an exceptional item of INR427 crores for the year of FY '25.
And we are again infusing around INR350 crores in the same subsidiary. Is that understanding correct?
Muthiah Murugappan: That's correct.
Yash Visharia: Sir, what is the reason for writing off INR427 crores and again reinfusing the such big amount in the same company?

Muthiah Murugappan: I think Yash covered this earlier. The impairment has been done on account of poor financial performance. I think that was looked at, and I think we were required to take that impairment.
In terms of the infusion, it is to strengthen the net worth of the company and also bring about some debt reduction. This is the reason for the infusion.
Moderator: Next question is from the line of Manoj Shah from Lax Gov Investments.
Manoj Shah: Sir, my question is to make the sugar business viable, how much the minimum selling price should be increased? Like you are touching in the market somewhere around INR37, INR38.
And based on your cost of production, how much it should be increased so that the sugar business becomes viable?
Muthiah Murugappan: Yes, Venkat, do you want to go first?
Y. Venkateshwarlu: No, no.
Muthiah Murugappan: So Manoj, if you ask that question to industry, I think we'd have a really, really big ask around that one. If you look at most commodities pricing, even if you look at the domestic bill, oil and ghee and whatever else, pricing has significantly moved up in the last 5, 10 years.
Sugar, unfortunately, has remained very range bound and the sort of window shortens between the FRP increase and the price. So, I think this has constantly been represented to the policymakers. I would say something into the early 40s would only be near meaningful.
However, it still continues to be a deliberation with them on the MSP. So, we'll have to wait and

watch if anything is considered at all.
Manoj Shah: So, do you expect anything to come before this next sugar season starts?

Muthiah Murugappan: No, I think it's not come around for quite some time. It continues to remain a deliberation. I think Ashiq spoke about release quotas. There's also export allocations, ethanol diversions. These are how the sugar balance and pricing is really managed in our country. It's also an essential commodity. So maybe it's perhaps in their own right policymakers also have intent to keep pricing affordable and range bound.
So, it will continue to remain in deliberation. I think there are areas where in which we are hopeful policymakers will make some positive upward revisions. But also, with programs like EBP, so on and so forth, they have been good moves made by them as well to strengthen the health of the industry.
Manoj Shah: But can you comment that through ISMA, you are in some active dialogue with government on this or it's nothing happening on this front as early representation from the industry through ISMA?
Muthiah Murugappan: So, Sanjay, ISMA has always taken up this point with the authorities, and they've always given us patient sharing. It's never off the table in terms of discussion.

Manoj Shah: And in light of higher sugar production for next sugar year, how do you see the movement in prices because you will have higher cane production, which may again further depress the sugar prices. So how this will impact the profitability?
Muthiah Murugappan: So, if you go back to my opening comments, I stated this as the first point to watch out for, precisely what you have rightly picked up also now. Yes, with more sugar coming into the balance and with these kinds of release quotas and sugarcane ethanol not being given as much of an impetus, there is certainly a risk of downward sliding of prices.
Now which is why perhaps into Q4 of F '26 and Q1 of F '27 Q2 F '27, having an export program will certainly be something I hope the policymakers will consider strongly to ensure that pricing remains reasonable for us for the processors.
Manoj Shah: Any indication on ethanol blending program moving higher from 20% to 25% or higher than 20%?
Muthiah Murugappan: Again, as mentioned earlier, this is a conversation. As far as we know, the auto industry is certainly prepared for a 20% blend -- beyond 20%, I'm not sure if we have enough insight whether they are prepared. There's also talk of flex fuel and higher blends, but these are in smaller pockets. But up until 20%, I think the industry is prepared. We're at 18% right now. We still have to catch up 2%.
Moderator: Ladies and gentlemen, that was the last question. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Muthiah Murugappan: Thank you all for your patient listening. We look forward to meeting again during our Q1 F '26 results in a few months' time. Thank you.
Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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August 13, 2025
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Phiroze Jeejeebhoy Towers,
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Dear Sir/ Madam, E.1.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel : 91.44.25306789
CIN: L24211TN1975PLC006989
Website : www.eidparry .com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400 051.
EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors for Unaudited Financial Results for the quarter ended June 30, 2025
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the transcript for the con-call held on Thursday, August 7, 2025, on the unaudited financial results for the quarter ended June 30, 2025.
We request you to kindly take the above information on record.
Thanking you,
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
• murugappa

"E.I.D.- Parry (India) Limited
Q1 FY26 Earnings Conference Call"
August 07, 2025

MANAGEMENT : MR. MUTHIAH MURUGAPPAN – WHOLE TIME DIRECTOR – E.I.D.- PARRY(INDIA) LIMITED
MR. SURESH KANNAN – WHOLE TIME DIRECTOR – PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
MR. VENKATESHWARLU Y – CHIEF FINANCIAL OFFICER – E.I.D.- PARRY (INDIA) LIMITED
MR. ABDUL HAKEEM ASHIQ J – CHIEF OPERATING OFFICER – SUGAR &BIO-FUEL – E.I.D.- PARRY (INDIA) LIMITED
MR. BALAJI PRAKASH - CHIEF OPERATING OFFICER & BUSINESS HEAD - CONSUMER PRODUCTS GROUP – E.I.D.- PARRY (INDIA) LIMITED
MR. BISWA MOHAN RATH – COMPANY SECRETARY -- E.I.D.-P ARRY (INDIA) LIMITED

MODERATOR : MR. SANJAY MANYAL – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to the E.I.D.- Parry (India) Limited's Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Manyal. Thank you, and over to you, sir.

Sanjay Manyal: Hello, everyone, and a warm welcome on behalf of DAM Capital to the Q1 FY '26 Earnings Call of E.I.D.- Parry (India) Limited. We thank EID Parry's management for giving us an opportunity to host this call. On the call today, we have Mr. Muthiah Murugappan, Whole-Time Director, and other senior management team of EID Parry.

I hand over the call to the management for opening remarks, followed by a question-and-answer session. Thank you, and over to you, sir.

Muthiah Murugappan: Thanks, Sanjay, and very good morning to everyone. It gives me a great pleasure to be a part of this analyst call and to share some updates on both the global as well as the Indian scenario and explain the Q1 performance of the company. You will also note that our quarterly investor presentation has been uploaded online post our Board meeting yesterday.

I'll start with the global scenario. The global sugar market is projected to remain in mild surplus through the sugar year '25-26, primarily due to increased production in Brazil, India, and Thailand. Favourable weather has supported higher output in India and Thailand, while Brazil continues to crush aggressively with a sugar mix of about 52% despite dry conditions affecting cane quality.

However, risks to Brazilian output persists due to lower cane yields, declining ATR and wea

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sugar prices, which may prompt the shift towards ethanol production. According to Czarnikow, the market is still oversupplied by approximately 2 million metric tons (MMT) of raw sugar and 1.1 MMT of white sugar in 2025, with an additional 1.2 MMT of white sugar surplus expected in the first half of 2026.

This has driven raw sugar prices down from $0.215 per pound in February to about $0.16 per pound at present. The white premium remains uncertain with refiners needing $100 per metric ton to remain viable, suggesting a necessary range of $80 to $100 per metric ton to incentivize supplies.

EU sugar output is expected to decline, while demand from key destination markets such as China, Indonesia, and Bangladesh have softened. With prices trading near ethanol parity, any further shift in Brazil's mix towards ethanol would help stabilize the market. Strategic policy decisions and production responses will be key to rebalancing global fundamentals.

I'll now move to the Indian scenario. As of mid-July, India's sugar production stands at 25.7 MMT with 14 mills still operational. Early season yields were impacted by adverse weather, but improved recoveries on the back half of the season have supported output. Pre-monsoon rainfall,

which largely occurs during the months of March to May 2025 was 42% above normal, significantly affecting cane growing states positively. Maharashtra, Karnataka, and Tamil Nadu all recorded surplus across major districts.

Domestic consumption is projected to be 27.9 MMT with 0.6 MMT expected to be exported from the 1-million-ton quota, which was provided. 3.4 MMT is the expected diversion towards ethanol. Estimated closing stocks are in the range of 5.5 MMT, roughly 2.5 months of demand.

Most states have seen a decline in sugar output with Maharashtra and UP showing the largest stocks in absolute terms. State wise, UP leads with 9.24 MMT, followed by Maharashtra at 8.09 MMT, Karnataka at 4.5 MMT and Tamil Nadu at 0.5 MMT as of mid-July.

Key factors to monitor going forward will really be how the cane crop pans out in the upcoming sugar season. The good monsoon spells are encouraging on this front. Also, developments on the ethanol blending program, particularly on ethanol pricing as well as outcomes of India-U.S. trade talks and any bearings this might have on the ethanol and sugar sector will also need to be

monitored.
I now hand over to our CFO, Mr. Venkateshwarlu, to take you through the operating performance of the company in Q1.
Venkateshwarlu: Thank you, Muthu. Good morning to all participants. It's a great pleasure to be part of the analysts' call and to share the key information on the operational and financial performance of the company. I would like to share with you the key operating parameters of each segment. As far as the sugar operations is concerned, the Tamil Nadu plants crushed an average of 63 days, during the quarter 1.
I would like to share the quantitative results. In Q1, we crushed about 2.11 LMT as compared to the corresponding quarter of the previous year of 1.93 LMT. Recoveries were under pressure as the recovery for the current quarter was 8.02% against 8.6% of the corresponding quarter of the previous year.
We produced about 17,000 metric tons of sugar during this quarter and against the 16,000 metric tons of corresponding quarter of the previous year. The cane cost is about INR 3,844 per metric ton against INR 3,491 per metric ton of the corresponding quarter of the previous year. This is mainly on account of the FRP impact, which was declared by the central government from INR 3,150 to INR 3,400 per metric ton.
The sugar sales volume for the current quarter is 84,000 metric tons. This is completely driven by the domestic sales. There is no export quota available for us. We already exported whatever quota was available. The corresponding quarter of the pre

vious year was 1.05 LMT.
We were also completely domestic in the previous corresponding quarter, which was about 6.05 LMT. The reduction is mainly on account of the lower release order quota, which is given by the Department of Food and Public Distribution. As far as the sugar selling price is concerned, overall average selling price is INR 41.99, against the previous year's corresponding quarter of INR 38.60.

We are carrying about 1.2 LMT of sugar as at June '25, and we are valued at an average of INR 37. So as far as the segment revenue is concerned, sugar revenue for the current quarter is about INR 347 crores as against INR 404 crores of the corresponding quarter of the previous year, registering a decline of about 14% on a lower release quota.
The Consumer Product Group delivered a turnover of about INR 192 crores for the current quarter, registering a decline of 11% over the corresponding quarter of the previous year of INR 216 crores, mainly on account of lower release quota for the sweetener category, partly offset by steady performance in the staples segment, which registered a growth of 33% over the corresponding quarter of the previous year.
As far as the Co-generation is concerned, the power generated during the quarter was about 221 lakh units as against 307 lakh units in the corresponding quarter of the previous year. We exported about 122 lakh units against 170 lakh units in the corresponding quarter of the previous year. Average power tariff for the current quarter is INR 3.67 per unit as against INR 4.23 per unit in the corresponding quarter of the previous year. Revenue in this segment for the quarter is about INR 7.53 crores as against the previous year, INR 11.94 crores in the corresponding quarter of the previous year.
As far as Distillery is concerned, we have sold about 413 lakh litres (LL) against the previous corresponding quarter, 390 LL, of which ENA is 153 LL and ethanol was 260 LL.
As far as the realization is concerned, INR 67.59 per litre against corresponding quarter of the previous year's realization of INR 64.31. Revenues were INR 296 crores compared to INR 263 crores during the corresponding quarter of the previous year.
As far as the Nutraceuticals segment is concerned, turnover of the Indian operations was about INR 5.94 crores against INR 8.41 crores in the corresponding quarter of the previous year. At the consolidated level, Nutra business turnover is about INR 27 crores as against INR 59 crores in the corresponding quarter of the previous year.
As far as the refinery operations are concerned, the operational revenue in this quarter is INR 908 crores as against INR 1,213 crores the corresponding quarter of the previous year.
As far as the PBT is concerned, it is a good story because we made a positive PBT of INR 67 lakhs against the loss of INR 6.79 crores. Sugar production is about 2.25 LMT as against 1.6 LMT in the corresponding quarter of the previous year. Refined sugar sales are about 2.02 LMT against previous year's quarter of 2.23 LMT.
As far as long-term loans are concerned, it was about INR 200 crores, to be repaid to the parent company. And as far as the short-term loans are concerned, they are INR 461 crores as against corresponding quarter of the previous year is about INR 220 crores. So, these were the operations of Q1. The floor is now open for questions.
Moderator: Thank you very much. We will now begin with the question-and-answer session. The first

question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Good morning, everyone. Thanks for a detailed presentation. So, I had a few questions. Sir, first question was on the Consumer Product Group, the sweetener category. So how do we read into the volumes of the consumer part of this business - as in the enti

re sale is quota driven? So, if we are not able to grow our sugar volumes over the next few years, will the consumer part as a proportion of the sweetener category be theoretically 100% or what percent or do you have to sell some raw sugar as well? How do we read this? That was my first question.

Muthiah Murugappan: Yes. So, Rajesh, hello, good morning. Yes, it is quota driven. So, we'll have to do a couple of things on the sweetener side, of course, focus on sales of value-added products from the sweetener segment, launch new products, expand the product portfolio. That is on the anvil as well.

We will also make tactical calls to take in more quota. We also have to now feed an institutional market wherein we have to sort of balance overall pricing as well. So, we'll take some of those tactical calls going forward. So those are opportunities for sales to grow in the sweetener part of the CPG segment.

The last point I would like to make here is you could also have traded volumes wherein which you would obviously, based on the right quality control, have other mills pack for you. That's something which will also be explored. It needs to be done at the right economics. So, there are opportunities to take this up. We will be tactical about it.

Rajesh Majumdar: So theoretically, can it move up to whatever percentage of the overall quota depends on the part of the business?

Muthiah Murugappan: Yes, it can move up. It's about the tactical choices that we make. I mean one theme of Q1 is to - obviously, we've got distribution, which we're expanding, and within our current quota, we wanted to take the attractive business and we've actually jettisoned some of that very low-value business wherein discounting factors are high, so on and so forth. So, we made some conscious calls in Q1.

Rajesh Majumdar: Yes. My second question, sir, was on the Refinery segment. While we have seen we have closed down some step-down subsidiary in the UAE, which was into exports, we are also committing more capital in terms of the business. So, what's really going on here in terms of the refinery business, I would like to know?

Muthiah Murugappan: So yes, I can comment on this. Rajesh, so I think, as you know, the refinery business, there is a lot of debt, and this capital has really gone in for debt reduction in order to strengthen the operations of the refinery. And I think that's why we've had these infusions.

Rajesh Majumdar: What about the closure or the step-down, sir, which was into exports? What is it indicating?

Muthiah Murugappan: We didn't find that of any strategic significance to the refinery operations. I think we are happy with the standalone operations here in Kakinada, and we'd like to remain focused on that.

Rajesh Majumdar: Okay. And sir, we've seen a sharp increase in the short-term debt in a quarter where normally in the first and second quarter, we see the short-term debt coming down and then probably it goes

up when the sugar crushing starts in third and fourth quarter. But in the first quarter, we've seen a sharp increase in short-term debt. So that is a bit alarming. I mean, any reason why that has happened? And how should we read that going forward?

Venkateshwarlu: Rajesh, if you look at the short-term debt, this is not only related to the crushing but also, we sourcing of the molasses from the other states keeping in view of the increased distillery capacities in the last year. So, we need molasses over and above what we crush. So those are the molasses, where we have done a forward contract and in some places we have already sourced the molasses. That is one of the reasons.

Second reason, you have to look at our CPG business as going well, and our receivables also are slightly going up in line with the turnover and the industry standards. Therefore, our working capital requirement is going up. So thereby, correspondingl

y, your short-term debt is going up.

Rajesh Majumdar: That means the overall short-term debt for the end of the year will be even higher when the actual crushing happens?

Venkateshwarlu: More or less it will be at the same levels, Rajesh, because if you look at it today, you are looking at about INR 1,100 crores or something. Even at the year-end, we'll be looking at the same. Because if you look at it, most of the crushing will get closed by February. So, the advances for H&T payments are already given, so that will be offset against the advances what we have given.

Rajesh Majumdar: Sir, if I could sneak in a last question. This is for Muthu, sir. We have 50% stake in Coromandel, and the Coromandel stock is now 52 weeks high. So, can we contemplate some stake still because technically it can come down to 51% and still retain a majority holding to reduce our debt?

Muthiah Murugappan: So, Rajesh, I think we're really focused on the standalone business here. I think these are broader conversations which are more sort of board and group level. And I think we should stay focused on the standalone operations here.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: Just one question from my side.

Moderator: Ms. Vaishnavi, can you speak a little louder?

Vaishnavi Gurung: Hello? Is it better?

Moderator: Yes, much better.

Vaishnavi Gurung: Yes. So, my question was regarding the revenue from nutrient and allied business. The revenue is significantly up compared to last June quarter. So just wanted to know any specific reason for that?

Muthiah Murugappan: No. The Nutra business revenue is actually lower.

Venkateshwarlu: Muthu, I think she is asking about the Coromandel from the consolidated.

Muthiah Murugappan: Okay.

Vaishnavi Gurung: Yes, sir.

Muthiah Murugappan: Yes, we consolidate Coromandel International. We can't comment on their results. I think their Board and earnings call have already concluded. They've had a good first quarter, but you may want to look up publicly available data to go over their results.

Vaishnavi Gurung: So, my second question was, are there any capacity expansion plans we have?

Muthiah Murugappan: Not at present. We've just finished up last year our ethanol capex. So, capex cycle is largely concluded. It is a phase of consolidation right now.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: I have just a few questions specifically regarding good monsoon and what kind of a crushing is expected in Karnataka and some of the southern states? And what is our plan sort of over here to increase the crushing in the next season? What is the expectation on that side?

Abdul Hakeem Ashiq: Monsoon has been good in the states of Karnataka and Maharashtra. So overall, the industry is looking for a good crop this year. Our internal data also is showing robust situation. So, we would expect marginally positive upside in Karnataka crushing this year as compared to last year. Tamil Nadu (TN) will be largely neutral. There's a lot of action we are doing in terms of reviving TN, but ours being an agri crop, it might take one or two cycles. But overall, we have a positive outlook on crushing for the year.

Sanjay Manyal: Sir, and on our peak utilization of our distillery capacity, what kind of ethanol or ethanol/ENA we can sell? I mean, what would be the optimum revenue from our Distillery segment?

Abdul Hakeem Ashiq: Our overall capacity is about 18 crore litres across all our facilities. The choice of the product mix varies depending on the margins we make. So, we actively look at the product portfolio and keep changing it as the situation develops depending on the pricing in the market. Obviously, ethanol pricing is relatively stable given the government’s decisions. The ENA is an option we keep evalua

ting.

It's a revenue mix management approach. But the full capacity is about 18 crore litres, which is what we'll be able to do in a year. And the capacity utilization will be about 90% to 95% steady ship provided there are no outliers that hit us from a policy perspective.

Sanjay Manyal: And given the fact that now there is a lot of talk about increasing the ethanol blending from 20% to 25% or 27%. That's what we have in a lot of discussion from the government side. So, is there any plan again to sort of further increase our capacity over here? And what are the discussions with the government happening on this ethanol blending part? Is there any road map for that which they have decided?

Abdul Hakeem Ashiq: Obviously, if they have decided, it will be in the public domain. But we would presume the government is ceased of the situation, given the news that we read. The direction the government

has been taking on the EBP is highly appreciable. They seem to be steering the industry and the usage of ethanol in the right direction.

So, we remain positive about the government's approach on the issue. I may not be able to comment on what the internal discussions that the government is currently doing because we do not have visibility on that.

Muthiah Murugappan: Sanjay, just to add to Ashiq's point on capacity expansion, we don't have any plans for expansion. I think we'll have to wait to see how policy pans out. If at all, there's something we might consider, we have one dual feed distillery. We might consider repurposing one or two of our other distilleries to operate on both grain as well as molasses-based feedstock. This is perhaps something we might consider. But this is again subject to obtaining policy clarity and subject to further internal evaluation.

Sanjay Manyal: Right. So, sir, just on this part, how are our margins in the separate grain part as well as in molasses, which is better feedstock as of now? And also, there has not been any increase on ethanol prices from the last 2 years. Is there any clarity on that, at least on the sugarcane-based feedstocks if there is a possibility of any ethanol price hike?

Abdul Hakeem Ashiq: On margins, obviously, we would not want to comment between the feedstocks. But right now, both maize and molasses are profitable. What was your second question, I'm sorry?

Sanjay Manyal: So about ethanol, price hike has not taken place in last 2 years. So, is there again any discussion on that or any possibility of that?

Abdul Hakeem Ashiq: Yes. There is a lot of representation we've been doing to the government on ethanol pricing. We would actually look forward to some action on that front. Yes, it's concerning for us that the last 3 years, we have not had a price increase. The FRP of cane, which is our feedstock, keeps increasing year-on-year. That should take care of the farmers and rightly so. So, we would look forward to some positive news on the ethanol pricing, but that rests with the government.

Moderator: The next question is from the line of Ritwik Sheth from One up Financial.

Ritwik Sheth: Sir, just one question from my end on the Consumer Products division. If you can, throw some light on our strategy for the Consumer Products division going forward. We have built a decent base in the last four to six quarters. How to look at the sweetener category you mentioned earlier and the staples category in the next 3 years? If you can just throw some strategy on that?

Balaji Prakash: Yes. This is Balaji. I head the Consumer Products business. So, in terms of the non-sweetener part of the business, we will continue to stay focused on driving distribution and increasing our brand equity through brand expansion. In terms of sweetener, the focus is largely on the value-added browns category where we are seeing a potential opportunity to grow.

And most of the expansion and growth will co

me in largely on the browns category for the sweetener. For the non-sweetener, it will be the continued focus on distribution and brand building for the next few quarters. There is some work happening on the development of new

products, which will come into the food spaces. But as of now, those are all rudimentary and developmental in nature and we will come back to you as and when we are ready.

Moderator: Mr. Ritwik, can you be a little louder? We can't hear you.

Ritwik Sheth: Yes. Is it better?

Moderator: Yes, much better.

Balaji Prakash: Yes, much better.

Ritwik Sheth: Yes. Sir, and on the distribution part, I believe we are around 2 lakh currently. In the next 3 years, what kind of distribution are we targeting? And are we looking to add more SKUs in the non-sweeteners category?

Balaji Prakash: Yes. So as part of the growth strategy, we would be growing and expanding the distribution. We cannot put a number to it at this point in time, but we will definitely be focusing on numerical distribution growing and expanding for us.

In terms of SKUs, all growth will come in with addition of new SKUs when we are launching new products and in existing products. We will be coming up with SKUs more from a consumer perspective as and when there is a need which arises. The plans are to grow in this business.

Ritwik Sheth: And safe to assume that sweetener category will be quota driven going forward and will be -- you mentioned we'll be focusing on the higher value added, which is the browns category, right?

Balaji Prakash: So yes, I think Mr. Muthiah Murugappan answered this question earlier. The quota is going to be a limiting factor on the sweetener sales, but we have our ways and means of moving around on this. One is by focusing on the browns category, which is not driven by the quotas so much. The second is that there is always an opportunity to buy and brand sugar, which is something that we will consider as we go forward when we feel that the quotas are restricting us in terms of our growth.

Ritwik Sheth: And over a 3-year period, sir, would you like to give any aspirations? We are currently around INR 800 crores, INR 900 crores on an annual basis and staples category combined, what would be a reasonable growth assumption for the next years? Would you have anything on this?

Balaji Prakash: We won't have a number at this point in time, but I think we will be growing pretty aggressively in this category. And our expansion plans will include consolidating ourselves largely in modern trade, e-commerce, and the general trade channel.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: My question is on the future outlook. How do we see our position for 2030? Do we plan to be more inclined towards agri or energy sector?

Muthiah Murugappan: So, Vaishnavi, thanks for your question. I think the focus on biofuels and bioenergy space will continue. Of course, it's ethanol and it's a consolidation phase right now. We'll have to see how

policy pans out. There's also seemingly an opportunity in sustainable aviation fuel, which is being spoken about, but it's very, very early days. And it's an opportunity which is being spoken about using this ecosystem.

But we'll have to really wait and watch as to how the policy framework pans out. So one area of focus will be this space. The other area of focus, of course, is the Consumer Product Group, which we've spoken about just in today's discussions as well. And that is a business which will really take a separate path to the biofuel and bioenergy business. So, I think these are the two areas of focus of the company, going forward.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management fo

r closing comments.

Muthiah Murugappan: Thank you all for logging into our Q1 earnings call today. We wish you the best and hope to see you at next quarter’s earnings call. Thank you and all the best.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 17, 2025
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
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Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789
CIN: L24211TN197SPLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Sandra Kurla Complex,
Sandra (E),
Mumbai-400 051.
Scrip Code: EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors pertaining to the Unaudited
Financial Results for the quarter/half-year ended September 30, 2025
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, we herewith submit the Transcript for the Con-call held on November 11, 2025, pertaining to
the unaudited financial results for the quarter/half-year ended September 30, 2025.
We request you to kindly take the above information on record.
Thanking you,
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
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murugappa

"E.I.D.- Parry (India) Limited
Q2 FY'26 Earnings Conference Call"
November 11, 2025

MANAGEMENT : MR. MUTHIAH MURUGAPPAN – WHOLE TIME
DIRECTOR & CEO – E.I.D.- PARRY(INDIA) LIMITED
M R. SURESH KANNAN – WHOLE TIME DIRECTOR –
PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
M R. VENKATESHWARLU – CHIEF FINANCIAL OFFICER
– E.I.D.- PARRY (INDIA) LIMITED
M R. ABDUL HAKEEM ASHIQ – CHIEF OPERATING
OFFICER – SUGAR AND BIOFUEL – E.I.D.- PARRY
(INDIA) LIMITED
M R. BALAJI PRAKASH – CHIEF OPERATING OFFICER
& BUSINESS HEAD – CONSUMER PRODUCTS GROUP –
E.I.D.- PARRY (INDIA) LIMITED
M R. BISWA MOHAN RATH – COMPANY SECRETARY –
E.I.D.- PARRY (INDIA) LIMITED

MODERATOR : MR. SANJAY MANYAL – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to E.I.D.- Parry (India) Limited's Q2 FY '26 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Sanjay Manyal: Hello, everyone, and a warm welcome on behalf of DAM Capital to the Q2 FY '26 Earnings Call of EID Parry. We thank EID Parry's management for giving us an opportunity to host this call. On the call today, we have Mr. Muthiah Murugappan, Whole-Time Director; and other senior management team of EID Parry. I hand over the call to the management for opening remarks, followed by a question-and-answer session. Thank you, and over to you, sir.

Muthiah Murugappan: Thanks, Sanjay, and good afternoon to everyone. I'll make a few opening remarks covering the global scenario as well as important Indian sugar scenario as well.

The global sugar market is projected to remain in mild surplus through Sugar Year 25-26, primarily due to increased production in Brazil, India and Thailand.

Favorable weather has supported higher output in India, 50% above normal monsoon during October, while Brazil continues to crush aggressively with a sugar mix of 53% despite dry conditions affecting cane quality.

However, risks to Brazilian output persist due to lower TRS and productivity losses due to adverse weather in 2025. According to S&P Platts, global sugar surplus is expected to reach 2.23 million metric tons (MMT) in 25-26.

Brazil's Petrobras' decision to lower the gasoline prices have also contributed to building raw sugar surplus and lowering of ethanol parity as well. However, with the price trading below ethanol parity on a sustained basis, the mix is expected to shift back to ethanol during the remainder of the crush.

White premium values are expected to trade in the range of US$80 to US$110. The hedging activity by Brazilian and Thai millers and positioning by hedge funds will also have a large impact in pricing and book shaping of sugar SNDs in ensuing quarters.

I'll now cover the Indian scenario. In Sugar Year 24-25 India's net sugar production stood at 26.1 MMT. Gross was 29.6 MMT and diversion to ethanol was 3.5 MMT. Domestic consumption was about 28.1 MMT and exports was just under 1 MMT. Closing stocks were to the tune of 5 MMT.

In Q2, which is July to September 2025, India's monsoon brought mostly above normal rainfall, filling reservoirs and supporting agriculture. Sugarcane yields have improved across major states with only minor setbacks from deep flooding in UP and Maharashtra.

Sugarcane output on account of increased yields and crop is likely to move up by 15% at an all-India level for Sugar Year '26. With the sugar output expected to move up and consumption marginally expected to move up to 28.5 MMT, it's very likely that sugar pricing may soften.

Moreover, ethanol diversion wherein green-based feedstock now account for more than 70% of the awarded tenders, ethanol diversion will likely only account for 3.4 MMT thereby putting the estimated closing stocks for Sugar Year '26 at a more than healthy 8 MMT level.

Given these realities, it's very likely that the policymakers will consider greater than 1 MMT of exports for which official notifications are awaited. The current situation presents an extremely challenging time for the industry.

On this account, the industry continues to make very active representation to the policymakers on revision of Minimum Support Price (MSP), increasing the blend percentage beyond 20% in the ethanol blending program, higher allocation towards sugarcane-based feedstock for ethanol and on better pricing for sugarcane-based ethanol.

Just last week, the government of Karnataka has declared an additional price of INR 50 per metric ton of cane over and above our FRP to be borne by all sugar mills in the state on account of intense farmer agitations. This adds an additional burden to the industry, which operates in the state.

It will be important over the coming weeks to monitor the position taken by policymakers in response to the industry's various representations. I'll now hand over to my colleague, Mr.

Venkateshwarlu, to take you through the operating and the financial metrics of our company for the last quarter.

Venkateshwarlu: Thank you, Muthu, and good afternoon to all the participants. It is a great pleasure to be part of the analyst call and to share the key information of the operational and financial performance of the company.

I would like to share the key operating parameters of each of the segments with you. The crushing operations of Tamil Nadu, at Nellikuppam and Pugalur commenced during the quarter, and we operated about 64 days and 21 days, respectively.

So as far as the crushing is concerned, we crushed about 3.66 lakhs metric tons (LMT) compared to the corresponding quarter of the previous year, which was 5.62 LMT. As far as the recovery is concerned, current quarter is 7.97% against 7.60% of the corresponding quarter of the previous year.

As far as the sugar production is concerned, we produced about 27,000 metric tons (MT) of sugar during the quarter against the 42,000 MT of the corresponding quarter of the previous

year. The overall cane landed cost is INR 3,620 per MT as against INR 3,491 per MT of the corresponding quarter of the previous year.

As far as the sugar sales is concerned, we sold about 83,000 MT of sugar domestically compared to the corresponding quarter of the previous year, which was 93,000 MT. Sugar prices for the current quarter is INR 41.19 per kg against the previous period of INR 38.47.

We carried a closing stock of about 66,000 MT valuing at INR 38.60 at COP level. The sugar segment achieved a turnover of INR 368 crores as against INR367 crores of the corresponding period of the previous year. All FRPs were paid on time to all the growers who have supplied the cane to us.

As far as the Consumer Product Group is concerned, we achieved a turnover of about INR 169 crores during the current quarter, registering a degrowth of 30% over the corresponding quarter of the previous year of INR 236 crores, mainly on account of restriction on release quota in the sweetener category, lower realizations and fall in market price of pulses compared to the corresponding quarter of the previous year.

As far as the Co-gen operations is concerned, we generated about 307 lakh units as against 505 lakh units in the corresponding period of the previous year. We exported about 168 lakhs units against the 233 lakh units in the corresponding period of the previous year. The average power tariff for the current quarter is INR 4.04 per unit as against INR 3.94 unit in the corresponding period of the previous year.

Revenue for the quarter was about INR 12 crores as against INR 15 crores in the corresponding period of the previous year.

As far as the distillery operations are concerned, we sold about 409 lakh litres of which ENA is 170 lakh litres and ethanol is 233 lakh litres. We sold about 419 lakh litres, of which ENA was 159 lakh litres and 260 lakh litres was ethanol in the corresponding period of the previous year.

As far as the price realisation is concerned, we realized at INR67.50 per litre against previous year realization of INR64.45 per litre.

As far as the revenue i

s concerned, we achieved a turnover of INR 292 crores compared to the INR 281 crores during the corresponding period of the previous year.

As far as the Nutraceuticals segment is concerned, the Indian operations achieved about INR 7.6 crores revenue as against the INR 7.25 crores in the corresponding quarter of the previous year. At the consolidated level of the nutraceutical business, including the US Nutra operations, we achieved about INR 61 crores turnover as against INR 37 crores in the corresponding quarter of the previous year.

Coming to the refinery business, we produced about 2.21 LMT of refined sugar against the previous period of 2.65 LMT. Refined sugar sales for the quarter was 2.54 LMT as against the 2.15 LMT of the corresponding previous period. The revenue was about INR 1,168 crores for

the current quarter, as against INR 1,117 crores for the corresponding quarter of the previous year.

EBITDA for the current quarter is about INR58 crores, as against INR29 crores for the corresponding previous period. The PBT was INR31.42 crores for the current quarter as against INR 5.02 crores for the corresponding quarter of the previous year.

As far as the long-term loans is concerned, it is NIL and for the corresponding previous period, it was about INR200 crores. Short-term loans stood at INR 159 crores for the current quarter and for the corresponding previous period, it was about INR179 crores. That's all as far as the EID Parry's results is concerned. The floor is open for questions.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.

Vaishnavi Gurung: My first question is on the sugar segment. Considering the issues pertaining to sugar and ethanol, where the mix is changing from sugar to grain. So how do we approach this challenge? Do we anticipate oversupply of sugar or underutilization of our ethanol capacity?

Abdul Hakeem Ashiq: Hi, Vaishnavi, this is Ashiq here. Yes, the industry faces a challenge of overall higher ethanol capacities as evident from the recent data that flowed as part of the OMC bidding. Obviously, the country is facing excess capacity. But the excess capacity seems to be higher in grain-based distillery as compared to molasses-based.

Having said that, the lower allocations on ethanol, especially in Karnataka, puts a strain on how we use our capacity utilization. Some of these volumes will shift to ENA and will be managed. But eventually, we need a policy decision to alleviate the excess capacity situation. The government is also seized of the fact that there is excess capacity today. I'm sure there'll be some work around the same. Thank you.

Vaishnavi Gurung: One more question on the sugar and ethanol side again. This is more on the consumer business side actually. So, considering our key segment on a standalone basis, the sugar and ethanol, which is currently facing the challenges. So do we see the consumer business as our leading growth segment going ahead?

Balaji Prakash: This is Balaji here. I head the consumer business. The second quarter for the consumer business has been subdued due to reasons of lower release quota and because of the lower prevailing prices of dal, which were almost 30% lower than the previous year prices.

I think as we go forward, the consumer business will be moving into a growth phase with the larger release quotas coming to us in the third and fourth quarter and with prices of staples expected to stabilize at a slightly higher level as we go forward.

Vaishnavi Gurung: Sir, if you can put a number to the growth per consumer business on a year-on-year basis?

Muthiah Murugappan: We don't give forward guidance Vaishnavi.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital Advisors Limited. Please go a

head.

Sanjay Manyal: Sir, I have a few questions on the ethanol part. We broadly understand for 20% blending levels government has allocated approximately INR 1,100 crores litres of ethanol. What allocation have we got? And will we be able to utilize our capacity to the full? And if not, then -- is it that private OMCs also will get some allocation from them as well?

Abdul Hakeem Ashiq: We have got about 69% allocation of the bidding that we did on the OMC side. We do engage with private players also, both Nayara and Reliance. And our current position is we'll be able to deliver similar capacity utilization like last year, which is upward in the range of 90% plus, thanks to the combined allocation that we have been able to garner. We have a capacity of about 18 crores litres in a year. We will deliver about 17 crores litres, which is the current estimate.

Sanjay Manyal: Right, sir. And if you also can elaborate on -- given the fact that ethanol price hike has not come in the last 2 years, what is your expectation on that? And what kind of margins have been there? Because I think FRP and sugarcane cost is continuously rising, so how the margins have over the last 2, 3 years have shaped? Has it been too much of strain at this point in time? And how the EBITDA per litre sort of have moved, I believe, downwards?

Abdul Hakeem Ashiq: Yes. The ecosystem changes continue to happen as you guys would have seen in the news. So we recalibrate ourselves with every change that comes. On a 3-year time frame, I think even on the last call, we said that we did make ethanol investments with a particular expectation on return on capital.

I think that's got significantly impacted because of the changes in the government policy that's happened over the last couple of years. We expect the scenario to improve on the back of support from the government. We are very sure the government is fully seized of the matter, while the MSP has not come through, we are still positive on the ethanol pricing that the government will step in and address.

Moderator: The next question is from the line of Gautam Dedhia from Nalanda Securities. Please go ahead.

Gautam Dedhia: Just one question, on Slide 17 you were talking about some channel consolidation in the Pulses segment over the next 2 quarters. So can you just elaborate on what is happening over there?

Balaji Prakash: Yes. So this is Balaji again over here. So, what we are working on is we have two channels right now, separate set of team selling sweeteners and non-sweeteners. So there is some rethinking on that. And there is a consolidation of this channel in terms of the team size and the channel partners.

So because the channels are being merged and one set of channel members are going out, there

is a correction that is being taken in terms of the whole numbers. And this will come back once this channel merger is complete.
Gautam Dedhia: So this won't affect the volume that we are selling, right?

Balaji Prakash: It won't in the long run and with the end of the year, the business will be back to its normal volume. But in the short run, there will be some correction that will happen and that is what was highlighted.
Muthiah Murugappan: So, Gautam, good question. Q3 definitely has a volume impact because we are going through this rationalization. Whilst we're doing this rationalization, we're also strengthening our commercial terms in the market across the staples segment as well as the sweetener segment. And I think strengthening the commercial terms should also keep our working capital in line with our intent to build a more efficient business model. We will see an impact in volumes for Q3. I think by the time we get into the Feb time frame, we should be back on track. These exercises can take some time. But you know we'd rather do it now as the business is scaling as opposed to do it much later

when the business is much larger.
Gautam Dedhia: So are we expecting any cost savings from this exercise also?
Muthiah Murugappan: No, no. So this is more prudent and efficient business model construct. That's what we are expecting from this. This is a growth business. It's going to need investments in terms of A&P expenses, in terms of talent and in terms of its scale up.
So this business will have to be in an invest and growth phase. So, it would be unwise not to be prudent on the way we manage cost, but the focus will be on the enablers for growth.
Gautam Dedhia: And just one more question. So you said the white premiums, you expect them to be in the range of $80 to $110 per ton. So at that level, do we breakeven at the refinery? Like what is our breakeven point for -- like how does it translate from white premium to refinery spread?
Suresh Kannan Yes, good afternoon. Suresh Kannan here. Typically, we export refineries need between $115 to $120 of white premium to breakeven on a full cost basis. Currently, because of the supply surplus that's been explained by Muthu in the earlier part of the call, we have a big overhang on the supply side, which is resulting in white premiums being depressed because there's enough competition from the low-quality whites coming out of several geographies.
Moderator: The next question is from the line of Ritwik Sheth from One Up Fin. Please go ahead.
Ritwik Sheth: Sir, just one question. Sir, in your opening remarks, you mentioned that FRP prices have been increased by INR50 per ton in Tamil Nadu. Sir, what is the kind of crushing that we expect in FY '26 from Tamil Nadu?
Muthiah Murugappan: So, Ritwik, good to speak to you again. No, government of Karnataka has announced an additional price over and above the FRPs that we've been paying in the state. This is a development which is a week old. Actually under a week old, it all transpired over the weekend.
So we're just keeping you guys apprised of it because, of course, it impacts the industry at large.
So this is a Karnataka issue. So last year, we crushed about 21 lakh, 22 lakh tons of cane in Karnataka. Ideally, we'll go a little higher this year.
Ritwik Sheth: Okay. But has this been implemented or it's still under consideration?

Muthiah Murugappan: No, no, it's been implemented. It was implemented on the back of some intense agitation. So I think the industry had to go with this.
Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.
Vaishnavi Gurung: My question is a follow-up question on the impact of quarterly volume you mentioned. If you can explain that?
Muthiah Murugappan: Sorry, can you ask the question again? It wasn't clear.
Vaishnavi Gurung: Yes. Am I audible now?
Muthiah Murugappan: Yes.
Vaishnavi Gurung: You just mentioned the impact on quarter 3 volume. If you can explain that?
Muthiah Murugappan: So that's the impact on the staples business, particularly on quarter 3 volumes because we are taking up a channel correction exercise in our distribution channel. So I think that was what I was outlining. I wouldn't want to get into numbers and it's certainly a manageable impact. But all I can say is that we'll be back to regular flip in Q4.
Vaishnavi Gurung: Okay. Sir, one more question on the ethanol side, you mentioned that you will be maintaining the capacity utilization as it was in the last year. So do we not expect the industry challenges to impact us?
Abdul Hakeem Ashiq: We have been fortunate on the TN and AP sales where we have got allocation in line with our

expectation because the available industry capacities are lower in that. We have got impacted in Karnataka, our allocation has been about 49%, but we can make it up with the ENA volumes that's an opportunity in Karnataka. So overall, we'll be able to manage the distillery capacities.
Mod

erator: The next question is from the line of Raja Banka, an Individual Investor.
Raja Banka: My question is, there is a drop in sugar sales volume from H1 '25 to H1 '26 by 12% due to drop in domestic release order. However, our trade segments increased 19% and retail segment reduced by 34%. Why was that?
Balaji Prakash: So, I think the retail segment, as I outlined to you, is that within the organization, the allocation of release quantities to the retail business was lower on account of the corrections that the external consolidation is happening.
Second, on the retail business, we have exited certain non-value-adding and non-profitable product sales resulting in, that's why if you see the realization in retail would have been significantly higher from INR39 of the previous year, we would have been up almost at about INR42 or so.
So that the increase in realization is because we shifted the focus towards more value-added products and we decided to drop some of these non-value-adding products, resulting in a lower

sale from the sales. And hence, you see that the sale of retail is lower than compared to the previous year. I'll just let Ashiq answer on the trade segment growth that we had.
Abdul Hakeem Ashiq: Trade and Institutional segment growth has been in line with our expectation. Whenever we see an opportunity in realization, we get a better realization. We capitalize on the volumes and that's the growth that you are seeing.
Moderator: The next question is from the line of Atul Rastogi, an Individual Investor. Please go ahead.
Atul Rastogi: My question is on nutraceuticals segment, which has shown a sharp turnaround. So could you just elaborate why this happened? And do you think the current level of EBITDA is sustainable?
Muthiah Murugappan: So, the nutraceuticals segment, we had an insurance claim, which came through. If you look at our consolidated numbers, we have an insurance claim which came through on account of some facility damage. We have a facility in Florida in the US on account of damage last year in the hurricane, the insurance claim came through. So that is a one-off.
So I don't believe you will see this flip going forward. However, on the nutraceuticals front, since you brought it up, I mean, we've had some challenges in the recent past in the Indian operations wherein we lost our European certification, that is back. So the operations in India are slowly creeping up again. We will maintain at these levels though. We don't have any plans for capacity addition.
In the US, the Valensa business, which is our main asset on the Nutra front, we've had a better Q2 than Q1, and we're looking ahead to a stronger year. I think we've got some new product launches, and we also strengthened the talent pool at Valensa to deliver a stronger business remit.
Moderator: The next question is from the line of Rama Krishna Neti from ZEN Wealth Management Services Limited. Please go ahead.
Rama Krishna Neti: So, I have a couple of questions on Consumer Group segment. So in your initial remarks, you were mentioning there were lower realizations of 30%. So I'm assuming it is on the pricing front. So is this across the categories or which product categories? And if you can also help us explain the backdrop for this lower realizations? And when do you expect them to stabilize? That is the first question.
Second question is with respect to introduction of new product lines or product categories. Are you done or you are planning to launch more categories in future? If you can take us through on that.
And finally, if you can please lay out the 3 to 5 year strategy of this group, where do you want this segment with respect to overall contribution at the top line and bottom line. I'm not asking about guidance on numbers and all, but your thoughts as we're intending to take this particular segment to grow in a big way.
Bal

aji Prakash: So, Rama Krishna, I'll just cover the first point. The realizations are lower on account of dal prices being extremely subdued compared to an average of about INR148, INR150 of the

previous year dal prices. This year have been at about INR95 to INR96, which is almost a 37% to 38% drop in the price.
This is on account of a higher amount of import coming in and the government allowing a larger

import on yellow peas coming into this country, thereby resulting in a lower price of dal across the country. And this is only in Toor Dal and Urad Dal. However, this dal segment accounts for nearly 65% of our total turnover, resulting in a total drop in realization for us as well. This drop is entirely due to market conditions and is not, in any way, intentionally engineered by us.
The second point on New Product Development (NPD), I think there are plans to get into other product categories. Obviously, like any other consumer business would do, and since all NPD processes are confidential, we won't be discussing it in this forum. But you can expect a series of product launches over the next few years from the consumer products group.
Muthiah Murugappan: So, I'll just cover the last point on the broader outlook. And just to take forward from what Balaji had articulated, we're in the business here of food FMCG. And I think that the intent is to grow this business further. It's a significant growth area that we see for the company. We have a strong brand, and we intend to leverage this as we grow.
We're in the midst of just assessing our strategy. We started off with sweeteners. We got into the pulses segment, which is our second year in pulses. We've done a little bit of vertical integration. We've put some product development capability in place. We've expanded the field force.
We're just now doing a strategy revisit or really an evaluation of where we stand and what our strategy needs to be going forward. We have certain product category areas which we are interested in. Convenience foods is very interesting to us.
Snacking is very interesting to us apart from sweetener and pulses, which we're already in. We're further validating our assumptions and our hypothesis in some of these categories. We do have an external subject matter expert who is working with us as we speak to put this together. This will take us perhaps a few more months.
And I think as we jump into the back half of FY '26, we will begin an implementation phase of the new strategy, and our aspiration continues to significantly grow this business and exit this decade with a good EBITDA percentage on this business.
So I think that's how we are looking at it. I won't get into specifics. But I think certainly, perhaps Q1, Q2 next year, you will start seeing us execute and implement towards a new strategy narrative, which we are in the process of putting together.
Moderator: The next question is from the line of Somnath Saha from B&K Securities India Private Limited. Please go ahead.
Somnath Saha: Most of the questions have been answered. Can you help me with the numbers of ethanol production during the quarter from molasses versus grain-based ethanol?
Muthiah Murugappan: We are getting you this data, Somnath.

Somnath Saha: Do you have any plans to grow in the grain or multi-feed distillery base as the focus - I mean, you see the latest standard, major is from the grain-based ethanol, so what will be the going on strategy for your ethanol mix?
Abdul Hakeem Ashiq: Let me address the first part of the question. Q2, about 84 lakh litres of maize-based ethanol has got produced on the overall volume of about 409 lakh litres of total sales.
Muthiah Murugappan: So Somnath, we don't have any imminent plans on any capacity addition. Let me give you a reality. There's about 2,000 crores

litres of ethanol capacity, which is pretty much up and running in the country. And the recent bids that were received were only to the tune of, I think, a little over INR1,100 crores.
There were some private bids as well, which takes the number to a total of just north of 1,300. So there's significant overcapacity in the country. We're actually geared now in India for a blend which is in the late 20s in terms of percentage. But I think where we've landed is still a 20% blend.
So I don't see the industry per se adding too much capacity. Folks may be thinking of augmenting or creating a duality in their assets for grain as well as molasses. I don't see much capacity addition hence forth. There is a significant overcapacity in this industry right now.
Somnath Saha: Exactly, sir. So out of this 582 KLPD currently we have, how much is the multi feed distillery, sir?
Muthiah Murugappan: 120.
Somnath Saha: Is any plan to get more distillery to multi-feed or convert them?
Muthiah Murugappan: No, not as of yet. We debate it often, Somnath, but I think we're going to stay away from capex for some time. There isn't clarity on a sustainable policy framework as of yet.
Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.
Vaishnavi Gurung: Sir, if you can please help me with the revenue distribution for sweetener versus non-sweetener in our consumer product segment?
Balaji Prakash: So in the total quarter 2, I think about close to 35% to 40% is the non-sweetener revenue and the balance comes from the sweetener revenue.

Vaishnavi Gurung: Sir, just one more question. You mentioned that the revenue for consumer products was subdued because of the lower price realization from pulses. So if we see consumer products as our growing segment, do we not plan to have a hedge in place for this?
Balaji Prakash: Yes. So, I think the market downturn was characterized by a lot of policy in terms of allowing the larger imports coming into the market, and that was a difficult thing to hedge against because it's a market price that is down. It's not our price that is down.

So the entire market was down. But however, there is a little bit of backward integration that is being planned in order to ensure that we hedge this to some extent as we go forward. So that's the hedging that we have in mind.
Muthiah Murugappan: Yes. Also, I think from a revenue -- just a price realization on a per unit perspective, Vaishnavi, I think a year ago, the same quarter, you were about 30%-odd higher on a per unit basis realization, and that is down 30%, 35% from at that point in time. So obviously, you will see your revenue dipping.
Vaishnavi Gurung: Okay. So, do we see stable prices going ahead for the consumer products in quarter 3 and 4?
Muthiah Murugappan: I think from the pulses and segment, there will be -- I think Q3, we're starting to see a little bit of better pricing. We expect that there's been a, you know, the crop is a little lower in India this year. So we see some better pricing to hold on the pulses side.
Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Muthiah Murugappan: Yes. Thank you all for attending our Q2 earnings call. We look forward to interacting again in the subsequent quarter. Thank you.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

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February 18, 2026
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office: Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India.
Tel: 91.44.25306789
CIN: L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block,
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
Scrip Code: EIDPARRY
Subject: Transcript of Conference Call for Analysts and Investors pertaining to the Unaudited Financial Results for the quarter ended December 31, 2025
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on February 13, 2026, pertaining to the unaudited financial results for the quarter ended December 31, 2025.
We request you to kindly take the above information on record.
Thanking you,
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Bi~ h
Company Secretary
Encl: As above
'R}.
• murugappa

"E.I.D.- Parry (India) Limited
Q3 FY '26 Earnings Conference Call"
February 13, 2026

MANAGEMENT : MR. MUTHIAH MURUGAPPAN -- WHOLE TIME DIRECTOR & CHIEF EXECUTIVE OFFICER -- EID PARRY (INDIA) LIMITED
M R. ABDUL HAKEEM ASHIQ J – CHIEF OPERATING OFFICER – SUGAR AND BIOFUEL
M R. BALAJI PRAKASH -- CHIEF OPERATING OFFICER – CONSUMER PRODUCTS GROUP
M R. SURESH KANNAN – WHOLE-TIME DIRECTOR AND CHIEF OPERATING OFFICER – PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
M R. Y. VENKATESHWARLU -- CHIEF FINANCIAL OFFICER
M R. BISWA MOHAN RATH – SR. VP – LEGAL AND COMPANY SECRETARY

MODERATOR : MS. PAYAL SHAH – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to EID Parry India Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Payal Shah from DAM Capital. Thank you, and over to you, Ms. Shah.

Payal Shah: Hello, everyone, and a warm welcome on behalf of DAM Capital Advisors to the Q3 FY '26 Earnings Call of EID Parry. We thank E.I.D. Parry's management for giving us the opportunity to host this call. On the call today, we have Mr. Muthiah Murugappan, Whole-Time Director and CEO, along with the senior management team of EID Parry. I hand over the call to the management for opening remarks, followed by a Q&A session. Thank you, and over to you, sir.

Muthiah Murugappan: Thanks, Payal, and very good morning to everyone. It gives me great pleasure to be a part of the call to share our Q3 performance. But prior to that, I will start with a brief update on the global scenario, the global sugar scenario and then also come to the Indian scenario after that. So, the global sugar market is expected to remain in a mild surplus right through the SY (SY) '25-'26. S&P Platts projects the global surplus of 3.5 million metric tons (MMT) for '25-'26.

This is despite some reduction of output from India, EU and Thailand. Brazil for '25-'26 is estimated at about 40 MMT. However, some lower yields and a flat price trading below production costs may impact the mix for the subsequent year. The raw sugar prices have been trading lower due to lower hedge exposure by Brazilian and Thai millers and a short position built up by hedge funds is keeping a lid on the price rally. Raws demand from Indonesia has been revised downwards for the second consecutive year.

White premium values continue trading in the range of USD90 to USD105 per MT due to estimates of surplus trade flows – large Indian export surplus and higher supplies from Brazil. Weak oil prices are keeping ethanol parities at lower levels. However, geopolitical risks persist and any rally in oil prices can impact sugar as well.

So, coming to the Indian scenario, last year, in SY '24-'25, India's net sugar production was 26.1 MMT. Gross was 29.6 MMT. Last year's diversion to ethanol was just around 3.5 MMT. Domestic consumption was 28.1 MMT and exports was under 1 MMT. We had closing stock of about 5 MMT. As per ISMA, SY '25-'26 estimates are as follows:

Gross production is 34.3 MMT, diversion to ethanol considered is about 3.4 MMT, domestic consumption at 28.5 MMT and the export quota, which has been given at 1.5 MMT. This puts closing stock levels at about 6 MMT.

For SY '25-'26 so far, the key states has seen some mild increase in crushing output, Maharashtra, Karnataka and UP all have together reported about a 25% increase at an amalgamated level as

compared to the previous period of last year. However, production in some states i.e., TN continue to lag behind last year's levels.

In terms of the monsoons, IMD has warned that there are some El Nino signs from August to September, and this may impact some of the rainfall distribution and reservoir levels later on in the year. I'll now hand the call over to my colleague, Venkat, to take you through the operating and financial performance.

Y. Venkateshwarlu: Thank you, Muthu, and good morning to all participants. It's a great pleasure to be part of the analyst call to share the key information of operation and financial performance of the company. I would like to share with you the key operati

ng parameters of each of the segments. The crushing operations were carried out across all the states during the quarter, namely Karnataka, Tamil Nadu and AP. The average crushing was about 54 days during the quarter as against 45 days of the corresponding quarter of the previous year.

I would like to share the quantitative details as under. So as far as the crushing is concerned, we crushed about 15.31 lakh metric tons (LMT) as against the 12.7 LMT of the corresponding quarter of the previous year. As far as the recovery is concerned, it is 11.19% against 7.78% of the corresponding quarter of the previous year.

As far as the sugar production is concerned, we produced about 1.39 LMT during the quarter against 1.07 LMT of the corresponding quarter of the previous year. The cane landed cost is at INR4,122, this is due to the impact of the FRP as against INR3,899 per MT of the corresponding quarter of the previous year.

The sugar sales volume is about 94,000 MT as against the 103,000 MT of the corresponding

previous quarter. The average selling price is around INR40 against the INR37.69 of the corresponding previous year's quarter. We maintained the closing stock at 114,000 MT, and valued it at INR37.
The revenue for the current quarter is INR389 crores, against the corresponding quarter of the previous year was INR391 crores. All FRPs were paid as per the timeline.
As far as the consumer product group is concerned, the Consumer Product Group has achieved a turnover of INR143 crores during the current quarter as against INR236 crores for the corresponding quarter of the previous year.
The reason for reduction is mainly on account of the restructuring of the distribution channel and lower release quota for the sweetener. But then, the focus is more on the retail pack and profitable product mix in non-sweetener segment.
As far as the co-generation is concerned, we produced about 1,108 lakh units as against 954 lakhs units in the corresponding period of the previous year. We exported about 605 lakhs units as against 503 lakhs units in the corresponding period of the previous year.
The average tariff for realized is 4.4 per unit as against 3.98 per unit in the corresponding period of previous year. Revenues for the quarter is about INR37 crores as against INR41 crores in the

corresponding period of the previous year. As far as the distillery is concerned, we sold about 407 lakhs litres (LL) as against 422 LL of the corresponding previous quarter, of which about 215 LL was ENA and 192 LL were ethanol.
The price realization is about INR67.91 as against the previous realization of INR65.83 per litre. Revenues were more or less at par – INR289 crores as against INR290 crores during the corresponding period of the previous year.
As far as Nutra is concerned, turnover from Indian operations were about INR6 crores as against INR12 crores in the previous year. At the consolidated level, the Nutra business turnover was INR62 crores for current quarter against INR43 crores for the corresponding previous period.
As far as the refinery operations is concerned, the operational revenue for the current quarter is INR714 crores against the Q3 of '24-'25, which was about INR915 crores. The loss for the quarter is about INR4.53 crores versus Q3 of '24-'25 of INR17.53 crores.
The refined sugar production in Q3 is 2.2 LMT as against Q3 December '24 of 2.09 LMT. Refined sugar sales for the quarter were 1.57 LMT versus 1.87 LMT. There is no ICD as on 31st of December and the same has been repaid. External borrowing is about INR78 crores as on 31st December 2025 as against INR532 crores as on 31st December 2024. These are the financial and operational performance of the quarter. The floor is now open for the questions.
Moderator: The first question comes from the line of Vaishnavi Gurung, Craving Alpha Wealth Fund.
Vaishnavi Gurung: Ye

s, my first question is on sugar and distillery business, which is apparently facing challenges plus our consumer product has not been growing. So just wanted to understand and take a future outlook from the management. How are we planning to overcome this? And which segment you think will lead the revenue growth?
Muthiah Murugappan: Yes. So, Vaishnavi, thanks for your question. Let me just start with the sugar and distillery business. Now if you look at the numbers on the sugar business, we've had some better pricing from a sugar perspective when you compare to the same quarter last year. Whilst we've had better pricing, of course, costs have gone up because the FRP sort of goes up every year. There's still really no clarity on any upward revision of the MSP. So, this continues to put a strain from a sugar perspective. If you look at the distillery segment, volumes are sort of largely hovered around last year's volumes. The challenge here is the ethanol offtake prices have also not gone up, and this has been now almost 3 years at the same ethanol offtake prices. There's also been increased saliency towards grain ethanol as compared to sugarcane.
This apart, operations in TN and AP as well are subscale. There's been lesser cane planting in these two regions. And this, again, impacts throughput, it also causes for us to source a lot of molasses to run our distilleries particularly in the state of TN. So, there is a lot of cost pressure on the business in the case of the sugar and biofuel operations. However, I will say that I think the team has done an excellent job on managing costs and improving efficiency, which is why you see better bottom line on this segment.

In terms of the Consumer Products Group, I think the sweetener segment continues to fare well. We, of course, launched in 2 years ago into the staple segment. Here, we've consciously taken a bit of correction. We just want to correct the business model to better manage working capital and to have a sort of a stronger distribution model. This is a conscious correction which will last

2 quarters, which is one reason why you have seen volumes drop.
The other reason is that market pricing itself for pulses, particularly lentils, etc., has been lower, and this will naturally bring revenues down as well because your realizations in the market are lower. This correction which we've taken, and the strengthening of the incumbent business model should conclude in Q4. And I think we should be back at a better clip in Q1 with a more efficient operating model from the staples perspective. So, this is just to give you a sense of where things are.
Vaishnavi Gurung: And I just wanted to understand what our future outlook is in these segments?
Muthiah Murugappan: So, in terms of the sugar and biofuels segment, I think we will continue to run efficiently. We will really need to look towards the policymakers for some respite on upward revision of MSP and perhaps ethanol price as well. We haven't really seen any positive changes from that front.
I think we'll just continue to focus on efficiency, focus on driving planting and running our operations better. But I think to move the needle, we'll need support from policy on that front.
In terms of the CPG segment, I think the growth story will continue. It is a key segment for the business. While we've taken two quarters to really strengthen our operations in our economic model, what you will see in Q1 is a stronger operating model. We will also announce in Q1 the newer categories we wish to enter in the food FMCG space.
This is a body of work, which is being done currently with some industry experts. And when we meet in May, we will give you a clear picture as to which categories beyond staples and sweeteners, we will enter in the food FMCG space.
Vaishnavi Gurung: Okay. Sir, I'll note this. Just 2 more questions on consum

er end. One is I wanted to understand
what are our competitive advantages in this segment? And what is the total anticipated amount or impact for the channel correction we are taking?
Muthiah Murugappan: So, we have taken some impairments on account of this channel correction, and that's reflected in the numbers this year. We've already taken in Q3, an INR10 crore impairment. So that's from an impact perspective. Can you just go over your first question again?
Vaishnavi Gurung: Yes, I wanted to understand the competitive advantage.
Muthiah Murugappan: Sure. So, I'll just take you back to when we launched into this segment about 7, 8 years ago, I think, obviously, we had the Brand 'Parry', which is with us. And it's a known brand from before.
I think we have reinvigorated the brand and launched it into the sweetener space where it already has a lot of brand equity, I think we've enhanced that significantly. So, I think that's the bedrock upon which we started further building the platform.

Given we are a sugar manufacturer, I think we do understand the back end and the supply chain.
We also now make brown sugar and jaggery in our plants. So, this again is a competitive advantage. We don't see too much competition in this segment. We are in the Southern region, a 55% market shareholder.
Now I think as we expand into other categories, if you look at the staples category, we have done some vertical integration, particularly on dals. I think this will give us better quality control and also improved margin capture going forward. So, I think building our competitive advantage further as we go along. When it comes to the newer categories, we'll talk about in the subsequent quarter. We will also give you guys some kind of an overview on how we wish to expand the business into these categories.
Vaishnavi Gurung: So, sir, in the long-term, do we plan to shift from trading to manufacturing in-house on these products?
Muthiah Murugappan: So, a lot of our sweetener products are made in-house. We do have third-party manufacturing partnerships as well. Similarly for staples. It will be a hybrid going forward.
Vaishnavi Gurung: Okay. So, sir, just last question on channel correction. You mentioned the impact for quarter 3 is INR10 crore, I wanted to know the total impact we are anticipating?
Muthiah Murugappan: So, we will review at the end of quarter 4, whether there's any further impact, we're not foreseeing such a high impact, if at all.
Moderator: Next question comes from the line of Prashant, an Individual Investor.
Prashant: Just one accounting question. What is the number for inventory receivable and payable as on 31st December?
Y. Venkateshwarlu: Prashant, where you are looking at it?
Prashant: Yes. So, what is the number for inventory receivable and payables as on 31st December?
Y. Venkateshwarlu: Okay. So as far as the receivable is concerned, about INR170 crores or so, Prashant. As far as the payables is concerned, it is about INR250 crores. So as far as the inventory is concerned, it is about INR800 crores.
Prashant: Okay. So, am I right in interpreting that the cash generated has been used to pay off the borrowing?
Y. Venkateshwarlu: No, because there will also be short-term borrowings to fund the working capital.

Prashant: Okay. So, what would be the borrowing number be like?
Y. Venkateshwarlu: We already have mentioned in the investor presentation, Prashant. So short term, it would be about INR750 crores or so.

Prashant: Okay. And what is the recovery rate till 31st December 2025? And how do you see going -- see that going forward?
Y. Venkateshwarlu: Recoveries, as of 31st December, it is about 11.19%. So going forward, it may slightly increase.
Moderator: Next question comes from the line of Vaishnavi Gurung with craving Alpha Wealth Fund.
V

aishnavi Gurung: Sir, you mentioned 55% market share in consumer products. Just wanted to know is this with respect to a particular product or segment.
Muthiah Murugappan: Yes. This is the sweetener segment.
Moderator: Next question comes from the line of Somnath Saha with 360 ONE Capital, B&K.
Somnath Saha: You have mentioned that you will sell around 15 lakh shares of the Coromandel. Can you give some idea about the outlook going forward? And when is the timeline for that sales deal?
Muthiah Murugappan: Sorry, I didn't get the last part of your question, Mr. Saha.
Somnath Saha: Basically, you have mentioned that you are going to sell 15 lakh shares of Coromandel, around 0.51% of CIL's paid up capital. What is the timeline for the deal and going forward, what is the outlook of that investment in Coromandel?
Muthiah Murugappan: So Mr. Saha, it's an enabling resolution, which the Board has taken. So, we will determine at the right time basis any appropriate use of funds, which we may have, we will determine at that point in time. It's an enabling resolution for now.
Somnath Saha: Okay. So, any timeline that you will execute the deal?
Muthiah Murugappan: No. As I said, it's an enabling resolution for now. We will determine basis appropriate requirements, what is to be done further.
Somnath Saha: Okay. So secondly, sir, can you give some idea of the current number of store count on your CPG segment? And how much growth we can expect in the next couple of years?
Balaji Prakash: Yes. Somnath, this is Balaji here, and I head the CPG business. So, if you look at our current coverage, it will be in the range of about 1 to 1.2 lakh outlets and there are about 70,000 outlets, which buy from us on a quarterly basis. This will be growing as per our requirements of the business in the next few quarters.
Somnath Saha: Okay. Fair enough, sir. And sir, on the distillery front, can you give the breakup of your grain routes ethanol, how much is coming from maize and how much is coming from your rice? And any idea of the current ENA pricing?
Abdul Hakeem Ashiq: On the grain route, we have only 1 facility in Andhra, roughly about 120 KLPD, the balance 400-KLPDs in the molasses route. The current pricing on ENA has been under pressure due to under allocation of ethanol in Karnataka resulting in most players trying to sell ENA. It's hovering in Karnataka around INR58 to INR60.

We have a better ENA pricing in Tamil Nadu of around INR72. We expect the pressure on ENA to continue for another month or so after which you will see an upward revision once the crushing comes to a close in Karnataka markets.
Somnath Saha: Okay. And sir, lastly, if I see the sugar division performance despite this strong realization in the market, we made a loss this time also. But this is only for the lower quota or anything that we are missing outside?
Y. Venkateshwarlu: If you look at, this is a seasonal business. You will see the better results in Q4 because normally all the sugar companies like us will have only the 2 months operations during the quarter. When it comes to the next quarter, the operations results will be good. You can look at all the sugar industries.
Muthiah Murugappan: Yes, I think that's fine. So Somnath usually in Q3, we will report a loss. That's just the way. I mean our Tamil Nadu season start very late Q3. Karnataka kind of starts early November. So, the plants are technically not running. I think December, Jan, Feb is when plants are generally running all together. So, these are the more profitable months. As Venkat said, you will see that in Q4. This has been the trend for us kind of every year.
But I mean maybe what you really want to compare is the level of losses versus the same quarter last year wherein which we fared better. So certainly, from an EBITDA delivery, we have fared better. This is obviously despite FRP increase

s and increases in other input costs and this has rarely been driven by efficiency and cost work, which the business has done over the last year.

Moderator: Next question comes from the line of Atul Rastogi, an Individual Investor.
Atul Rastogi: My question was the refinery business. So, I think your costs have come down significantly over the last 9 months or so. So, do you think that cost of $41 per MT is sustainable? How do you see that?
Suresh Kannan: Yes. Thank you for the question. This is Suresh Kannan. You're right. The costs have come down during the current year mainly on account of energy efficiency projects that are implemented over end of last year giving results. So, we expect we should be able to sustain these cost levels going forward.
Atul Rastogi: And I think if I see correctly, the spread this quarter has come down significantly. What is your view on that? And why the spreads have come down?
Suresh Kannan: Yes. As Muthu explained as part of his opening remarks, the world is turning into a sugar-surplus scenario, and we also have a higher white sugar stocks that are accumulating at origins such as Brazil, Thailand as well as India, awaiting for the world market to capture them as far as the right opportunity is concerned.
So, the white premiums, which is the indication of spread availability has been under pressure over the last 6 months. So, this is basically a reflection of the surplus refined sugar and white sugar availability globally. So, we expect this tightness or the lower white premium environment to continue at least for the next 2 quarters going forward.

Atul Rastogi: Sir, just one more question on this. I noticed that the net working capital in this business is hugely negative, like $55 million as of December '25, and it has jumped from $25 million as of '24. So, what is the main reason for this? And do you think will continue because...
Suresh Kannan: Negative working capital. Sorry. Yes, please go ahead.
Atul Rastogi: Yes. And a related question is, I mean, if working capital is this negative, then it should throw up a lot of cash, if I'm not wrong.
Suresh Kannan: Okay. As far as the net working capital is concerned, you must see it in conjunction with the borrowings, external borrowings that are there. As the external borrowings have come down, the net negative working capital has increased. So, this is on account of basically a higher inventory turnover that we are able to get as well as the long credit period that we have from the suppliers.
Y. Venkateshwarlu: Actually, if you look at our Investor Presentation, Page 28, there you can see in PSRIPL, we have given the note because if you look, year-to-date (YTD) is as much as INR532 crores, whereas December '25, it is at INR78 crores. We've also given a note as to why there is a reduction, because the non-fund-based limits has increased. So thereby, you can see the upside in the negative working capital increase coincided with the reduction in the short term borrowings.
Atul Rastogi: Just from an operational perspective, your payables are much, much more than inventory and receivables. Is that correct?
Suresh Kannan: Yes, that is the situation at the moment based on the sales and the inventory numbers that we have.
Atul Rastogi: Okay. So that's not every time, this is a peculiar situation this quarter, right?
Suresh Kannan: This quarter may not be reflective of the normal state of business.
Moderator: Next question comes from the line of Ajit from Nirzar.
Ajit: Sir, sorry, I joined a little late. I just wanted to understand why did our non-sugar branded business degrow. And what is your expectations going ahead?
Balaji Prakash: Yes. So, I think on value terms, the price of pulses itself was about 35% to 40% lower in the market compared to the previous year. So, if you look at value turnovers for the quarter for non-sweetener busi

ness, we would have degrown from INR221 crores to about INR155 crores, and that is for the YTD.
And that's largely because of the reduction in the price of dal, which de-grew. The other reason is that we are taking some corrective actions in terms of channel corrections in order to revise the way in which we are doing our business. In terms of volume, our focus is also shifting more towards the profitable SKUs.
And we've done backward integration of dal. So, we've got our own dal processing plant. So, our focus is more on dals. Because the product mix moved more towards dals and the price of

dal in the market was significantly lower than last year, you see a degrowth in the value turnover of the non-sweetener business.
Ajit: And sir, how do you see it going forward volume growth and probably are we trying to enter into some other states except probably Tamil Nadu and Karnataka?

Balaji Prakash: So, I think going forward, the business will be consolidated, and we will stay focused on ensuring that we sell more of the profitable SKUs. Our focus on backward integration will remain, and we will continue to run our plants at max capacity. Expansion into non-South markets for non-sweetener, we will consider it only at the relevant point of time. As of now, there are no plans to go beyond South for non-sweetener.
Moderator: Next question comes from the line of Rushabh with RBSA Investment Managers LLP.
Rushabh: Just to understand on the consumer product business on the non-sweetener category, since we have initiated foray into this, what have been the learnings and what is the strategy? I mean how have we changed the strategy, if you just share your thoughts going forward from a 2- to 3-year perspective? And I understand we have a good right to win in the South market. So how are you planning to scale it up?
Balaji Prakash: So Rushabh, I think we've had some of the learnings. This business also follows a certain amount of cyclicality and seasonality. So, there are periods of the year when the price goes up and down. And depending upon the import policies of the government, the raw material prices of imported tur and domestic tur will vary accordingly. So, we've got our share of learnings.
We've this year, we had bought lentil in raw form, and we have bought our own plant, and we have processed it. So, we've done a full scale backward integration of this entire exercise and our learnings in that area are significant in terms of the cost of conversion as well as how do we play out on the pricing. So, there has been significant learnings in that aspect.
There is also a significant learning in terms of the channel and how the channel responds to a new brand, which comes into this business and this category. So, there are significant learnings and our attempt is to try and build all of them into a more robust strategy for the next financial year as we go forward into it. And can you please repeat the second part of your question? That was not very clear to me.
Rushabh: I'm just asking in the South market at least, I think we have a reasonable right to win. So how we're planning to scale it up since I think the learning curve has been achieved or you think there is still more to go in terms of new product launches and the learning curve in the existing products?
Balaji Prakash: See, I think the learning curve will never stop because there will always be something more that we will be learning on this business. So, I won't say that we are experts in this business as of now, but we have got significant learning. And the right to win is very, very clear in the South markets because of the ‘Parry’ brand and the share that we have in the sweetener business is a very dominant share. So, I think we'll be focusing more on the South markets in order to stay focused on the business.

Rushabh: And what about the new product launches that you are planning earlier? I think.
Balaji Prakash: So, there is a lot of work in progress on some of those new products. And I think we will come back to you maybe by the end of next quarter in terms of what the plans are. We'll probably be able to outline some of the plans to you when the time is more relevant for it, please.
Muthiah Murugappan: Yes. So Rushabh, just to overlay what Balaji said, and I think I sort of covered it earlier in the call as well, where, of course, in these staples and in the sweetener segment for now, we do aspire to go deeper into both these segments as the build of the business progresses. And particularly in the Staples segment, we will aspire to build a more profitable model, certainly on sweeteners, we will be doing this as well.
We will also give you guys an overview as to the newer categories we wish to enter, and we will do this in the May call. As I said, there's a body of work, which we are just about concluding with some industry experts to help us really put that narrative together on what new categories we want to enter are.
Rushabh: Okay. And are you looking at inorganic opportunity in this consumer non-sweetener business?
Muthiah Murugappan: Yes, we are.
Moderator: Next question comes from the line of Ajit with Nirzar.
Ajit: Yes, sir, just a follow-up on the previous participant's question. You said that you are discussing with some industry experts to expand your product portfolio. So, have you appointed any external consultants or is it the internal team only or what is it exactly?
Muthiah Murugappan: Yes. So, the industry expert is external.
Ajit: Okay, understood. And we are expecting the report by probably this year end, right?
Muthiah Murugappan: Yes, it will be done in the next 6 weeks. As I said, we'll cover elements of that in May. We'll give you a clear picture of which categories we are going to be going after. By that time, we will get into the next phase of implementation.
Moderator: Next question comes from the line of Gautam with Nalanda Securities.
Gautam: Just a follow-up. Did you mention that you're open to inorganic opportunities in the consumer segment? And if so, what would be like typical product category or size of business that you

would be looking at?
Muthiah Murugappan: So, Gautam, yes, we are open to inorganic opportunities. I think it would be the nice optimal way to grow. I think as I mentioned earlier, we'll come back clearly with the categories we're looking to expand into. On sweeteners, there won't be any need for inorganic in a segment which we have built over the last couple of years and will continue to build so to on the staples. There are other segments in the realm of food FMCG, wherein we'll certainly consider inorganic growth. And maybe we'll give you guys an overview or some colour of that in the May call.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Muthiah Murugappan: Thank you all for logging into our Q3 earnings call. We look forward to meeting you all again at the end of the next quarter. Thank you and wish you a good day.
Moderator: Thank you. On behalf of E.I.D.- Parry (India) Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2026

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June 2, 2026
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001.
Scrip Code: 500125
Dear Sir/ Madam, E.I.D. -Parry (India) Limited
Regd.Office : Dare House, 234,N.S.C. Bose Road, Parrys Corner, Chennai 600 001, India .
Tel: 91.44.25306789
CIN: L24211TN1975PLC006989
Website : www.eidparry.com
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G. Block, I
Bandra Kurla Complex,
Bandra (E),
Mumbai -400 051.
Scrip Code: EIDPARRV
Subject: Transcript of Conference Call for Analysts and Investors pertaining to the Audited Financial Results for the quarter and year ended March 31, 2026
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on May 27, 2026, pertaining to the audited financial results for the quarter and year ended March 31, 2026.
We request you to kindly take the above information on record.
Thanking you,
Yours faithfully
For E.I.D.-PARRY (INDIA) LIMITED
Biswa Mohan Rath
Company Secretary
Encl: As above
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• murugappa

"E.I.D.- Parry (India) Ltd.
Q4 FY26 Earnings Conference Call"

May 27, 2026

MANAGEMENT : MR. MUTHIAH MURUGAPPAN - WHOLE-TIME DIRECTOR & CHIEF EXECUTIVE OFFICER.
MR. Y. VENKATESHWARLU - CHIEF FINANCIAL OFFICER.
MR.SURESH KANNAN – WHOLE-TIME DIRECTOR – PARRY SUGARS REFINERY INDIA PRIVATE LIMITED
MR. ABDUL HAKEEM ASHIQ – CHIEF OPERATING OFFICER (SUGAR AND BIOFUEL DIVISION).
MR. BISWA MOHAN RATH – SR. VP – LEGAL AND COMPANY SECRETARY
MODERATOR : MR. ABHISHEK MEHRA - DAM CAPITAL ADVISORS

LIMITED

Moderator: Ladies and gentlemen, good day and welcome to E.I.D. Parry (India) Limited's Q4 FY26 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Mehra. Thank you and over to you, sir.

Abhishek Mehra: Hello everyone and a warm welcome on behalf of DAM Capital Advisors to the Q4 & FY26 Earnings Call of EID Parry. We thank EID Parry's management for giving us the opportunity to host this call.

On the call today, we have Mr. Muthiah Murugappan – Whole Time Director and CEO along with the Senior Management Team of EID Parry.

I hand over the call to the Management for opening remarks followed by a Q&A session. Thank you and over to you, sir.

Muthiah Murugappan: Thanks Abhishek and good morning to everyone. It gives me a great pleasure to be a part of the analysts call to share an update on the global as well as the Indian scenario and explain further on Q4 performance and FY26 performance of our company.

I will start with the global scenario:

Global sugar markets are softening with a clear downward price trajectory and a shift back to surplus conditions. White sugar prices have corrected from USD$500 per ton levels in 2025 to about USD$420 per ton levels by early 2026, while raw sugar has declined from about $0.80 per pound to about $0.14 per pound in the same period. This reflects improving global supplies with total production of 196.7 million tons (MMT), exceeding demand of 193.8MMT in 2025-26, led by higher output in India and Thailand, partially offsetting mixed trends in Brazil and the EU. Overall, global balances are moving from deficit to surplus and exerting downward pressure on prices and limiting export attractiveness.

On the India front, Sugar Year (SY) 2025-26 estimates are as follows: Gross production is at 31 MMT, with a diversion for ethanol 3 MMT, domestic consumption at 28 MMT, exports of 0.7 MMT and closing stock of 4.25 MMT. Domestic sugar trends indicate a recovery in production led by key states, with an all-India output net of ethanol diversion reaching 27 MMT as of March 31, driven primarily by Maharashtra and Karnataka, which grew in excess of 20%, while Uttar Pradesh remained flat.

At a balance sheet level, internal consumption has been revised downwards to 28MMTs, keeping the overall availability comfortable despite the 3 MMT diversions to ethanol and limited exports of 0.7 MMT. Further exports have been banned till September 30, 2026.

Recently, the trend reflects a shift towards the western and southern states, which are driving incremental output, while UP remains stable, it is not the primary growth driver.

I now hand the call over to Mr. Venkateshwarlu – our CFO, to take you to the operating and financial performance of the company.

Y. Venkateshwarlu: Thank you, Muthu, and good morning to all participants. It's a great pleasure to be part of this call and to share the key information on the operational and financial performance of the company.

I would like to share with you the key operating parameters of each of the segments:

In case of Sugar operations, we have completed the crushing in Karnataka and Tamil Nadu, in Q4. On an average, we have run about 77 days, against the 76 days of the corresponding quarter of the previous year. As far as the cane crushing is concerned, we crushed about 17.75 lakh metric tons (LMT), against 17.62 LMT of the corresponding quarter of the previous year. As far as the recovery is concerned, for

the current quarter, we are at 11.19%, against 10.89% of the corresponding quarter of the previous year.

As far as sugar production is concerned, in the current quarter, we produced about 1.74 LMT of sugar, against 1.55 LMT of the corresponding quarter of the previous year. So, cane cost for the current quarter is Rs. 4087 per metric ton (MT) as against the Rs. 3768 per MT of the corresponding quarter of the previous year.

This increase is mainly on account of the increase in FRP, which was about Rs. 150 per MT, announced by the Central Government. As far as the sugar volumes are concerned, we sold about

97,000 MT, which includes about 6,000 MT of the exports, as against 73,000 MT of the corresponding quarter of the previous year.
As far as the sugar realization is concerned, for the current quarter, it is Rs. 39.28, as against, Rs. 39.22 of the corresponding quarter of the previous year. So, we maintained the closing stock at 1.92 LMT for the current quarter, which is valuated at Rs. 39 per kg, as against 1.83 LMT of the corresponding quarter of the previous year. As far as the revenue from sugar is concerned, we did about Rs. 466 crores for the current quarter, as against the 408 crores of the corresponding quarter of the previous year, registering an increase of about 14% on account of the exports and the higher release quota for the current quarter.

So, as far as the co-gen operations are concerned, we generated about 1,499 lakhs units (LU), as against 1,450 LU in the corresponding period of the previous year. As far as the power exports are concerned, we exported about 845 LU, as against the 732 LU in the corresponding period of the previous year. As far as the power tariff is concerned, we were able to realize Rs. 4.57 per unit for the current quarter, as against the Rs. 4.38 per unit in the corresponding period of the previous year.
As far as the revenue is concerned, for the current quarter, we did about Rs. 66 crores, as against Rs. 58 crores in the corresponding period of the previous year.
As far as the distillery operations are concerned, we produced about 452 lakhs liters (LL) during the quarter, as against 438 LL of the corresponding quarter of the previous year. As far as the sales are concerned, we have sold 404 LL in the current quarter, as against the 389 LL in the corresponding previous quarter.
The composition of 404 LL consists of 150 LL of ENA and 64 LL of ethanol. As far as the price realization is concerned, the average realization is at Rs. 64.25 for the current quarter, as against the Rs. 66.98 per litre, as compared to the corresponding period of the previous year. As far as the revenue is concerned, for the current quarter we have achieved about Rs. 275 crores, as against Rs. 268 crores during the corresponding period of the previous year.
As far as the Nutra operations is concerned, we achieved a turnover of about Rs. 13 crores in the current quarter, as against Rs.9 crores in the corresponding period of the previous year. The increase is due to the more exports to the US, as the US tariff got settled at 10%. At a consolidated level, turnover was about Rs. 50 crores, as against Rs. 60 crores in the corresponding period of the previous year.
The consumer product group has achieved a turnover of Rs. 115 crores during Q4, as against 195 crores of the corresponding period of the previous year, registering a decline of about 48%. The decrease in CPG revenue stream is due to a purposeful operating model recalibration with a deliberate shift towards a better channel optimization and an improvement in the margin profile of the business.
I will move on to the refinery operations.
With production in the refinery in the current quarter is about 1.69 LMT, against 1.17 LMT in the corresponding quarter of the previous year. As far as the sales are concerned, we sold about 2.3 LMT, with the same in the

previous corresponding quarter was about 2.05 LMT.
As far as the revenue is concerned, we did about Rs. 1,006 crores in the current quarter, as against Rs. 1,019 crores in the corresponding quarter of the previous year. Loss for the current quarter,

after accounting other costs, is about Rs. 293 crores, against the loss of Rs. 99 crores in the corresponding previous year quarter. Inter-corporate deposits are nil.
As far as external borrowing is concerned, we are at Rs. 593 crores. I also want to update on the status on the closure operations of PSRIPL. We have intimated to the Stock Exchanges as on 31st March about the closure of the operations. So, at the same time, we have also informed all the statutory authorities during the first of April.
As far as the labour settlement is concerned, the final settlement for all the management staff was completed on 1st of April 2026. The settlement for remaining contractors were completed by 15th April 2026. The next activity what we have taken is on the SEZ exit.
The unit is located in the SEZ. We have obtained an in-principal exit letter from the SEZ authorities on the 20th of April. Exit formalities have commenced and are expected to be completed by 30th September 2026.
As far as the bank loan payments are concerned, $49 million (equivalent to Rs. 460 crores) were paid to the banks as on 24th April. This was funded through EID Parry's equity infusion about Rs.338 crores and cash available with PSRIPL as on 31st March 2026. The further payment to

the banks was on the 15th May 2026, about $29 million (equivalent to Rs. 272 crores.)
This is entirely funded through investments from EID Parry. So, with these two tranches of the investment, EID has infused so far by 15th May was about Rs.600 crores into the payment obligations of the PSRIPL. So, another $1.4 million scheduled for the payment in June 2026. This will be funded through internal receivables from the PSRIPL. With the above, all the loans obligations of PSRIPL will get completed by 30th June 2026.
As far as the liquidation of the plant and machinery is concerned, discussions have been initiated with the vendors and we are also exploring to call for tenders from the interested parties.
Muthiah Murugappan: Thanks, Venkat. I think we have also uploaded the presentation, the quarterly presentation on BSE and NSE and hope you will have chance to go through that. We are now open for questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Gautam from Nalanda Securities. Please go ahead.
Gautam: Hi, thanks for taking my question. So, the first question is on the consumer goods business. So, now going ahead, what is the plan over there. So, we have the sweetener division and now you are focusing on some adjacencies. So, what would those products look like? And basically, when you say value added, what should we define the margin profile of those products as opposed to the rice and pulses that we were doing?

Muthiah Murugappan: So, Gautam, thanks for the question. So, going forward on the CPG side, the strategy is to have a stronger margin profile on the business model. I think as you indicated, some of the rice and pulses, etc. are pretty low margin products. And we have defocused to some extent. We are focusing on those products only in sort of few channels. But in terms of the margin accretive products and value-added products, they will be more on the browns line, which is jaggery, couple of variants of brown sugar, premium whites. So, this is all in the realm of sweeteners. And newer product launches also in the realm of sweet products which are being planned for later in the year. Lot of these value-added p

roducts move the business into the 30+% gross margin level. And this is really the intent in terms of how we want to move forward.
Gautam: Okay. And we were looking at some acquisition also, right? You had mentioned in the last call. So, has there been any progress made on that? And are we still looking at it or there is a shift in strategy for that also?
Muthiah Murugappan: So, Gautam, I think on the last call, we had sort of outlined that we will specify the sort of segments within the food FMCG space which we are going to be looking at. I think the investor presentation covers that. We are talking about ethnic snacking and culinary convenience. These are segments which we are looking at further. In terms of how to enter these segments, these are conversations which we are having as well. But these are the segments of focus which we look at beyond the sweet products and sweeteners as well.
Gautam: And secondly, on the Nutra division, so now how should we look at this division? So, there are two, three products that we are focusing on. So, what would be the scale-up strategy over there? And what would be the general margin profile of this business once everything stabilizes?
Muthiah Murugappan: So, Gautam, on the Nutra piece, Nutra India continues. There are no new product launches planned. We obviously have the algae processing and exports which we do. That will continue. I think they have had a reasonable performance and I think we will continue now with some of the tariff issues being settled. We will continue to progress that piece. I think there will be more action on the Valensa front where we have also communicated two product launches, one on the prostate side as well as one on the derma health side. So, this scale-up will happen in Valensa going forward. I think what we will see in Valensa is an expansion of top line. As well as a stronger bottom-line performance. As mentioned, we have reoriented the strategy a little bit. We have also had some organisation and management restructuring. A stronger operating team is in place right now and they are driving this mandate forward.
Gautam: Okay. And just one last question. So, just like how we have seen the West Asia crisis, post that, have you all seen any change on the ethanol division when you are interacting with some government bodies in terms of either improving the mandate from E20 or in terms of pricing also? Do you see anything positive happening this year?

Abdul Hakeem Ashiq: Good morning. This is Ashiq here. I head the sugar and biofuel division. Obviously, most of the news around this is in the public space. The good development has been the government sharing their intent through the BIS aspect for E30. We have been telling this for the last 4 to 5 quarters. We expect positive action from the government. It will become visible during the allocations

that will come up in the new ethanol year. We remain strongly confident that a key positive outcome of the crisis will be higher ethanol blending levels, which will strengthen the country's fuel security.
Gautam: Are there any talks you had on pricing revisions?
Abdul Hakeem Ashiq: Our last read of the situation was that there may not be too much action on pricing but there will be an action on increase in blending percentages.
Gautam: Okay. Thank you so much.
Moderator: Thank you. Next question is from the line of Rushabh from RBSA Investment Manager LLP. Please go ahead.
Rushabh: Post restructuring that has happened, I just want to understand for every Rs. 100 that operating cash that is generated. How do we allocate capital now across the existing segments? If you could just share some thoughts and where are you doubling down more? Also, is there any strategic investments left or are you looking to continue all the existing businesses?
Muthiah Murugappan: Rushabh, thanks for your question. Now we will post

the restructuring at the refinery. I think we will be continuing with the existing sugar and biofuel operation, CPG as well as the Nutra operations. I think that is the plan. In terms of capital allocation, there will be a focus on the CPG segment. A lot of the investment there really goes into the A&SP program. There is no real CAPEX as such. The only CAPEX that we are doing this year is largely the new Jaggery facility. That is about a 45-odd crore CAPEX which we are doing. There are no other CAPEX plans. I think it is just given the industry situation, given perhaps the more macroeconomic situation, I think we will hunker down and run for cost and efficiency in terms of the core business. In terms of the CPG business, we will invest in brand building, expansion of distribution, and strengthening of the marketing mix.
Rushabh: In terms of the consumer products, just a follow-up. I think you have a recalibrated strategy of focusing more on the higher margin segments. Is it reasonable to assume that since you have been in this segment for quite a while now, at least in the next 3-4 years, can we assume a significant share of profits or revenues, say 20-25% coming from this segment? Or how should one look at the segment scaling up now? Or is it too early to say?
Muthiah Murugappan: The intent is to break even within the next 6-8 quarters and exit this decade with a good single-digit percentage EBITDA on this business.

Rushabh: Okay, thank you.
Moderator: Thank you. We will take our next question from the line of Raja Kumar Vaidyanathan from RK Invest. Please go ahead.
Rajakumar Vaidyanathan: Thanks for the opportunity. Just a couple of questions. The first one is, there was a recent Appellate Tribunal order dated September 2025 tariff ruling which many of the Tamil Nadu sugar companies have taken advantage of. Just wanted to know, is that award not applicable to EID Parry?
Abdul Hakeem Ashiq: Can you repeat the question, Appellate--
Muthiah Murugappan: I think some of the others took advantage of it. It is not applicable to us.
Abdul Hakeem Ashiq: Yes, it's not applicable to us because largely our power exports are through IEX. Some of our peers have taken benefit of it, you are right.
Rajakumar Vaidyanathan: Because I saw EID was mentioned in the tribunal order as a co-applicant, that's the reason I am asking.
Rajakumar Vaidyanathan: Maybe you have done it in the past, sir. It's not now, maybe, because the order is applicable, I think, way back 2010-something.
Biswa Mohan Rath: At present, we are exporting mostly on exchanges, but the tariff order also predates. So, we have some units where our power purchase agreement we may get little benefit for those periods, but we are yet to assess those years.
Rajakumar Vaidyanathan: Okay, but for any reason you are not taking cognizance of the benefit in this quarter because other companies have already accrued that benefit, that's the reason I am asking.
Biswa Mohan Rath: We have not taken cognizance of those things.
Rajakumar Vaidyanathan: Okay, but is it a substantial amount?
Biswa Mohan Rath: I don't think it's a substantial amount.
Rajakumar Vaidyanathan: So, the second question is, what is the outlook for the sugar planting in Tamil Nadu sugar mills?
Abdul Hakeem Ashiq: We have planted roughly about we are looking at about 10-15% increase in the planting.
Rajakumar Vaidyanathan: And even the recovery is better, right, in the current year compared to the previous year?

Abdul Hakeem Ashiq: We had a good upside on recovery. If your question is relevant to Tamil Nadu, we had about a

0.5% improvement in recovery and that, I think, is endemic across multiple sugar units in TN because we have had good weather, diurnal weather. Karnataka also had a good upside in recovery. So, those two are big positives for us.

Rajakumar Vaidyanathan: And do you expect this momentum to continue in the upcoming years? Do you see an increase in planting based on the previous year's good performance?

Abdul Hakeem Ashiq: Tamil Nadu will be constrained because of attractiveness of the other crops. The government has been focusing on paddy per se, as you are aware. Having said that, we look at the portion of improving from where we are in terms of planting and also expect some upsides on recovery.

Rajakumar Vaidyanathan: And lastly, any word on this, if the fuel blending, if it goes beyond 20%, so what would be the impact on the sugar industry and particularly EID Parry? Will we be participating on the upside? What is your outlook on that?

Abdul Hakeem Ashiq: Any increase in the ethanol blending percentage would benefit the sugar industry and our base assumption is that the government would want to support the sugar industry. We will benefit by higher allocations in Karnataka from the OMCs. What it would translate is probably increase the capacity utilizations. We have, as Muthu pointed out earlier, produced about 16 crore liters. We would probably tend towards 17 crore liters if there is an improvement in ethanol blending percentage.

Rajakumar Vaidyanathan: And lastly, any word on MSP for sugar?

Abdul Hakeem Ashiq: Not really. I think given the inflationary pressures it is unlikely.

Rajakumar Vaidyanathan: Okay. Thank you so much.

Moderator: Thank you. Next question is from the line of Vardharajan, an individual investor, please go ahead.

Vardharajan: The company has a grand vision of diversifying into a food company but other than sugar, I don't see any growth anywhere. No significant operation either yet. When do you think Parry will turn profitable actually? Yes, sugar refinery has gone. That is one big stone off the neck. But other divisions are also not showing much improvement.

Muthiah Murugappan: Yes, so thank you. Thank you for the question. So, maybe let me start with the first point which you made in terms of product line. It is largely sweetener focused. Obviously, a core competency and that is how we have gotten started on the CPG business. So, I think we are really doubling down. We are the market leader there. So, I think it makes sense to strengthen that position. As you know, we entered the staples category. We have recalibrated the strategy there to focus on

certain channels. There is also more products on the sweeteners realm which I also spoke in response to an earlier question around newer categories which we are looking at which is ethnic snacking as well as culinary convenience. So, there certainly is a broader vision, but you are right. For now, I think the revenues are really focused around the sweetener segment where we are consciously doubling down with the intent of strengthening the business model and strengthening the margin on the business. And I think doing so, will enable us to really attract that capital to grow the business out further. So, I think that is the intent from a CPG perspective. Now in a broader sense, I think you have pointed out from a profitability standpoint. The refinery was of course a constraining element. We have addressed it. There were some conversations around the TN operations and I would put AP into that as well where cane has been dwindling. This has been a drag. So, we are running very tightly on cost and efficiency. So, over time, I think we will have to manage this piece better, bring costs down, improve our working capital management to stem the losses which are coming from this segment. I think our Karnataka operations remain a very, very critical and core area of focus. They are very positive EBITDA generating. We have looked at the metrics and they certainly compare to best in class in the industry. And I think we will continue to focus on Karnataka, which will drive the core part of the company in terms of profits and cash flows.

Vardharajan: I have two more questions, significant questions. Number one is, are we looking at acquisitions in the food business or snacking business to grow the product line?

Muthiah Murugappan: So, as I mentioned, there are two areas of interest for us, one is ethnic snacking and culinary convenience and we are working out how best to launch into these spaces. But I will reiterate that I think strengthening the current business model is very, very important in order to build a stronger business model and also to attract capital for growth. This is really why we are focused on that.

Vardharajan: The biggest concern for the Murugappa group is that both Coromandel and EID Parry are vulnerable for takeover. Look at Coromandel's market cap, we hold 56% of it. Look at our market cap, 41% of equity in EID Parry is held with the public. Don't you think we are under a takeover attack?

Muthiah Murugappan: So, look, this is not something which I would like to comment on here. I think we are here to

really discuss the EID Parry operation.
Moderator: I am sorry to interrupt, sir. Your voice is breaking.
Muthiah Murugappan: Yes. So, sir, in answer to your question, I think I will refrain from commenting on this because this is not really in the context of the discussions here today, which is really to focus on the EID Parry operations.
Vardharajan: I am talking of EID Parry survival.

Biswa Mohan Rath: E.I.D. Parry 40% held by promoter, 60% by public. So, Coromandel 56% by EID Parry so how can it be taken over? This forum is not for discussion on that. So, I don’t think there is any such takeover threat.
Vardharajan: Like a strong player acquiring some considerable portion of the public equity can influence some institutional investors to swing also. I am talking out of concern. I am not casting aspersions. I am worried about EID Parry and its existence.
Biswa Mohan Rath: You should be concerned about every public limited company because as per SEBI regulations only 75% should be held by the promoters.
Vardharajan: Anyway, if you are satisfied, I have nothing to get worried about. I just need to get a stronger answer.
Muthiah Murugappan: Sir, we are not concerned. As you know, this promoter group has owned and run these businesses for a very long time. We have seen multiple cycles. We have also seen a very challenging restructuring, which you have just done of the refinery. So, I think, you know, we are very, very long-term players. So, we are not seeing a concern. You are free to voice this, but we are not seeing a concern. But as I said, I would refrain from further discussing it here because we are here to talk about EID Parry performance.
Vardharajan: As a shareholder, I am concerned about when we will resume paying the dividends.
Muthiah Murugappan: As I said, sir, I think we are working towards a strengthening of the business model. You have seen actions that we have taken through the year. And I think it's our endeavor to strengthen the business operations going forward.
Vardharajan: Next year, possibly?
Muthiah Murugappan: Sir, as I said, I think it's in our endeavor to strengthen the business operations of the company going forward. I can't really give you any timelines on this.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference back to the management for closing comments.
Muthiah Murugappan: Thank you all for logging into the Q4 and FY26 Conference Call. We look forward to connecting again at the end of Q1.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you all for joining us today. You may now disconnect your lines.